

Solar Industries India Ltd. (SOLARINDS)

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Call: Jul 2022

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Call: Nov 2022

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Call: Jan 2023

January 28, 2023

To, To,

The Executive Director The Executive Director

Listing Department Listing Department National Stock Exchange of India Limited BSE Limited Mumbai: 400001 Mumbai: 400001 Trading Symbol: "SOLARINDS" Scrip Code: 532725

Subject: Transcription of Conference Call with reference to the Unaudited Financial Results for the quarter and nine months ended on December 31, 2022 with the Management of the Company.

Dear Sir,

In furtherance of our letter dated January 23, 2023, we are forwarding herewith a copy of Transcription of Conference call hosted by ICICI Securities Limited on Wednesday, January 25, 2023 at 05:00 p.m. to discuss the Un-audited Financial Results for quarter and nine months ended on December 31, 2022 with the Management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari

Company Secretary & Compliance Officer

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"Solar Industries India Limited Q3 FY-23 Earnings Conference Call"

January 25, 2023

MANAGEMENT : M R. MANISH NUWAL – CEO & MD, SOLAR INDUSTRIES

MR. SURESH MENON – EXECUTIVE DIRECTOR , SOLAR INDUSTRIES

MR. MILIND DESHMUKH – EXECUTIVE DIRECTOR , SOLAR INDUSTRIES

MR. MONEESH AGRAWAL – JOINT CFO, SOLAR INDUSTRIES

MS. SHALINEE MANDHANA – JOINT CFO, SOLAR INDUSTRIES

MS. AANCHAL– INVESTOR RELATIONS , SOLAR INDUSTRIES

MODERATOR : M R. AMIT DIXIT – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Solar Industries Q3 FY23 Earning Call hosted by ICICI Securities. As a reminder, all participant lines will be in listen only mode, and there will be an opportunity for you to ask questions later during the presentation. Should you need assistance during the conference call, please signal an operator or pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded. I will now hand the call over to Mr. Amit Dixit of ICICI Securities. Please go ahead.

Amit Dixit: Good evening everyone. And thanks for attending this call. I thank Solar Industries for giving

us an opportunity to host this call. Today evening we have with us

Mr. Manish Nuwal – CEO

and MD; Mr. Suresh Menon – Executive Director; Mr. Moneesh Agrawal – Joint CFO; Ms.

Shalinee Mandhana – Joint CFO and Ms. Aanchal from Investor Relations. So, without much

ado, I would directly pass control to Ms. Aanchal for taking this forward. Over to you Aanchal.

Achal: Thank you so much Amit. Good evening dear investors and potential shareholders, warm

greetings in the New Year. We had a fantastic year in 2022 and hope to have a similar one in

2023 and we wish the same for our investor fraternity as well. I am Aanchal and I welcome you

all to earnings call of Solar Industries India Limited to discuss quarter three earnings. Joining us

today on this call is MD & CEO Mr. Manish Nuwal, Executive Director- Mr. Suresh Menon, Executive Director-Mr.

Milind Deshmukh, Joint CFO-Ms. Shalinee Mandhana and Mr.

Moneesh Agrawal.

Please note that certain statements concerning our future growth, prospects our forward-looking

statements regarding our future business expectations, intended to qualify for the safe harbor,

which involves a number of risks and uncertainties that could cause actual results to differ

materially from those in such forward looking statements.

Now, I request Mr. Manish Nuwal to give opening remarks on the performance of the company.

Over to you sir.

Manish Nuwal: Thank you Aanchal. A very good evening to all the valued stakeholders, on the backdrop of

strong performance by our international and institutional businesses. The revenue for the quarter

stands at Rs.1812 crore which is up by 78% year-on-year basis. And nine-month revenue stands

at Rs.4994 crore up by 90% year-on-year and the net profit is up by 109% year-on-year for the

quarter and 110% year-on-year for the nine months, which stands at Rs.219 crores and Rs.591

crores respectively. Defense revenue has crossed for Rs.100 crores for the consecutive second

quarter and progressing towards yearly turnover of around Rs.400 crores. Our company has

participated in various RFPs which includes RFP for one of the Pinaka variant and RFP for drone

base loitering munition. The defense order book now stands at Rs.817 crores.

The company intends to offer its products for space application has also started showing results

after the successful launch of Vikram S and static test of PSOM-XL motors made for ISRO.

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The company intends to expand it further in the coming years. Amid geographical tensions, the

risk of higher interest rates and economic slowdown brings in overall volatility in the business

environment. Despite these challenges, our quarterly and nine-month revenue number gives us

confidence to revise our annual growth guidance from 50% to over 65% for FY23. Going forward, we will stay focused on

expanding our core businesses through continuous strategic

investments to enhance the stakeholders value. Now, I'm handing it over to Achal to take you

through the summary of financials. Thank you.

Aanchal: Thank you so much sir. I'm extremely happy in presenting the numbers of a quarter where we

have crossed the revenue of 1800 crores and profit of

of 200 crores for the first time. We grew at

78% year-on-year registering a revenue of 1812 crores versus 1018 crores. EBITDA is at 357

crores up by 93%, PAT is at 219 crores up by 109% year-on-year, demonstrating the strength of

our business. Now let's quickly review the quarter in detail. Explosives, the domestic volume in

the quarter has increased by 17% that is 1,22,000 metric tonnes compared to 1,04,000 metric

tonnes and our realization of explosive is up by 46% that is 71,000 tonnes versus 49,000 per

tonne. As such explosive revenue was up by 71% from 513 crores to 876 crores. Revenue from

initiating system was also up by 32% that is from 101 crores to 133 crores.

Coming to our customer basket:

Revenue from CIL was up by 64% year-on-year from 192 crores to 314 crores. Revenue from

non-PIL Institutions was up by 133% year-on-year from 147 to 342 crores. Revenue from housing and infra was up by 41%

year-on-year from 215 to 304 crores. Export and overseas

revenue grew by 93% year-on-year from 377 crores to 729 crores. Defense revenue was up by

51% year-on-year from 73 crores to 110 crores.

Coming to our cost breakup raw material, the percent of raw material consumption is 63.55%

versus 58.92%. In absolute terms the cost grew at 599.77 crores versus 1151.45 crores in the

same quarter the previous year. The percentage of employee cost is 5.06% versus 6.62%. In absolute terms, the cost is

91.71 crores versus 67.39 crores. Other expenses percentage was at

12.09% versus 16.97% as a percentage of sales in absolute terms expense crosses 219 crores

versus 173 crores. The interest cost is almost 25.46 crores versus 13.41 and the percentage is at

1.41% versus 1.32%.

Coming to the highlights for nine months:

We registered revenue very close to 5000 crores that is, 4994 crores, which is up by 19% year-

on-year. EBITDA at Rs.952 crores up by 89%, PAT at Rs.591 crores, which is up by 110% year-

on-year. We have also given our investor presentation with detailed numbers. Now, we would be very happy to take any questions, comments or suggestions that you may have. Over to you
Amit.

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Amit Dixit: Perhaps can we have questions?

Moderator: Our first question is from Garvit Goyal from Nvest Research. Please go ahead.

Garvit Goyal: Sir what shall be the overall PAT margins by the financial year 23 and by going forward what will be the revenue growth and PAT margins stated my financial year 24 and 25?

Management: For the current year, we have given projections of 11% to 12% of the PAT margin. And for the next two years we'll come up with a growth guidance in our quarter four results.

Garvit Goyal: Okay. My next question is, what are the drivers for the value growth in the domestic explosive business as one year ago the rates went up 43,962 and now it is 71,793. So, how sustainable these rates are going forward for say next one to two years.

Management: I am so sorry, can you just come up with your question a little slowly we are just unable to hear it clearly.

Garvit Goyal: What are the drivers for debt value growth in the domestic explosive business as one year ago rates were at 43,962 and now it is 71,793. So, how sustainable these rates are going forward for approx. next one to two years?

Management: Like you have mentioned that in this quarter our volume had increased by 17% and price increase was there by 46%, going forward as we are expecting that commodity prices should start correct and accordingly our finished goods prices will also get corrected. And because it is our finished goods prices are linked to the key raw material prices like ammonium nitrate and fuel oil. So, at this moment, it is not a certainty that prices will fall in a particular percentage. So, as we move forward, we will keep giving or revising our guidance, but as far as next few years are concerned, we believe that there will be some corrections, b

ut it should stabilize in next one or two quarters.

And based on that, we will give you future guidance.

Moderator: Thank you very much. Our next question is from Noel Vaz of Union. Please go ahead.

Noel Vaz: So, I just have one question which is specifically related to the order book which was given. So, in your presentation it is specifically mentioned that your order book at the end of the third quarter stands at 3389 crores. So, this is a sequential decrease over the second quarter. So, I'm just trying to understand how should we see this order book going forward and how did exactly relate to does it relate to your revenues going forward as well?

Management: So, the order book for that the different order standards at 817 crores and the rest order of around 2572 is from CIL and Singareni Collieries, general these orders are received for a period of two years. So, for CIL the next order will be coming in the month of October 23. So, till that period

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the order is there from CIL and for Singareni it will come in 2024 April, so till that the orders are inclined, inline what Singareni Collieries is already involve so. So, in one-and-a-half-year order for Singareni Collieries are captured in this.

Noel Vaz: Okay. So, basically SCCL one and a half years orders are reflected in this 3300 number as well as CILs one year number right?

Management: Yes.

Noel Vaz: Okay. And basically, quite simply put at the end of that period, then again order book can be (Inaudible) 12:50 so to say is a better way to put it?

Management: Yes, correct.

Noel Vaz: Okay, fine. Also, just one more thing, I just wanted to try and understand generally how your pricing mechanism works, generally speaking, when there is a increase in the raw material cost within how much of a time period is there a lag or is it a pass through in terms of product mix?

Management: Yes, we have contractual obligations with the customers. So, generally that lies in between one month to three months in rising as well as falling trend there is always a lag of that much period.

Moderator: Thank you very much. Please go ahead. Our next question is from Dhananjai Bagrodia. Please go ahead.

Dhananjai Bagrodia: Is international volume growth significantly higher?

Management: It is in line with our annual guidance we had spoken that the volume growth will be in the range of 15% to 20%. So, even international business is in that line.

Dhananjai Bagrodia: Okay. So, is in line with 15%-20% rest of the business?

Management: Yes.

Dhananjai Bagrodia: Okay. And my follow up question is, so what would be current inventory debtors and payables?

Management: So, the current working capital days are around 100.

Dhananjai Bagrodia: Okay. And how would you see that ending for the end of the year?

Management: So, we see around 90 to 100 days of working capital cycle.

Dhananjai Bagrodia: Okay. And so current realizations are down or stable Q-on-Q, what we are seeing right now?

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Management: It's stable Q-on-Q.

Dhananjai Bagrodia: Okay. And lastly, what will be the CAPEX in Q3?

Management: The current CAPEX is Q3, current till nine months the CAPEX is around 350 crores. And the target is around 450 to 500.

Dhananjai Bagrodia: And the target is 450 to 500. And ma'am what would you expect that to be for next year?

Management: This quarter we have revised our guidance for the current year to around 65%, so next year will come up in quarter four results.

Moderator: Thank you very much. Our next question is from Puneet Kabra who is an Investor. Please go ahead.

Puneet Kabra: Question I have is, if I have to take a three- or five-year view, considering what Coal India is planning in terms of CAPEX, mining, government initiatives, private mining in coal. So, you know it all more, what kind of volume growth can we expect for this industry in the next couple

of years or three to five years what kind of volume growth will be a reasonable number to look at?

Management: Like we have been repeating or giving our projections of growth, as far as volume is concerned, we still believe that we should be able to achieve a growth of 15%, 16%, 17% year-on-year basis for next couple of years, because there is a plenty of demand from coal mining, which we all are aware of. So, that gives us a lot of confidence in giving such kind of guidance that we are expecting a growth of around 15% in volume terms.

Moderator: Thank you very much. Our next question is from

Sanjay Sathpathy of Ampersand. Please go ahead.

Sanjay Sathpathy: Sir, I couldn't get in earlier because of link issues. So, I may ask some questions which could be repetitive. So, just first thing is that you have given a guidance of 65% growth, I'm assuming that it is at least 65% because otherwise Q4, which is traditionally a bigger, seasonally biggest quarter, you are looking at a significant decline compared to quarter three. Can you please confirm that?

Management: So, we have given guidance of over 65% for the year 23.

Sanjay Sathpathy: So, my question is that will you continue to do this 15%, 17% volume growth, which you said that you will be doing each year for next couple of years. Will that continue in quarter four as well and are you seeing some kind of decline or dramatic change in realization or in raw material cost?

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Management: Yes, as we have volume we do see 15% to 17% growth and on the basis of realization during the quarter the relations were stable, but since the raw materials that is especially the ammonium nitrate is already at very highly elevated levels. We see that should come down and subside in coming quarters

Sanjay Sathpathy: Ammonium Nitrate?

Management: Yes, that is a basic raw material for us.

Sanjay Sathpathy: So, if that falls then it will be pass through so it can have some kind of impact on your revenue or realization. But your overall profitability per unit may continue to be as good or maybe better is that what we should conclude?

Management: Yes, that is correct. At highly elevated prices the margins are generally less as compared to when the prices are stable.

Sanjay Sathpathy: Okay, But does it affect your unit profit that is in terms of rupees per tonne of exclusive that you sell?

Management: We generally do not look in that way for us when we speak on margins we see the EBITDA margins for which we have given our guidance that at average level 18% to 20% should be there.

Moderator: Thank you very much. Next question is a follow up from Garvit Goyal of Nvest. Please go ahead.

Garvit Goyal: My question is, in the last year volume growth in the domestic business has been 13%, how sustainable this volume growth is by going forward?

Management: We have already answered that we see sustainable volume growth of around 15% to 17%.

Garvit Goyal: Okay. And what is the drivers for the export businesses as year-on-year for nine month, there is an increase of 97%, what is the expected growth by going forward in next two to three years?

Management: Our export will continue to be growing as indicated to you, giving us an overall growth in EBITDA level at 18% to 21%. So, we expect the same kind of growth to take place in the near term.

Garvit Goyal: You are saying 18% to 21%, I am right?

Management: EBITDA level yes exports translating to that EBITDA level.

Moderator: Thank you very much. Our next question is a follow up from Noel Vaz of Union. Please go ahead.

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Noel Vaz: Yes, I just wanted to know what exactly are the capacity expansion plans over FY23 and using a medium term if you can give me some color on that in terms of broad

CAPEX pay over the

next five years or may be just the volume number that will be helpful. Thank you.

Management: So, our current year CAPEX plan like Shalinee has mentioned that we are targeting around 450 crores or maybe around 500 crores, so it will be in that range. And in coming years also, for next couple of years, we believe that our CAPEX program will run around 450, 500 crores levels on an annualized basis. And our major CAPEX programs are for increasing the defense product portfolio, including the geographical presence within the country and increase our international presence in either new territories or expanding the current capacities of our major geographies where we are present like Turkey, Nigeria, and South Africa and Australia.

Noel Vaz: Okay. So, I am just trying to understand so when you are expanding to these international markets, what is the CAPEX or what is the investment that goes into setting up these kind of international businesses because I may be completely wrong so you can just tell me where exactly I am wrong but it just seems as though you just need to set up like a sales or a marketing division over that or is there something more to that?

Management: We have each country operating on their own and taking position at that level to grow the business. The growth in the business could be within the region that they are operating and the nearby regions that they are. So, we have a separate set of people in these country to handle this business.

Noel Vaz: So, we're talking about a separate plant as well and in foreign country as well, that is also?

Management: Yes.

Noel Vaz: Okay. And with this, just one trying to understand so these international businesses these are also for defense or these are for civilian applications?

Management: This is for only civilian applications.

Moderator: Thank you very much. Our next question is from Aniket Mittal of SBI Mutual Fund. Please go ahead.

Aniket Mittal: Just a few questions. One is from the overseas business side; I recollect we were planning some expansions in Australia and Indonesia. If you could throw some light as to where we are on that?

Management: Yes, our expansions in Australia and Indonesia is on line now, we expect our Australia operations to start in Q1 of financial year 24. In Indonesia, we have partially started and partially is on way, which we should start in the year Q1 of 24 also.

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Aniket Mittal: Okay. And what are the capacities that we've set up over here?

Management: We don't share the capacity for each product country wise. It is generally we share the territories where we are expanding and on an overall basis we give growth guidance that's all.

Aniket Mittal: Sir on is, if maybe for the current year itself, we've been seeing a fairly decent growth in the international market. If you could just highlight certain dynamics in the individual geographies as to how they're planning, what is the growth that you're currently seeing within those geography, maybe from a volume perspective itself, that would be helpful?

Management: So, the growth from international market is coming from couple of factors like first is, volume growth of around 15% to 20% in various product ranges and second is, like we have said that in last couple of years we were investing and start the new territories. So, those territories have started (Inaudible) 27:05 and in future we are planning to expand in the nearby market. So, all these three factors are giving us growth from international market and in future also, similarly we will keep growing.

Moderator: Thank you very much. Then the next question is from Prasheel Gandhi of Nirmal Bang Institutional Equities. Please go ahead.

Prasheel Gandhi: Sir, my first question pertains to the interest cost, net debt levels could you highlight what's the net debt level for third quarter, at

the end of third quarter?

Management: For the group level it is around 1400 crores.

Prasheel Gandhi: 14 million net debt.

Management: Sorry, net is 1258 that is the gross.

Prasheel Gandhi: Okay. And my second question pertains to the interest cost, we have seen a huge jump in interest

cost for the quarter. So, is this something that we need to assume for quarters going ahead or this is just a one-off and we can expect the interest cost to come down?

Management: The interest cost already the repo rates have been going up. The repo rates have been going up. And in the quarter earlier, the average cost of borrowing was less, so around 2.5% repo rates have increased so as a result the interest cost has also increased.

Prasheel Gandhi: And my final question pertains to the drone-based loitering munition. So, could you highlight the potential market and what revenue potential that we can expect from this segment over next two to three years?

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Management: It is very difficult to give any such kind of guidance on what can be the potential for drone-based ammunition. But like we have been mentioning that company is increasing its product portfolio for a variety of applications. So, drone base ammunitions are new age technologies on which company is investing and like we have mentioned that few of our products are qualified and we participated in various RFPs for these products. And once we receive any significant orders, commercial orders, we will definitely share with the stakeholders.

Prasheel Gandhi: So, could you highlight the competitive intensity in this case, are we the only players or how is the competitive intensity in this place?

Management: We are yet to receive any kind of official information that who else are participated, so difficult to share at this stage.

Prasheel Gandhi: Okay. And my final question pertains to market share, could you highlight market share of key overseas geographies, what are the current market shares that we have?

Management: We don't have the market share of each country wherever we are operating. So, it is difficult to answer this question.

Moderator: Thank you. Our next question is from Jenish Karia of Antique Stock Broking. Please go ahead.

Jenish Karia: Sir, if you can help for the reason for declining gross margins on a year-on-year basis?

Management: We have mentioned that this year also, although the raw material prices are at a highly elevated levels and despite all of these factors we are increasing margins to around 18% to 20% level.

Jenish Karia: So, the point I am trying to make is that is there any inventory loss that have been incurred during the quarter?

Management: So, if we look at our annual guidance what we have shared is that the revenue which we are targeting grows more than 65% and even factor the growth into our revenue side. And what we are saying is that we are expecting EBITDA margins of around 18% to 20%. We have also see that there is always inventory which we have to carry to run our operations. And there are always such contracts which keep going with our customers. So, as we carry inventory, there are also contracts which are still running conditions. So, every month or every quarter, there are some escalations and accordingly our inventory will get adjusted to those customers. We don't see much impact due to these factors.

Jenish Karia: Okay. And sir one last question, I see that the other expenses has declined on a sequential basis I'm not sure if you have answered this earlier, so if you could just help with the reason for decline in other expenses in a sequential basis?

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Management: So, if you capture the material consumed and other expenses, then both are moving in a similar range what we have seen in last couple of quarters, so we don't see much change on that

account.

And all these changes are happening because of changing either customer mix or product mix.

Moderator: Thank you. The next question is a follow up from Dhananjai Bagrodia. Please go ahead.

Dhananjai Bagrodia: Sir most of my questions have been answered. But just on the other flip side is there any risk we see in terms of global slowdown and are we seeing there anything in terms of the maybe order enquiry pipeline or how customers are reacting?

Management: We have factored in various kind of challenges whatever we can foresee. And based on those challenges, we have given a guidance which we have issued in this financial year. We are targeting to raise our revenue by over 65% this year. So, that captures the variety of challenges which we are facing at this moment.

Moderator: Thank you very much. Our next question is also a follow up from Sanjay Sathpathy of Ampersand. Please go ahead.

Sanjay Sathpathy: Sir, can I just ask what is the top country that you export to from here in India?

Management: We don't share the country-wise revenue, country wise figures which we are.

Sanjay Sathpathy: I am just asking the name of the country, the top one or two country that you export to?

Management: So, that also we don't share.

Sanjay Sathpathy: And the thing just wanted to confirm from you is that you just mentioned that you are getting

into Australia and Indonesia. So, am I to understand that you didn't have much revenue from these two geographies till yet?

Management: Yes, you can assume like this that these countries are yet to start so revenues from Australia and Indonesia is yet to capture fully into our revenue numbers. So, these territories are at a very nascent stage, we are expecting revenues to grow from these markets in coming years.

Sanjay Sathpathy: And as far as your exports are concerned bulk of it is for coal or it is diversified?

Management: Our exports are mainly from India to our overseas subsidiaries where we have geographical presence and apart from our overseas subsidiaries, we are supplying to variety of customers and those customers spread to almost over 60 countries.

Sanjay Sathpathy: Are you supplying for coal mining predominantly or for non-coal usage?

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Management: So, it's a mix of usage some of them are for coal, but most of them are for infrastructure related activities.

Sanjay Sathpathy: Okay. And the same thing which you will try here in Australia as well. Are you fine with giving this guidance of 15% to 17% growth overall, can I ask that how much you are looking at within India and how much exports will continue to grow?

Management: So, this was your last question I will answer to that. So, we are expecting volume growth of 15% to 17% in India and outside as well. Thank you.

Moderator: Thank you, sir. Then our very last question is from Prasheel Gandhi of Nirmal Bang. Please go ahead.

Prasheel Gandhi: Sir just a question in earlier calls we were guiding for a 25% value growth over medium term. So, with expectation of ammonia nitrate prices correcting and hence the expectation of our realizations to come down. So, do you still maintain that guidance?

Management: Yes, after capturing all these kinds of scenarios we believe that we should grow by over 65% in this financial year.

Prasheel Gandhi: No, sir for the coming quarters of over medium term we were maintaining some 25% growth guidance over medium term. So, could you highlight that?

Management: We have shared that; we are targeting a volume growth of around 15% to 17%. And as far as value growth is concerned, it is difficult to share at this stage, which we will definitely share after Q4 results are over.

Moderator: Thank you very much. Ladies and gentlemen we have reached the end of our question-and-answer session and I would like to hand the call back to management for closing comments.

Aanchal:

We appreciate the time given by everyone. Thank you so much. See you again in the next quarter.

Moderator: Thank you very much. Ladies and gentlemen on behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

May 08 , 2023

To, To,
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra Kurla Complex Floor no. 25, PJ Towers
Bandra (E) Dalal Street
Mumbai -400 051 Mumbai – 400 001
Trading Symbol: “SOLARINDS EQ” Scrip Code: 532725
Through NEAPS Through BSE Listing Center

Subject: Transcription of Conference Call with reference to the Audited Financial Results for the quarter and year ended March 31, 2023 and earnings for the FY 2022 -23 with the management of the Company.

Dear Sir,

Further to our letter dated April 29 , 2023 we are forwarding herewith a copy of Transcription of Conference call hosted by Antique Stock Broking Limited on Thursday , May 04 , 2023 at 11:00 a .m. to discuss the Audited Financial Results of the Company for the quarter and year ended March 31, 2023 and earnings for the FY 2022 -23 with the management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari
Company Secretary &
Compliance Officer

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“Solar Industries India Limited
Q4FY-23 and FY23 Earning's Conference Call”
May 04, 2023

MANAGEMENT : MR. MANISH NUWAL – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – SOLAR INDUSTRIES
LIMITED
M R. SURESH MENON – EXECUTIVE DIRECTOR, SOLAR
INDUSTRIES LIMITED
M R. MILIND DESHMUKH – EXECUTIVE DIRECTOR –
SOLAR INDUSTRIES LIMITED
M R. MONEESH AGRAWAL – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES LIMITED
M S. SHALINEE MANDHANA – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES LIMITED
M S. AANCHAL KEWLANI – INVESTOR RELATIONS –
SOLAR INDUSTRIES LIMITED

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Solar Industries Limited 4QFY23 Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing start then zero on your touch-tone phones. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking. Thank you, and over to you, sir.

Manish Mahawar: Thank you Zico. On behalf of Antique Stock Broking, I welcome all the participants to the 4QFY23 earning's call of Solar Industries. From the management, we have Mr. Manish Nuwal, MD and CEO; Mr. Suresh Menon, Executive Director; Mr. Milind Deshmukh, Executive Director; Mr. Moneesh Agrawal, Joint CFO; Ms. Shalinee Mandhana, Joint CFO; and Ms. Aanchal Kewlani, Investor Relations, on the call.

Without any delay, I would like to hand over the call to Aanchal for opening remarks. Post which, we will open the floor for Q&A. Thank you, and over to you Aanchal.

Aanchal Kewlani: Thank you so much, Manish. A very good morning to our dear stakeholders and well-wishers.

My name is Aanchal and I would like to welcome you all to the concluding conference call of FY '23. To begin with, I would like to remind you that during this call, we might make projections or other forward-looking statements regarding future events and about the future financial performance. Please remember that such statements are only predictions. Actual events or results may differ materially. And our website will be updated with all relevant information timely.

Now I would request Solar's CEO and MD; Mr. Manish Nuwal for his opening remarks. Over to you, sir.

Manish Nuwal: A very good morning to all the valued investors and other stakeholders. We are pleased to announce the highest ever quarterly revenue, which stands at INR1,929 crores, up by 46%, and the highest ever yearly revenue, which stands at INR6,923 crores, up by 75%. The net profit is up by 26% for the quarter and 78% for the year, which stands at INR221 crores and INR811 crores, respectively.

The strong growth of our non-CIL and institutional sector, along with the exports and overseas business were the key drivers behind the growth in our top line. These results are being achieved with the improved operational performance, despite the challenges arising mainly out of volatility in commodity prices, currency fluctuations and hyperinflationary conditions, which demonstrates the strength of the company.

We are delighted to share that we have achieved the highest ever defence revenue in this quarter, and the annual revenue has reached to a milestone of INR400 crores, which is in line with our guidance given at the beginning of the year. Our defense order book has now crossed INR1,100 crores mark, which is a big milestone for our company. The order book comprises of export orders of Pinaka rockets; Nagastra, which is a loitering ammunition; and other

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ammunitions, which are for a variety of applications. We are expecting the product evaluation of Pinaka rockets to be completed in around 3 months' time, and the orders from these rockets will substantially push the revenue from defense in the coming years.

On this backdrop, we are expecting the defense revenue to double in the current financial year. Our corporate objectives and business goals are aligned with the country's ambition to make our country atmanirbhar in the field of ammunition and emerge as a major export hub in the coming years. In line with our strategic plans to expand our market presence in the country, we have acquired Rajasthan Explosives and Chemicals Limi

ted and have started land acquisition

for our upcoming facilities in South and Northeast of India. And we are expecting these projects to complete in next 2 years.

We are also working on our expanding global manufacturing facilities from 8 countries to 12 countries in this year. The government of India's strong policy support and huge outlays for infrastructure projects like housing, mining and providing a level playing field in the private sector for defense will do good for our company. We are expecting a volume growth of around 15% based on strong demand from coal, housing and infrastructure sector. We are entering FY '24 with an optimistic outlook on increasing our EBITDA margins via enhancing the market footprints, new orders from defense section, and reduced raw material prices.

Looking at the upcoming opportunities, our strategic investments, we have planned capex of around INR750 crores in FY '24, which includes defense, domestic and overseas businesses. Our company has also proposed a dividend of INR8 per share for the current year as compared to INR7.5 in the previous year.

Now I will hand over the discussion to Aanchal to take you through the financials in detail.

Thank you.

Aanchal Kewlani: Thank you so much, sir. Before beginning, I would like to quote, this year has been phenomenal in Solar's history, where we have achieved many milestones, a few to mention so far are: highest revenue and profits achieved, huge capex plans for FY '24, share price achieved a major hike and crossed around INR4,400 mark, strong return to stakeholders and crossing market cap of INR30,000 crores, the strong defense order book of INR1,100-plus crores, export order of Pinaka rockets, Nagastra successfully converted in commercial order, strategic investments, and at the end, our continuous foundation to achieve sustainable growth ahead.

Now we would like to share a few highlights for the quarter and financial year, though we have already shared the investor presentation carrying all the necessary information for your perusal on the website and the exchanges. Key highlights for the fourth quarter are, the consolidated revenue is up by 46% at INR1,929 crores. Explosives revenue is up by 15%, that is INR903 crores. Our explosives volume has increased by 13% and stands at 135,007 metric tons. Realization of explosives was almost same, that is at INR66,913 per metric ton. Initiating systems revenues increased by 44% and stand at INR169 crores. In the customers basket, the top contributors in absolute terms are exports and overseas at INR737 crores, giving a growth of 90%, and non-CIL and institutional sector at INR379 crores giving a growth of 91%.

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Coal India as a percent of revenue stands at 15% as compared to 20% in the previous year. Housing and infra revenue stands at 20% of the revenue. Defense revenue is up by 54% in the quarter at INR111 crores. Coming to the cost breakup, raw material consumption increased by 46% year-on-year, stands at INR1,191 crores.

Employee cost has increased by 12%, stands at INR99 crores. Other expenses have increased by 89%, stands at INR281 crores. We reported an EBITDA of INR369 crores, showing an increase of 40%. Interest and finance charges is at INR31 crores. Depreciation has increased by 19% to INR35 crores. PBT has increased by 38%, stands at INR302 crores. PAT has increased by 26% and stands at INR221 crores. These were the updates for the quarter.

Let me now take you through the yearly performance. The revenue for the year is up by 75% year-on-year, that is from INR3,948 crores to INR6,923 crores, a massive jump. Domestic explosive quantity sales up by 13%. Realization has increased by 39%. Revenue from domestic explosives increased by 58%. Initiating systems domestic revenue increased by 36% year-on-year. Coal India as a percentage of sales is at 15% in the basket from 18% in the previous

us year. It has grown by 49% and contributes INR1,067 crores.

Non-CIL and institution has grown by massive 138%, stands at INR1,278 crores. Housing and infra has grown by 36% and stands at INR1,322 crores. Export and overseas has shown an increase of 95%, stands at INR2,796 crores. Defense has shown a rise of 59% and stands at INR396 crores. Coming to the cost breakup for the year. The raw material cost is up by 87% year-on-year, stands at INR4,342 crores.

The employee cost has increased by 22% and stands at INR353 crores. Other expenses have gone up by 61%, stands at INR959 crores. EBITDA has increased by 72%, stands at INR1,320 crores. Interest and finance has increased from INR50 crores to INR90 crores. Depreciation has increased by 17%, stands at INR128 crores. We recorded a PBT of INR1,102 crores compared to INR607, which is an increase of 81%. PAT, we recorded a PAT of INR811 crores compared to INR455 crores, which is an increase of 78%.

This is all from our side. Now we would like to have questions, comments or suggestions that you may have. Over to you. Thank you.

Moderator: The first question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Congratulations for a very good set of numbers. I have two questions. The first one is essentially on the revenue side. If we look at revenue, it is up 75% Y-o-Y for FY '23 compared to your guidance of 65% just a quarter back? So given the ammonium nitrate prices have come off and we have not seen that getting reflected in your revenue so far, the subpart of the question is that how much of these ammonium nitrate prices are getting reflected? And what would be your revenue growth guidance for FY '24? That is the first question. The second one is on the -- if you can provide the order book split in defense between export and domestic? Also, do we have any opportunity in the propylene side, particularly for BrahMos and Pralay?

These are the two questions I have.
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Manish Nuwal: This is regarding your first question. You have asked that what is the guidance on the revenue side, I would like to explain it in this way that in this financial year, we are targeting a volume growth of around 15%, and it can go up to 20%, which will be one of the rare year in which we will be achieving a growth of around 15% to 20%. This is one of the rarest of rare year.

Second is that we have recently acquired Rajasthan Explosives and Chemicals. And in this year, our businesses from overseas will do even better than what we have done in this year. And like we have shared that defense order book has reached to INR1,100 crores, and defense revenue should double from the current level of INR400 crores to INR800 crores. All these factors will help the company to not only maintain the current top line. The reason is that we are not sure how much it can fall.

But still we are expecting that prices will fall and it will make the products at reasonable prices, which will help the increase in the demand, which we have seen that in the last year, the demand was very much subdued, especially from housing and infrastructure sector. So correction in the finished goods prices will help to improve the demand. But we are expecting that in this year, we will maintain the top line and we will increase the EBITDA margins from 18%, 19% to around 21% to 22%.

As far as your other question on propylene for BrahMos, like there has been news in the media that we have indigenized the booster part for the first time, and we are expecting more orders in the coming years. So as and when it will come, we will definitely share with you.

Amit Dixit: And what about Pralay, sir?

Manish Nuwal: So Pralay, we are part of their development program. And once it will start commercialization, we will definitely share.

Moderator: Our next question is from the line of Kaushik Mohan from Ashika Stock Broking.
Kaush

ik Mohan: Congratulations for the great set of numbers. Sir, I just wanted some more clarity on the order book side. You have mentioned that you have an order book of INR2,944 crores, and it has been segregated between two sites and one is defense was of INR1,118 crores. Sir, is this order that you are mentioning, how the order book has been calculated? If you're receiving any advances, then only you tell it as an order book? Or is it only the promise has been told as an order book?

Shalinee Mandhana: No. As regards to defense order book of INR1,100 crores plus. So we've received the orders. So we have those orders in hand. So as correctly Manish Ji has said that defense revenue increased from INR400 crores to INR800 crores. So these orders are included in that. And as regards to the balance order book of INR1,826 crores, that is the explosives order book from Coal India as well as Singareni. The tender for Coal India will start again in this October. So Coal India order book is till October '23. So once the additional order is received, we'll inform accordingly.

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Kaushik Mohan: Got it. And another question is on operating margins, that is EBITDA margins. What is the guidance for the coming years that you are targeting to increase your operating margins? What can the range be in the future coming years?

Shalinee Mandhana: So we are targeting around 20% to 22%.

Kaushik Mohan: 20% to 22%, okay. And any thoughts on the return on equity and ROC?

Shalinee Mandhana: So currently, our return on equity stands at around 24%, and the ROC stands at around 30%. So this will remain at the current levels, in fact improve further because of the coming fall in the -- whatever we see as the raw material prices stabilize in the current period.

Kaushik Mohan: Got it. So the last and final question is on the inventory days. Ma'am, any chances of controlling down or reducing down the inventory days? From currently what I can see, from my calculation, it comes out to be 94 days. So any thought process on those?

Shalinee Mandhana: So for FY '22, the inventory days were around 113 days. And currently, it has come down to 92 days. And with current stabilization of raw material prices, we do feel that it should come down to around 80 days.

Kaushik Mohan: It should come down to 80 days. And this can be achieved in FY '24?

Shalinee Mandhana: Yes.

Moderator: Our next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Many congrats on the strong set of numbers. Sir, just one clarification. Sir, you mentioned

roughly INR750 crores capex and you are looking for expansion in North and South projects over the next few years. Sir, if you can just give a further breakup of this INR750 crores in domestic market, international and defense?

Shalinee Mandhana: From INR750 crores, so we are expecting -- we are planning around INR350 crores in defense, around INR150 crores in overseas, and balance INR250 crores for our domestic explosives.

Rohan Gupta: Okay. Manish Ji, you also mentioned that this year you are increasing in terms of the business, adding 4 more countries in expanding footprint. If you can just share some more details which are the countries you have selected, the kind of investments you will be making there, and on our last 2 to 3 years of investments which we have made in the countries like Australia, South Africa and all these markets, how they have been ramping up?

Shalinee Mandhana: So these 4 countries that we have focused, so once this materializes, we'll inform accordingly. And as regards the last 3, 4 years investments we have done in Australia, that has started manufacturing. Ghana has also started. We have come up with a plant in Tanzania that is also running well. And Indonesia also has started.

Rohan Gupta: Okay. So in terms of the profitability, like in South Africa, Australia, this market is still -- I mean,

I don't know about the '22 numbers, we don't have a breakup, but in '22, these markets
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were with activity level negative. In '23, if you can share that which market has become PBT positive. And if you can share that detail?

Shalinee Mandhana: You are speaking for FY '23 or '24?

Rohan Gupta: Yes. In '23.

Shalinee Mandhana: Yes. In '23, we had EBITDA positive in both Australia as well as South Africa. However, due to currency fluctuations, the currency fluctuated around 25% in respective territories. So on that account, we have losses at EBITDA level -- PBT level, but we see PBT positive in this year. Operational profit has been achieved in both the territories.

Rohan Gupta: Okay. Also in markets like Turkey and all, which has been also quite languishing because of the economy problem in the country, how is the market outlook in those territories?

Manish Nuwal: Yes. As far as Turkey is concerned, definitely we are seeing that there was a big natural calamity and that has affected the demand in that market. But in this year, we are expecting that demand will stabilize and the operations in Turkey will do better.

Rohan Gupta: Okay. Sir, our defense capex, we are talking about up to INR350 crores further in current year. However, we have been continuously listing and I think that we have really scaled our capabilities in many parts, including missile integrations and all. The INR350 crores, the capex that you are talking about, it will be actually in developing in terms of capability by extending the product offering or it will be in the existing product basket and product line itself like drone or missile integration in all those facilities?

Manish Nuwal: Yes, most of the capex program, which we have shared for defense, will definitely go for expanding the product range in loitering ammunitions, and we are also working on developing counter drone systems. And we are also developing another series of rockets. So for developing these products, we need to do capex. And apart from this, we are also working on a variety of products, which will require capex to establish the manufacturing facilities. And in coming years, we are expecting that Pinaka rockets will commercialize, because we have already received the export orders of Pinaka, and we need to expand the facilities also. Because defense is a very different ball game and we have the facilities right starting from high-energy materials, propylenes, and we have the storage facilities, we do have the testing facilities. So we can say that we have a complete one-stop solution for most of the defense programs. so to expand this kind of strength which we have developed, we need to do capex, so that we can absorb new technologies and develop new products as well.

Moderator: Mr. Rohan Gupta, may we request that you return to the question queue for follow-up questions as there are several participants waiting for their turn. Our next question is from the line of Dhananjai Bagrodia from ASK. Mr. Bagrodia, your line has been unmuted, you can go ahead and ask your question.

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Dhananjai Bagrodia: Congratulations on good set of numbers. Wanted to understand, in your balance sheet, our net working capital has reduced net working capital days year-on-year. Any reason specifically for that?

Shalinee Mandhana: Net working capital?

Dhananjai Bagrodia: Yes. Net working capital days.

Shalinee Mandhana: Working capital days, earlier it was -- last year, we had closed around 90 days. This year, the days are around 95 days. However to mention -- and we are targeting it to come down this year. However to mention that, in fact, the debtor days has come down drastically along with the inventory days also. But along with that, the creditor days has also come down. So as a result, it's only 95 days. And we are targeting around 85

days in the coming year.

Dhananjai Bagrodia: Targeting 85. And sir, in this quarter, our growth was substantially higher than what we had also expected, any reasons particularly regarding that?

Shalinee Mandhana: Sorry, I didn't get your question.

Dhananjai Bagrodia: So in this quarter, was there any specific reason for such a high growth comparatively than what we had expected, INR1,928 crores. Was it more realization led or was there volume overall in the segment?

Shalinee Mandhana: Actually, fourth quarter is always a good quarter for our company, as a result, growth is there.

Moderator: Our next question is from the line of Noel Vaz from Union Asset Management.

Noel Vaz: I just have one question. So regarding our operating margins. So can we expect that the current operating margins at the end of FY '23 should continue? Or should we expect it to be more in the realm of high teens kind of a number?

Shalinee Mandhana: That has already been answered, but I'll repeat that. So, from current margin of 18% to 19%, we are targeting an EBITDA margin of 21% to 22% in the current year.

Moderator: Our next question is from the line of Karan Gupta from Varanium Capital.

Karan Gupta: I have one question regarding the acquisitions we have in Australia and Tanzania and Ghana. So what will be the expected cash flow we are estimating from that regions, cash flow from operations I am asking?

Shalinee Mandhana: For us, explosives business is considered as a whole, including all global manufacturing facilities. So current year, we had a cash flow of close to INR160 crores plus. So based on that we are growth expecting similar levels.

Karan Gupta: Okay. And what will be the growth?

Shalinee Mandhana: 15% plus.

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Karan Gupta: Okay. 15% plus in volume terms?

Shalinee Mandhana: Yes.

Moderator: Mr. Karan Gupta, may we request you join the queue again as your line is not clear. Our next question is from the line of Ravi Naredi from Naredi Investment.

Ravi Naredi: Sir, what is the margin in defense revenue? And how many months we take to receive the debtor payment from defense? And how many more orders we are expecting in current year?

Manish Nuwal: So the working capital cycle for defense is normally higher than our working capital cycle for nondefense, but since we have been saying that once we start supplying the products, it can reach to the normal level like explosives. So like we have started supplying of multimode hand grenade and other products. So we are not expecting that the debtor days or inventory levels to go beyond the normal level what we have been in the business for explosives section.

Second point, more orders, definitely yes, like we have said that we are likely to complete all the trials of Pinaka in the next couple of months. And once we complete all these trials, we will be getting more orders in this financial year. And there are plenty of RFPs in which we have already applied. But the cycle time from submission of RFP and getting orders always takes some time. So as of now, the order book is INR1,100 crores. And once we receive more orders, we will update.

Ravi Naredi: And defense margin, sir?

Manish Nuwal: So as a business what we have mentioned that in this financial year, we are targeting, that our EBITDA margin should reach to around 20% to 22%. So definitely, we are optimistic that we will try to -- or we should be able to reach on the upper side of the EBITDA margins, which we have given a guidance on that.

Ravi Naredi: Okay. And Manish Ji, any defense equipment we are exporting to any other countries?

Manish Nuwal: We have already shared that we received orders of Pinaka rockets and which we are supplying, and there are plenty of small, small products which we are already supplying to various countries.

Moderator: Our next question is from the line of Aniket Mittal from SBI Mutual Fund.

Aniket Mittal: I

have two questions. The first one is on the realization front. I think during the quarter, we've seen a 7% sequential dip over there. And you highlighted ammonium nitrate prices have gone lower. So based on the current prices, in your view, what would be the steady state realization

that we can expect?

Manish Nuwal: Like we have already shared that the current realization of finished goods depends on the current raw material prices. And like we have shared that in this quarter, the average utilization of explosives was around INR66,913 per ton. And in this financial year, we are expecting that the prices of raw materials would fall, and that will benefit in increasing or enhancing the demand in the market. So at this moment, it is very difficult that how much it will fall, but like
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we have seen that it can fall and it can go up again also in the second half of the year. So in the first half, we see that there can be a drop in the finished goods prices. And in the second half, we see that it can come back again. So we are not 100% sure at this stage how the volatility of ammonium nitrate prices can play. But as it happens, we will definitely share on quarterly basis.

Aniket Mittal: Fair. And the second question was just on the overseas markets. This year, we've seen a very strong growth coming in, revenues have almost doubled. If you could just highlight which are the key geographies which have contributed to this doubling of revenues?

Manish Nuwal: Yes. Like we have been saying that our businesses in Turkey have done exceedingly well. We have almost doubled the revenues from Turkey. Similarly, we have doubled our revenues in Australia. We have almost more than doubled in Nigeria. So we are doing very well in all these subsidiaries, except Ghana, where we are still in an SME state. So we are expecting better revenues in coming years, especially from West Africa and South Africa. And we are expecting that the more footprints which we have said that from the current 8 manufacturing destinations, we will start 4 new in this financial year. Backed up by all these efforts which we have taken in the last couple of years, we will see that there is growth in overseas business even from the current level.

Aniket Mittal: Just a follow-up to that, in your 15% volume growth guidance, how would this be split between domestic and international?

Manish Nuwal: We give the growth guidance or volume guidance for basically domestic market. But as far as international market is concerned, definitely, there will be also growth of around 15% to 20%.

Moderator: Our next question is from the line of Alisha Mahawla from Envision Capital.

Alisha Mahawla: Sir, my first question is this order book of INR2,900 crores, this will be executed over what period?

Shalinee Mandhana: Next 1 year.

Alisha Mahawla: One year. And this is both for the defense and the nondefense parts?

Shalinee Mandhana: Defense, as we said, we expect the revenue to double. So it may be for 1, 1.5 years.

Alisha Mahawla: Okay. And the nondefense order book of INR1,800 crores you are saying should be executed in 1 year?

Shalinee Mandhana: This will include additional. As I said, we'll have additional orders from Coal India post October. So we'll have additional order book for next 6 months.

Alisha Mahawla: Okay. Understood. And the defense order book of INR1,100 crores, is this including the Pinaka rockets, because you said the product is still under evaluation? But you also mentioned that you all are exporting the product.

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Shalinee Mandhana: We have already received an export order of Pinaka. So that is included in the defense order book. As regards to evaluation and testing, that was for the domestic orders of Pinaka.

Alisha Mahawla: And is it possible to quantify that once the domestic testing is complete,

what could the order value be?

Shalinee Mandhana: Once we receive the RFPs and tenders are completed, we'll update the same.

Alisha Mahawla: Sure. And our target or aspiration for margins is 21%, 22% for FY '24. Will this be driven by faster growth on the defense side or because of growth on the export side? I just want to understand which piece is more margin accretive and hence expected to give us relatively better margins.

Manish Nuwal: Like we've already mentioned that the improvement in margin will be mainly because of few factors like the increased defense business, improved overseas businesses, and the volume growth of around 15%, and it can go up to 20% also in these financial years. So these things will definitely help us. And there were other factors which have impacted the bottom line in the FY '23, which was mainly on currency fluctuations and impact of hyperinflationary effect. So these things, we don't expect to continue in the next financial year. I hope this will clear

your questions.

Moderator: Our next question is from the line of Sanjaya Satapathy from Ampersand Capital.

Sanjaya Satapathy: Thanks a lot for giving all the detailed guidance. Can I just ask you one thing that considering how the raw material realization and many other things are fluctuating and also the currency, so based on your volume growth guidance, will your absolute profit grow faster than volume growth or not?

Shalinee Mandhana: Yes. So we've given a guidance of 15% volume growth. So we expect similar growth in our bottom line.

Sanjaya Satapathy: Okay. And this 15% is for explosive, not the defense part, right, ma'am?

Shalinee Mandhana: Agreed -- no, this is 15% growth for explosive and for the business as a whole.

Sanjaya Satapathy: Okay. Okay. Okay. I thought volume growth is something which is not related to defense.

Moderator: Our next question is from the line of Kaushik Mohan: from Ashika Stock Broking.

Kaushik Mohan: Sir, another question that I have is that when looking at the numbers, consolidated level, the other expenses has been increased by INR400 crores. So can you give the breakup, if possible?

And what is this exactly increased from?

Shalinee Mandhana: As you see, for the fourth quarter, the expenses have gone up by about INR60 crores, INR62 crores. So that includes mainly on account of hyperinflationary losses. Turkey is a country economy where hyperinflation has been affected since the financial year '22-'23. So as a result of the restatement of the balance sheet items of nonmonetary items, there was a loss of around

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INR48 crores that had to be muted through P&L as per index 29. So as a result, the expenses have gone up, -- 2% plus the EBITDA level.

Kaushik Mohan: Okay. So for this reason, this INR400 crores has increased?

Shalinee Mandhana: So this INR400 crores, we cannot quantify as compared to previous sales because if you see the sales have also gone up by 75%. So, in proportion, expenses also go up. Export and overseas has also gone up. So as a result, sales and forwarding also reduces and ForEx currency losses of around INR80 crores are also accounted for in this year.

Moderator: Our next question is from the line of Chirag Muchhala from Centrum Broking.

Chirag Muchhala: Sir, so now that we have completed RECL acquisition, is it possible to share some financial details on the same, like the capacity, revenue, profits, etcetera?

Moneesh Agrawal: Yes, like we have shared that we have acquired Rajasthan Explosives Chemical Limited. It is based out of Rajasthan, which is in the city of Dholpur. And this acquisition will help us to expand our market base in the northern part of India. And the explosive capacity is around 30,000 tons, which we are likely to increase in next one year time. And the company has almost a big range of products, which we are already operating into. And the company's land i

s

almost more than 900 acres. And this is what we can share. And as far as the revenue is concerned, we have already shared that it is in the range of around INR100 crores -- sorry INR200 crores, and we are likely to continue this.

Chirag Muchhala: Okay. And sir, what is the consideration that we have paid for the same?

Moneesh Agrawal: The consideration we have already done is around INR70 crores.

Chirag Muchhala: Okay, sir. Sir, the second question is actually on ammonium nitrate prices. So is it possible to share the average price of Q4 and where it is currently?

Moneesh Agrawal: We don't share the average prices of our actual purchase. Sorry for that.

Chirag Muchhala: Okay. Because, sir, in Q1 and Q2, you had shared that ammonium nitrate is hovering between around INR83,000 per ton. So just wanted to compare that industry-wide where the prices are, not specifically for Solar, but industry-wide prices.

Moneesh Agrawal: All right. The current RCF prices is around INR60,000, Which has reduced from almost INR84,000 in the peak. It has reduced to INR60,000 in the end of March.

Moderator: Our next question is from the line of Abhishek from DSP.

Abhishek: Sir, just in terms of your initiating systems, the top line growth seems to be quite healthy at about 44-odd percent. And subsequently, your stand-alone margins are also very healthy. So is it also because of product mix? Or how should one look at it?

Manish Nuwal: Yes, you are very right. It's a combination of product mix. And the current impact which we are seeing in the business that we are increasing our footprints in various parts of the country.

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So that is helping improve our realizations also. So it's a combination of various factors, and one of that is increasing initiating systems sales.

Abhishek: Okay. Sir, the other thing which you partly also mentioned is that housing and infra demand seemed to have gotten impacted also because of price increases. So with that normalizing now with ammonium nitrate prices coming off, do you think that segment can see healthy improvement from here on, which if I look at your fourth quarter number, you're virtually flat. So how should one look at that segment?

Manish Nuwal: So we are expecting that the demand from housing and infra show increase in this financial year. The key reasons are that in the last year, because of high prices of not only explosives but of steel and cement also, a lot of work were getting deferred and payments were also slow from the various organizations. So in this financial year, we are expecting that this will improve. Apart from this, there is a natural buoyancy in this section because the government is also pushing for completing all the infrastructure projects as early as possible. So this will help in improving our sales from housing and infra. But like from last 15, 20 days, we are seeing that there are unseasonal rains. So these factors can keep coming, which can impact the demand. But on an average, we are expecting that demand for our explosives should land at 15%, and we are trying to increase from 15% to 20% in this year.

Abhishek: Okay. Great. Sir, one last question from my side. Since you've increased the capex intensity to almost about INR750 crores and a lot of it is also going into defense, do you expect this capex momentum to continue into FY '25 as well? Or how should one look at it?

Manish Nuwal: It is very difficult to comment at this stage, but definitely looking at the huge opportunities and the company's aggressive plans in expanding the footprints, expanding the product portfolio, investing in new technologies, projects, products, which will help our presence in variety of customer sections, which can sustain the expansion of future growth plans. So we believe that in this year, we are expecting INR750 crores, and in the next year, we are expecting that it should be around I

NR600 crores to INR700 crores.

Abhishek: Okay. And one should assume similar asset turn, except defense, in these to continue, whatever you are doing current asset turns, these new capex also should be able to earn you that asset turns. Is that the right assumption, sir?

Manish Nuwal: No. This may not be right assumption at this stage. Like we have been saying that defense expansions, whatever we will do, it will take at least 3, 4 years to turn around and then improve the sales from those assets. But like we have been investing in the last almost 10 years, so we are getting the fruits of those investments. In this year, we are expecting a revenue of INR800 crores. And with the current capex program, it can definitely -- the capex which we have already done, the revenue should reach to around INR1,200 crores comfortably. But like we are absorbing the new technologies, increasing the product portfolios, so the capex will be there, and those things will help us in the coming years.

Moderator: Our next question is from the line of Kishan Toshniwal from Polar Ventures LLP.

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Kishan Toshniwal: As Manish Ji, you said that we'll see 15% to 20% rise in the volume terms, can you give me the breakup or the color of how much it would be towards the explosive side and towards the defense side? And would that lead to the top line growth in the same ratio? Or would it be higher because of the 15% to 20% volume rise? My first question.

Manish Nuwal: Like I have already answered that the volume growth will be bearing India and overseas business. And the growth will come mainly from Coal India, Singareni, and housing and infrastructure sector. As far as defense is concerned, this business doesn't work on volume growth of like 10%, 15%, 20%. These are mainly dependent on products, and each product are being numbered in a different manner. So SKUs are different, unit measurements are different. So for different sections, we have mentioned that in this year, we are expecting revenue of INR800 crores. We will try to increase it, but from INR400 crores to INR800 crores is our target for this year.

Kishan Toshniwal: And the capex that you have done is basically for what? It is for explosive or the capex has been done for the defense part of our business?

Manish Nuwal: capex program or capex which we have already...

Kishan Toshniwal: No, the capex program that you have given of INR400 crores or INR750 crores.

Manish Nuwal: We have given the breakup just now.

Kishan Toshniwal: I just couldn't see it. That's why I'm asking.

Manish Nuwal: We will share it.

Moderator: Our next question is from the line of Karan Gupta from Varanium Capital.

Karan Gupta: Most of the questions have been answered. But the questions regarding the cash flow from the operations, as of FY '23 what will be the CFO?

Manish Nuwal: Sir, a small request that can you connect after the con call? Because your voice is not clear. Sorry for this.

Moderator: Our next question is from the line of Pratik Mukasdar from RNL Partners.

Pratik Mukasdar: Manish Ji, congratulations to you and your team for a fantastic set of numbers. I wish you all the best for the future. Most of my questions have been answered. So thank you so much.

Manish Nuwal: Thank you very much for your kind appreciation.

Moderator: Our last question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Thank you very much for the follow-up. Sir, just some clarification on our defense business.

So we have recently got orders in loitering ammunition and also we have a few pending orders

from MMHGs. We also have export orders. So the kind of revenue growth numbers in

defense, which you're talking about INR800 crores, that seems to be, I mean, primarily coming

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from these orders itself. Just wanted to check that is there are any upside, because i

n the

normal course of the defense business where we are doing some INR300 crores kind of annual

run rate, that business, how is that panning out? And is there an upside of the INR800 crores

revenue which you're talking about in defense in the current year?

Manish Nuwal: Like we said, the current order book is INR1,100 crores. And if everything goes well and if

they buy out in this first year itself, so definitely, we can increase our sales from INR800

crores to INR1,100 crores. But like we have seen in our past experience, it takes time, and

there are always some challenges that keep coming, because you are already aware that this is

the first time that any private company is supplying ready to use ammunition.

Loitering ammunition has been ordered for the first time to any private company from the

country. This has been developed for the first time. Similarly, Pinaka rockets have never been

exported in the past. So this is also the new milestone for any company like ours, solar

industries. So if you look and capture all these things, it takes time. And then the INR1,100

crores order book deals a lot of room of optimism that in the coming years we will see a much

better performance in defense section. We are confident that we should comfortably cross

INR800 crores.

Rohan Gupta: Okay. So just one more clarification, the guidance part, which you mentioned is roughly 15%

to 20% growth in revenues. That you're primarily talking only on the volume front, right?

Because the prices this year will be falling because of the fall in raw material prices. So this

15% to 20% revenue growth guidance which you're talking is for volume growth, right?

Manish Nuwal: Whatever I've said is already said. You can look at my con call script. That should answer your question.

Moderator: That was the last question of this question-and-answer session. I would now like to hand the

conference over to the management for closing comments.

Aanchal Kewlani: Thank you so much, everyone, for your time. We expect our shareholders and stakeholders to keep supporting us like this in the coming financial years as well. Thank you so much.

Moderator: On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

August 8, 2023

To, To,
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra Kurla Complex Floor no. 25, PJ Towers
Bandra (E) Dalal Street
Mumbai -400 051 Mumbai – 400 001
Trading Symbol: “SOLARINDS EQ” Scrip Code: 532725
Through NEAPS Through BSE Listing Center

Subject: Transcription of Conference Call with reference to the Un-audited Financial Results for the quarter ended June 30 , 2023 with the management of the Company.

Dear Sir,

Further to our letter dated July 29, 2023 we are forwarding herewith a copy of Transcription of Conference call hosted by PhillipCapital (India) Private Limited on Friday , August 4, 2023 at 11:00 a.m . to discuss the Un-audited Financial Results of the Company for the quarter ended June 30 , 2023 with the management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari
Company Secretary &
Compliance Officer

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“Solar Industries India Limited
Q1 FY-24 Earnings Conference Call”
August 04, 2023

MANAGEMENT : MR. MANISH NUWAL – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – SOLAR INDUSTRIES
LIMITED
MR. SURESH MENON – EXECUTIVE DIRECTOR , SOLAR
INDUSTRIES LIMITED
MR. MILIND DESHMUKH – EXECUTIVE DIRECTOR –
SOLAR INDUSTRIES LIMITED
MR. MONEESH AGRAWAL – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES LIMITED
MS. SHALINEE MANDHANA – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES LIMITED
MS. AANCHAL KEWLANI – INVESTOR RELATIONS –
SOLAR INDUSTRIES LIMITED – SOLAR INDUSTRIES
LIMITED

MODERATOR : MR. UMESH RAUT – PHILLIP CAPITAL INDIA PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Solar Industries India Limited Q1 FY '24 Earnings Conference Call hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Umesh Raut from PhillipCapital India Private Limited. Thank you and over to you, sir.

Umesh Raut: Thank you, Seema. On the behalf of PhillipCapital India, I welcome all the participants to Q1 FY '24 Earnings Conference Call of Solar Industries India. From the management, we have Mr. Manish Nuwal, MD and CEO; Mr. Suresh Menon, Executive Director; Mr. Milind Deshmukh, Executive Director; Mr. Moneesh Agrawal, Joint CFO; Ms. Shaline Mandhana, Joint CFO; Ms. Aanchal Kewlani, Investor Relations Head. Without any delay, I would like to hand over the call to management for their opening remarks, post which we will open the floor for Q&A. Thank you so much. Over to you, management.

Aanchal Kewlani: Thank you so much, Mr. Umesh. A very good morning, everyone, and welcome to this fiscal's first quarter review conference call. My name is Aanchal and I would like to welcome you all on behalf of Solar Industries India Limited.

At the onset, let me restate, we might make projections or other forward-looking statements regarding future events and about future financial performance in this call. Please remember that these events about the future and statements are only predictions. Actual events or results may differ materially. Our website will be updated with all the relevant information from time to time. Also, regarding the results, all the details and everything is being updated on the website and informed to the exchanges.

Now I would request our ED, Mr. Suresh Menon, to present the opening remarks for today's call on company's performance for this quarter. Over to you, sir.

Suresh Menon: Thank you, Aanchal. A very good morning, everyone. We have achieved revenue of INR1,682 crores in the current quarter, showing a growth of 4% year-on-year. We marked the highest ever defense quarterly revenue of INR155 crores, having a growth of 142% year-on-year and reaching close to double-digit share in our sales basket. Our EBITDA margins were up by 165 bps from 18.05% to 19.69%, well supported by defense sales.

We have achieved higher revenue and margins despite the negative impact of currency fluctuations and falling raw material prices. This demonstrates the real strength of our company. During the quarter, we registered a volume growth of 13% and are expecting annualized volume growth of 15% to 20% as guided in our previous quarter, mainly driven by robust demand from coal and institutional sector. We are working on increasing our global manufacturing presence from 8 to 12 countries, along with 2 new greenfield projects in India during the year.

The final trials of Pinaka rockets are likely to be completed soon. The order book stands at INR2,678 crores, which includes the defense order book of INR1,054 crores. These factors will help us to maintain positive movements in the future.

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Now I hand over to Aanchal for a quick update on quarter numbers.

Aanchal Kewlani: Thank you so much, sir. It gives us immense satisfaction to present the result of our journey full of hurdles like exceptional currency volatility and falling raw material prices. Despite above challenges, we grew at the pace of 4% year-on-year in quarter 1, registering revenue of INR1,682 crores versus INR1,616 cro

res year-on-year. EBITDA at INR331 crores, up by 14%, PAT at INR202 crores, up by 10% year-on-year, demonstrating the strength of our business in a challenging environment as elaborated by our ED and MD.

Now let's quickly review the quarter in detail. Explosives volume, domestic. The domestic volume in the quarter increased by 13%. Our realization of explosives showed a degrowth of 18%. Explosive revenue was down by 8%. Revenue from initiating system was up by 43%. Coming to our customer basket. Revenue from CIL was up by 7% year-on-year. Revenues from non-CIL institutions was marginally up year-on-year. Revenues from housing and infra was a little down. Export and overseas revenue grew by 2% year-on-year. Defense revenue, as said, was highest ever in the quarter at INR155 crores, up by 142% year-on-year.

Now coming to the cost break up. Raw materials, the material consumption cost decreased by 10% in absolute terms. Employee costs increased by 33%. Other expenses cost has increased by 56%. Despite all this, our EBITDA margins for the quarter saw improvement and the same grew

by 165 bps to 19.69%. The interest costs have gone up by 73%. Depreciation has increased by 12% on account of the capex done in the previous year. The profit before tax stands at INR272 crores with a growth of 10%. The net profit in absolute terms is up by 10% at INR202 crores. Now we would be happy to take any questions, comments or suggestions that you may have. Over to you. Thank you.

Moderator: We take the first question from the line of Bharat Shah from ASK Investment Managers.

Bharat Shah: Manish, what have been some of the key challenges that we have faced. Clearly opportunities are fairly well known and you highlighted about defense business reaching a new high in this quarter. Of course, the challenges on the raw material also are well known. But given the way there has been a lot of volatility, but while entering raw materials scenario, how do you see the picture, strategies to conclude this? And where do you see the picture ahead? That is one. Secondly, in a period of significant volatility of the raw material price, revenue may not be a very good indicator of how the business is performing. And therefore, probably profits may be a better way to understand how the business is performing. So I would like to hear your view on that? And how do you see that picture?

Manish Nuwal: Yes, thanks for asking the question, sir Bharat bhai. As far as the first point on opportunity side, like we have said in this quarter, we have achieved a revenue of INR155 crores from our defense sector, which is one of a big achievement for us. And we are looking forward for taking the defense revenue to the new level. And our annualized guidance was given, was around INR700 crores, and we are confident to achieve in that side. And as far as challenges are concerned, the challenge which we have mentioned in the last call also that we are expecting fluctuation in

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commodities. And at the moment, it was on a falling trend and it has fallen a lot, which has impacted our top line also, which is reflected in our realizations.

At this stage, we believe that it has bottomed out. And like we have said in the previous call also that we are expecting the higher prices in the second half of the year that will average out the fall and the rise as well. So based on that, we are expecting that we should do better. As far as volume growth are concerned, we are quite bullish because of the increased demand from Coal India Limited and institutional sector. We are expecting a volume growth of around 15% to 20%. That should help us in our -- in this coming quarter. And we are also expecting improved demand from housing and infrastructure.

In the first quarter, we have seen that despite of the summer period, we haven't -- we have seen the rain

in northwest part of the country, which was quite unseasonal, which has impacted the demand. But going forward, it should improve a lot and we are quite positive. As far as the other challenges are concerned, like we have said that the trials of Pinaka should complete. So at this stage, as per the current update, the trials are going to start in this month and it is going to take around 1 or 2 months to finish the trials. After that, the other process will start.

Bharat Shah: On the second part of the question, given the major volatility in the raw material prices, which are beyond obviously our control, we need to judge the underlying performance of the business and the strength of the business performance. Would it be in your opinion aggregate profits made will be a better indicator of the strength of advise of the performance of the business, how would you describe that?

Manish Nuwal: Our meaning of better performance was that despite of the challenges, first was the raw material fluctuation, we have seen the ammonium nitrate prices almost reached to a bottom level. And looking at the foreign exchange fluctuation, which we are seeing, especially in Turkey and Nigeria. These are unprecedented and as a result of that, in this quarter, we have faced an additional losses, which we normally keep provisions. But apart from the provisions, we have encountered additional losses due to foreign exchange, which is in the range of INR33 crores and because of the hyperinflation, around INR8 crores has been provided in this quarter.

So because of these 2 factors, we have lost almost INR41 crores, and we are expecting that currencies should settle and should not move to those kind of wild level in the coming quarters.

So those things will help us. So our meaning of saying the strength of the company was that despite of all these fluctuation, we are improving our profit margins. And we are expecting with increase of defenses and improved performance from the international market, increased demand from Coal India and infrastructure sector should help us to have a better performance in the coming quarters.

Bharat Shah: Sure. Just one last thing. INR33 crores you mentioned on account of what you would say?

Manish Nuwal: Foreign exchange fluctuation.

Bharat Shah: Foreign exchange of INR33 crores. And INR8 crores on account of?

Manish Nuwal: Hyperinflation provision.

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Bharat Shah: Export markets.

Manish Nuwal: Yes, yes.

Bharat Shah: Okay. So normally speaking this should not be kind of feature expected on a longer -term normal course of operation, right?

Manish Nuwal: These are losses which are above the normal level. So the normal levels are already being provided in the books of accounts, but these are additional. We don't expect these to continue in the future.

Bharat Shah: So the real profit of the business need to be viewed by adjusting these sectors?.

Manish Nuwal: Yes, absolutely.

Bharat Shah: And one very last question. While challenges are on raw material well known and opportunities also you described -- have been describing. Any other elements that you see as a concern on the horizon or in the reckoning?

Manish Nuwal: As of now, there is no other concern apart from these raw material things, foreign exchange, which we have already shared, and the delays are in the trials of the Pinaka rocket, which is one of -- going to be one of the big revenue driver as far as defense sector is concerned. Apart from these 3, we are not expecting any major challenge.

Moderator: The next question is from the line of Aniket Mittal from SBI Mutual Fund.

Aniket Mittal: A few questions. So firstly, on the exports part of this quarter, we've seen a 2% to 3% Y-o-Y increase. Would it be possible to give us an understanding over there, how much of that is volume led, how much of that is because

cause of the price volatility? And how does the pass-through in the exports market or the overseas market typically work?

Shalinee Mandhana: So we see 2% rise in exports and overseas sales as compared to previous quarters. The main reason like volume-led is similar to what we have seen in domestic around 12%, 13%. So there is a price correction. So as a result, the growth has been showing as 2% up.

Aniket Mittal: Okay. And the other part on the exports is we were thinking certain new geographies. Indonesia was one where I think we've set up capacity. Australia also we were looking to expand. So if you could just maybe throw some light on where contribution has all those investments and capacities come on board? And how much are they contributing for us right now and over the next 3 years?

Shalinee Mandhana: Yes. Next 3 years, okay, as the guidance we have given that our volume guidance overall for the group as we are seeing that 15% plus should be there. So that is an international market is included in that. For Australia and Indonesia, so the volume rise will start from second to third quarter. Plants have been set up there. So we should see the contribution starting from second and third quarter.

Aniket Mittal: Okay. And any other geographies that you're looking to enter to set up capacity?

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Shalinee Mandhana: Yes, we have announced that we will be increasing our geographical presence from 8 to 12. So as soon as each geography commercializes, we'll update accordingly.

Aniket Mittal: Which are the other 2 geographies that you are going to set up?

Shalinee Mandhana: We will come out once the same commercializes.

Aniket Mittal: Perfect. The third question was just to understand the outlook on the domestic, let's say, infrastructure or the other institutions and how is demand looking out there, I think the price is coming up, has that hurt the demand quite a bit?

Shalinee Mandhana: Yes. Manish just answered that in quarter 1 this year, there were unseasonal rains, especially in the north part of the country. So that has impacted demand in housing sector, but we are expecting strong demand from quarter 3 onwards.

Aniket Mittal: Okay. Just one last question. We have that multi-mode hand-grenade order pending. If you could maybe highlight how much of that is pending right now? How much of that is executed? Is there any recurring order that we can expect?

Shalinee Mandhana: That has been supplied in full. We're expecting second order. Once that comes, we will announce.

Aniket Mittal: Is it a fairly similar quantum that we expect to come?

Shalinee Mandhana: We are expecting similar quantum.

Moderator: The next question is from the line of Ravi Naredi from Naredi Investment.

Ravi Naredi: Manish, again, a reasonable result due to certain forex loss, we listened just now. Sir, our excluding installed capacity, how much at present and how much we are expanding in next 1 year?

Shalinee Mandhana: Sir, we do not share the capacity wise details.

Ravi Naredi: It is secret one?

Shalinee Mandhana: No, it's not secret because the product ranges are too broad. So it's very difficult to compare.

Ravi Naredi: Differently -- I ask differently this question. At how much capacity we are running in that project?

Shalinee Mandhana: Around 90% plus.

Ravi Naredi: 90%. Or any expansion is on our cards?

Shalinee Mandhana: So that is a normal expansion plan. So this year's current capex plan was around INR750 crores. So that's included in that.

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Ravi Naredi: Okay. And secondly, we have a situation where our borrowing limit, we can't increase -- able to increase and new directors, we can't appoint due to some problem in company. How -- can you tell what impact will come if our borrowing limit is not raised?

Shalinee

Mandhana: First of all, on the Directors part, so we have SEBI guidelines where Directors can be inducted. So that process will be completed within the time line given by SEBI. So second on borrowing part, we have ample space in that and for the company as a whole, we do not see any challenges at this stage.

Moderator: We take the next question from the line of Noel Vaz from Union Mutual Funds.

Noel Vaz: Just one thing is that, I suggest to you just expand a little bit more on your earlier commentary. You had stated that the pricing is expected to improve in second half. And in second quarter, I think there's still some element of pricing decline expected to happen. But what I wanted to try and understand is right now, I think our EBITDA per tonne roughly is about INR15,000. And in the past, we had done -- you would typically do around INR9,000. So I mean, what -- how much of this should be actually persistent going forward?

Shalinee Mandhana: Yes. So EBITDA per tonne do not look into it because the basket range of products is too broad. So we see margins for the group as a whole. So currently, for the year, we have given our projection of 20% to 22% for the year, and we are quite expecting -- we are happy that we'll be achieving that target. This quarter, it was around 19.6% because of the forex losses.

Noel Vaz: So if I were to just clarify, so because the mix has changed quite a bit over the past 2 years, but better to think of it in terms of a percentage margin rather than Rupee per tonne kind of number, right? Is that what you are saying?

Shalinee Mandhana: Correct, correct.

Noel Vaz: Understood. Second thing, which is there, so I asked about the pricing. So I think broadly speaking, chemicals are down. So when ammonium nitrate has been fallen by quite a bit sequentially for the past few months like month-on-month. But if you look at it, let's say, company average for -- I mean, the yearly average for, say, 2018, 2019, I think we are still above that number, right?

Shalinee Mandhana: So, as we've always spoken the prices have come down heavily, but very difficult to predict now because as per the current trend, the prices of nitrogen has started moving up in the international market. And the same is for our estimation -- earlier estimation.

Moderator: The next question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: I have 2 questions. The first one is more of a book-keeping question. If you can let us know the ammonium nitrate price or cost that you booked in the end of Q1 FY '24 and Q4 FY '23? And how do you see it evolving in the quarter?

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Shalinee Mandhana: Amit, as regards the pricing of ammonium nitrate, so we take the RCF prices as the base price. Okay, RCF as base price. And currently, if we see on a year-on-year basis, the RCF prices have come down by 35%. And on some periods, Q4, it has come down by 13%.

Amit Dixit: So would it be fair to assume that the full impact of the decline in RCF prices have been taken this quarter and therefore, the corresponding decline in realization has also done that in this quarter? Or there is some element left for the subsequent quarters?

Shalinee Mandhana: Yes. To a great extent, it has been captured.

Amit Dixit: Okay. That's comforting. The second question is essentially on defense side. So now if we look at the government focus, it is increasing in missiles, ATGMs, Helena, Johanska, LRFD, and Saron, have been undergoing user trials and ready for market production. The question is that are we supplying or developing propellant, strong explosives for some of these platforms? And also, if you could elaborate on the status of Mahashivastra 1 and 2 that would be helpful?

Manish Nuwal: So like we have been sharing over the past couple of years, that we develop many of the products in association with DRDO

and some of the products we are developing on our own also. So as far as the variety of opportunities are concerned, we are pretty well aware that there are opportunities in the field of APGM variety of rockets. So we are working on those things. And the products which we are developing on our own, we have already offered the product specifications. Once there is any confirmation from the user side, we will extend the development part. But as of now, yes, there are good opportunities for a company like us to work on a variety of products for these programs.

Amit Dixit: Sir, if I look at your defense order book, I mean, in this quarter, the last quarter and the revenue that we have booked for the implied order inflow is INR150 crores in this quarter. Now is it the regular stuff or if there is something else, if you can just elaborate a bit on that.

Manish Nuwal: Yes, it's a mix of both. We are receiving some regular orders also and some of the orders are development in nature. So it's a combination of regular plus development progress. And that is the result by -- even after supplying INR155 crores, the order book is still standing at INR1,054 crores from defense sector.

Amit Dixit: Okay. Sir, last follow-up, sir, if I may. If I look at your defense revenue, that is quite impressive. The growth is very impressive. And knowing that different orders typically get executed by third and fourth quarter. So is there any upside risk to your guidance of INR800 crores of revenue that you -- in defense that you gave last -- I mean, last quarter?

Manish Nuwal: Your point is quite valid, that if you look at our annual guidance of INR700 crores, so we should make a run rate of around INR175 crores in every quarter. In this quarter, we have done INR155 crores and from Q3 onwards, we are expecting a surge in our revenue from defense. And that will help us to achieve the annual guidance of INR700 crores. But it can also cross. But sometimes it happens that there are variety of regulations, a variety of supply chain-related issues keeps coming. So as of now, we are comfortable in maintaining the annual guidance of INR700 crores.

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Moderator: The next question is from the line of Dhananjai Bagrodia from ASK Managers.

Dhananjai Bagrodia: Congratulations with your result. So I wanted to understand, there has been a reduction in order book year-on-year. Is it because of reduction in raw material prices, hence realization is lower, that's why the order book is lower year-on-year?

Manish Nuwal: The current order book, which is as of now is around -- just a minute, INR2,678 crores. And out of that INR1,054 crores is from defense. So yes, your point is right that order book has reduced.

The reason is that the Coal India orders are likely to be completed by the month of October this year and we are expecting the new RFPs to come in the month of September. So once we receive the new order, this order book will jump a lot.

Dhananjai Bagrodia: And sir, what would be the year-on-year, INR1,054 crores in this Q1 of FY '24 would be equivalent of how much would have been in Q1 of FY '23?

Manish Nuwal: I didn't get your point. Please repeat again.

Dhananjai Bagrodia: What would defense order book has been in Q1 FY '23?

Manish Nuwal: Yes, that is what I said. Last year, I don't have the figure at this moment. You can connect us later. We will give you the detail.

Dhananjai Bagrodia: And sir, what was the reason for Initiating Systems growth to be so high?

Manish Nuwal: There is no specific reason for that. We have added capacities in the last couple of years. So that capacity addition is helping us to increase the sales for initiating systems.

Dhananjai Bagrodia: Sure. And then lastly, gross margin increase has been substantial. Would this be fair to [inaudible] way going ahead?

Manish Nuwal: Yes, we

are quite confident of maintaining these kind of margins going forward.

Moderator: We take the next question from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Congratulations on a strong set of numbers given the challenging environment, which we are facing. Sir, just a couple of clarifications. So first, you just mentioned that Initiating System, though, we have seen a solid growth, but it is only led by the capacities, which we have added and no one-off in that segment?

Shalinee Mandhana: Yes.

Rohan Gupta: Okay. So this is basically the Initiating System, which I believe will be capturing the growth in domestic as well as in exports market or it's only I mean, from the domestic market or is the reported there?

Shalinee Mandhana: It's overall domestic as well as exports.

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Rohan Gupta: Okay. So shall we -- is it fair to assume that in the global market, we have now especially in the markets like Ghana, Australia and all, we have been fairly there from a stable time. And now even the Initiating System and value-added product basket is doing well there and that is going to drive the growth. I was just slightly curious about the growth from the Initiating Systems and other value-added part going forward. I mean, in next 2 to 3 years, what kind of growth drivers will be there?

Manish Nuwal: So like we have been mentioning in the past that we are adding a lot of capacities for these products and as a result of which you are seeing this growth. And your point is also correct that as we are expanding our global footprint, the sales of these products are going up. Apart from this, these products like Initiating System is part of our regular explosive business. So there is no as such big differentiation while giving any guidance. So our guidance is of an annual EBITDA margin of around 20% to 20% has been given, and we are confident of that. And those margins are issued only after capturing all these opportunities on which we have been working and we are sharing these things over last couple of quarters.

Rohan Gupta: Fair enough, sir. Sir, second thing on our forex losses in the current quarter, which we have booked. So do you see that there is any further markdown expected in a Q2? Or is the -- already fair provision has already been made on these 2 markets?

Manish Nuwal: No, we don't see any significant jump on that side. We have fairly provided on these accounts. So we have already done that. This is what I have said on the first question from Mr. Bharat Shah.

Rohan Gupta: Okay. Sir, on international markets, you have mentioned that definitely you want to go from 8 to 12 now. So definitely, that ambition has been -- our ambition has been almost in a year or 2, adding 1 or 2 new markets. That I think is broadly in line that you have plans to add another 4 markets globally. But what I wanted to understand that from our existing markets, over next 2 to 3 years, especially some of the big large markets like South Africa, Australia and all which are pretty large markets in themselves as far as the mining is concerned.

Do we see or do we target significant expansion and growth in those markets, those territories because now we have been in those markets and explored in the last 3 to 4 years. So probably the growth from these large markets can be significant? Or we just want to continuously focus on getting into new territories and keep on exploring the opportunities in new markets?

Manish Nuwal: So our expansion in the territories where we are already present, we will see a gradual expansion in those things. And -- but our gradual means in next 3 years, yes at the end of 3 years, we will see a significant growth. So it's -- I can answer in both terms, the growth will be gradual in all the new territories. But if we club all the territories, then it will be a significant growth.

Ro

han Gupta: Okay. So idea actually still will be keep on exploring the new markets and also getting into new territories and to drive our international ambition, right?

Manish Nuwal: Yes, yes. As far as international expansion or international business is concerned, we are working very hard to increase the sales from the existing territories. Apart from them, we are exploring the new territories also. And this is in line with our overall strategy to expand footprint
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globally, which includes India also. And in India also, like we have said that last year, we have acquired the process is almost completed of Rajasthan Explosives. And we have almost completed the land acquisition program for the 2 new plants. So these are in line with our strategy to expand our footprint to serve our customers in a better way than what we can do at this stage.

Rohan Gupta: And sir, just last, if I'm allowed. On the defense part of the business, does it also include any export revenues, which we have done in the current quarter?

Manish Nuwal: Yes, the current revenue of INR155 crores includes exports of defense products also.

Rohan Gupta: Sir, can you give that number? How much is the exports in the current quarter in defense?

Manish Nuwal: We can't give that.

Rohan Gupta: Okay. Sir, in defense business in exports, are we expecting a significant pickup or opportunities or any large size order we can expect or we are looking something very closely in near term, sir?

Manish Nuwal: So we have already started receiving orders from export market for the defense section. And as a result of that, the current order book is around INR1,054 crores. And our annual guidance is around INR700-plus crores is based on capturing all the opportunities and orders we have from India and outside India as well.

Moderator: We take the next question from the line of Abhishek Ghosh from DSP Mutual Funds.

Abhishek Ghosh : Sir, just in terms of the domestic capacity expansion that you spoke about, by when will those come in? And will they get commenced in phases?

Shalinee Mandhana: Yes. We keep on adding on average gradual expansion -- so once those are there so the number s this like 43% rise in Initiating System as a result and then explosive volumes are also growing.

So it's a gradual expansion, which is growing.

Abhishek Ghosh: So I was more referring to the 2 new locations that you'll be expanding capacity on. I was more referring to those expansions.

Shalinee Mandhana: So around 2 years.

Abhishek Ghosh: Okay. Okay. And the other thing is we have seen very strong growth when we look through the annual report, you have seen very strong growth as far as the Nigeria and Turkey operations are concerned in the FY '23. So if you can just help us understand, is it led by market share gains? Or the underlying demand has been strong and how do you expect the prospects from these 2 operations?

Manish Nuwal: Last year, we have seen a very strong growth in Nigeria and Turkish market, but in this quarter, we have seen that there is a negative impact due to currency fluctuations and a lot of -- due to political reasons, they have election in Turkey and Nigeria, both and in Turkey we have seen that there was an earthquake. It was not near to our plant or operations, but definitely, it impacts

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the overall demand in the market. But as we grow our -- as we move forward, we think that all these will stabilize. And from Q3 onwards, we will see improvement in business.

Abhishek Ghosh: Okay. So overseas operations to that extent, 1Q has seen a little bit of softness because of these 2 geographies having specific issues?

Manish Nuwal: That is what we have observed in the Q1 also.

Abhishek Ghosh : Okay. Okay. Sir, other thing is also, you had mentioned about South Afr

ica, Australia taking

even. So that we are confident in terms of FY '24 that they will turn positive as far as their profitability is concerned in FY '24?

Manish Nuwal: Yes, yes. We are quite confident of achieving these numbers of 21 in this FY24 .

Abhishek Ghosh: Great. And sir, just one last thing. In terms of housing and infra, which has been kind of weak - partly last year, execution was weak. This year, you had unseasonal rains. But overall, from the second half perspective, one is seeing a good amount of traction, I'm saying in terms of demand momentum. That is something that should drive the overall volume growth is something that you still see? Or is there a change in the kind of thought process there?

Manish Nuwal: As far as these factors of last year, we have seen huge price rise of steel and cement, which has impacted some of the infrastructure work in the market. Apart from that, like we have said, in the first quarter, there were some unseasonal rains. So these are the factors, which we cannot control or it is not in the control of anybody. But if you look at the ground reality, there is a strong momentum. And I think once the rains are over, we will see a very good demand from this sector.

Moderator: The next question is from the line of Meet Rachchh from Anubhuti Advisors.

Meet Rachchh: First question, sir, my would be on the capex , I think, plans, what we have, I think, drawn for FY '24. So versus INR750 crores of capex , we have done some INR118 crores in 1Q, so will this be more aggressive in the later part of the year or currently the capex plans have been on an aggressive note?

Manish Nuwal: Yes. Because our -- normally in the Q1, we start the work and in Q2 normally because of rains, there is some dullness in completing the projects. But in Q3, Q4, we will see the improvement in project executions.

Meet Rachchh: Understood. Understood, sir. And sir, this would also include the capex plans that we will be doing at the Rajasthan Explosives, the INR750 crores part?

Manish Nuwal: Yes, it is also part of that.

Meet Rachchh: Understood. Understood. So I think broadly, this would be all funded from the EBITDA only because I think debt levels, I believe, the n would further go down by the end of this fiscal year.

That would be correct understanding?

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Manish Nuwal: Yes. Like we have said that the current debt level as of 30th June, the current net debt is around INR697 crores. And we are expecting that the cash generation from the operations will be good enough or more than enough to manage all these capex programs.

Meet Rachchh: Because working capital has also seen sharp improvement during this quarter?

Manish Nuwal: Yes. The working capital improvement is mainly because in the last year, we were buying ammonium nitrate from international market on advanced payments. And now those things have stabilized. So now those materials are available on net gross credit terms. So that has helped us. Second, the prices of ammonium nitrate has also went down significantly. That has burden on our working capital, which we have seen in the last year. So these factors are helping us to reduce the net debt level.

Meet Rachchh: Understood. Understood. And sir, just on this raw material prices. So we have the prices similar to what they were in 1Q currently? Or have they further gone down?

Manish Nuwal: Yes, prices are like in the Q1, we have shared the prices of RCF, which has already reduced. And we also expect that in the Q2, there can be further minor correction, not a big correction. And after Q2 onwards, say, Q3 and Q4, we will see a strong improvement in the prices of our core raw material. We have seen that in the international market, the prices has turned up. The nitrogen prices like urea and ammonium nitrate are going up. So those things are in line with our earlier expectation that in the second half, we should see the price improvement in ammonium nitrate.

Moderator: Maybe we request you to join the question queue sir, we have several participants waiting for their turn. We'll take the next question from the line of Farokh Pandole from Avestha Fund Management.

Farokh Pandole: Yes. My first question was relating to the 8 foreign markets that we serve. Just wanted to know on an annual basis, how many of them have crossed breakeven? And for those that have not, what is the sort of time line or like part that we see? And in terms of -- yes, so that was the first question.

Manish Nuwal: The margin side, like we are saying that our margins were not good or we were not reached to the EBITDA level, especially in South Africa, which is one of the major investment. And in this financial year, we are expecting that we should reach to the breakeven. Apart from this, there is no major country where we have not reached to the comfortable level.

Farokh Pandole: Great. That's good to hear. Also, second question relates to a number of media reports over the last couple of months, suggesting that there was some level of discomfort in the promoter family. And I was just wondering if there was any clarity or any sort of clarification of any kind that you could comment on at this point?

Manish Nuwal: Yes, like I said, we do not wish to comment on any such media reports.

Moderator: The next question from the line of Bharat Shah from ASK Investment Managers.
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Bharat Shah: Manish, if you take 3 years -- 3 to 5 years view of the picture ahead because some of your businesses are relatively for shorter term and some others are more medium and some others like defense have to be evolved over the longer term. So if you take a 3 - to 5-year view of the overall business is -- overall business. So institutional, housing infra, our exports market and defense, how -- what kind of a growth rate that you would believe is likely? In other words, which of the businesses, which are the segments out of the 4, do you expect to do higher over a 3- to 5-year time frame? And second, third and fourth, what kind of highlight would you put in terms of growth rate of the businesses?

Manish Nuwal: So if we discuss on the section wise -- like sector -wise, so we are expecting that defense should be more than the average trajectory of 15%, 20% and similarly, we are also expecting that businesses from Coal India or Institutional Sector should also be above the normal average. And international market also should do above average. As far as housing infrastructure sector like the demand from Indian market is increasing by around 7%, 8%, so metimes 9%. So we see that the market has already reached to a mature stage. And we don't see that it should improve or increase by 15%, 17% every year. But by and large, we are expecting 15% to 17% volume growth if we consider business as a whole. And there is always chances of price increase of around 4%, 5% every year. So if we club together on a horizon of 3 to 5 years, we expect around 20% of growth every year.

And as far as margins are concerned, those margins should also be in a very comfortable level of around 22% and 20%. And since in any business, there are plenty of challenges, which keep coming. So that can also impact us. But on a positive side now, defense is doing much better than what we have seen in last 4, 5 years. So that should help us to absorb all these kind of challenges. And as a whole, like we have said 20%, 22% achievement should not be a problem for us.

Moderator: Mr. Shah, may we request you to join the question queue, sir. We'll take the next question from the line of Jaspreet Arora from Equentis BMS.

Jaspreet Arora: Manish, thanks so much for maintaining those disclosure standards being very high and for putting that

t list of settlement document on the exchange. Just a clarity there. So what it means is between you and your father, we have 60% of all the properties and company shares and the other party has 40%. Could you clarify?

Manish Nuwal: Yes, it is exactly like that.

Jaspreet Arora: Okay. Second, in the AGM, sir, the -- some resolutions were not being able to pass. There were some related to increasing the borrowing limit and a couple of others. How much of this would impact our business and how to look at such things from a company's growth perspective as a hindrance, if at all?

Manish Nuwal: Yes. These are resolutions if it would have passed, so definitely would have helped us. But since those have not been passed, but there are challenges. The first is as far as continuation of independent director, who has completed the first term. So definitely, we will bring the new independent director replacing the existing one. It should not impact the business as a whole.

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Second, as far as debt levels are concerned, we have requested for increasing the limit in our parent company, which is Solar Industries India Limited. And looking at coming orders and coming inflows from our businesses, we should be able to maintain the current situation. And apart from this, the company is also applying to the government bodies to relax on these norms, which is not in the interest of any businesses.

So we are pretty confident that this regulation has been made considering certain kind of simulation or scenarios. And as things change or as scenarios change, they also come out with the relaxation in the norms. This is what we have seen in the past also. But on a totality, it should not impact our company's growth plans. We will be able to manage these challenges.

Jaspreet Arora: So the alteration in the articles of association, was there anything meaningful there? Or was that only something minor, which was also something not passed?

Manish Nuwal: Yes, it is not passed, but we have applied to the government that because of these regulations [inaudible] resolution. But because of this factor, if you are not able to pass a resolution, so they should issue relaxation, right? And we are -- as a management, we are quite confident to get relaxation on these terms.

Jaspreet Arora: Okay, great. And just quickly, lastly on this. So the matter is again so-called subjudice or there is whatever discussions going on, and there is no progress there, still a deadlock. Is that how to look at it between the 2 parties?

Manish Nuwal: Yes. As of now, the matter is subjudice and we have shared all the relevant information to all our stakeholders. So we maintain the stand on that side.

Jaspreet Arora: Okay. It just gives both the parties, the first right of refusal is what the doc says, whoever is trying to sell. So -- but there is no price attached to that, right? So how should one look at that?

Is there some way the price is also mentioned in the document, the detailed one? How would one arrive at the price?

Manish Nuwal: So we will have to follow the document, which we have executed between the promoters and that document has also been shared with all the stakeholders. And as far as the understanding is concerned, there is a price mechanism mentioned in that and we have to abide by that.

Jaspreet Arora: So there is a price formula given in the detailed document, which has been executed and that will be followed, right, once either of the parties decide to go ahead with it?

Manish Nuwal: Absolutely.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.

Aanchal Kewlani: Yes, thank you so much. We deeply appreciate the presence of all our investors over here, and we'll be probably visiting in the next quarter. Thank you

so much.

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Moderator: Thank you. On behalf of PhillipCapital India Private Limited, that concludes the conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

November 3, 2023

To, To,
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra Kurla Complex Floor no. 25, PJ Towers
Bandra (E) Dalal Street
Mumbai -400 051 Mumbai – 400 001
Trading Symbol: “SOLARINDS EQ” Scrip Code: 532725
Through NEAPS Through BSE Listing Center

Subject: Transcription of Conference Call with reference to the Unaudited Financial Results for the quarter and half year ended on September 30, 2023 with the management of the Company.

Dear Sir/Madam,

Further to our letter dated October 26, 2023 we are forwarding herewith a copy of Transcription of Conference call hosted by Nirmal Bang Institutional Equities on Friday, November 3, 2023 at 11:00 a.m. to discuss the Unaudited Financial Results of the Company for the quarter and half year ended on September 30, 2023 with the management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari
Company Secretary &
Compliance Officer

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“Solar Industries India Limited
Q2 FY2024 Earnings Conference Call”

November 03, 2023

ANALYST: M R. PRASHEEL GANDHI – NIRMAL BANG
INSTITUTIONAL EQUITIES

MANAGEMENT : M R. MANISH NUWAL – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER – SOLAR INDUSTRIES
INDIA LIMITED
MR. SURESH MENON – EXECUTIVE DIRECTOR –
SOLAR INDUSTRIES INDIA LIMITED
MR. MILIND DESHMUKH – EXECUTIVE DIRECTOR
– SOLAR INDUSTRIES INDIA LIMITED
MR. MONEESH AGARWAL – JOINT CHIEF
FINANCIAL OFFICER – SOLAR INDUSTRIES INDIA
LIMITED
MS. SHALINEE MANDHANA – JOINT CHIEF
FINANCIAL OFFICER – SOLAR INDUSTRIES INDIA

LIMITED
MS. AANCHAL – INVESTOR RELATIONS – SOLAR
INDUSTRIES INDIA LIMITED
Solar Industries India Limited
November 03, 2023

Page 2 of 2 Moderator: Ladies and gentlemen, good day and welcome to Solar Industries India Limited's Q2 FY2024 Earnings Conference Call hosted by Nirmal Bang Institutional Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Prasheel Gandhi from Nirmal Bang. Thank you and over to you Sir! Prasheel Gandhi: Thank you Nirav and good morning to all the participants. Nirmal Bang Institutional Equities welcomes you all to 2Q FY2024 earnings conference call for Solar Industries India Limited. On the onset of the call I would like to thank the management of Solar Industries India Limited for giving us an opportunity to host the call. From the management team, we have Mr. Manish Nuwal, Managing Director & Chief Executive Officer, Mr. Suresh Menon, Executive Director, Mr. Milind Deshmukh, Executive Director, Mr. Moneesh Agarwal, Joint CFO and Ms. Shaline Mandhana, Joint CFO. Before we begin the call I would like to remind that there will be a hard stop at 10:45 due to time constraints. I now hand over the call to management for opening remarks post which we can take questions from participants. Thank you and over to you Sir!

Aanchal: A very good morning dear stakeholders and well wishers. My name is Aanchal and I would like to welcome you all to the Q2 and half yearly conference of Solar Industries India Limited. Before beginning I would like to wish my stakeholders a very Happy Diwali in advance. To be honest every shareholder of Solar is already celebrating Diwali and enjoying the explosion happening in our shares. I hope this Diwali of SIL keeps filling our stakeholders like this. To begin with I would like to remind you that during this call we might make projections or other forward-looking statements regarding future events

and

about the future financial performance of the company. Please remember that such statements are only predictions, actual events or results may differ materially and our website will be updated with all relevant information kindly. Now I would request Solar CEO & MD Mr. Manish Nuwal for his opening remarks. Over to you Sir!

Manish Nuwal: A very good morning to everyone. The revenue for the quarter stands at Rs.1347 and for the half year it stands at Rs.3030 Crores. In this quarter we have achieved an all time high EBITDA and PBT margin at 25.52% and 21.12% respectively mainly on account of fall in commodity prices and stable currency movement in the quarter. Overall we have recorded significant improvements in margins both sequentially and year-on-year basis aided by continuous efforts and operational efficiencies. The company has received orders worth Rs.1800 Crores plus from its prestigious customer Coal India Limited with a strong order

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Page 3 of 3 book of Rs.3912 Crores we are expecting a higher volume growth of around 20% in the FY2024 as against 13% achieved in the first half of this financial year. Given the government's focus on infrastructure growth and the consequent rising demand for urban housing, housing and infrastructure sector is poised for strong growth. The final trials for Pinaka are completed successfully. RFPs have been floated and we are expecting to receive the orders very soon. These orders will be one of the biggest milestones for our company. Looking at the geopolitical situations and healthy order book of Rs.1050 Crores we believe the defence revenue should go up substantially now onwards. In our international businesses though we have been supported by moderate raw material prices but geopolitical tensions, higher interest rates and hyperinflation resulting into foreign exchange volatility are causing challenges for us in the near term. Substantial progress has been made in increasing global footprints, increasing the product portfolio for defence sector and increasing domestic presence through acquisitions and initiation of Greenfield projects. Now with expected increased volumes from mining, housing infrastructure and defence in the coming quarters, we are expecting EBITDA margin to increase further from the earlier guided EBITDA margins of 20% to 22%. With this I would like to thank you everyone and wish you a Happy Deepavali in advance. Now I hand it over to Aanchal to take it forward. Thank you.

Aanchal: Thank you so much Sir. Coming to the quarter results, we have shared the investor presentation carrying all the necessary information for your perusal on the website and the exchanges still giving you little key highlights. Key highlights for Q2 and half year are:

This time we will be consolidating the quarter and half yearly results to make it faster. The consolidated revenue for the quarter is Rs.1347 Crores against Rs.1567 Crores and for half year it is Rs.3030 Crores against Rs.3182 Crores. Our explosive volume for the quarter and half year is increased by 13%. Initiating systems revenue increased by 6% in the quarter and 24% in the half year. The percentage of the sectors in the customer basket are as follows: CIL is up in the basket to 14% from 13%, non-CIL & institutional is at 15% from 17%, HNI is intact at 15% in the basket, exports & overseas is intact at 47% and defence has increased at 8% from 7% in the basket. In the half year the basket is more or less remains the same except for the defence which is majorly increased by 3% that is from 6% to 9% in the current basket and in absolute terms the same has increased by 49% year-on-year. Coming to the cost, raw material consumption for the quarter stands at Rs.653 Crores against Rs.933 Crores and half year stand at Rs.1615 Crores against Rs.2000 Crores. Employee cost for the quarter stands at Rs.103 Crores ag

ainst Rs.87 Crores and half year stands at Rs.203 Crores. Other expenses for the quarter stands at Rs.255 Crores against Rs.248 Crores. We reported an EBITDA of Rs.344 Crores against Rs.303 Crores showing a massive rise in the margin from 19.36% to 25.52% in the seasonally weak quarter. We
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Page 4 of 4 reported half yearly EBITDA of Rs.675 Crores against Rs.595 Crores with a margin of 22.29% against 18.69%. Interest and finance cost stands at Rs.25 Crores against Rs.19 Crores and for half year stands at Rs.50 Crores against Rs.34 Crores. Depreciation cost stands at Rs.34 Crores against Rs.30 Crores and half yearly stands at Rs.68 Crores against Rs.61 Crores. PBT stands at Rs.285 Crores against Rs.254 Crores with a massive increase in PBT margins that is 21.12% against 16.18% and for half year it stands at Rs.557 Crores against Rs.500 Crores with a massive rise in margins at 18.38% against 15.72%. PAT stands at Rs.209 Crores against Rs.189 Crores with margins standing at 15.51% against 12.04% and for half year stands at Rs.411 Crores against Rs.371 Crores with a margin of 13.55% against 11.67%. These are the updates for the quarter and half year. Now we would hand over to the Nirmal Bang and the Chorus conference call for the questions ahead. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Sumit Jain from ASK Investment Managers Limited. Please go ahead Sir.

Sumit Jain: Manish congratulations on great margin performance. What I am keen to know is while we are talking of a 20% volume growth just wanted to understand this 20% volume growth is for the explosives business in India or for company as a whole?

Manish Nuwal: The volume guidance is for the Indian market which is 20% growth for this financial year. As far as international markets are concerned we are expecting a volume growth of 15% but going forward we also are looking at increasing the volumes in the tune of 20%.

Sumit Jain: So you are saying 20% for business as a whole next year in terms of volumes, 20% for India business this year and 15% for international business this year that is the guidance?

Manish Nuwal: Yes.

Sumit Jain: This 20% in India includes initiating systems as well?

Manish Nuwal: Yes 20% for both.

Sumit Jain: So how much would have been the volume growth this year including initiating systems?

Manish Nuwal: It is in the same range around 10% to 13%.

Sumit Jain: Thank you Sir. I will come back in the queue if I have any more questions.

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Page 5 of 5 Moderator : Thank you. The next question is from the line of Dhananjai Bagrodia from ASK Investment Managers Limited. Please go ahead.

Dhananjai Bagrodia: Congratulations Sir on a very good set of numbers. Would we assume the EBITDA will be stabilized with realization now stabilizing should we look at that?

Manish Nuwal: We expect that there has to be some stabilization in realizations but we cannot say with 100% guarantee that it will be remaining like that because commodity prices are keep fluctuating and we are expecting that prices should bottom out in this quarter. Now onwards prices can go up but there is no surety on that front. That is why we believe that the volume guidance which we have given that we are expecting a 20% volume growth and EBITDA margins are going up so that should suffice our overall purpose for which company is working.

Dhananjai Bagrodia: Sir in terms of markets we have obviously received a very large order from Coal India how are we seeing that execution with that full order which you have got this quarter have come

in the last order book or is there still some left?

Manish Nuwal: No, the Coal India orders which we have received

has started already from the month of

October and we are expecting that it will impact our overall volume growth now onwards.

Dhananjai Bagrodia: So the full order will be in the order book right?

Manish Nuwal: Yes and this order book is for the two years.

Dhananjai Bagrodia: Sir lastly what would the capex for this year?

Manish Nuwal: Our capex this year we have earmarked that we will be doing around Rs.700 Crores, but as of now we have already done around Rs.230 Crores to Rs.240 Crores and we are expecting that capex will go up now onwards and we are expecting that we should be doing around Rs.650 Crores to Rs.700 Crores in this financial year.

Dhananjai Bagrodia: Sure thank you.

Moderator : Thank you. The next question is from the line of Noel Vaz from Union Asset Management Co. Limited. Please go ahead.

Noel Vaz: Thank you for the opportunity. My question was regarding the press release there was a statement regarding overseas segment and there was a statement towards some kind of volatility and FX related issues so I just wanted to get some idea about are we seeing some Solar Industries India Limited
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Page 6 of 6 problems in specific geographies or do we expect the second half for the overseas segment to be relatively subdued compared to first half so I just wanted to get an idea about that?

Thank you.

Shalinee Mandhana: Firstly we have been seeing hyperinflation is there, continuous hyperinflation is around Rs.31 Crores. It has been taken in other expenses on account of hyperinflation so around 2% has been hit on the margins with regards to EBITDA and also forex volatility continues because we have been operating in so many geographies and looking at the current geopolitical tensions so currently for the short term the volatility continues but how the same will face out it is very difficult to speak at that moment.

Noel Vaz: Just to clarify we are not expecting to see any kind of slowdown in terms of volumetric?

Shalinee Mandhana: No, nothing in that perspective. Yes just sharing the challenges which have been going on.

Noel Vaz: Fine. Thank you. I just wanted to get some clarity on that. Thank you. That is all from my side.

Moderator : Thank you. The next question is from the line of Amit Dixit from ICICI Securities Limited. Please go ahead.

Amit Dixit: Good morning everyone and thanks for taking my question. First of all congratulations for a splendid set of numbers. I have two questions the first one is going back to again volume growth guidance it is very reassuring that you have guided for 20% volume growth; however, that implies that in H2 volume growth should be around 27% to make 20% growth essentially, so I just wanted to understand the key drivers for the growth with what all sectors you expect the growth to come from?

Manish Nuwal: Yes for this year we have revised our volume growth guidance from 15% to 20% that is for the whole year and positivity for issuing such statement is that we have received a big order from Coal India and if you look at the coal mining growth it is going at a very fast pace and they are increasing overburden removal in much larger quantities so that is the key reason and another reason is that the thing which we were saying from last couple of quarters that because of the high commodity prices definitely our finished goods prices were also high and now since prices are bottoming out or at a much reasonable and sustainable level so demand for these products has to go up and if you look at infrastructure side also after the monsoon is over second half is always better than the first half so based on these positive factors we believe that we should be able to achieve 20% volume growth in this financial year.

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Page 7 of 7 Amit Dixit: Wonderful Sir. The second question is essentially on defence so you have very specifically state

d Pinaka order in the press release, now just wanted to get a sense on when we can expect this order while I know the timelines are not in anyone's control but when do you expect that you will get this order and what would be the execution timeline, also in terms of defence if you could just highlight some of the key developments that the company is engaged in currently that would be great Sir?

Manish Nuwal: Yes so like we have said that the trials which we were expecting to conclude in the last quarter are already been done and products are successfully being tried out at the various areas for qualification programs, so now with these RFPs has also been floated and in one of

the RFPs we have already participated, in another RFP we are going to participate in the month of November, so looking at these kind of developments we expect that order should start flowing from the month of December or January 2024. December 2023 or January 2024 so these are estimation. Definitely like you said that in defence things can go here or there by three to four months is not a big deviation but we fairly estimate that we should receive these orders in next three to six months time and that should help us to start producing the products and supply from the next financial year and if you look at the kind of development which we have been doing from last couple of years especially in last 12 years we have not only set up the most integrated facility of ammunition which is one of its kind in the world and after setting up those facilities now we have developed plenty of products which can go for variety of usages for our armed forces. Now with these geopolitical tensions which we all are aware of which started almost one-and-a-half years back and now it has increased in the Middle East also. Based on these factors we are expecting that the kind of capabilities which our company has created will be utilized in much better way in coming years. Based on these kind of developments we believe that the sales of products for this sector should go up from the next quarter.

Amit Dixit: So in the beginning of the year you gave guidance that defence revenue could be Rs.800 Crores so any chance that we would exceed this guidance this year?

Manish Nuwal: We have given the guidance that we should cross Rs.700 Crores and we maintain that we should be doing around Rs.700 Crores in this financial year because there were some delays in execution side in this quarter so which will definitely shifted some of the revenue to the next quarter so that kind of shifting can continue and as a result we are still expecting that we should fairly do around Rs.700 Crores in this financial year but the major jump will start from Q4 of this financial year or Q1 of the next financial year.

Amit Dixit: Got it Sir. Thank you so much and all the best.

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Page 8 of 8 Moderator : Thank you. The next question is from the line of Dipen Vakil from InCred Equities. Please go ahead.

Dipen Vakil: Thank you for taking my question Sir. Sir my first question is on our realization. You mentioned that the raw material prices have gone down and similarly the rates have also gone down to almost 14% so can you help us with how much are the raw material prices gone down and what can be expected in say at least one quarter going ahead with respect to the commodity prices?

Shalinee Mandhana: Firstly year-on-year basis the ammonium nitrite prices have gone down by around 50% and with respect to that our realizations are down by 29% so currently we see the raw material prices are stable at this level; however, it is very difficult as ManishJi had spoken earlier to speak on the volatility because we see that from the current quarter onwards the prices may start going up so difficult to predict where the same will be.

Dipen Vakil: But has it remained at similar levels in October and November?

Shalinee Mandhana: Yes and since the falling raw material prices is also very good for our industry as well as for the infrastructure sector.

Dipen Vakil: That was helpful. Thank you.

Moderator : Thank you. The next question is from the line of Amit Vijay Saoji from A1 Investments Limited. Please go ahead.

Amit Vijay Saoji: Happy Diwali ManishJi and full team of Solar. Sir my question is we have order book of Rs.3912 Crores and approximate defence order is Rs.1050 Crores as of now what will be the order book approximate in next year?

Shalinee Mandhana: So current order book which we have for Rs.1050 Crores it has to be executed over a period of one-and-a-half years and currently as we spoke that we are expecting Pinaka orders in the next two quarters so obviously when the order comes we will update on the order book.

Amit Vijay Saoji: Any percentage terms of guidance?

Shalinee Mandhana: It is very difficult at this stage to give that.

Amit Vijay Saoji: This Rs.1050 Crores order book consists of hand grenade and again other material?

Shalinee Mandhana: The basket of products, various rockets and even Armenia export order also is there.

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Page 9 of 9 Amit Vijay Saoji: Thank you.

Moderator : Thank you. The next question is from the line of Rohan Gupta from Nuvama Wealth Management. Please go ahead.

Rohan Gupta: ManishJi good morning and congratulations on a strong set of numbers. Sir couple of questions so first is on our defence business outlook though you mentioned roughly Rs.700 Crores is likely to be maintained we have seen that there has still been a quarterly volatility in difference if you understand the nature, if you can give some sense with changing

geopolitical tension and you rightly mentioned that the world market was already seeing Russia-Ukraine and now increasing tension between Hamas and Israel, so how the defence business in this scenario is likely to change for us more importantly in terms of exports and if you can give some sense over next couple of years though initially you mentioned roughly the defence business should go up to roughly Rs.1500 Crores to Rs.2000 Crores over next two years to three years how do you see that the scenario changing if you can give some thought process if you can share on that Sir?

Manish Nuwal: Yes like I have already shared that in last couple of years we have seen geopolitical tensions are going up and with recent kind of conflicts in Middle East is definitely creating an environment where demand for products which we are making should go up and that should help us and another positive factor is that we have created lot of facilities to handle variety of products for different, different requirements or different applications so looking at these kind of scenarios we expect that orders from exports or orders from overseas customers for defence should also go up substantially. One of the orders we have already shared in the last year that we have received orders for Pinaka rockets from outside India and we believe that such kind of orders for other products will also keep coming so that is what we can share as of now and the current order book stands at Rs.1080 Crores and with Pinaka it comes up in next three to four months or five months time that we lift the overall order book from different sectors substantially and based on that we can give a guidance for the next year or maybe 2025 or 2026, so let us wait for some couple of months to receive orders for Pinaka and other products which we have been developing and showcasing to our valued investors, so let us wait for some more time till we have received some concrete orders we will definitely share with our valued shareholders.

Rohan Gupta: Sir my question was more in terms of geopolitical tensions, we are in war since last two years slow war and it has just only escalated, there is a continuous decrease in

global

inventories of arms and ammunitions and it will only accelerate, we have seen that US and Europe are almost getting out of the inventories, so with this new inventory increase or the decline in global inventories in arms and ammunitions which is happening this is going to

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Page 10 of 10 change the defence business maybe for next three to five years globally, I just wanted to know that how we are placed in this changing scenario, do you see that we have made inroads in many global markets when the next three to five years we will see that restocking will happen we are ready with the new kind of new set of instruments maybe in rocket or even in you can say that targeted drone kind of instruments which are going to see the increasing application, so I just wanted to see that how the landscape which very clearly has changed globally how we are going to benefit from that Sir I was just trying to understand from that perspective?

Manish Nuwal: What we have shared that the company has created infrastructure, the company has created capabilities and the company has developed variety of products for different applications and looking at the background of recent geopolitical environment we believe that these will open up plenty of opportunities for our company and as we received orders we definitely share with our stakeholders that is what I can comment at this stage.

Rohan Gupta: Thank you Sir. Sir just one clarification on capex front you mentioned that initial guidance was roughly for the capex of Rs.700 Crores you have spent Rs.340 Crores so you increase the capex guidance for this year or it still remains at Rs.700 Crores I missed that point?

Manish Nuwal: No, we are maintaining that the guidance of Rs.700 Crores still there and as of now whatever we have invested is around Rs.240 Crores to Rs.250 Crores and in the next two quarters we should be there around Rs.400 Crores to Rs.450 Crores.

Rohan Gupta: Fine Sir. Thank you very much.

Moderator : Thank you. The next question is from the line of Rushabh Shah from Anubhuti Advisors LLP. Please go ahead.

Rushabh Shah: Thank you for the opportunity. Sir my first question is on the margin profile so Sir you guided that margin will be now above the originally guided band of 20% to 22% so what level of margins are we now looking at?

Manish Nuwal: So we are expecting that we should cross annualized margins above 22% so it can be 23%, it can be 24% so as of now we cannot give a one figure and that is what we have been giving guidance that normal guidance was 20% to 22% for this financial year. We are revising it upwards above 22% so it can be either 23% or maybe 24%, that depends on the kind of the market situation and demand of the products.

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Page 11 of 11 Rushabh Shah: Understood and Sir just wanted to understand on the defence front so the margins on the

defence segment higher than overall company average level or they are largely in line at that 20% to 22% band?

Manish Nuwal: So we have given guidance for the business as a whole and not for individual product or individual section.

Rushabh Shah: Sir just last one update on the capex side so earlier we had guided for Rs.750 odd Crores of capex for the full year now we are still seeing around Rs.700 Crores we will be doing it for the full year and currently I think we have done somewhat around Rs.240 odd Crores so largely this will be concluded in the later part of the year and the resultant growth will be visible in FY2025 levels?

Manish Nuwal: We have given guidance of Rs.700 Crores for this year and we have spent Rs.240 Crores to Rs.250 Crores and balance amount we are expected to spend by March 2024.

Rushabh Shah: Sir any new capex announcements apart from the earlier guided number I think we were adding four new geographies so apart from that

anything we are adding new currently?

Manish Nuwal: So all the expansions which we are taking place or which is going on is part of this amount thank you.

Rushabh Shah: Thank you Sir.

Moderator : Thank you. The next question is from the line of Puneet Kabra, an Individual Investor. Please go ahead.

Puneet Kabra: Congratulations Manishji and everyone. I had just a couple of questions. First question I had was can you share any details around the business from private coal mines and what is the outlook for that in the next couple of years given that licenses were handed out in the last 18 months?

Manish Nuwal: Can you share all the questions first so that I can answer them properly.

Puneet Kabra: Yes and second was we had announced expansion in Southern India and Northern India for cartridge explosives so if there is any progress around that those are the two questions?

Manish Nuwal: So like we have said that we have a plan to expand our global footprints and increasing the presence within our country. Based on that last year we have announced that we have acquired a company Rajasthan Explosives and Chemicals that is being done to expand Solar Industries India Limited

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Page 12 of 12 footprints in the northern part of the country and we have already applied for licenses. We have acquired land and applied for licenses and we are going to start the construction of the project very soon in the Western part of India. Similarly we have almost started identified the land in Southern part of India and acquisition will start soon, so based on these kind of planning we expect that the plant in Western part of India should be over by December 2024 and in Southern part of India should be over by mid of 2025 and if you look at the private coal mines the licenses has been allotted to plenty of private coal mines and the kind of nature or the value added services which they ask for so our company is well poised to cash on on those kind of demands and we are quite bullish on demand from those sectors. Similarly like I said that demand from Coal India will also grow up significantly because the kind of investments they have done in the last three to four years for building of the infrastructure should help them to increase the coal production and OB removal and that is going to help our company significantly. Thank you.

Puneet Kabra: Thank you.

Moderator : Thank you. The next question is from the line of Pratik Mukasdar from RNL Investment Partners. Please go ahead.

Pratik Mukasdar: Manishji congratulations for a great set of numbers. In these volatile times you and your team have handled everything quite well. It is visible from our margin expansion. I have couple of questions so like we stated about Pinaka Rockets we were also into development of some drone-related technology can you throw some highlight on that that product how much it is developed now, my second question is as you have been mentioning in the past three concalls also that mining sector is growing very well so on your interactions with your customers both Coal India and non-Coal India what is the sentiment that you are getting about the longevity of the growth in mining sector? These were my questions.

Manish Nuwal: So like we have said that we have started developing products based on unarmed vehicle and we have successfully developed those products and based on that we have received an order of supplying some quantity of numbers for army and we are going to start deliveries in couple of months so we are also developing plenty of UAV-based advanced solution for armed forces so that is an ongoing process and we keep investing in building those capabilities so that is going to help our company in the coming years significantly and apart from this another question which you have asked on coal production so like if you see the coal production run rate it is going around 9% to 10% and the OB

renewal is growing at around 17% as far as Coal India is concerned so that is helping us to supply more quantities to Coal India and if you look at the order size which we have received couple of weeks back

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Page 13 of 13 so that is a significant order which we have received of that magnitude for the first time and we were quite bullish on enhancing our presence within Coal India also. Thank you.

Pratik Mukasdar: Thank you.

Moderator : Thank you. The next question is from the line of Manish Mahawar from Antique Stock Broking Limited. Please go ahead.

Manish Mahawar: Good morning Manish. Manish just regarding the Pinaka what could be our opportunity size or potential size of order or maybe requirement can come?

Manish Nuwal: Any other question Manish?

Manish Mahawar: Second thing in terms of Coal India order book which we got this time Rs.1800 odd Crores and last time I think it was Rs.1470 Crores I believe so what was the volume uptake higher versus last order that was the second question, third question was on the EBITDA margin guidance what you have given 22% plus going forward next two or three years view earlier our margin guidance used to be 22% so should we take it as a 22% to maybe 24% over next two to three years?

Manish Nuwal: As far as EBITDA margins are concerned for this year we have revised our guidance from 2022 to EBITDA margin of 22% plus. As far as margin guidance for the coming years we will definitely issue after end of this financial year but definitely margin should improve based on increased sales from different sections that is one. Second as far as size of Pinaka order is concerned so till RFPs are finalized and orders being received we cannot comment on that.

Manish Mahawar: But what is the opportunity size maybe tentative number anything Manish on this Pinaka one?

Manish Nuwal: So like Manish you have your own resources to get all this information from army better you do that because we cannot speak more on that.

Manish Mahawar: Understood Sir no issue and this Coal India order what we have received Rs.1800 odd Crores versus last two years back what we received order so what was the overall volume increase in the last order to this order?

Manish Nuwal: The Coal India has given an order with an increased volume of around 50% but the conversion may not be up to 50%. That depends on their overall planning whether they buy

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Page 14 of 14 from private sector or whether they want to buy from another public sector on nomination basis but we are quite positive on this.

Manish Mahawar: (inaudible) 40:54 was 50% is broadly right assuming that they assume the lower realization versus the last order?

Manish Nuwal: You can do your own calculations but as far as our guidance is concerned we have received order which is a significant quantity increase and as far as margins are concerned we are pretty much comfortable and based on our overall guidances we are rising our EBITDA guidance upward.

Manish Mahawar: Sure Sir, thanks and all the best Sir.

Moderator : Thank you. I will now hand the conference over to the management for closing comments.

Aanchal: This is all from our side. Thank you so much everyone for participating and may you have a very fantastic Diwali ahead. Thank you.

Moderator : Thank you very much. On behalf of Nirmal Bang Institutional Equities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

To ,
The Executive Director
Listing Department
BSE Limited
Mumbai: 400001 February 10, 2024

To,
The Executive Director
Listing Department
National Stock Exchange of India Limited
Mumbai: 400001

Trading Symb "Sol: OLARINDS" Scrip Code: 532725

Subject: Transcription of Conference Call with reference to the Unaudited Financial Results for the quarter and nine months ended on December 31, 2023 with the Management of the Company.

Dear Sir,

In furtherance of our letter dated February 2, 2024, we are forwarding herewith a copy of Transcription of Conference call hosted by Centrum Broking Limited on Thursday, February 8, 2024 at 11:00 a.m. to discuss the Un-audited Financial Results for quarter and nine months ended on December 31, 2023 with the Management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari

Company Secretary &

Compliance Officer

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"Solar Industries India Limited
Q3 FY-24 Earnings Conference Call"
February 08, 2024

MANAGEMENT : M R. MANISH NUWAL – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – SOLAR INDUSTRIES
LIMITED

M R. SURESH MENON – EXECUTIVE DIRECTOR –
SOLAR INDUSTRIES LIMITED

M R. MILIND DESHMUKH – EXECUTIVE DIRECTOR –
SOLAR INDUSTRIES LIMITED

M R. MONEESH AGRAWAL – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES LIMITED

M S. SHALINEE MANDHANA – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES LIMITED

MODERATOR : M R. CHIRAG MUCHHALA – CENTRUM BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Solar Industries India Q3 FY '24 Earnings Conference Call hosted by Centrum Broking Limited. As a reminder, all participants' lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Chirag Muchhala from Centrum Broking Limited. Thank

you, and over to you, sir.

Chirag Muchhala: Thanks, Viren. Centrum Broking welcomes you all to the Q3 FY '24 Results Conference Call of Solar Industries India Limited. The management is represented by Mr. Manish Nuwal, Managing Director and CEO; Mr. Suresh Menon, Executive Director; Mr. Milind Deshmukh, Executive Director; Mr. Moneesh Agrawal, Joint CFO; and Ms. Shalinee Mandhana, Joint CFO. I now hand over the call to the management for their opening remarks, post which we can take questions from participants. Over to you, sir.

Shalinee Mandhana: Thank you, Chirag. Good morning, dear valued investors and stakeholders. Warm greetings in the new year. I, Shalinee Mandhana, Joint CFO, So lar Group, welcomes you all to earnings call of Solar Industries India Limited to discuss our financial results for the quarter 3 and 9 months FY '24. Please note that certain statements concerning our future growth prospects are forward-looking statements regarding our future business expectations intended to qualify for the safe harbor, which involves a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements.

Now I request Mr. Manish Nuwal to give opening remarks on the performance of our company.

Manish Nuwal: A very good morning to all of our valued investors and stakeholders. I'm pleased to share that our company has recorded revenue of INR1,429 crores and INR4,459 crores in the quarter and 9 months. The EBITDA margin stands at 25.69%, and 23.38% for the quarter and 9 months, respectively. Highest ever EBITDA and PAT in absolute and in margin terms for the 9 months have been achieved despite of lower commodity prices, moderate defense sales and disturbances in shipments on account of Red Sea issues. Otherwise, the numbers would have been much better.

The volume in this quarter grew significantly by around 27%, and 18% in the 9 months, which is mainly because of strong growth from coal mining and infrastructure sector. The domestic explosives order book of Coal India and Singareni stands at INR2,589 crores. Given the government's clear focus reiterated in the interim budget and in their strategic vision on mining, the housing and infrastructure augurs well for our industry.

We have received invaluable export orders for the supplying of defense products to the tune of INR994 crores, which is to be supplied over the next 2 to 3 years, and the most awaited Pinaka orders are in the final commercial negotiation stage. The current order book of defense products

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stands at INR2,200 crores. Looking at the overall order book, we believe the revenues from defense products will increase substantially from next quarter.

Our international business was mainly impacted by higher inflation and currency volatility, but we believe that these challenges are of temporary nature, which are going to be stabilized over the next 1 or 2 quarters. However, as a part of our strategy, we are working on adding new geographies like Kazakhstan and Saudi Arabia. Friends, as we move forward, we are expecting strong volume growth to continue, along with much awaited higher revenues from defense products.

Now I will hand over the

call to Shalinee to take you through the summary of financials. Thank you.

Shalinee Mandhana: Thank you, sir. All the required information related to financials is available on exchange. So highlights for the quarter and 9 months are: we have achieved the highest ever 9-month EBITDA at INR1,042 crores and PAT at INR633 crores. Highest ever quarterly and 9-month EBITDA margins at 25.69% and 23.38%, respectively. Highest ever quarterly and 9-month PAT margins at 15.53% and 14.19%, respectively. Volumes grew substantially by 27% in the quarter and 18% in 9 months.

Defense order book stands at highest level of INR2,200 crores. We'll begin with quarterly financial update followed by a 9-month update. The company recorded revenue of INR1,429 crores, EBITDA of INR367 crores, and PAT of INR222 crores. Now let's quickly review the quarter in detail. Coming to the domestic explosives part, the domestic explosives in the quarter increased by 27%, that is 154,421 metric tons versus 122,030 metric tonnes. And our realization of explosives stands at 44,805 metric tonnes versus 71,745 metric tonnes. As such, the explosives revenue stands at INR692 crores versus INR876 crores. Revenue from initiating systems is INR137 crores versus INR133 crores.

Coming to customers. Revenue from Coal India stands at INR234 crores versus INR314 crores.

Revenue from Non-CIL & Institutional is INR245 crores versus INR342 crores. Revenue from Housing & Infra is INR251 crores versus INR304 crores. Export & Overseas revenue stands at

INR624 crores versus INR729 crores. The revenue from defense is INR62 crores versus INR110 crores.

The percentage of raw material consumption is 52.59% versus 63.55%. In absolute terms, the material cost is INR752 crores versus INR1,151 crores in the same quarter previous year.

Employee cost is INR111 crores versus INR92 crores. Other expenses INR210 crores versus

INR219 crores. Interest cost, INR28 crores versus INR25 crores. The depreciation is INR39 crores versus INR32 crores in the quarter.

Coming to highlights for 9 months, we registered revenues to the tune of INR4,459 crores, highest 9-month EBITDA at INR1,042 crores with a margin of 23.38%, and profit after tax INR633 crores with a margin of 14.19%. Volume during the 9 months grew by 18%. Now we would be happy to take any questions, comments or suggestions that you may have. Over to you.

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Moderator: Thank you very much. We have our first question from the line of Dhananjai Bagrodia from ASK Investment Managers. Please go ahead.

Dhananjai Bagrodia: Congratulations on a very good set of results. Sir, could you just shed some light on the order inflow, where are you all getting the strong order, from which segment? And how has exports been doing in terms of orders also?

Shalinee Mandhana: Can you repeat the question, please?

Dhananjai Bagrodia: I'm saying, for orders, your order growth, could you give us some color in terms of where you've been getting the strong orders, from which segments? And any particular regions?

Manish Nuwal: The total order book, which stands at INR4,802 crores, is divided into Singareni, Coal India, and defense orders. And out of the total INR4,802 crores, INR2,200 is from defense section, and balance is from Coal India and Singareni.

Dhananjai Bagrodia: So the defense are the Pinaka orders, right?

Manish Nuwal: No. We have clearly mentioned that price negotiation of Pinaka products are in final stages, and this order book doesn't include the Pinaka orders.

Moderator: The next question is from the line of Amit Dikshit from ICICI Securities.

Amit Dikshit: Congratulations for a good set of numbers and maintaining the margin despite the volatility we have seen in RM and realizations. I have 3 questions, sir. The first 1 is on defense. While we have mentioned that defense revenue would increase materially from Q4, just wa

nted to get an understanding on when this INR994 crores defense order execution that we have won recently as export order will actually start? And in exact quantum, how much revenue can we pencil in for FY '24 and '25, if you can give that guidance? This is the first question.

Manish Nuwal: So if you talk about the recent orders, which we have shared with all our valued investors, the order of INR994 crores is likely to be finished over the next 3 years. And we are going to start implementing the orders from Q4 of '23-'24. And as far as '24-'25 is concerned, looking at this order book and expected orders from Pinaka, we are expecting that in next financial year, which is '25, we are expecting a revenue of around INR1,500 crores.

Amit Dikshit: Yes. From defense sector?

Manish Nuwal: Yes.

Amit Dikshit: That's wonderful, sir. The second question is, if I look at your international segment, now I understand that Q3 is generally a tad weak because of year-end and various other things in that part of geography. But if I look at the revenue, that is actually quite good considering in fact the drop is very low, Q-o-Q drop. So just wanted to understand the key drivers behind that? Is it the new markets, Australia, Indonesia, that are contributing more? And you mentioned 2 new geographies, Kazakhstan and Saudi. So when will their contribution start coming in?

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Manish Nuwal: As far as revenue in this quarter is concerned, yes, you have very rightly observed that the revenue is still very good compared to the last year, looking at the commodity fall and other factors. So despite of steep falling in the prices of our raw material, sales has reduced only by

14% as far as exports and overseas are concerned. It is mainly because of, one point is, we are increasing our market presence in the areas where we are present already. Second, the increased sales in some of the new territories where we have entered in the last 2, 3 years. And as far as the new frontiers are concerned, which we mentioned that we are going to start Kazakhstan and Saudi Arabia. So these 2 subsidiaries will start giving revenues in the next financial year.

Amit Dikshit: That's good. The last question I have is on Coal India volumes. If I look at Coal India revenue this quarter, I mean, there was a significant bump up Q-o-Q. So is it possible to mention that in volume terms, what would be the increase in volumes Q-o-Q that we would have supplied to Coal India in this quarter?

Manish Nuwal: Yes. Like we have mentioned that we have achieved a volume growth of around 27% in this quarter. This is mainly because of good demand from Coal India and infrastructure sector. So in this quarter, we have seen a growth in volume numbers, especially from Coal India by around 25% to 27%.

Moderator: The next question is from the line of Dipen Vakil from InCred Equities.

Dipen Vakil: My first question is regarding our raw material prices. So what would be the ammonium nitrate prices for you for, say, blended ammonium nitrate prices for this quarter?

Shalinee Mandhana: Around 45,000. We have mentioned that the realization for this quarter is around 45,000.

Dipen Vakil: Okay. And I wanted to also understand that with respect to the volatility of the raw material prices, how do we pass on the benefit or as well as the increase in cost to our client? Is there any lag in say by one quarter or something or is it a continuous contract?

Shalinee Mandhana: So obviously, the lag is there. So 1 to 1.5 months lag is there while passing on the prices, whether it's an increase or decrease, to the end customers.

Dipen Vakil: Okay, okay. And do you expect raw material prices to have stabilized going ahead? Or do you foresee any further volatility, say, in next quarter or coming year?

Manish Nuwal: Yes, like we have said in our last call that in new Coal India tender, compared to the previous

tenders, it was on quarterly basis, the rise and fall. Now it has changed to the monthly basis. So practically, almost all of our customers have shifted from quarter to monthly escalation basis.

So whatever up and down is there, it is being passed on to the customers.

Dipen Vakil: And now coming to your defense order book. Sir, you have a defense order book of close to around INR994 crores. So what will be the execution, like what is the breakup currently for the export as well as the domestic defense orders?

Manish Nuwal: Yes. Like as per our company policy, we don't give the data for our exports and other things on countrywide basis.

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Dipen Vakil: Okay. Okay. So the entire defense order book would be executable over 3 years, excluding the order from Pinaka for now?

Manish Nuwal: Like I said, Pinaka orders are yet to be received. The current orders are without Pinaka as far as Indian MOD is concerned.

Dipen Vakil: And that will be executable in 2 to 3 years?

Manish Nuwal: Yes. Over the next 2 to 3 years maximum.

Moderator: The next question is from the line of Jenish Karia from Antique Stockbroking Limited.

Jenish Karia: First question is with regards to the new geographies that we are expecting to contribute from next year. So any sense on the type of market, whether it is explosive or more defense related, the market size, the capex you'll be investing? So any commentary on that?

Manish Nuwal: The new geographies are only for supplying of materials or explosives for mining application and not for defense.

Jenish Karia: Okay. So they will be exported from India and no manufacturing setup is being planned there right now?

Manish Nuwal: We are setting up the plants in these 2 new territories, and we will definitely supply some of the intermediate goods from India to those subsidiaries.

Jenish Karia: And what would be the CapEx we'll be incurring for these 2 geographies and for the company as a whole for FY '24 and '25?

Manish Nuwal: For the current financial year, we have given a guidance and note that in this financial year, we are likely to spend around INR750 crores. And out of that, we have already done around INR470 crores. And another around INR280 crores will be done in next quarter. And for the next financial year, we will give capex plan in the Q4 results or annual results.

Jenish Karia: Sir, secondly, on the ammonium nitrate prices. So any outlook on that, whether we see the price correction and how will it factor in our realizations going forward?

Manish Nuwal: Yes. Like our major raw material is ammonium nitrate, which is a byproduct or outcome of main raw material like ammonia, which is depending on the gas prices. So if you look at the current trend in gas and ammonia prices, so it is in downward trend. So of late, ammonium nitrate prices in the last 6 to 9 months have dropped a lot. But we believe that these are the bottom prices. From now onwards, these prices cannot go down further. These should go up.

Jenish Karia: Okay. So the current realizations of around 44,000, 45,000 could continue over the next few quarters. Is that understanding correct?

Manish Nuwal: I cannot give a guidance on this front. As prices move up and down, our realization will also change.

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Jenish Karia: But if the status quo remains, the prices remain at the current level, the 44,000, 45,000 should sustain?

Manish Nuwal: We believe that prices may not go down further, which doesn't mean that it cannot go down. It can go down due to any 1 or 2 reasons. So market is quite dynamic. And frankly speaking, it is difficult to predict that in which direction it will go. But based on our business experience or knowledge, we believe that these prices cannot go down further and likely to go up a little bit.

Jenish Karia: Understood. Sir, next is on

the defense segment. We had been guiding for a INR700 crores revenue for FY '24. So do we expect to be at the run rate going in the fourth quarter? Or is there a revised guidance for FY '24 itself?

Manish Nuwal: So as of now, we are trying to achieve what we have given a guidance, but there can be some lower achievement towards that side. So we may end up at around INR650 crores.

Jenish Karia: And during the quarter, the neutral revenue performance in the defense segment, was it related to the Red Sea issue? Was there a deferment in the third quarter because of that issue?

Manish Nuwal: Yes. That is what we have mentioned in our paste note and note which we have shared when we started the call.

Jenish Karia: Can you quantify how much of the revenue would have been if that's possible?

Manish Nuwal: We cannot give the number as such which is due to only 1 specific reason.

Jenish Karia: Okay. Understood. Sir, just 1 last question. We had a fire incident in December. And we had mentioned that the financial impact is just limited to that 1 building. So is that building -- is that financial impact going to restore? Or are there any other regulatory implications that we should be concerned about in this quarter or going forward?

Manish Nuwal: So we have shared with all our stakeholders that we had an unfortunate accident in 1 of our process building, which resulted in to the loss of 9 of our employees. And after that incident, we have taken a lot of initiatives, a lot of audits and compliances that are going on. And we will definitely implement all the recommendations and try to ramp up the things as early as possible. But as far as the impact is concerned, there was a total loss of around -- total compensation which we have given was INR1.96 crores, and loss due to this incident is around INR2 crores, which we will file with the insurance company to recover that back.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers Limited. Please go ahead.

Bharat Shah: It is really remarkable given the kind of price volatility that ammonium nitrate has been undergoing and the final good price, the kind of volume growth and the kind of outcome that has been achieved. Would you now say that given all kind of immense changes, volatility in last few quarters, both in the domestic, is it an international part where the issues are still being faced on the freight or on the Red Sea kind of issue.

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But hopefully, the currency and the inflationary environment in the export markets is somewhat abated is my impression. So considering all of it, defense is on a strong footing, domestic demand drivers fundamentally are on strong footing, though price volatility is a bit of an issue. And internationally, barring probably the Red Sea issue, hopefully, things should be increased. Is that a fair summary that we'll have far more normal business environment going ahead rather than very unusual 1 that we faced in the current year?

Manish Nuwal: First point is, as far as defense is concerned, like we have faced over the last couple of years certain kind of uncertainty, so now we are at the fag end of those uncertainties where we were not sure of the orders. Now we have received plenty of orders, and we are going to receive Pinaka orders also very soon. So once these orders are in place, definitely defense will be out of the woods, and we will achieve much, much better revenues and profits from that section. As far as domestic front is concerned, like you said that the volume growth is very good backed up by coal mining demand and infrastructure push from the Government of India. As far as international territories are concerned, like we said that we may face another quarter or maximum 2 quarters where the intensity of impact on foreign exchange front will keep subsidizing.

So as the impact subsides, then de

initely positivity will be much more than what we are facing on international front. And like we have said that we have entered into some of the advanced markets like South Africa and Australia, where we have faced a lot of challenges. But now with full confidence, I can say that we are on much better wicket. And those turnarounds will be visible in our numbers very soon. So if you look on international frontiers, we are expanding our geographies, we are expanding the market share, and the impact of foreign exchange will also subside as we move forward. Hence, we are very confident that numbers will be better going forward.

Bharat Shah: In terms of the medium-term 3- to 5-year kind of picture, overall, 18% to 20% growth in the

volume is something which one can say is reasonably well founded, right?

Manish Nuwal: If you talk about next 3 to 5 years, we expect volume growth of, on a conservative side, around 15%.

Bharat Shah: Fine. So overall, the situation, you would regard it as far more conducive overall, defense clearly, Domestic part also very strongly so. But price volatility, you already talked about that you do not see it really materially impacting going ahead. And hopefully, Pinaka order should come by soon rather than later. And in international markets are stabilizing relatively. Therefore, overall business conditions are far more conducive in terms of asserting a bit of a pricing power than before. Would that be a reasonable thing to say, a pricing power-related issue?

Manish Nuwal: As far as pricing power is concerned, it is difficult to answer at this stage. But definitely, as far as business environment, as far as our company is concerned, definitely, it is very much conducive and we are very much optimistic.

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Bharat Shah: The reason why I was asking, Manish, was whether fundamentally, on a business construct wise, would we say in the medium term, 3 to 5 years, our profit growth will be faster, slower, or similar to the underlying volume growth. So from that perspective, I wanted your understanding.

Manish Nuwal: No, I understood your point. Like I said that volume growth should be around 15%. So profitability will be much better than this number as far as volume growth is concerned. So profits will be definitely much more than 15%.

Moderator: The next question is from the line of Pratik Mukasdar from RNL Investments.

Pratik Mukasdar: Manish ji, congratulations for a great strong set of numbers, I would say. I have 2, 3 questions.

One that our margin was -- it was all-time high margin and really congratulations on that. So would you like to say, these margins are maintainable or it will trend further up? One point is this. Second is, do you want to -- would you like to raise your volume guidance also because we are doing great volume numbers? And thirdly, this Turkish lira has been really spot of bother for us in the past quarter. So I'm sure you must be taking all the steps, but is it a way to hedge it or somewhere we can reduce the risk of it?

Manish Nuwal: So the first point, as far as volume growth is concerned, in this quarter, we have achieved 27%, and on 9 months, it is around 19% -- 18%. And as far as guidance for the whole year is concerned, we have given around 20%. So we believe that we will definitely achieve this 20% volume growth. And as far as margins are concerned, EBITDA margins, like we said that our guidance is around 22% plus, and based on this quarterly number, we have achieved around 25.69%.

We believe that as we move forward, our annualized guidance can change, but that we will issue only after our Q4 results. So we are firm and we are optimistic that we will deliver better margins as far as EBITDA guidance is concerned, which means that it will be plus 22% for the whole year.

Pratik Mukasdar: Okay. And on Turkish lira, would you like to...

Manish Nuwal: I cannot comment on

each currency because we are running our businesses in various territories.

And as it fluctuates, we have to take corrective actions as we are doing businesses on day-to-day basis.

Moderator: The next question is from the line of Franklin Moraes from Equentis Wealth Advisory.

Franklin Moraes: Congratulations on a good set of numbers. So when you say that on a conservative basis, you expect 15% kind of volume growth, I wanted to understand whether this would be more of a uniform thing or we are expecting some dip maybe next year and then picking up going forward?

Manish Nuwal: So business dynamics always keep changing. So I have given a fair estimation that what we believe is, we should be able to achieve a growth of around 15% on a 3- to 5-year basis. But no one can give a guarantee that how it will behave, whether it will be 15% uniform over the next 5 years, or there can be up and down. Because as economic growth happens, definitely, it is linked to that. And there are multiple factors which can impact the demand. But there can be up

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and down. But by and large, 3 to 5 years basis, we are confident and we are optimistic that we should be able to achieve 15% growth rate.

Franklin Moraes: And when you look at the drivers for achieving that growth rate, would they be the same that are present today? Or would it come from some different segments?

Manish Nuwal: No, the growth drivers will remain same. It is not changing as far as our industry is concerned.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Congratulations on such a strong performance in the current scenario. Sir, a couple of questions.

And one is on defense business and the order book. Though the current order book is INR994 crores, you've mentioned that INR1,500 crores kind of, of the contract you are expecting to start commissioning from the next year, which includes Pinaka as well as the export opportunities.

Am I right on that number, sir?

Manish Nuwal: Yes, that is what I said.

Rohan Gupta: And sir, this INR1,500 crores that have to be completed in what time frame, sir?

Manish Nuwal: No. We have already given information that the current recent orders has to be supplied over the next 2 to 3 years. And once we receive Pinaka orders, we will share the details. But based on the current updates, we expect that in next financial year, we should be able to achieve revenue from bookings around INR1,500 crores.

Rohan Gupta: Sir, second question is on our margin front. So definitely, we have done a fantastic job with roughly 25% kind of margins in 9 months as against the guidance of roughly 22%. This, I believe, is also because of the fall in raw material prices, but we have been able to clearly maintain our EBITDA margin per tonne at the previous level, and that's what I think is resulting into higher margin.

Sir, if we see that ammonium nitrate prices probably have bottomed out and they may go up going forward. So do we see that this kind of margin, 25% kind of margin in percentage may hold on? Or do you think that there can be some risk to the margin going forward?

Manish Nuwal: So like we have shared, on 9-month basis, the EBITDA margin stands at 23.38%, and our guidance for this year is 22% plus. So we feel that we should be able to achieve 22% plus margins for the whole year. And as prices move up, we will definitely take corrective actions, and our defense business is also going to do much, much better than what we are doing.

So if you look at the company as a whole rather than the way you normally think is that you try to understand or evaluate explosives, or mining explosives, or international, then initiating systems, and then defense. For you, it can be 3, 4, 5 sections. But for us, business as a whole is one. And for that, our guidance is 22% plus, and we are quite optimistic that we should be able to ac

hieve plus 22% EBITDA margin in this year also. And as we move forward, definitely, we believe that margins can be a little better.

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Rohan Gupta: Sir, just one from my side. So we have taken a new market in Kazakhstan and Saudi. Sir, any kind of investment idea you will give that how much money, CapEx we are putting in these new territories?

Manish Nuwal: So as a part of our company policy, we don't share the Capex plan for each country or each sector wise. So our annual guidance for this year is INR750 crores. And for next year, we will give you a guidance after our annual results. So that will capture all those investments for India, International market and defense, and maybe some acquisition opportunities which keep coming. So everything is combined and given into as a whole one number.

Moderator: The next question is from the line of Harshvardhan Singh from FirstRand Bank India.

Harshvardhan Singh: Congratulations for great results and positive upside growth. I just wanted to know the revenue of INR1,500 crores from defense is after considering the order of Pinaka rockets or before?

Manish Nuwal: Yes, definitely, we are expecting Pinaka orders to come soon, and our expectation of INR1,500 crores in next financial year is after considering certain portion of Pinaka execution in the next financial year.

Harshvardhan Singh: Okay. So it is after considering the Pinaka orders?

Manish Nuwal: Yes.

Harshvardhan Singh: And I also wanted to know, in financial year '23, the revenue from the defense sector was around 9%. So when we are expecting that the revenue from the defense sector will go to the double digits, like it would be crossing 10% and above?

Manish Nuwal: We expect 10% plus share from defense from Q4 onwards, Q4 of this year. We are expecting plus 10% market share in our whole basket from defense from Q4 of this financial year.

Moderator: The next question is from the line of Jenish Karia from Antique Stockbroking Limited.

Jenish Karia: I just wanted to know if you can share the net debt number as of December?

Shalinee Mandhana: Yes, it's around INR850 crores.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Shalinee Mandhana: Thank you. We appreciate your participation and interest in our company's performance, and we'll be happy to see you soon in the closing quarter for the year FY '23-'24. Thank you.

Moderator: On behalf of Centrum Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

May 20, 2024

To, To,
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra Kurla Complex Floor No. 25, PJ Towers
Bandra (E) Dalal Street
Mumbai: 400 051 Mumbai: 400 001
Trading Symbol: "SOLARINDS" Scrip code: 532725
Through NEAPS Through BSE Listing Center

Subject: Transcription of Conference Call with reference to the Audited Financial Results for the quarter and year ended on March 31, 2024 and earnings for the FY 2023-24 with the Management of the Company.

Dear Sir/Madam,

In furtherance of our letter dated May 13, 2024, we are forwarding herewith a copy of Transcription of Conference call hosted by ICICI Securities on Friday, May 17, 2024 at 11.00 a.m. to discuss the Audited Financial Results for quarter and year ended on March 31, 2024 and earnings for the FY 2023-24 with the Management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari
Company Secretary &
Compliance Officer
Page 1 of 14

"Solar Industries India Limited
Q4 FY'24 Earnings Conference Call"
May 17, 2024

MANAGEMENT : MR. MANISH NUWAL - CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – SOLAR INDUSTRIES
INDIA LIMITED
M R. SURESH MENON - EXECUTIVE DIRECTOR – SOLAR
INDUSTRIES INDIA LIMITED
M R. MONEESH AGRAWAL - JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
M S. SHALINEE MANDHANA – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
M S. AANCHAL – INVESTOR RELATIONS – SOLAR
INDUSTRIES INDIA LIMITED

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

Solar Industries India Limited
May 17, 2024

Moderator: Ladies and gentlemen, good day, and welcome to Solar Industries India Limited Q4 FY'24 Results Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference to Mr. Amit Dixit from ICICI Securities. Thank you, and over to you, sir.

Amit Dixit: Thanks, Tushar. Good morning, everyone, and thanks for joining the call today. At the outset, I would like to thank the management for giving us an opportunity to host the call. From the management today, we have Mr. Manish Nuwal, MD and CEO; Mr. Suresh Menon, ED; Mr. Moneesh Agrawal, Joint CFO; Ms. Shalinee Mandhana, Joint CFO.

Without much ado, I would hand over the call to Ms. Aanchal from Solar Industries to take this forward. Over to you, ma'am.

Aanchal: Thank you so much, Amit. A very good morning to our dear stakeholders and well wishers. My name is Aanchal, and I would like to welcome you all to the concluding Conference Call of FY'24.

To begin with, I would like to remind you that during this call, we might make projections or other forward-looking statements regarding future events and about the future financial performance. Please remember that such statements are only predictions. Actual events or results may differ materially. And our website will be updated with all the relevant information timely. Now I would request Solar's CEO and MD, Mr. Manishji Nuwal for his opening remarks. Over to you, sir.

Manish Nuwal: A very good morning to all our valued stakeholders. We are pleased to close FY'24 with the highest ever quarterly and yearly profit at INR243 crores and INR875 crores, respectively. The turnover of the company stands at INR1,611 crores and INR6,070 crores for the quarter and year, respectively. In FY'24, better performance in domestic business and increased defense sales helped us to expand our margins, resulting in the highest ever EBITDA and profit after tax in absolute terms for the year, which is at INR1,414 crores and INR875 crores.

These results are being achieved despite the losses from currency fluctuations and hyperinflationary conditions, which is causing because of the interest rates, which has resulted into a revenue loss of around INR300 crores in this quarter and INR900 crores in the whole year. And we incurred EBITDA losses of additional INR40 crores in this quarter and INR150 crores in the year as compared to the previous year. This kind of performance reflects the strength of the company and its management.

We are satisfied in sharing the fact that the defense annual revenue has crossed INR500 crores-plus for the first time in any financial year, although it is a little lower than our annual guidance.

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Our defense order book now stands at around INR2,600 crores, and we are expecting big orders in the coming quarters.

As a result of these orders, which we have and expected orders, we are expecting the defense revenue to grow threefold in FY'25. Our business goals are well aligned with the country's ambition to make India Atmanirbhar in the field of ammunition and emerge as a major export hub in the coming years.

The domestic explosives volume in this quarter grew significantly by around 24% and 20% in the whole year, which is mainly because of strong growth from mining and infrastructure sector and recent acquisition of Rajasthan Explosives.

The domestic explosives order book of Coal India and Singareni stands at around INR2,500 crores. We are entering FY'25 with an optimistic outlook on our business. The c

ountry's

momentum in the domestic market is likely to help us to increase our volumes by 15% and international business should also do much better than this year -- than the previous year.

We are expecting defense business to rise significantly, and it should become around 20% of our annual revenue for the year FY'25, which is currently at 9%. Based on this background, friends, we are expecting the top line to show a growth of around 30% and EBITDA margins to improve further from the current levels. Looking at the upcoming opportunities, we have planned capex of around INR800 crores in FY'25. Our company has also proposed a dividend of INR8.5 per share for this year compared to INR8 in the previous year.

Now I will hand over the call to Aanchal to take you through the financials. Thank you.

Aanchal: Thank you, sir. Before beginning, I would like to quote this year has been extraordinary in Solar's history, where we have achieved milestones despite the challenges quoted by our MD. Quoting

a few of them again, highest ever EBITDA at INR1,414 crores and PAT at INR875 crores.

Defense order book stands at highest levels of INR2,600-plus crores.

Huge capex plans around INR800 crores, strong return to our stakeholders by creating a new market cap of INR80,000 crores plus. Needless to mention, keeping the contingent foundation of sustainable growth ahead for our stakeholders. We have shared the investor presentation carrying all the necessary information for your perusal. Hence, we will discuss the same very quickly.

Key highlights for the fourth quarter and year to be taken together. Sales. The consolidated revenue for the quarter is INR1,611 crores versus INR1,929 crores, and for the whole year, it is INR6,070 crores against INR6,923 crores. Our explosives volume for the quarter and year has increased by 24% and 20%, respectively. Initiating systems revenue increased by 7% in the quarter and 13% in the year.

The percentage of the sectors and the customer baskets are as follows: CIL is at 15%. Non-CIL and Institutional is at 16%. H&I is at 19%, exports and overseas at 37% and defense has doubled in the past Q4 from 6% to 12%. In that year, the basket more or less is same, except for defense, Solar Industries India Limited

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which is at 9% from 6% in the basket. And in absolute terms, the same is increased by around 30% year-on-year.

Raw material costs, the consumption of the quarter stands at INR830 crores against INR1,191 crores. For the year, it stands at INR3,196 crores against INR4,342 crores. Employee costs for the quarter stands at INR219 crores against INR99 crores and for the year stands at INR434 crores against INR353 crores. Other expenses for the quarter stands at INR309 crores against INR281 crores. And for the year, it stands at INR1,071 crores against INR939 crores.

Coming to the EBITDA. We report a quarter EBITDA at INR371 crores against INR369 crores, showing the rise of around 3% or 4% in the margins, which is from 19.12% in the previous year to 23.06% despite the challenges mentioned in the beginning of the call. Had those challenges not affected the business, there would have been better margins. We reported yearly EBITDA at INR1,414 crores against INR1,320 with a margin of 23.29% against 19.07%. Depreciation costs stand at INR37 crores against INR35 crores, whereas yearly cost stands at INR143 crores against INR128 crores.

Coming to interest and finance charges, it quarterly stands almost at a similar level of around INR32 crores, and yearly cost stands at INR109 crores against INR90 crores. PBT stands at INR305 crores against INR302 crores with a fantastic increase in the PBT margins that is 18.96% against 15.66%. And for the year, it stands at INR1,161 crores against INR1,102 crores with a massive rise in the margin at 19.13% against 15.91%.

Coming to the PAT. PAT stand at INR243 crores against INR221 crores with margin

s standing

at 15.07% against 11.44%. And for the year, it stands at INR875 crores against INR811 with a margin of 14.42% against 11.72%. These were the updates for the quarter and the year. This is all from our side.

Now we would be very happy to take any questions, comments and suggestions that you may have. Over to you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ravi Naredi from Naredi Investment.

Ravi Naredi: Sir, losses due to currency fluctuation, hyperinflation, we lose INR900 crores top line in this year. Will you tell more commentary about this, please.

Shalinee Mandhana: Yes, sir. Sir, we had reported that we have lost around INR900 crores in the top line. This is called a translation loss because if we see the currency of two of our main geographies, especially Turkey and Nigeria, the currency has depreciated in Turkey by around 62% and Nigerian currency on an average have depreciated by more than 100%. So as a result, if we compare the sales to previous year's currency numbers, we see the translation loss of INR900 crores.

Ravi Naredi: Okay. Whatever investment we are doing in Turkey or other countries, you are making losses of that investment also?

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Shalinee Mandhana: No, sir, that's just a book entry as far Ind AS 29 on hyperinflation and currency fluctuations. So at local levels, if we compare, we are making profits and the business is growing at local level.

Ravi Naredi: It means when we receive the payment of whatever we have sold the material there, then this currency loss will be null -- nil?

Shalinee Mandhana: So what happens, there are 3 layers of currency conversions. One is the local layer, for example, if we take Turkish lira, that gets converted into dollar terms. And when we report in INR terms at console levels that gets converted into INR. So if you see the currency translation from lira to USD, it's 62% depreciation. But when we convert from dollar to INR, the depreciation is hardly 4%. So just a translation loss.

Ravi Naredi: Okay. Another, you mentioned the 2,000...

Moderator: The next question is from the line of Nirav from ASK Investment Managers.

Nirav: Would it be possible for you to help with the volume business that was done across Turkey and Nigeria? If I can get that data for FY'24 versus FY'23, it would be really helpful.

Shalinee Mandhana: Sir, you'll get that in annual report and as a matter of policy, we do not declare countrywide data. But on overall level, if we see we have similar volume growth at international level around 10% to 15% ROCE there.

Nirav: Would it be possible for you to share any guidance for FY'25 because things have been really very volatile for our business. Any commentary on that would be really very helpful.

Shalinee Mandhana: You are asking about international market?

Nirav: Both, local and international. For FY'25, what kind of volumes can we expect across both domestic and international?

Manish Nuwal: Yes. If you look at our current domestic explosives market, and the guidance which we have given, that we should be able to deliver a growth of around 15%. And as far as international business is concerned, it is a multi-geographic position. So it will be difficult to give any volume guidance on that front. But definitely, we will be doing around -- in a range of 10% to 15%.

Nirav: Sir, in the domestic side, you said 15% of volume growth, right? Just confirming that.

Manish Nuwal: Yes, yes.

Nirav: What can be the capex number for FY'25?

Manish Nuwal: That is what Aanchal has mentioned that for this year, FY'25, we are planning a capex of around INR800 crores. And in that, defense will be around INR400 and Explosives will be around INR400 crores.

Moderator: The next question is from the line of Chirag Muchhala from Centrum Broking.

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Chirag Muchhala: Congrats for a very good performance in FY'24. So sir, a couple of questions. First on the defense segment, so I mean, can you provide status update on the Pinaka order since Defense Acquisition Council approval had come long ago, so exactly where -- which stage the order is in?

Manish Nuwal: So as far as that long-term orders are concerned, which we have shared that we are expecting in next couple of quarters. The reason is that because of recent elections, the certain approvals are still on that block list or you can say that it is in a final stage. But as far as orders or other technical things are concerned, those are cleared. And we have also cleared the draft, contractual agreements also.

Chirag Muchhala: Okay. Sir, this would be sir for Phase 1 or for all 3 phases together now the order will be placed?

Manish Nuwal: So once it comes, we will definitely share.

Chirag Muchhala: Sure, sir. And second related question on defense is that you have mentioned in the press release that you expect some large orders in the upcoming quarters. So excluding Pinaka, which are the other product categories where we can expect large-sized orders? Sir, I can understand the quantitative details might be confidential but even qualitatively, if you can just provide some other product categories where just like Pinaka opportunities are very large, then that would be helpful.

Manish Nuwal: Yes, yes. Like we have always been sharing that we are likely to receive long-term orders for supplying Pinaka rockets. Apart from this, we have recently also shared with all the stakeholders that we have received certain export orders. And based on the current geopolitical situations and the vacuum in this market, we are expecting more orders in coming quarters. That is what we have shared. And like you are aware that we have plenty of ammunition product range and those can be from any of the products. So it's a wide range, and we will keep sharing as we move forward.

Chirag Muchhala: Sure, sir. Sir, a question on our domestic market's realization. So in Q3 and Q4, we have seen realization stabilizing at around INR44,000 per metric ton. So for the near term of, let's say, FY'25, what would be the outlook for the ammonium nitrate prices of realization? Can we expect this to also remain stable or do you expect any material increase/decrease from the current levels?

Manish Nuwal: So if you look at the trends of last 4 years, we have seen that most of the commodities has gone drastically up and in last year, we have seen that commodity has softened, and some correction has also happened from the bottom level. So as far as ammonium nitrate is concerned, we can't predict the pricing. But if we look at our business acumen or overall level of understanding, we believe that these prices are now at a reasonable or sustainable level. So these prices should keep

growing on, unless there are some TAN disruption in either gas supplies or international geopolitical situation or shipping problem, which we can't predict anyhow.

Chirag Muchhala: Correct. So sir, just to clarify, you mentioned that this prices should remain stable or from this level, they should go up? I just missed that.

Manish Nuwal: So my belief is that these are reasonable and sustainable prices. That's all.

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Chirag Muchhala: Okay. Okay, sir. And sir, last question. So sir, this is also the year ending call. So for FY'24 and also for the near-term outlook of FY'25, if you can just highlight the quantitatively the performance of some of our key overseas markets, like Australia, Indonesia, I mean, South Africa, et cetera. How was the performance in FY'24 and qualitatively, FY'25, how it looks like?

That would be my last question.

Manish Nuwal: Sure, sure. So if you look at our international business and the scenarios which is happening, we all know that because

e of the rate increase, which is interest rate increase by most of the countries.

People are not finding it easy to handle this kind of situation. So most of the countries are facing difficulties, and India is one of the lucky country which has handled this situation quite way. So if you look at international scenario because of rates hike, hyperinflation is happening. And as a result, certain demand slowdown has also we have observed. But all said and then, our company has performed much better if you look at the real ground situation.

So in this year, like we have already shared that we have done sales of around INR2,457 crores compared to last year INR2,796 crores, which is a drop of only 12%. And if you look at the normal price dropping, it is more than that. So we have done quite well, especially in countries where we have also shared that we are struggling from last couple of years mainly South Africa and Australia.

Now those countries, we are more comfortable at this moment. And in '24, '25, which is FY'25, we should see much, much improved numbers. So like you are aware as our policy, we can't comment on each country because we look it as a -- from holistic angle, business as a whole. So I can say that the business from overseas is doing much better, looking at the ground situation and should do much better in FY'25.

Moderator: And the next question is from the line of Dipen Vakil from Research Analyst.

Dipen Vakil: Sir, my first question is on your product development front. Sir, recently, you had announced that there's a new product coming on anti-drone side, namely Bhargavastra. So can you give us a little bit more details regarding the product development side and when we can see it getting a user trial approvals and maybe start reporting us on the revenue side?

Manish Nuwal: Yes. What we have always been sharing with our valued stakeholders that the company is investing a lot in developing new technologies or absorbing the new technologies to develop the new products. So our strategy is to develop the latest and state-of-the-art products, which can help the nations to secure its border better. And in line with that, we are keep investing, and we have also shared that we are working on anti-drone systems. And once it develops and once we -- our products are qualified, we will definitely share those details with our stakeholders. As of now, it is in the pipeline, and we are working quite well.

Dipen Vakil: Got it, sir. Sir, my next question is slightly on the ammunition market scenario, sir. Sir, one of your competitors have mentioned that there has been an uptick -- a significant uptick in the ammunition demand led from the global perspective. Sir, so can you throw some light on the demand that we are seeing, witnessing in the ammunition side of it? And what kind of performance you expect for ammunition in FY'25?

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Manish Nuwal: So as a matter of policy, we don't comment on what others are saying. But like we have been saying from last couple of quarters that we are getting huge orders from the international market. And I think that is a reflection of what's happening around the world, and that is what we are saying. And we have also captured in our annual commentary that we are expecting new orders in the coming quarters. I think that should give a clear reflection of what's happening and what company is doing.

Dipen Vakil: Got it, sir. Sir, just 1 bookkeeping question, sir. Can you give us an overall split of Explosives and Initiating Systems and Defense in domestic as well as international?

Manish Nuwal: So we have already given the sales revenue breakup in our presentation. But we don't give the volume on global -- let's say, India, separately and global separately because the product range is quite wide, and it is not wise for us to share all those details in the interest of the company.

Moderator: An

d the next question is from the line of Bharat Shah from ASK Investment Managers.

Bharat Shah: A hearty congratulations for the year gone by. I think a year of remarkable tumultuous changes.

Ammonium nitrate price volatility, world like a war zone, which in some sense is beneficial to you. But a lot of volatility in many, many key metrics and to manage that and to emerge from it stronger, certainly team Solar and you both deserve great compliments. The -- just 1 or 2 questions on the future outlook. Earlier, we have many times discussed that long-term growth is going to be 20% plus in volume terms.

And it would remain at that level or better for at least next 3 to 5 years, considering all the various product initiatives, opportunities within country, outside country, defense and nondefense, all applications. And that is something we have felt comfortable again and again. But for the current year FY'25, volume growth we have saying is likely to be more like 15% domestic and international, hard to club it all together, but maybe 10% to 15%. But in value terms, you gave a guidance of 30% jump in revenue. So, a, is the volume growth softened compared to 20%; and b, therefore, we expect some firming up of the price so that revenue growth is 30%?

Manish Nuwal: Sir, if you look at our -- the guidance, we have said that in this year, we should grow by around 30% on top line basis. So if you take the defense out from that, the growth from say around INR510 crores to threefold, which will be around say INR1,500 crores-plus that is our expectations.

If you remove that additional INR1,000 crores from defense, it means that around INR1,000 crores will come from the core explosives business, which in itself is around 15%. So we believe that these prices, even if they don't go up or don't go down, we are considering the prices to remain at these levels, we are expecting 15% volume rise across the globe.

So it can vary, in India, it may go up by 17%, in global market, it can grow up by 12%. So it's a mix of all. So based on that kind of understanding what we have on our business, we are expecting 15% rise from explosives business and around threefold increase in the defense business, which will help us to grow in FY'25 by around 30%.

Bharat Shah: Therefore, by implication, defense business would have a better pricing, I suppose?

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Manish Nuwal: Absolutely, sir, because like we have been sharing that defense businesses are doing better. Although in number terms, we can always say that it is only INR510 crores, which is lower than INR750 crores target. So we accept that it is lower than our target. But like we said that because of the supply chain issues on the Red Sea side has deferred the shipments. But those are the business challenges. But as far as pricings are concerned, definitely, prices in defense products are better, margins are better.

Bharat Shah: Right. Sir, I understood, nondefense part of the business, volume growth will be 15%. Defense will triple in rupee terms. And given the fact that it is better pricing, therefore, overall revenue growth, you expect to be 30% in rupee terms.

Manish Nuwal: Yes, sir.

Bharat Shah: Yes. And my implication is you mentioned also that margins are expected to improve because defense business is margin rich kind of activity. So that will pull up the margins? Or nondefense business also is expected to improve the margins?

Manish Nuwal: We sincerely believe that the margins we are getting from our core business is quite comfortable level or more than a comfortable level. So we don't oversee that it should go up drastically. Even if we're able to maintain these levels, then it is quite commendable. Another factor that there are certain territories where we would like to expand our volumes and there are territories which we were making losses. So in this FY'25, definitely turnaround has already

started, so we will do

much better in those territories. And we would like to expand volumes in the coming years. So it's a mix of various strategies, but ultimate strategy is to expand volumes and increase our market shares.

Bharat Shah: Sure. And therefore, satisfactory margins you would put it as in 22%, 24% range?

Manish Nuwal: For Explosives business, we expect around 20% to 22%. And from defense, we have better margins. So business as a whole, we are saying we should do more than the current level, which is around say 23%.

Bharat Shah: Sure. That's what I meant. And 1 last question, Manish. Over many discussions in last couple of years, and you generally believe that volume growth would be 20% plus. So in the current year, that's a bit of a lower one, but it's -- I hope it is one-off. And longer-term trajectory for 3, 5 years, we are looking at volume growth of 20% plus. Is that correct? Or any revision there?

Manish Nuwal: Sir, if you look at our last year's annual call also, you have raised the same question and I have replied to that, that we are working on volume increase of around 15% plus in coming years on

compounded basis, and bottom line should increase by at least 20% on compounded basis. So sir, based on that, we are actually doing better than that. And if you take last year basis, which was around INR809 crores bottom line, so if you multiply and do the compounding, then it should take around 4 years to double up that level. But we fairly believe based on the opportunities which we are getting and the way we are executing those things, we believe that if you take last year base as INR809 crores so if you

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multiply it or double then we should do it in 3 years' time. So which is even earlier than what we have explained to you earlier.

Bharat Shah: Okay. No, I appreciate it. And once again, congratulations for the remarkable performance in very, very difficult and volatile conditions that the last year represented. Hearty congratulations.

Manish Nuwal: Thank you, sir. Thanks.

Moderator: The next question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Yes. Congratulations for a good performance, sir, in a very testing time for aluminum -- ammonium nitrate prices and all. So a few questions from my side. Just wanted to know because you have upped the capex significantly compared to last year. So -- and you are indicating that INR400 crores would be towards defense and INR400 crores towards explosives. Is it possible to highlight the particular -- I know actually defense is a system space but in explosives where we are expanding, are we expanding capacity at the current space? Or it is also to do with the -- with some of the greenfield projects that we might undertake?

Manish Nuwal: Yes. If you look at our capex programs, which we have done over last couple of years, and if you look at the guidance of '25, so the expansions which we are doing it at our -- the current mother plant, which is at Nagpur and the expansions of new facility, ground -- greenfield facilities, which is coming out around the location, which is on Gujarat and Maharashtra border. And the company which we acquired in the last year, which is Rajasthan Explosives and Chemicals. If you combine all these 3 and the future additions in our capacities for delivering more bulk explosives. So if you combine all these 3, 4, we are expanding our facilities quite aggressively and almost creating facilities for next 4 to 5 years. So for that, this investment is required.

And mainly in overseas market, we are entering into new territories, although investments will not be big but if you look at our 7 to 8 countries current presence outside India, and the upcoming facilities, we need to invest. So for explosives, in combination, we are expecting not less than INR400 crores in this FY'25 and defense because of the huge oppor

tunities coming up so we have received lots of orders.

We are expecting a lot of orders in future as well. So based on those things, we are expanding our facilities to supply more quantities. And at the same time, we are investing a lot in developing new products. So if you combine these 2, INR400 crores is nothing, in coming years, we will scale up these capex programs.

Amit Dixit: Wonderful, sir. That's helpful. The second bit is on defense space. So if I look at your order book, what has been understated is the texture of this order book. So our export order book, particularly the orders which are of shorter duration have gone up significantly. Now while we expect to receive the -- or some certain big orders in the country, will this -- will getting these big domestic orders also open up further export opportunities for the similar products?

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Manish Nuwal: Yes, that is what I said, no, we are getting huge inquiries and lot of traction is there. And as a result of which we already received orders and we are likely to receive many orders in the coming quarters. These are apart from the programs in which we have already participated for the Indian business programs. So it's a mix of India's defense programs as well as the export of these products for the market, which is outside India.

And that's the policy of our government of India that we should make our country self-sufficient and now they are talking about making India the export hub. But our company is already working in that direction from last couple of years. And in last say, '23, '24, we have seen a glimpse of that. In '24, '25, we will see the clear picture of that.

Moderator: And the next question is from the line of Rohan from Nuvama.

Rohan: Congratulations on a strong set of numbers in such a turbulent time. Sir, my first question is on the volume growth guidance which you have mentioned is roughly this year is looking close to 15%. Sir, I think that '24 year gone by was even more challenging and with the high TAN prices,

explosive prices were on the higher side. Then also we could achieve 20% kind of a volume growth in the current year.

So just wanted to understand that the weakness which you are anticipating in the next year in terms of the pure volume, while the infra activities and all remains solid. So -- and when the Coal India demand and everything is still on track. So just wanted to understand that the reason for looking at a 15% kind of volume growth for the next year.

Manish Nuwal: So if you look at the current situation, we have said that our volume growth will be plus 15% on compounded basis for a couple of years till if anything slows down or coal mining slows down or infrastructure slows down. So we have achieved 20% volume growth in FY'24, and we are saying 15% plus growth in '25. So if you look at the dynamics of the businesses, whether changes are happening, some slowdown can happen for a couple of months and all that. So it impacts our business.

And if you look at the global businesses are also that last year was the worst year as far as business is concerned in last 3, 4 years of time after the COVID. So we are recovering out of that. And if you club all these 3 factors and if you keep some bit of uncertainty in any kind of business, so we are giving a fair guidance of 15% volume rise, which is also quite good if you look at the overall growth rate of around 8% in the Indian market.

Rohan: No sir, absolutely it's quite encouraging to -- even at 15%. I just wanted to understand the reason for slightly -- some moderation in numbers, which we are seeing in growth for the year. So I get your point you are being slightly I mean conservative and looking at the current environment.

Sir, second is...

Manish Nuwal: So Rohan, what happens that sometimes you believe that in Indian market, it is growing at 7% and how you are saying that you

will do 20%. So there are certain bit of uncertainties or more understanding of the business which we have. So based on that, we are saying 15% plus volume growth. Which doesn't mean that we will end up at 15%. It can be higher, 17%, 18% or it may be 20%.

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Rohan: Definitely, sir. Sir, coming on our defense business so current quarter has picked up very well and your growth -- I mean, your guidance for next year is quite increasing with roughly INR1,500 crores to INR1,600 crores kind of revenue. Sir, you are talking about further putting INR400 crores capex in your defense in the current year. And I understand that broadly we would have invested close to so far now INR800 crores to INR900 crores in defense business. Sir, I mean, though we do understand that the defense follows any asset turnover metrics because here the delta can be quite high. But just to give some broad numbers, if you can get that what kind of asset turn or the -- this defense in a longer term can have on an ongoing basis over next 2 to 3 years?

Manish Nuwal: So I think if you look at our current year, we have been around INR509 crores. And next year, we are expecting that it should triple, which is around INR1,500 crores. And as we get more orders like we have said, we will also give the next level of guidance in coming quarters. So let us wait for that time, and then you can do your own calculation on asset turnover and all that. Because we don't run our business on those logics.

Rohan: Okay. So I was just looking that from a INR1,500 defense for next year and if we continue to maintain that run rate, are we planning to invest significantly in FY'26, maybe defense as a business may require an investment of INR500 crores to INR1,000 crores or it will be sufficient with the current investment and after that, investment in '26, '27 will be moderated at INR300 crores to INR400 crores annualized number? That's what I just wanted to understand.

Manish Nuwal: Okay. If you look at our last 5 to 7 years of growth, the cash accruals and capex programs. So it was quite clear that we were passing through a phase when cash accrual or business profits were less, and capex program was on a higher side, which means that capex was more than the cash accrual. And if you look at our commentary of last couple of years, we have said very clearly that we are investing these things for the future business opportunities.

And if you look at last year's number, our profits or cash accrual is more than the -- what we invested. And if you look at '25 guidance, and we are saying that revenue should increase by 30%, and you do your own calculation on the EBITDA and profit, which will be not less than 40% growth, right?

So if you capture that and if you look at our capex program, now it has almost reached to around 65% or 70% of what we are accruing, so we have entered into another phase of our company's future capex program or strategic placement. So as we are moving up, we are announcing the capex programs. And definitely, we will announce more as we move forward.

Rohan: Fair enough, sir. And sir, just last bit from my side. And so on a global markets, definitely, we have seen Nigeria and Turkey going through the tough environment. But apart from currency,

have we seen that volumes have been impacted in these markets and in the current year, in FY'25, if you can give some sense that the newer markets where we have entered Australia, Tanzania and all last year so how these markets are picking up? And any new markets you are planning to enter into the current year?

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Manish Nuwal: So I have already answered a similar question in my earlier call. And if you look at the transcript of that, it is very clear that as far as business is concerned, international markets are getting impacted because of the higher i

nterest rates and higher interest rates resulting into the hyperinflationary situation in some of the markets. And because of these factors hyperinflation is there, currency fluctuations are there, and lack of dollar availability is also there in some of the African markets. So these are the ground realities.

And as we move forward, these things should improve. And based on that, we have already said that our overseas business will be much better in FY'25. And I think that is enough kind of explanation on what is happening on the ground, what we believe, what we have achieved and what we are going to achieve.

Rohan: Sir, any comment on the newer markets you're entering?

Manish Nuwal: We have already said in the last quarter that where we are expanding.

Moderator: The next question is from the line of Manish Mahawar from Antique Stock Broking.

Manish Mahawar: Congratulations, Manishji and team Solar. Sir, just 1 question in terms of explosives -- domestic explosive market perspective, what was the market size of explosive in India last year FY'24 and our market share?

Manish Nuwal: So we will do the test. You will have to give us some time. We will do that work.

Manish Mahawar: Okay, definitely. But industry has grown around 7%, 8% that you said, right, in the comment -- one of the comment?

Manish Nuwal: Yes, yes.

Manish Mahawar: Okay. And sir, maybe 1 more question. In terms of your overseas business, right, we have already been -- I think 2, 3 years back, you have said you will expand to 4 to 7 to 8 geographies.

How do you see over next 2 or 3 years from here on will we add -- we'll add furthermore 3, 4 geographies? Or we just wanted to ramp up these 7, 8 geographies first from here on, sir?

Manish Nuwal: Like we have already said that we are expanding our global footprint. And in line with that strategic decision, last year, a couple of quarters back, we said that we are entering into the Rajasthan market and Saudi Arabia. So we are working on that direction and very soon these 2 global market or countries will be on our map.

Moderator: Due to time constraints, this was the last question. I would now like to hand the conference over to Mr. Amit Dixit for closing comments.

Amit Dixit: So thanks, everyone. I would like to thank Manish sir and the management team for sparing their valuable time this morning. Thanks to all the participants for attending the call. I would like to pass it on to the management now for any closing comments, sir, that you might have.

Aanchal: Thank you so much, Amit. It was a very wonderful call. We expect our well wishers to keep supporting us and boosting our confidence just the way. Thank you so much.

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Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

August 8, 2024

To, To,
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra Kurla Complex Floor no. 25, PJ Towers
Bandra (E) Dalal Street
Mumbai -400 051 Mumbai – 400 001
Trading Symbol: “SOLARINDS EQ” Scrip Code: 532725
Through NEAPS Through BSE Listing Center

Subject: Transcription of Conference Call with reference to the Unaudited Financial Results for the quarter ended June 30, 2024 with the Management of the Company.

Dear Sir,

Further to our letter dated August 2, 2024 we are forwarding herewith a copy of Transcription of Conference call hosted by Nomura Corporate Access, on Wednesday, August 7, 2024 at 10:30 a.m. to discuss the Unaudited Financial Results of the Company for the quarter ended June 30, 2024 with the Management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari
Company Secretary &
Compliance Officer

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“Solar Industries India Limited
Q1 FY’25 Earnings Conference Call”
August 07, 2024

MANAGEMENT : MR. MANISH NUWAL – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – SOLAR INDUSTRIES
INDIA LIMITED
M R. MONEESH AGRAWAL – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
M S. SHALINEE MANDHANA – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
M S. AANCHAL KEWLANI -- SENIOR FINANCE
MANAGER – SOLAR INDUSTRIES INDIA LIMITED

MODERATOR : MR. UMESH RAUT – NOMURA FINANCIAL ADVISORIES
AND SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Solar Industry Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Umesh Raut. Thank you, and over to you, sir.

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Umesh Raut: Thank you, Sejal. Good morning, everyone, and thanks for joining the call today. At the outset, I would like to thank management for giving us opportunity to host the call. From the management today, we have Mr. Manish Nuwal, MD and CEO; Mr. Moneesh Agrawal, the joint CFO; Ms. Shaline Mandhana, joint CFO; Ms. Aanchal Kewlani, Senior Finance Manager. Without much ado, I would like to hand over the call to Mr. Aanchal from Solar Industries to take this forward. Over to you, ma'am.

Aanchal Kewlani: Thank you so much. A very good morning, everyone, and welcome to the fiscal first quarter review conference call. My name is Aanchal and I would like to welcome you all on behalf of Solar Industries India Limited. At the onset, let me restate, in this call, we might make projections or other forward-looking statements regarding future events and about future financial performance. Please remember that such statements are only predictions. Actual events or results may differ materially. Our website will be updated with all relevant information from time to time.

Now I would request our MD and CEO, Mr. Manish Nuwal, for his opening remarks on the company's performance for this quarter. Over to you, sir.

Manish Nuwal: A very good morning to all the participants, well wishers and stakeholders. We are happy to announce that we have achieved highest ever quarterly EBITDA and PAT at INR474 crores and INR301 crores in the first quarter of FY '25. The turnover of the company stands at INR1,695 crores, registering a 5% increase over Q4 of FY '24. The company has also achieved highest quarterly EBITDA and PAT margins at around 28% and 18%, respectively.

The domestic explosives volume for the quarter grew by 16% year-on-year basis, which is in line with our annual guidance for the year '25. The government budget for FY '25, with increased capital outlay and greater emphasis on infrastructure development, housing and roads, is bound to increase demand for explosives. We are pleased to share that the Defence revenue stands at INR204 crores for this quarter, registering a growth of 32% year-on-year basis.

The company has delivered first lot of indigenously developed loitering munition to the armed forces. We have also developed loitering munitions, SEBEX and other explosives, which proves our company's in-house R&D capabilities. With these developments and considering the current Defence order book of INR2,500 crores, we will be sailing through our annual Defence guidance of INR1,500 crores comfortably.

We expect the growth in Defence to continue with the help of much awaited Pinaka and other orders to commercialize. We are expanding our presence in 2 new countries, namely Kazakhstan and Thailand very soon. The acquisition of Problast, South Africa is in line with the company's intent to expand its operation in the international markets.

As we move forward, we are pleased to share the launch of our new powerful representation of continued progress, our brand's unique ability to uplift our stakeholders and the businesses we work with.

Now I will hand over the call to Aanchal for a quick update on quarter numbers. Thank you.

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Aanchal Kewlani: Thank you so much, sir. As our MD said, we are pleased to unveil a new corporate logo, which aims to align with the vision, mission, values, vibrant heritage and culture of our company. The new logo is a visual narrative that captures the essence of perpetual growth, innovation and advancing the industries we serve. It gives us immense satisfaction to present the result of our journey reflecting the efforts we put in.

We achieved the revenue of INR1,695 crores versus INR1,682 crores in the previous quarter same year. EBITDA at INR474 crores versus INR331 crores, increased by 43% year-on-year. PBT stands at INR4

08 crores versus INR272 crores, increased by 50% year-on-year. And PAT stands at INR301 crores versus INR202 crores, increased by 49% year-on-year.

Now let's quickly review the volume side. Explosives, the domestic volume in the quarter increased by 16%. Our realization of explosives showed a degrowth of 12%. Explosive revenue was up by 3%. Revenue from initiating system was up by 12%.

Coming to the customer's basket. Revenue from CIL was INR246 crores versus INR268 crores. Revenue from non-CIL & Institutional business was INR304 versus INR293 crores. Revenue from Housing & Infra was INR353 crores versus INR349 crores. Export & Overseas revenue showed INR579 crores versus INR605 crores. Defence revenue was up. It was around INR204 crores versus INR155 crores.

Coming to the cost. Raw material, material consumption cost decreased by 10% in absolute terms, employee costs will increase by 31%. Other expenses cost has come down. Our EBITDA margin for the quarter reached to the levels close to 28% and the same grew by 826 bps. The interest cost has gone up by 11%. Depreciation has increased by 17% on account of capex. The profit before tax stands at INR408 crores with a growth of 50%. The net profit in absolute terms is up by 49%, stand at INR301 crores.

Now we would be happy to take any questions, comments and suggestions that you may have. Over to you.

Moderator: The first question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: I want to congratulate the management for an excellent set of numbers. I have 2 questions. The first one is essentially on the Defence side. So we have developed the new explosives which are sort of, I would say, cutting edge in technology. Now there were media reports that we have been approved or inspected by Navy. So just wanted to understand the further developments in this regard. Are we also going ahead with the development -- sorry, with the approval from Army, Air Force? What would be the total market opportunity for this? And when we are going to commercialize it? So this is the first question.

Manish Nuwal: Yes. Thank you, Amit. As you have mentioned that the company has developed the new products which are more literal in its power. And the advantage will be that these products will act as a game changer for the products which we are offering in the market because of its nature of the strength of the product. And as we move forward, like, Indian Navy has qualified the product for Defence usages. And the armed forces like Army and Air Force will also be looking forward to acquire products, which have more power as such.

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So definitely, these products will help the company to offer better products and get more revenue of these products. But it is difficult to predict any market at this stage and the time line for the moment.

Amit Dixit: Understand, sir. The second question is, again, on Defence. So recently, there were media articles that there was -- written by the Deputy Chief of Air Staff to your recently commissioned chaff factory. Now chaff is something, which I understand is very interesting because in the 5th Positive Indigenisation List, there are mentions of chaff.

So how do we see this? Because we have seen some sizable orders in the past also. So how do we see these shaping up? When will the factory be ready for commercial production?

Manish Nuwal: Yes. We have recently inaugurated this facility to produce chaff and flares and these are acting as electronic countermeasure devices for protecting the military air crafts. So as you are aware that our company is the first company in India to start these products as 100% indigenous under the IDDM route. So the production has already started. And as we move forward, we are expecting more orders or orders to come from Air Force. Once those things are in place, we will definitely share with all t

he stakeholders.

Amit Dixit: Sir, one last one and the bookkeeping question. The other expenses have declined quite meaningfully. So is it due to some of the provisions that we might have rolled back? Or is it purely because of the operational performance?

Manish Nuwal: If you look at the business and if you look at my Q4 press note also, we have mentioned that we are expecting better volumes in the year, which was around 15% and we were expecting International business to do better. So if you look at the Q1 numbers, the business from International business as such has not performed on a top line basis. But as far as bottom line is concerned, the results from international business has improved. .

On another side, the -- as far as percentage mix is concerned, the business from international has a little bit reduced, and Defence has increased. So as a result of the combination of 2, 3 factors; first, the International business has performed better; Defence has started performing better than the previous year-on-year quarter. And the domestic business and percentage has been better than the International. As a result of which, the other expenses has gone down by around 4%. And another factor which has helped is, the -- a little bit of softening on the losses because of hyperinflation or foreign exchanges, currency factor.

So these things has helped us to achieve a better EBITDA margin. Otherwise, also, in Q4, we have said that in this financial year, we are expecting better EBITDA margins. So in the last year, it was around 23% approx. And in this year, we are expecting better than 23%. So it is a summation of all the efforts and all the business dynamics, which we have already shared.

Moderator: The next question is from the line of Dipen Vakil from PhillipCapital.

Dipen Vakil: Congratulations on great margin. Sir, my first question is, sir, in this quarter, what were your major new order wins? And how was the split between Defence and other explosives? And that
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leading to, can you also give us a split between -- in the order book between Coal India, SCCL and Defence?

Shalinee Mandhana: Your first question was with respect to -- if I take the order book. So the current order book stands at around INR4,750 crores plus. So Defence is also around INR2500 crores and currently, no big orders have come in this quarter.

Dipen Vakil: My second question is on the prices for ammonium nitrate. So how has been the prices for ammonium nitrate in the first quarter and how the trend has been going ahead up since the first quarter ended?

Manish Nuwal: The ammonium nitrate prices are almost similar to the prices which we have seen in the Q4.

Dipen Vakil: And going ahead, do we expect them to rise or stay in the similar level?

Manish Nuwal: We don't expect major fluctuation in ammonium nitrate prices as we work out.

Dipen Vakil: Just last one, further clarification on your order book. You mentioned that you have a Defence order book of INR2500 crores. So is it possible to give a slightly better split as to which are the major orders in Defence?

Manish Nuwal: So like we have been saying all the time that the company has a vast product portfolio in different sectors. So everything will -- basically either it is energy materials, propylene, pyros, fuses and rockets and it's a combination of all these products as a result of which we have an order book of around INR2,500 crores.

Moderator: The next question is from the line of CA Garvit Goyal from NVEST Analytics Advisory LLP.

CA Garvit Goyal: Just one question on the Defence sector. In your annual report, you mentioned and you are anticipating a decent order inflows from the Defence sector in the next 2 to 3 years, which will drive our significant growth in this segment. So given that our existing order book is INR2,500 crores, of which I think we are expecting INR1,300 crores to be

executed this year itself. .

So could you please elaborate on what are the major products constituted in the existing order book and the specific products that we expect to receive in the future orders? And additionally, can you also quantify the size of the order inflows that we are expecting in, say, next 2 to 3 years?

Manish Nuwal: So like we have said, we are expecting large orders for our Defence sector. And the current order book is INR2,500 crores and Pinaka orders are also likely to come soon, but because of elections and then government formation, certain decision-making has slowed down for a couple of months, but we are expecting orders to receive very soon. And Pinaka will be one of the biggest orders which we are expecting. And apart from that, there are plenty of other products on which we have worked in the last 7, 8 years. So we are expecting orders from all those products. And as a result, we are expecting more businesses from Defence side. For this year, we have given a guidance of INR1,500 crores. And as we move forward, we will give annual guidance on Defence side. .

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CA Garvit Goyal: Understood, sir. And sir, what are the orders that are in currently pipeline for R&D purpose in the Defence sector that we are currently working on?

Manish Nuwal: I already replied to your point.

Moderator: The next question is from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: Sir, just one on your margin, the way you said, look, last year, we did about 23% and we will do better than this in this year. Can you help us understand what is driving this? The margin.

Because every year -- we are somewhat increasing margins every year now. Can you help us and generally used to say that 22% plus is what our guidance is.

So directionally, how one should look your EBITDA margin? Given your operational leverage will be at play, you are still very confident on your Defence revenues plus new order wins that you talked about. But directionally, when we look at for next 1 to 2 years or 2 years plus, what kind of an EBITDA margin range one should look at it?

Manish Nuwal: Yes. Like I said that in the last year, we have achieved EBITDA margin of 23%, and that was despite of various fluctuations in foreign exchange and commodity side. So definitely, we should have achieved even a little more than 23%. So as a result of a little bit of softening on the negative impact of foreign exchange or hyperinflation, we are in a little better position.

Apart from this factor, like we have been mentioning that International business should do better.

So actually, it has been very good. As far as South Africa, which was making losses in last many

years since inception, so that has also turned around, and we have reached to a first-time profit before tax level, we have achieved on a positive side.

Apart from this, domestic business is also doing quite good. The volume last year, we have achieved around 20% growth. And in this year also, we are targeting plus 15%. So in this quarter, we have almost crossed 15% level. So if you combine all these factors, along with the increasing Defence business, we expect that EBITDA margin should be more than 23%.

As far as direction is concerned, definitely, the current EBITDA margin of 27%, 28% is on a very good or higher side. But we expect that 25%, we should be able to achieve.

Nitin Arora: This is very helpful, sir. Just on your Defence side, and you said that we will provide the guidance closer to this year-end for the next year. But again, a directional question because now the products are getting approved across what you have developed even, I think 1 participant talked about the new explosive part, which also looks very -- in technology-wise, very high upgrade you have done.

In next 2 to 3 years, do you have anything in mind that this is something will be my Defence revenue?

Because now it looks like ordering has happened -- started happening. And as far as the approval is very behind now, what 3, 4 years, we were looking at it, that approval is not coming. Now everything you have passed. So any directional guidance, sir, that would be helpful.

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Manish Nuwal: Like if you look at last year's revenue from Defence was around INR550 crores. This year, we are expecting INR1,500 crores. And once Pinaka and other products start delivering better results and the recent R&D efforts on developing products, which can add more liability to the evolution. So definitely, we are expecting much bigger numbers in coming years. But like I said, it will be too early. Why? Because if you look at the nature of the industry, although there are plenty of geopolitical conflicts happening but the pace at which Defence industry moves is always quite different. So as a prudent practice, we don't want to give any rosy picture. But yes, we are very optimistic and we are expecting much better top line and bottom line as we move forward.

Moderator: The next question is from the line of Amit Vijay from A One Investments. Due to no response from the current participant, we will move on to the next participant. The next question is from the line of Ravi Naredi from Naredi Investments. Due to no response from the current participant, we will move on to the next participant. The next question is from the line of Prabir from Ratnabali.

Prabir: I have questions from chaffs and flares. Sir, currently, you said that you just have inaugurated the facility. So when from this -- the operations from this facility will start? This is number one.

And number two is, you said that you will be the first company, which will have 100% indigenous chaffs and flares. But I guess in this field, Premier Explosives are already -- is already supplying this to Air Force. So is it right, what you have said just to, if you can clarify, sir?

Manish Nuwal: Yes. Like I said that we have started manufacturing chaffs and flares. And I also said that we are the first private company, which is making 100% indigenous chaffs and flares. So I stand by my word, and I cannot comment on what others are doing.

Prabir: And you supply -- you already supply or you will supply going ahead? .

Manish Nuwal: So once we receive the orders for these kind of products, we will let you know. .

Prabir: And sir, you guided that you are expecting a large order for Pinaka. So can you quantify to some extent what can be that size?

Manish Nuwal: So like we have said in our previous calls that we have already participated in the RFPs. And based on the official update, we are also L1 in the offerings, which we have made. So based on them, once we finish all the contractual negotiations or contractual formalities, we will come out with the exact number. Otherwise, it is not prudent to share at this stage, the exact number or all that.

But it is definitely going to be very big orders. And big means biggest of Solar's history, the order book.

Moderator: The next follow-up question is from the line of Dipen Vakil from PhillipCapital.

Dipen Vakil: My next question was on capex. Any capex that you have done in first quarter and what are your capex plan for FY '25?

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Manish Nuwal: This year, we have given that we are expecting the capex to be around INR800 crores. And in the Q1, we have done around INR200 crores.

Dipen Vakil: Got it, sir. Sir, next question is on your ammunition side of business. So what kind of demand

scenario we are witnessing, especially from a domestic defence and also the export opportunities?

Manish Nuwal: Yes. If you look at the global geopolitical situation, the demand for these products seems to be very good. But the time line on submitting RFPs, getting orders and then starting the supply

chain or starting the supply, it takes its own time. So as far as the current update is concerned,

we see that there is a good demand for these products. .

Moderator: The next question is from the line of Jay Jain from Beyond Capital.

Jay Jain: I just wanted one clarification. On Page 31 of your annual report, you have mentioned two orders worth INR455 crores and INR994 crores in Defence export side. Can you elaborate more on that?

Manish Nuwal: Like you have said that we have mentioned, we have received a couple of orders for supplying defence products for the international market. And it's true that we, as a company, have a strong goodwill as far as [inaudible 0:27:48], and we received all those orders. But because of the confidentiality clauses, we cannot name the country, we cannot name the product, we cannot name the customers. So that is the limitation which we have.

Jay Jain: Okay. And these are 2 orders, right? These are additional multiple orders?

Manish Nuwal: So you go through the -- our announcement, you will get all the details. .

Moderator: The next question is from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Mr. Manishji, you and your team did miracle, top line increased 1% while profit after tax rises 49% due to enhanced of margin. It seems we are in perfect monopoly business. This happens due to your fantastic management under your leadership -- under your leadership and leadership of the Supply and Demand, we salute you on this performance.

Now my question is, are these higher margins sustainable in financial year '25? And can you tell margin in Defence segments separately, if possible?

Manish Nuwal: As far as the margin, what we achieved is, like you said, is the highest ever and we achieved around 28%. And for the whole year, we have given a guidance at the end of Q4 was 23% plus. So if we look at the overall business dynamics and kind of the business, we have -- our businesses are performing, especially in the international markets. especially in Defence and upcoming orders from various other products, we are expecting that we should be able to achieve EBITDA margins of around 25% in this financial year.

Ravi Naredi: And this loitering munition system, what work it does? Can you tell in this matter?

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Manish Nuwal: Yes. We have already shared about this product in this conference call. You can go through the details there.

Ravi Naredi: And what will be total capex, including Kazakhstan and Thailand in financial year '25 and '26?

Manish Nuwal: So the total capex plan for year '25 is around INR800 crores. And the expansions which we are doing in Kazakhstan, Thailand and Defence and domestic business is part of that purpose.

Moderator: The next question is from the line of Nirav from ASK Investment Managers.

Nirav: My question pertains to our planned entry in export markets, that is Thailand and Kazakhstan.

So just wanted to check, will we have to set up our manufacturing units across these locations?

Or is it like we will be manufacturing from India and we will be exporting?

Manish Nuwal: These are the manufacturing units which we are planning.

Nirav: Sorry, I didn't get you. It's manufacturing in India and exports from India. Is that right?

Manish Nuwal: No, no. We are setting up the manufacturing relates in Kazakhstan and Thailand.

Nirav: Okay. That -- got your point. And sir, this INR800 crores of capex that you are planning in FY '25, would it be possible for you to give a more granular breakup of it, how much of it will be in India? How much of it will be in Thailand and Kazakhstan? And in India, which are the areas where we are expanding our capacity?

Shalinee Mandhana: As Manishji said that the total planned capex for the year is around INR800 crores. But as a policy matter, we give the details at the year-end final results on particular Bifurcation of India and dome

stic, international and Defence.

Moderator: The next question is from the line of Pratik from Trivikram Consultancy.

Pratik: Congrats on good set of numbers. Sir, my first question was on forex. So what are -- what was the forex gain or loss for this quarter and for the last quarter?

Shalinee Mandhana: Yes. So as we have spoken in the call that the EBITDA margin of 28% hasn't reached because of softening -- some portion of that have been because of the softening in the forex volatility.

However forex being a part of our cost, currently I do not have much of the figures in hand, we'll get back to you.

Pratik: And my second question on Defence. Now the Defence is now causing a major chunk in the revenue so can you throw some color on bills receivable side to get more clarity on cash flows

from that Defence orders?

Shalinee Mandhana: Sorry, your question is not audible.

Moderator: Sir, may I request you to please use your handset.

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Pratik: Sir, my second question was on Defence book. So now Defence is now causing a major chunk in your revenues, so can you throw some color on bills receivable side of the Defence part to get more clarity on cash flows from the Defence orders?

Shalinee Mandhana: The Defence currently stands at 12% of our sales as it stands at INR204 crores we've done in this quarter. With regard to cash flow, we come up in a quarterly and annual results -- sorry, half-yearly and annual results.

Moderator: The next question is from the line of Tanay from Nomura.

Tanay Rasal: Congratulations on the great set of numbers...

Moderator: Sorry to interrupt you, sir. May I request you to please use your handset?

Tanay Rasal: I had a question on exports. So it has been relatively softer for the last 2 quarters. So can you give me the color on how the different geographies are performing in this quarter?

Shalinee Mandhana: So quarter wise, we do not give country-wise numbers. But on overall basis, we have said that current year, the exports and overseas market will be doing better, and that can be seen in our results with respect to margins and profit? However the basket -- if you see as a basket, currently, the top line has softened, and it stands around 34% of the top line revenue, which comes to around INR579 crores.

Tanay Rasal: Okay. Ma'am, but any qualitative aspects on the geographies that you have been in? Any qualitative aspects?

Shalinee Mandhana: We consider business as a whole, the domestic market, export market, international as well as Defence. So on overall view, as I have said that currently, the export in overseas stands at around 34% of the basket.

Tanay Rasal: Okay. Okay. Ma'am, and for this particular year, you're guiding Defence revenues at around INR1,500 crores. So -- and going forward, there will be some incremental revenues on this. So is there incremental capex that you're planning especially for the Defence, for the current base that will be suffice for this revenue growth that you're targeting?

Shalinee Mandhana: So as we said, the current capex share is around INR800 crores and around INR200 crores. So this will take of defence shipment as well as domestic.

Tanay Rasal: Ma'am, and what is the total that the -- amount that you invested in the Defence business till date?

Shalinee Mandhana: So it's around INR1,000 crores plus.

Moderator: The next follow-up question is from the line of Amit Vijay from A One Investments.

Amit Vijay: Congratulations Manishji, for wonderful performance. Other questions being answered, only question remained is capacity utilization of plants, specifically for Defence products.

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Manish Nuwal: So as far as capacity utilization, we always say that we are handling thousands of SKUs. And every SKU is measured in Defence terminology. So it is very difficult to give any capacity utilization fact

r for a company like Solar. So we are sorry, we cannot answer to what -- answer your question to that extent, which you are expecting.

Moderator: The next question is from the line of Sanjeev Panda, who is an Individual Investor.

Sanjeev Panda: This is Sanjeev. Sir, the Defence space itself is opening up. And after a long time, India is witnessing such a massive investment and opportunity for the domestic firms. And your existing business line from that, we are definitely gaining the momentum, but from a strategic point of view, are we looking at some other areas within the Defence where you think we can explore and add on our business or any new avenue?

Manish Nuwal: Like we have been sharing that we are -- our efforts on R&D side are quite enormous. We are continuously trying to develop new products by adopting the new technologies. And if you look at our past track record that we are the first private company in India to start manufacturing the rockets on its own. We are the first -- as far as loitering munition in private sector is concerned, we are -- it is 100% indigenous.

And if you look at the recent development on the chaff and flares and also even on -- like SEBEX and other products, we are doing -- we are putting a lot of efforts. And if you look at the potential, we all know that there are plenty of opportunities coming up in this different sector.

So our company is working really hard and we are focusing on multiple products. And we are expecting that the efforts which we are putting into our line of business, we should expect much better revenues and results from this sector.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Aanchal Kewlani: Thank you. On behalf of Solar Industries, I extend heartfelt gratitude to all participants for their time. Thank you. See you in next quarter.

Moderator: On behalf of Nomura Financial Advisories and Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

November 16, 2024

To, To,
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra Kurla Complex Floor no. 25, PJ Towers
Bandra (E) Dalal Street
Mumbai - 400 051 Mumbai – 400 001
Trading Symbol: “SOLARINDS” Scrip Code: 532725
Through NEAPS Through BSE Listing Center

Subject: Transcription of Conference Call with reference to the Unaudited Financial Results for the quarter and half year ended on September 30, 2024 with the Management of the Company.

Dear Sir /Madam ,

Further to our letter dated November 7, 2024 we are forwarding herewith a copy of Transcription of Conference Call hosted by Nirmal Bang Institutional Equities , on Thursday, November 14, 2024 at 11.00 a.m. to discuss the Unaudited Financial Results of the Company for the quarter and half year ended on September 30, 2024 with the Management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari
Company Secretary &
Compliance Officer

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“Solar Industries India Limited
Q2 FY’25 Earnings Conference Call ”
November 14 , 2024

MANAGEMENT : MR. MANISH NUWAL - CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – SOLAR INDUSTRIES
INDIA LIMITED
MR. SURESH MENON - EXECUTIVE DIRECTOR – SOLAR
INDUSTRIES INDIA LIMITED
MR. MONEESH AGRAWAL - JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
MS. SHALINEE MANDHANA – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
MR. MILIND DESHMUKH -- EXECUTIVE DIRECTOR--
SOLAR INDUSTRIES INDIA LIMITED
MS. AANCHAL KEWLANI – INVESTOR RELATIONS –
SOLAR INDUSTRIES INDIA LIMITED

MODERATOR : MS. NATASHA JAIN -- NIRMAL BANG INSTITUTIONAL
EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to Solar Industries Limited Q2 FY '25 Earnings Conference Call hosted by Nirmal Bang Institutional Equities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Institutional Equities. Thank you, and over to you, ma'am.

Natasha Jain: Thank you, Manav, and good morning, everyone. We welcome all of you to the Second Quarter FY '25 Earnings Conference Call of Solar Industries India Limited. Today on the call from the management, we have Mr. Manish Nuwal, MD and CEO; Mr. Suresh Menon, Executive Director; Mr. Milind Deshmukh, Executive Director; Mr. Moneesh Agrawal, joint CFO; Ms. Shalinee Mandhana, joint CFO; and Ms. Aanchal Kewlani, SRM and IRM.

I would now like to hand over the call to Aanchal. Thank you, and over to you, ma'am.

Aanchal Kewlani: Thank you so much, Natasha. It's a pleasure to have you on the call. A very good morning to our dear stakeholders and well -wishers. My name is Aanchal and I would like to welcome you all to the Solar Industries India Limited second quarter and half yearly conference call of FY '25. This call's recording, including the transcript, will be available on the site. The financial statements, quarterly fact sheets, investor presentation and press release are also available on our website.

To begin with, I would like to remind you that during the call, we might make projections of other forward -looking statements regarding future events and about the future financial performance. Please remember that such statements are only predictions. Actual events or results may differ materially. And our website will be updated with all relevant information timely.

Now I would request Solar's CEO and MD, Mr. Manishji Nuwal for his opening remarks on the company's performance followed by Q&A session. Thank you. Over to you, sir.

Manish Nuwal: A very good morning to all the well -wishers and stakeholders of Solar. With much enthusiasm, I take this opportunity to highlight Solar's resilience and strategic agility. The second quarter of this year, once again, brings us the privilege of announcing record achievements across key metrics. We have delivered a robust performance by registering the growth of 27% year -on-year in this quarter.

We have achieved the highest ever quarterly EBITDA and profit after tax at INR475 crores and INR304 crores, registering a PAT growth of 45% year -on-year and highest ever half yearly EBITDA and PAT at INR949 crores and INR604 crores, registering a PAT growth of 47% in the first half of the year FY '25.

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The company has also achieved highest ever quarterly -- highest ever yearly EBITDA and PAT margins at around 27.9% and 17.7%, respectively. The company's portfolio expansions and capacity products from energetic materials to ammunitions has received a strong support from India's defense contracts and export orders. We are expecting the Pinaka orders very soon, along with the orders from international customers.

We are glad to share that the defence section potential has started unfolding with the revenue growth of 204% year -on-year and increasing threefold from INR106 crores to INR322 crores in this quarter. We are optimistic of achieving defence product sales of INR1,500 crores, with defence reaching around 20% of our total sales for the year FY '25. We remain confident in Solar Industries growth trajectory, which will continue to drive long -term

value for our
investors and stakeholders.

As we move forward, the government's ongoing commitment to housing and infrastructure development, along with the rising power demand gives us confidence to reach our annual guidance. Our industry has faced subdued demand due to elections and heavy monsoon season, impacting the execution of mining and infrastructure activities in the first half of the year. Despite these strong headwinds, we have achieved a growth due to robust performances from our international business and defence section.

We are happy to highlight that we have recently backed the 2 -year order from Singareni Collieries to the tune of INR887 crores and defence products worth INR1,110 crores,

consolidating our current order book to INR5,700 crores plus. On the backdrop of these orders and upcoming opportunities, we are revising our annual CapEx guidance significantly upward from INR800 crores to INR1,200 crores for the year '25. The progress made by the company over the past 2.5 decades, with substantial contracts across defense, in distal explosives and export segment. Solar Industries has fortified 5 order books and laid a solid foundation for sustained growth.

Our development has been radical as we continue to explore growth opportunities. We remain committed to high performance culture, which will help the company to create value for the stakeholders.

Now I will hand over the call to Aanchal for the quarterly update. Thank you.

Aanchal Kewlani: Thank you so much, sir. Before beginning, I would like to highlight on major quarter updates.

Highest ever quarterly EBITDA at INR475 crores and PAT at INR304 crores. Highest ever quarterly defence revenue registered at INR322 crores, highest ever order book crossing INR5,700 crores, revised CapEx for FY '25 from INR800 crores to INR1,200 crores.

We have already shared the investor presentation, carrying all necessary information for your operations. So we will go quickly through the numbers. The consolidated revenue for the quarter is INR1,716 crores versus INR1,347 crores and for half year, INR3,401 crores versus INR3,030 crores. Our explosive volume for the quarter and half yearly has increased by 7% and 12%, respectively. Initiating Systems revenue increased by 2% in the half year. The percentage of the sectors in the customer basket are as follows: CIL is down in the basket to Solar Industries India Limited

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10% from 14%. Non-CIL & institutional is at 13% from 15%. H&I is at 11% in the basket.

Exports and overseas is almost similar at 46% from 47%, and defence has increased and is at 19%, quite close to our annual guidance of reaching 20% from 8% in the basket in the previous year.

In the half year, the basket more or less remains the same, except for CIL, which has come down from 15% to 12% in defence, which is majorly increased from 9% to 15% in the basket.

And in absolute terms, the same has increased by 98% year-on-year. Raw material consumption for the quarter stands at INR843 crores versus INR653 crores and for half year, it stands at INR1,713 crores versus INR1,615 crores.

Coming to employee costs, the employee cost for the quarter stands at INR145 crores against INR103 crores. And for half year, it is INR276 crores against INR203 crores. Other expenses for the quarter stand at INR283 crores versus INR255 crores in the quarter. And for half year, it stands at INR518 crores.

Coming to EBITDA. We reported an EBITDA of INR475 crores against INR344 crores showing a decent rise in the margin from 25.52% to 27.70% in the seasonally weak quarter.

We reported half yearly EBITDA of INR949 crores against INR675 crores with a margin of 27.90% against 22.29%. Interest and finance charges. The costs stand at INR30 crores against INR25 crores and for half yearly, the cost stands at INR57 crores against INR50 crores.

Depreciation cost stands at INR44 cr

versus INR34 crores. And for half yearly, it stands at

INR84 crores against INR68 crores. PBT stands at INR407 crores against INR285 crores. And for the half year, it stands at INR815 crores versus INR557 crores.

For PAT, highest ever quarterly PAT stands at INR304 crores, against INR209 crores, with margin standing at 17.70% against 15.51%. For the half year, it stands at INR604 crores against INR411 crores with a margin of 17.77% against 13.55%. These were the updates for the quarter and half year consolidated.

This is all from our side. Now we would be happy to take any questions, comments or suggestions that you may have. Over to you, Natasha.

Natasha Jain: Yes. So Manav, can you please start the Q&A round.

Moderator: We have our first question from the line of Bharat Shah from ASK Investments.

Bharat Shah: Remarkable results, congratulations to the team, just one question. I was looking at last 3 to 4 years of the results quarter-by-quarter. And it's evident that what is the volume sold and trying to relate to the profits made or profitability in terms of the margin is easy or very directly correlated exercise. So therefore, I presume amount of -- or the quantity of the volume sold relatively has low correlation with the profits made.

Profits will be the function, I suppose, of the mix. So clearly, defence has gone up as a percentage. And that has a deep impact on the margins also, the highest ever margins in a quarter. Is that a correct way to judge? Because quantitative volumes sold have varied even in Solar Industries India Limited

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a high volume sold, profits have been lower in some quarters and low volume sold also the profits have been much higher. Therefore, I think the profits are more coordinated to the mix and the maybe the raw material situation at a particular point of time as well. So I just wanted to have...

Manish Nuwal: Actually, if you look at the last 3, 4 years of our bottom line analysis, it's very clearly evident that the way the defence as well as international business is unfolding, it is helping us to increase our EBITDA margins. And before last 3, 4 years, we were continuously investing for creating infrastructure for defence, development of product. At the same time, we were expanding in new territories across the globe. So as a result, during those periods, the impact was there of higher overheads and higher depreciation, higher interest.

At the same time, we were facing losses due to foreign exchange fluctuations. So once we are coming out of those headwinds, so we are getting better EBITDA margins and as a result, better profit after tax also. So as far as volumes are concerned, definitely, sir, volumes are impacting or giving a positive support for the bottom line because the volumes which we are mentioning is only for Indian market. At the same time, in the international business, we are also expanding our volumes like I said. So it's a combination of these 2, 3 factors, which is helping us to deliver better results.

Bharat Shah: Right, which means, essentially, given the fact that defence is a rich margin or richer margin business in the international business also, I presume, is a richer profitability business. How they shape up, coupled with the volumes will really determine the amount of profits we make rather than looking at volumes in isolation. And volumes, as you correctly explained, is purely domestic and doesn't have impact from the other 2 activities.

Manish Nuwal: True story. That is what the reality is.

Bharat Shah: Okay. Okay. And again, remarkable performance in a quarter which is seasonally otherwise not the best quarter, domestically speaking.

Manish Nuwal: Correct, sir. Correct.

Moderator: We have our next question from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Congratulations for great performance, sir, and particularly the moment

um on defence is very

heartening. I have 2 questions on defence side only. So the first one is on that we have recently developed 3 new explosives, which were approved by Navy. So just wanted to get an update that what is happening on Air or Army? Where are we on that? And if there is any development on commercialization of these exposes as well as if you could highlight the further development in case of chaffs and -- chaff factory that whether we have sent any product for approval, the status over there?

Manish Nuwal: Yes. Like we have shared in our previous quarters that we have developed the products like SEBEX and related products through our in-house R&D efforts, and those are definitely path - breaking products for our company's future growth. So like we have shared that these products are being tested by Navy and definitely going to add into the product list very soon.

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But Amit, like you are aware that the qualifying the product, developing the product based on these raw materials, it takes time. So these are long -term initiatives, which will definitely deliver positive support for the company. And as far as the facility for chaff and flares are concerned, it is first of it's kind in India, which will be provisioning these products. So we have already participated in the RFPs, which require the products to be made in India, designed by Indian sources. So we are expecting the outcomes. So as we receive the orders, we will definitely share with all our stakeholders.

Amit Dixit: Okay. Sir, the second one is on Pinaka. While in the prepared remarks, you mentioned that we are expecting the order soon, but we have also certain media reports suggest that France is also showing interest in Pinaka. So once we get the domestic order, do we see significant export opportunities? Previously, I think they were kind of limited to, as we understand, to basically other friendly countries, but now with France coming and showing its interest, I think it becomes even more widespread. So just wanted to get your comments on that.

Manish Nuwal: Yes. Like I have shared in my previous quarterly call that we are going to receive Pinaka order very soon. So very unfortunate that we have still not received the order. We were expecting orders to reach in our hand in the last month itself. But based on the Diwali vacation and long holiday season, so I think it got delayed due to all those reasons. And now we are expecting that in a month's time, we should receive, we should start getting Pinaka orders. So those will be definitely big milestone for our company.

Similarly, if you look at the -- apart from Indian opportunities, we all have seen the press

articles, which shows that a lot of countries are showing interest in buying the products which is definitely a big achievement for Indian defence industry, Indian defence research organizations that countries like France are showing interest in buying these products. But definitely, as we move forward, there will be many such opportunities which can come up from friendly countries. So we are also looking forward for those opportunities. So whenever it will come, definitely, we will be there in the system or we will definitely get orders.

Amit Dixit: Sir, one more, if I can squeeze in again on defence. The DRDO has reached -- recently, we read certain articles that DRDO is kind of developing long -range rockets with guided rockets with an Indian company. So there could be a production order also for the same. So are we involved in this in some way or it is, I mean, too early to comment anything on this?

Manish Nuwal: Definitely, we have also -- we are also aware that there are efforts in developing the longer range Pinaka rockets. So as such, it will be a bigger opportunity for a company like us to be participating in those programs. But since these programs are stil

I in initial stages. So as we

move forward, as we know, the things very clearly, we will keep you updated.

Moderator: We have our next question from the line of Dipen Vakil from PhillipCapital.

Dipen Vakil: Congratulations on a great execution quarter. Sir, my first question is in the line of -- in the order book, is it possible to give us a split between defence and nondefense?

Shalinee Mandhana: Total order book stands at INR5,757 crores. So out of that, defence stands at around INR3,336 crores and around INR2,224 crores is for explosives.

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Dipen Vakil: Noted, sir. Sir. And next question is, how has raw material prices mainly ammonium nitrate prices moved in last, say 1 year -- either year -on-year basis or quarter -on-quarter basis, if you can help us with the prices for those, please?

Shalinee Mandhana: See, year -on-year basis, the raw material prices have been flat. So as you've see in our realization, it's around 2% fall. So raw material prices have fallen and currently, they have stabilized.

Dipen Vakil: Sir, 1 last question. Sir, we have some new product development in the form of Bhargavastra. So -- and what stage would that be in right now? And are there trials or when will be the orders expected for that?

Manish Nuwal: So we are developing this product from last couple of years. And we have also received some request for proposals where we have to share the specifications and we have to fine -tune those specifications based on the user requirements. So it is at that stage. But once RFP comes up, once we participate and once we receive the orders, we will share with you. But it is not going to be over in the next 6 months or 12 months. It may take 1 year or it may take 2 years also. We are definitely on the verge of developing and qualifying the products for armed forces requirements.

Dipen Vakil: Got it, sir. Sir, the export orders that we have received in last month or so, most of them are explosive orders or a lot of them are equipment or production orders?

Manish Nuwal: The orders details has already been shared. And if you look at those, then in the past 2 orders from international customers are for the defence products, and one of them was from India, which is Singareni Collieries.

Dipen Vakil: Okay. So defence orders, so that's also export orders in defence -based application, are those from like product or explosives?

Manish Nuwal: I didn't understand what you are asking actually.

Dipen Vakil: No worries. I'll fall back on the queue and come back again.

Moderator: We have our next question from the line of Pratik Mukasdar from RNL Investments.

Pratik Mukasdar Congratulations for a great set of numbers. And it is even heartening to see the guidance which you have given. I just want to ask, since you are dealing closely with the government every time and government spending in the last 6, 8 months due to election and all, and various other reasons is very slow. So as per your experience, what do you think about the government CapEx picking up? And secondly, is our EBITDA and PAT margin sustainable?

Manish Nuwal: There are a couple of things like in every country, whenever there are elections. So definitely for a certain period of time, the decision -makers and bureaucracies are always involved and busy for those things. In India also, we have seen the similar thing because of election, a couple of months in this first half were getting slowed down because of those factors. If you look at the rainy season, which we all are aware of, this year, the country has seen record

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rainfall and normally it is above average by around 10%, which has impacted the mining and infrastructure activities.

But if you look at the India's growth projections and the government emphasis on housing and infrastr

ucture. And if you look at the power demand, which was say, around 8% in the first half of the year. If you take out only 1 month of September, then definitely it is around 8%, which is a big rise in power consumption. So if you capture all these factors, so there can be seasonal up and down or 1 or 2 months of lag here or there. But on an overall basis, demand situation looks good to us.

And as far as the EBITDA margins are concerned, I have answered this question in just a couple of minutes back. Sir, as we are unfolding our capacities, as we are unlocking our defence verticals, so definitely, as a result of that, our EBITDA margin has increased. In last couple of years, we were seeing that EBITDA margin for our company, we were giving or sharing guidance of 20%, 22%, which has increased now 25% plus and in this quarter, we are seeing that it is 27% plus.

So if you look at all those things, definitely, it's an outcome of our efforts in the last many years of setting up infrastructure facilities and developing a variety of products, expanding ourselves in a variety of geographies. So as a result of all these efforts, we have seen better EBITDA margins. As far as sustainability of these margins in future is concerned, it is quite unreasonably optimistic on my part, if I say that we will achieve 30%, 20% every year.

Definitely. It's a wish of every company that we should maintain all these margins. And we are reasonably optimistic that we should achieve 25% plus EBITDA margin going forward as well.

Moderator: We have our next question from the line of Chirag Muchhala from Centrum Broking.

Chirag Muchhala: Sir, the question is on international markets. So in Q2, we have consolidated the South African entity, Problast. So sir, is it possible to share how much it is contributing sales?

Manish Nuwal: In this quarter, the international business has delivered INR799 crores revenue, and it includes all those subsidiaries.

Chirag Muchhala: Correct. But would Problast be very large as in kind of...

Manish Nuwal: You will get the country -wise details at the annual results, which we will share after the end of this financial year.

Chirag Muchhala: Okay, sir. And directionally speaking, so a couple of large countries for us, which is Nigeria and Turkey. So how are their outlook for FY '25 considering that both of them have gone through individual country -specific problems last year? So in the H1, how was the demand?

And how is the outlook for this year?

Manish Nuwal: Yes. We have seen that in the last couple of years, we were struggling a lot in those new territories. But after taking a lot of corrective measures, we have seen a lot of improvements in South Africa and nearby countries and even in Australia also. So we are expecting and we

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have seen that those countries are showing a lot of positive turnaround. And as a result, performance has also improved and which has helped us in improving our margin also. So we believe that this momentum will continue.

Chirag Muchhala: Okay. And sir, for the Southeast Asian region, like Australia and Indonesia. So are both these countries' operations PAT positive now? And I mean what is our progress in terms of getting client approvals and revenue booking, et cetera?

Manish Nuwal: Yes. We have set up the infrastructure. We got the licenses now, and we have started the operations. And now we are EBITDA positive in all those subsidiaries.

Chirag Muchhala: Okay. Okay. And sir, lastly, in terms of CapEx, as we have announced the CapEx from INR800 crores to INR1,200 crores. So 2 questions regarding that. Firstly, is it possible to give a breakup in terms of domestic market, overseas and defense for this INR1,200 crores?

Manish Nuwal: We will share at the end of the year, please.

Chirag Muchhala: Okay, sir. And a related question is that even in the next 1 to

2 years, will CapEx remain

elevated like INR1,000 crore plus kind of a figure will continue in FY '26, '27 as well?

Manish Nuwal: As of now, like I said that in this year, we have revised our CapEx program from INR800 crores to INR1,200 crores. Looking at strong opportunities and a lot of orders in pipeline, we believe that there will be enough opportunities where we can invest more than INR1,000 crores or INR1,200 crores on an annualized basis. but it all depends how the things turn up, but we are optimistic. And we will share the CapEx program by end of this year, where we can give certain guidance on 1 year or 2 years CapEx programs. But as of now, like we said, we are targeting or we are -- the projects in pipeline will require around INR1,200 crores of

CapEx.

Moderator: We have our next question from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Mr. Manish, you and your team deserve good accolades for nice result in H1 and since you took MD responsibility, sir, you have planned to increase CapEx and higher defence order, need high working capital. So how you plan fund for this?

Manish Nuwal: So thank you very much for appreciating our efforts. As far as CapEx programs are concerned, we have opportunities, and we have revised our CapEx program to INR1,200 crores. And most of this CapEx will be funded through our internal resources only. And we believe that by the end of this financial year, company should be debt -free with the optimism of defence orders and advances against them.

Ravi Naredi: So nice, sir. Because so many companies make QIB. So if you are not making, it is a very wonderful thing for shareholders. Sir, INR5,700 crores, we supply in how many years?

Manish Nuwal: So INR5,700 crores is the total order book and it includes explosives and defence also. And every order have different time lines. So by and large, all these -- some of them orders are for 2

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years, some of them orders are for 3 years and a few of them are also 4 to 5 years. So it depends on each order. So it is difficult to give 1 average benchmark.

Ravi Naredi: Sir, can we have the bifurcation of INR5,700 crores order?

Manish Nuwal: Yes, it is INR2,400 crores from Coal India and Singareni and INR3,300 crores approx from defence section.

Moderator: We have a follow -up question from the line of Bharat Shah from ASK Investments.

Bharat Shah: Yes. Manish, our exports and international plus the defence in this quarter is almost about 2/3 of the total turnover, almost 66%. Would you say over, say, 3 -year time frame, this percentage probably will move more like 75 -25 or 80 -20 because those seem to be the areas where greater trust overall also appears to be the -- resonate the faster growth.

Manish Nuwal: Your observation is quite right, sir, and I definitely appreciate your analytics skill. So the point you have raised is very valid, sir. If you look at the Coal India, institutional and housing infra, which is basically Indian market for us, which is around, say, 1/3 of the total basket. And balance all is from our new initiatives in last, say, 10, 12 years, which was defence and international, which is now 2/3 of our business.

As we move forward, I think defence verticals from Indian section will also go up and our international will keep doing around similar levels. But I think 2/3 percentage level is also a very high level and we believe it will continue like this. So 60% to 70% will come from these 2 new sections, and rest 30% will come from our core domestic businesses.

Moderator: We have our next question from the line of Jenish Karia from Antique Stock Broking.

Jenish Karia: Sir, the question is on working capital side. There is a significant increase in the inventory and debtor days during the half year and reduction of the payable deals. So could you please help us understand whe

re the working capital is getting blocked and is this permanent or just a one - off scenario because of muted domestic demand?

Shalinee Mandhana: Yes, you're very correct with the last line that was muted domestic demand as Mr. Manishji has spoken that the rainfall had been quite high, and it was 8% above normal, and this was highest since 2020. So as a result, the inventory, you see the numbers in inventory and the working capital days from 84, it currently stands at 89, which is well within our normal business operations, 90.

Jenish Karia: And did Manish sir says that we will be net debt free by end of this year?

Shalinee Mandhana: Yes, yes. Because we had mentioned that we'll be receiving different orders. And along with that, we'll have advances to -- considering those, we will be net debt positive by year -end.

Jenish Karia: Okay. So currently, the net debt stand at around INR8 billion. Okay, you are including the current investments also.

Moderator: The next question is from the line of Narendra from Robo Capital.

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Narendra: Congratulations on a good set of numbers. My question is on the defence side. So given the strong order pipeline that we are looking at, would it be possible to give a kind of medium - term view on where we would like our defence segment to be in terms of revenue or order book in 2 or 3 years? Would it be possible, sir?

Manish Nuwal: We have already given outlook on defence sales for this financial year, which is around INR1,500 crores. We did around INR500-odd crores in the last financial year. This year, we

are expecting INR1,500 crores. And once we receive all the orders or the orders from Pinaka and international business in next 1 or 2 quarters, we will be able to issue guidance for the next coming years.

Narendra: Okay, sir. Okay. And on the 25% margin that you said, right, it's including the defence segment as well, right, on the consol basis you are expecting.

Manish Nuwal: We say margins on overall basis, it includes explosives and defence also.

Moderator: The next question is from the line of Zaheer Makhani from -- an individual investor.

Zaheer Makhani : Manishji, my question was on the initiating systems part of our business, which I see is about INR300 crores in H1 FY '25. Does there tend to be an attachment ratio between initiating systems and explosives because explosives, domestic explosives have grown by 12% in volume terms in H1 versus 2% volume growth in initiating systems?

Shalinee Mandhana: Yes. So you are saying that, yes, we said that 12% volume growth is in explosive, but that doesn't run in proportionate. So initiating system, as you see a small part of revenue, so it stands at INR304 crores out of INR3,400 crores.

Zaheer Makhani : My question was on the disparity of growth because explosives was growing at 12% and initiating systems was growing at 2%. Is there an explanation for this?

Shalinee Mandhana: I mean, that's not much of a correlation between those 2 because initiating system is a part which is needed along with the explosives.

Zaheer Makhani : Okay. And does the -- is the margin profile for initiating systems better than explosives?

Shalinee Mandhana: Margins, as we said, we talk on overall business. So the current margin stands at 27.7% EBITDA margin, which includes both initiating system explosives, defence, everything.

Zaheer Makhani : Right. And we will be -- will it be possible to get some kind of guidance in terms of the capacity utilization for the initiative systems?

Shalinee Mandhana: Capacity utilization for a business, which we are in, it's very difficult to speak on the capacity because every -- the different products of different capacities and utilization is not possible on a product -to-product basis. One single benchmark is not there because there are different SKUs.

Zaheer Makhani : So for the init

iating systems, are we exporting this from India? Or is it also a part of the international business per se?

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Shalinee Mandhana: So it's a combination of both.

Moderator: We have our next question from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Again, I have actually 3 bookkeeping questions. The first one is on -- if I look at purchase of trading goods in the P&L statement that has gone up significantly high in this quarter. So just wanted to understand the nature of this and the trend, I mean, of this particular expense going ahead?

Shalinee Mandhana: Yes. So you know that we have received the order of loitering munitions. So loitering munitions, the drones we have purchased from one of our associates that is Z Motion and then we have supplied that, after adding explosives to it, to the government.

Amit Dixit: Okay. Okay. Got it. Got it. So once this order is executed, this will return back to the original even provided we don't get further orders. Okay. Got this. The second one is on, if I look at receivables, they have also gone up while you have explained inventory increase in one of the earlier questions, why have receivables gone up? Is it due to increasing defence proportion and international operations? Or what is the reason for that? And whether this receivables also would be unlocked as we go ahead in H2?

Shalinee Mandhana: Yes. If you see the international business has risen around 25% in this quarter -- 25% in this quarter. So obviously, the inventor -- debtor days, there are more as compared to the Indian sales. As a result, they have gone up.

Amit Dixit: Yes. And this is expected to be unlocked as we receive...

Shalinee Mandhana: That will get reduced within the normal. As such, our normal working days are from 85 to 90, the total working capital cycle is there. But on a quarter -to-quarter basis, that may differ for some number of days.

Amit Dixit: Okay. But as the defence proportion and international business proportion increases, do you expect it to remain at elevated level or it will normalize at a certain point in time?

Shalinee Mandhana: Currently, 80, 85 and 90, I said that it's a normalized level. So within that, you know 4, 5 days may increase in a quarter. It depends on the sales when the sales are made.

Amit Dixit: Okay. The last one is that we actually recorded an expense. Of course, it's a noncash expense on the account of hyperinflationary accounting. So can you just explain a bit, it is around INR18-odd crores for this quarter, INR26 crores for H1, if I'm not mistaken. So I mean where do we see the hyperinflation in which -- about all countries and how is the situation in Q3 evolving?

Shalinee Mandhana: So currently, the hyperinflationary economies are Ghana, Turkey and Zimbabwe where we operate. And this year, as compared to last year, we see the movement in these economies are not as high as compared to last year. But we have factored that in our cost. So we should see this should stabilize going forward.

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Amit Dixit: Okay. Fair enough. And the last one is with South Africa, I mean, are we PAT positive over there?

Shalinee Mandhana: Yes. Individually. On a stand-alone basis, also, we had been positive in last quarter itself. And this quarter also, we are positive.

Moderator: Ladies and gentlemen, that would be the last question for today. And I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Institutional Equities. Over to you, ma'am.

Natasha Jain: Thank you, once again, Manav, I would now request the management to give closing comments, if any.

Aanchal Kewlani: Thank you so much, Natasha. We absolutely appreciate the time given by our well-wishers and shareholders, and we'll keep coming in the next quarter for these question and

answer round

from Mr. Manishji Nuwal. We expect our well-wishers to keep supporting us. Thank you so much.

Natasha Jain: Thank you, Aanchal. Now this concludes the conference. Participants can disconnect their lines. Thank you.

Moderator: On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

February 11, 2025

To, To,
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra Kurla Complex Floor no. 25, PJ Towers
Bandra (E) Dalal Street
Mumbai - 400 051 Mumbai – 400 001
Trading Symbol: "SOLARINDS" Scrip Code: 532725
Through NEAPS Through BSE Listing Center

Subject: Transcription of Conference Call with reference to the Unaudited Financial Results for the quarter and nine months ended on December 31, 2024 with the Management of the Company.

Dear Sir /Madam ,

Further to our letter dated January 30, 2025 we are forwarding herewith a copy of Transcription of Conference Call hosted by Centrum Broking Limited , on Thursday , February 6, 2025 at 11.00 a.m. IST to discuss the Unaudited Financial Results of the Company for the quarter and nine months ended on December 31, 2024 with the Management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari
Company Secretary &
Compliance Officer

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"Solar Industries India Limited Q3FY25 Earnings
Conference Call "

February 06, 2025

MANAGEMENT : MR. MANISH NUWAL - MD & CEO, SOLAR
INDUSTRIES INDIA LIMITED
MR. SURESH MENON - ED, SOLAR INDUSTRIES INDIA
LIMITED
MR. MILIND DESHMUKH - ED, SOLAR INDUSTRIES
INDIA LIMITED
MR. MONEESH AGRAWAL - JOINT CFO, SOLAR
INDUSTRIES INDIA LIMITED
MS. SHALINEE MANDHANA - JOINT CFO, SOLAR
INDUSTRIES INDIA LIMITED

MS. AANCHAL KEWLANI - SENIOR FINANCE
MANAGER , SOLAR INDUSTRIES INDIA LIMITED
MODERATOR : MR. CHIRAG MUCHHALA - CENT RUM BROKING
LIMITED

Solar Industries India Limited
February 06, 2025

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Moderator : Ladies and gentlemen, good day and welcome to Solar Industries India Limited Q3F Y25 Earnings Conference Call hosted by Centrum Broking Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the '*' then '0' on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Chirag Muchhala from Central Broking Limited. Thank you and over to you, sir.

Chirag Muchhala: Thank you, Steve. And good morning to all of you and welcome to Solar Industries India's Q3 FY25 Results Conference Call.

From the Management we have today, Mr. Manish Nuwal – MD & CEO ; Mr. Suresh Menon – ED; Mr. Milind Deshmukh – ED; Mr. Mon eesh Agrawal – Joint CFO, Ms. Shalin ee Mandhana – Joint CFO and Ms. Aanchal Kewlani – Senior Finance Manager.

So, now I hand over to the management for their "Opening Remarks " and pos t that we can take questions from participants. Over to you.

Aanchal Kewlani : Thank you so much, Chirag. A very good morning to our dear stakeholders and well -wishers. My name is A anchal, and I would like to welcome you all to the Solar Industries' 3rd Quarter and nine monthly conference call of FY25.

New Year has got pleasant surprises for us and well wishes. We break all of our quarterly reports on revenue, EBITDA, and PAT. This call's recording, including the transcript, will be available on the site. The financial statements, quarterly fact sheets, investor presentations, press releases are also available on our website.

To begin with, I would like to remind you that during this call, we might make predictions or other forward -looking statements regarding future events and about the future financial performance. Please remember that such statements are only predictions, actual events or results may differ materially, and our websites will be updated with all relevant information timely.

Now I would request Solar CEO and MD – Mr. Manish Nuwal , for his opening remarks on the Company 's performance, followed by Q&A. Over to you, sir.

Manish Nuwal: A very good morning to one and all. I, Manish Nuwal – Managing Director & CEO, welcome you all to Solar Industries' Quarterly Earnings Conference Call . Thank you for joining us today.

To start with, I am delighted to announce that we have registered the strongest quarter yet with growth in revenue by 38%. Our Q3 performance reflects the successful execution of our strategic initiatives, propelling our net revenue from Rs. 1,429 crores to Rs. 1,973 crores year -on-year
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basis. This impressive search is attributed to the efforts by our solar team in explosives and defense sector.

Our international business has delivered a very positive 3rd Quarter performance, which has grown by 21% year -on-year basis and have reached to the best ever Rs. 758 crores in revenue term. Solar's defense business quarterly performance has picked up as we have discussed in the previous quarterly calls. The growth is around 578%, which is the highest ever quarterly defense revenue in solar history. Now it is at Rs. 409 crores. While domestic demand has been subdued due to the general and state elections in many parts of the country and we have observed a very heavy monsoon season in this year which has resulted into some kind of subdued demand in the mining sector. But our long -term growth trajectory remains robust driven by our strategic diversifications. T he Government 's active promotion of private sector participation driven by the Atma nirbhar Bharat initiative is fueling modernization and innovation. Solar industries
rec

ognizing the potential of this sector early on strategically made huge investments in building its defense capabilities, securing an early mover advantage.

On this backdrop, the Company have signed an MOU the Government of Maharashtra for investing Rs. 12,700 crores in next 10 years to establish an anchor mega project in the state of Maharashtra. The nod from Cabinet Committee on Security for a procurement deal with Solar Industries to supply Pinaka enhanced rockets and area denial rockets to the armed forces will drive the revenue growth, open new possibilities and further establish solar industry's

prominence in the Indian defense sector. We have already made our presence felt in the global defense market also.

With a clear vision and a strong foundation, we are confident in our ability to deliver enduring value for our beloved stakeholders. Thank you for participating in today's earning call. Now I will request Aanchal to share the digital financial numbers. Thank you.

Aanchal Kewlani :: Thank you so much, sir. Thank you for the detailed and deep insight. We will now begin with the quarterly financial update followed by the nine-month update.

Highlights for the quarter were :

We have achieved the highest ever quarterly revenue at Rs. 973 crores , up by 38% , highest ever quarterly EBITDA at Rs. 536 crores , up by 46% , and PAT Rs. 338 crores , up by 52%. Highest ever defense revenue in the quarter recorded at Rs. 400 crores -plus. Highest ever order book in the quarter, that is around Rs. 7,100 crores -plus.

Now let's quickly review the quarter in detail :

The top-line grew by 38% from Rs. 1,429 crores to Rs. 1,973 crores.

Coming to the cost :

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The raw material consumption is almost same from 52.59% to 52.15%. In absolute terms, the material consumption cost is Rs. 1,029 crores versus Rs. 752 crores in the same quarter of previous year. Employee cost is around Rs. 151 crores versus Rs. 111 crores. Other expenses cost is Rs. 267 crores versus Rs. 210 crores. The interest cost is approximately Rs. 31 crores versus Rs. 28 crores. The depreciation cost is approximately Rs. 47 crores versus Rs. 39 crores.

Coming to the customer's basket :

Revenue from CIL was Rs. 259 crores against Rs. 235 crores. Revenue from non-CIL institutions was Rs. 278 crores versus Rs. 245 crores, up by 13%. Revenue from housing & infra is Rs. 257 crores versus Rs. 251 crores . Export and overseas revenue is Rs. 758 crores versus Rs. 624 crores, which was highest in the 3rd Quarter . Defense revenue was quarterly highest till date at Rs. 409 crores versus Rs. 61 crores, up by massive 570%.

Coming to the highlights for nine months :

The registered revenue to the tune of Rs. 5,374 crores versus Rs. 4,459 crores up by 21%. Highest nine-month EBITDA at Rs. 14.85 crores versus Rs. 1,042 crores up by 43%. Highest nine-month part at Rs. 9.42 crores versus Rs. 633 crores up by 49%.

Now we would be happy to take any questions, comments or suggestions that you may have.

Over to you.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press '*' and '1' on their touchtone telephone. If you wish to remove yourself from the question queue, you may press '*' and '2' . Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead. Mr.

Ahmed, your line has been unmuted. Please go ahead with your question.

Amit Dixit: Good morning, everyone. And congratulations for a good performance. I have a couple of questions. This one is on aberration side.

Moderator: I am sorry to interrupt. Mr. Amit , your voice is breaking a little bit. Can you use your headset?

Amit Dixit: Yes, I am

using my hand set. Is it better now?

Moderator: Can you go again, please?

Amit Dixit: Is it better now ?

Moderator: Yes, please go ahead with your question.

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Amit Dixit: If you look at the export orders that we have received over the recent past, particularly the one the last one that we received, it was like Rs. 2,000 crores. So, just wanted to get sense on the ammunition export market. How do you see panning out over the next 12 months to 15 months?

Are we seeing some more opportunities over there? And is it possible to just to give the categories where we are seeing high mg explosive or Pinaka, for instance, or something else that we might be getting in? That is my first question.

Manish Nuwal: If you have seen that what we are working in different sectors on a variety of products, one of them was high energy materials for which we have received a lot of orders from the international markets and which we have shared with all the stakeholders whenever we are getting any such kind of significant orders. But as far as the orders from Indian defense market is concerned, we were waiting for the Pinaka orders to come in, which is one will be, which is the biggest orders

for the history of Solar . Like CCS has cleared the procurement of these products, and we should be able to sign it at any moment. So, let us wait for that. And as of now, the total order book of defense is Rs. 4,971 crores. And once Pinaka comes in, it will be around, say, Rs. 6,000 crores approximate number. And if you add these two, then the total order book will be Rs. 11,000 crore plus, which will happen very soon. So, if you summarize that the facilities which we have established for the whole defense spectrum is being properly utilized in the coming periods. So, like high energy materials we have started giving results , propellants we have started, we are supplying to BrahMos , we are supplying to many defense public sector enterprises and we have participated in many development programs on the basis of which we are getting orders for Pinaka kind of rockets. And we are also participating in many other rocket programs. So, once those start getting developed or anything materialized happens, we will definitely share with our stakeholders.

Amit Dixit: Wonderful sir. Sir Bhargavastra recently it was news in the media that it is being listed and the army actually (Inaudible) 15.45 . When can we say and which war stage we are in, when can we do or you know some more development on this front ?

Manish Nuwal: As far as Bhargavastra is concerned, it is one of the products range for which we were working. It falls under the loitering ammunition. So, initially we developed loitering ammunition, which can work as a Kamikaze mode , which we have received our supply also. We were the first Company in India which has developed this product on its own without having any kind of foreign knowledge or foreign supply of the critical component. It was almost 100% sourced in India, which was practically our ratio of domestic content was plus 80%. And in the same line, we have started development on the anti -drone systems, which will be a hard kill . And we may have a soft kill also in the future. So, the recent trial which has happened at the Balasore, which has we have seen that the results were quite encouraging. So, this product we are developing on our own and within two years of development, we have reached to this stage. So, based on these trials, we will definitely are likely to get some kind of positive traction from the end user because the whole knowledge and development is within India. So, this will help the security forces a lot from strategic angle. So, we may see that in two years ' time we should be able to start commercialization of this product.

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Amit Dixit: Wonderful, sir. One bookkeeping question, if I may. What was the cash flow from operations in nine months and CAPEX so far in nine month?

Manish Nuwal: Can we share it later?

Amit Dixit: Yes, sure. That helps. Thank you so much, and all the best.

Manish Nuwal: Thank you.

Moderator: Thank you. The next question is from the line of Amit Zade from Ag eas Federal Life Insurance. Please go ahead. As there is no response from the current participant, we'll move on to the next. It's from the line of Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi: First of all, Manish, thank you very much for nice result. You have delivered again. Sir, Company has signed with Government of Maharashtra for investing Rs. 12,700 crore in next 10 years to establish an anchor mega project. Please say more few words about this project and how the Company will arrange the funding ?

Manish Nuwal: So, the recent signing of Mo U with the Government of Maharashtra is in line with our strategic initiative to have a strong defense product portfolio in our Company 's basket. So, it is in line with that , we have signed this Mo U with the Government of Maharashtra. And this is a tentative plan that we should be able to deliver or execute these projects in next 10 years , but we are confident that we should be able to do all these investments in next 7 to 8 years ' time. And if you look at the current profitability of the Company , if you take the 9 months figure and if you convert it into 12 months figure, the yearly profit after tax is around Rs. 1,250 to Rs. 1,300 crores. And as we are going forward, the profit after tax will also keep increasing because of the many the orders which we are going to receive plus the international subsidiaries which are going to enhance their business and in India also we are expanding a lot. So, if you club all these three, the healthy cash profit will keep generating to sustain all these investments.

Ravi Naredi: Exactly what is the project , this one?

Manish Nuwal: Project is basically to set up the facilities for manufacturing of defense products for the security forces.

Ravi Naredi: And it is only for Maharashtra Government or it will be for Pan India working?

Manish Nuwal: No, for defense it is only for the Government of Maharashtra.

Ravi Naredi: Sir, thank you very much. Keep it up.

Manish Nuwal: Thank you.

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Moderator: Thank you. The next question is from the line of Dipen Vakil from Phillipcapital . Please go ahead.

Dipen Vakil: Thank you for the opportunity sir and congratulations on a great set of numbers. Sir first is, your defense growth has been phenomenal for this quarter and we earlier had guided for a revenue topline of close to around 20,000 contributing from defense and that was something around close to around Rs. 1500 crores. So, any revision on that guidance that you would like to present?

Aanchal Kewlani: So, yes, annual guidance we had given around 1500. And for the nine months, we had reached Rs. 975 crores. So, we feel that the annual guidance is sustainable. There may be some 5% -10% plus minus in the same. But we are sure of reaching the guidance.

Dipen Vakil: Got it. So my next question is in the line of, sir, our core explosive business. So, this quarter has been largely flat when we look at the domestic explosive number. So, when do you expect the market scenario to change? When do we expect the pickup in education to start coming in even in the explosive segment? The volume in first half of the year had been good. We had around 12% growth in the volume for exclusives. However, we observed that due to subdued demand due to above normal monsoon and general and state elections wide over in the country, slower mining activity had been there, which has impacted the volume in quarter three. As we go ahead,

we have observed demand picking up from Jan 25, which should help in better volume from now onwards.

Dipen Vakil: Okay, and any more order in pipeline in the defense sectors which are then in near to medium term?

Aanchal Kewlani: Pinaka, so as Manish has spoken, we already had the CCS confirmation and we should be signing the order. Once that comes, we will be announcing.

Dipen Vakil: Got it. So, execution timeline for the Rs.7,900 crore of order, what would be the execution timeline for Rs. 7900 crore? And once Pinaka is confirmed, what would be the execution timeline for those Rs. 6,000 odd crores of Pinaka?

Aanchal Kewlani: So, there are a few orders in that. So, every order has different timelines. So, it may range around 8 years to 12 years.

Dipen Vakil: 8 years -10 years Pinaka. So, the other defense is also 8 years -10 years?

Aanchal Kewlani: Yes. And this is for the Pinaka we are speaking about. For the rest of the orders, I think it's 3 years to 4 years.

Dipen Vakil: Okay, got it. Thank you so much for answering my questions and all the best.

Aanchal Kewlani: Thank you.

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Moderator: Thank you. Next question is from the line of Narendra from RoboCapital. Please go ahead.

Narendra: Hi, thanks for the opportunity and congratulations on a good set of numbers. So, my first question is regarding our overall guidance that we had of 30% if I am not wrong, topline growth. So, given that we are on the cusp of signing the MOUs for the Pinaka orders, do we see any upward revision in the guidance?

Manish Nuwal: So, like we have given guidance that in this year, the revenue growth should be around 30%. But like we have said, because of some slowdown in the domestic market, there is a reduction in volume growth and that is impacting the revenue growth also. But if you remove the domestic part in all other sections, we are doing very good, including the defense sections. But as far as the revenue guideline is concerned, definitely we are falling short of 30%. But initially the EBITDA margin and the PAT margins, which we have said that in this year, we should do better than the last year. But we are doing even better than what we have given guidance at the start of the year. So, if you take both the things together, the revenue is not increasing to that level, which we have expected, but profit or EBITDA margin are reaching to even a better level than what we have shared at the start of the year.

Narendra: Yes, I understand. I actually wanted to know 2-3 years down the line, do we continue to expect a 30% kind of CAGR year-on-year for the next 2-3 years given that we have such a big order coming in? And also on the margin front as well, we have been continuously doing better than what we have guided. So, could we see this 26 %- 27% kind of margin sustaining going ahead as well?

Manish Nuwal: So, I cannot predict for next three years. And normally as a practice, we give guidance at the start of the year. But yes, because of the increase in defense sales, which we are lacking in last many years and increase in international operations, we see that these margins we should be able to maintain around.

Narendra: Okay, thank you so much and all the best.

Manish Nuwal: You are aware that business sentiments and business dynamics keep changing. So, these are our ambition to reach or achieve even better. But sometimes 2%-3% plus minus is not a big thing

for our kind of industry.

Narendra: Yes, I understand. That's why I asked for a longer term view. Thank you.

Moderator: Thank you. The next question is from the line of Sanjay a from Am persand Capital. Please go ahead.

Sanjaya: Hi sir, two questions. First of all, this margin improvement that you have seen again in this quarter, do you see further upside to it or it is sustainable?

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Manish Nuwal: We cannot commit whether there will be improvement or sustainable at this moment. But like I just answered, that if you look at the increase in different sales, better realizations of facilities in the international market and upcoming new facilities in the domestic market, we should be able to do in the similar levels of margins. But like I said, business dynamics can keep changing which we have seen in last many years. So, this is our guideline, but we cannot commit that this we will achieve on every quarter, and we will improve it further on every quarter basis.

Sanjaya: Sir, you have seen some good order inflow in this quarter. Can you just give us some alarm on what were the key drivers of this order inflow? I mean, which all segments were the key contributors?

Manish Nuwal: We have already shared that.

Sanjaya: Order inflow mix I am talking about ?

Manish Nuwal: Yes, we have already shared the orders. Because whenever we are getting any material orders, we are sharing with all the stakeholders. If you just go to all our declarations to the exchanges, you can see all those numbers.

Sanjaya: And last thing, sir, you mentioned that you may fall short of your guidance of 30% growth somewhat. But are you seeing improvement again in the domestic market and from January onwards?

Manish Nuwal: Yes, it is much better than the previous last four months.

Sanjaya: Thank you.

Moderator: Thank you. The next question is from the line of Ankur from HDFC Life. Please go ahead.

Ankur: Hi, sir. Good morning. Thanks as always for your time. Just on the same question on the domestic volume growth, what will be your guidance for FY25? Where do you think you will end up in on domestic volume growth?

Manish Nuwal: So, we expect that instead of 15% guidance, which we have given at the start of the year , we should do around 8 % to 10 %.

Ankur: Okay, that's helpful. And also, any outlook on ammonium nitrate prices , it seem to be kind of settling down and getting better. So, how do you see that kind of thing going on?

Manish Nuwal: No, the ammonium nitrate prices, which are correctly rolling are the sustainable numbers. So, there can be plus minus of 5%, not more than that. But I don't foresee any increase in ammonium nitrate prices going forward.

Ankur: Okay, so largely stable.

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Manish Nuwal: Like I said, plus minus 5% and so on.

Ankur: Okay, fair. And so just on your export and your overseas business, clearly , we have seen the very strong growth last two quarters. So, if you could help us, what geographies or what's really happening there, what is driving this growth, how do you see this going forward as well ?

Manish Nuwal: Like we mentioned that the sales from our international business has grown up quite significantly on the nine -month basis, it is almost Rs. 2,136 crores compared to Rs. 1,869 crores, which is quite a big number, 14% increase. And in the last quarter, which is Q3, the increase was of 21%. So, we think that this momentum should keep going up in the years and next year also.

Ankur: Which regions, what's helping you grow this so strongly is what I was trying to understand, which region geography is kind of driving this growth?

Manish Nuwal: It's a mix of all that we are doing better businesses in our existing territories. We are entering in new territories also. And that's why we are having better results.

Ankur: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Rakesh Roy from Boring AMC. Please go ahead.

Rakesh Roy: Hi, sir, morning . Regarding service business , especially Pinaka, the standard Pinaka is as you shared 10,000 (Inaudible) 29.19 . How much is for the Company , you are saying its near to 6000 .

Am I right?

Manish Nuwal: Yes.

Rakesh Roy: Okay, again on Pinaka. The demand for Pi

naka is the international market is increasing, especially for Armenia and like other countries. So, how do you see the demand for our Company, our supply, or do we get any inquiry from them?

Manish Nuwal: So, we cannot answer on or we cannot share the details about each inquiry. But by and large, like we said that we already have some export orders for Pinaka rockets, which we have started supplying. At the same time, in India, for which this program was started, so we have received the CCS clearance, and we should sign the order anytime soon. So, once we have these numbers, so definitely the interest of international more countries will start growing. And once it grows, so definitely we will get some kind of better utilization of our facilities. But for this time, these kind of orders from international market or Indian market takes time. Nothing happens in one year or one and a half years.

Rakesh Roy: This extended Pinaka is a replacement for old Pinaka or they are just adding more? Just to understand and how much mixing they are expecting sir?

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Manish Nuwal: We can discuss it separately please.

Rakesh Roy: Okay, right sir. And you are saying you are currently near to 5000 crores order, 6,000 you're expecting for Pinaka. And how much you are looking from the BrahMos because the export domestic market is increasing. So, how much you are looking from the BrahMos and Nagastra?

Manish Nuwal: So, like I said, the total order book in defense as of now is Rs. 4,971 crores. And the Pinaka order should be around 6,000 crores. So, the total order book will be around Rs. 11,000 crores. So, this 11,000 crores include all Pinaka, Brahmos, Akash, mines, grenades, Nagastra, everything.

Rakesh Roy: And last question regarding sir, (Inaudible) 0:31:58 where we stand separately sir?

Manish Nuwal: So, we have intention to start this program, which we have already started working. So, if anything significant or material happens, we will share with you.

Rakesh Roy: Okay, sir. One last question. From the last question over the next 3 years -4 years where do you see our revenue over the total Solar a revenue for defense business?

Manish Nuwal: So, like for this year we have given a guidance of Rs. 1,500 crores, so we have almost crossed Rs. 900 crores and we should do around Rs. 1,400 to Rs. 1,500 crores in this year. So, in the end of Q4 or once we will give guidance for the next year, we will share you that what we can achieve in the next financial year or in next year, something like that.

Rakesh Roy: Okay, thank you sir.

Moderator: Mr. Rakesh does that answer your question?

Rakesh Roy: Yes, thank you.

Moderator: Thank you. The next question is from the line of Pratik Mukasdar from RNL Investments. Please go ahead.

Pratik Mukasdar: Manishji, congratulations for a wonderful set of numbers. You guys are continuously raising the bar up. So, it's very heartening to see. I want to ask one question. Now that US has a change of frames and Trump has come in, and so does it really change the global sentiment as far as our business goes or that is just the headline and below the headline work is going as usual and it is even getting better.

Manish Nuwal: So, like we have seen the announcements or the intention of the United States to stop the recent conflict which is happening between Russia and Ukraine. But if you have to connect all the dots, that what he is also saying, that the NATO countries should increase the defense budget to 5% from an average of 1.6% to 2%. So, if all NATO nations have to increase the defense budget to 5%, so what is the purpose for that? So, if you look at the current situation and the recent scenario

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where practically the world's ammunition in those countries has almost wiped out or almost b

ecame zero level. So, they have to fill up them again, which will not take less than 7 to 8 years. And that is also assuming that the conflict will come to stand still. There will be no use of any ammunition in any part of the world. So, if you look at the realistic situation, we believe that next seven years to ten years should not be a big change in the demand of ammunition and related products.

Pratik Mukasdar: Okay. And how do you see the mining space like last year, as you mentioned earlier also, that because of the extended monsoon, the growth was slightly subdued. But in coming years or for the coming period, how do you see it going forward?

Manish Nuwal: You see that the drop in say 5% from our estimation in this year, we should be able to do around more than 15% in the next year. So, we should be able to make up all the deficit which we have seen in this year.

Pratik Mukasdar: Okay, fantastic. Thank you. Congratulations on that.

Moderator: Thank you. Before we take the next question, we would like to remind participants that you may press '*' and '1' to ask a question. Ladies and gentlemen, if you wish to ask a question to the management, you may press '*' and '1'. The next question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: Hi Manish. Hearty congratulations. Manish, on what we have discussed many times before, given all the opportunities in the international markets plus the defense where we have now made significant forays after many, many years of effort to build that activity. Would we say that 20% plus kind of revenue growth for the next 3 to 5 years, that region remains intact, right?

Manish Nuwal: Sir, like we have discussed in the previous call also, we believe that 15% volume growth should not be a big issue for us, barring some 1 or 2 quarters on a horizon of three, four years. So, if you capture around 15% growth in our traditional market, and if you top up that with the defense 0:37:22 system opening up for us in a big manner, we don't see that 20% should be a problem for us from any angle. So, definitely we should do 20% plus as far as topline is concerned. And bottomline, definitely as we move ahead, the margins are already at a very healthy level, or you can say very good levels. Even if we maintain those levels and if we enhance our efficiencies and utilization, margin will be very good to maintain and sustain at those numbers. So, 20% growth should not be a problem at all for us.

Bharat Shah: And which will mean that compared to our Coal India, or institutional and the other domestic infrastructure business, both defense and international business, I suppose would be growing at defense clearly, but even international business should be growing much better than that 15% growth rate that you have talked about, right?

Manish Nuwal: So, if you look at the current international business size, in this year also, nine months we have did around Rs. 2100 crores. In the domestic market, we have done around Rs. 2300 crores. So, Solar Industries India Limited
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by and large, both are well divided and almost near to each other. So, I think that 15% growth in the both sides should not be a problem for us.

Bharat Shah: Which means about 20% plus growth over 3 to 5 years in topline and either maintaining margin or getting some more gains due to efficiency and operational strength plus the mix of the business favoring the literally better yielding businesses. Should be the kind of broader picture, some quarter in between can pose a challenge, but that's part of the game.

Manish Nuwal: Absolutely.

Bharat Shah: Thank you Manish.

Moderator: Thank you. The next question is from the line of Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi: Sorry, Manish, to disturb you again, this Maharashtra project, Rs. 13,000 crore, how much to

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line it gives on one crore investment and what will be our margin and when we start this investment on this project?

Manish Nuwal: Like we said that it is an MOU which we have signed and not a final contract with the Government of Maharashtra. Once we have a final detailed plan, then we will discuss with our stakeholders.

Ravi Naredi: Okay, thank you very much.

Moderator: Thank you. The next question is from the line of Rakesh Roy from Boring AMC. Please go ahead.

Rakesh Roy: Yes, sir. My one question is, are we working on a new product apart from current product?

Aanchal Kewlani: As we have been seeing that the CAPEX we have been undertaking year-on-year is to increase the geography, increase the product portfolio and increase our geographical presence in domestic market also.

Rakesh Roy: Just I try to understand especially in defense business, any sort of we are going to add in near future?

Aanchal Kewlani: Yes, we have been adding various products, another ammunitions ranges. So, as and when the products qualify and receive the orders, we inform our stakeholders.

Rakesh Roy: And my last question, sir, is there any planning to high up our defense business in the next 3 to 4 years?

Aanchal Kewlani: Sorry, can you just repeat your question?

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Rakesh Roy: Is it possible from solar energy, is it possible to spin off our defense business in the next 2 to 3 years?

Aanchal Kewlani: Currently, we have defense in our group as we hold for economic exclusives, we have the main defense business. So, that will continue.

Rakesh Roy: Okay . Thank you.

Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.

Yash: Hi, thank you for the opportunity. So, my question is on your defense segment, what is the current EBITDA margins that you're making and will they improve from here?

Manish Nuwal: So, the current EBITDA margin for our Company is around 27%. We believe that it should continue in the coming period.

Yash: I am just talking specifically to defense , sir.

Manish Nuwal: You can ask such things, but we will answer only one thing, that we as a business as a whole, we are achieving around 27% EBITDA margin, and we should be able to continue with the similar margins.

Yash: And so what would be your guidance for our CAPEX for F Y26 and FY27 ?

Manish Nuwal: That we will give in the end of Q4 results.

Yash: Okay, got it sir. And regarding the 3,000 crores of Pinaka orders, so this will be like, they will be materializing in your order book in F Y26 once you sign the documents or are they in process?

Like what is the status of it?

Manish Nuwal: Yes, we should be signing the contract anytime soon, because after the CCS has cleared , basically the procurement of these products from Solar , at the same time there is another defense PSU, Government undertaking. So, once they have cleared, it's a matter of time, and we are expecting it to get signed very soon. So, we will definitely share the news with our stakeholders once we sign the contract.

Yash: Sure. And sir my last question is again on the Mo U with Maharashtra Government . So, this project will have products which are like not your conventional products related to missiles or explosives. There'll be something completely new that you're working on?

Manish Nuwal: Well, just go through that MOU which we have shared the notifications with the exchange. You can see the things which we have already covered. So, those things will give you clarification.

Yash: Okay, got it. Thank you, sir . All the best.

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Moderator: Thank you. The next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: Hi sir, good morning. Thank you for the opportunity. A couple of

clarifications. Earlier we

mentioned that the order book, the existing order book, ex of Pinaka, execution should be 3-4 years. Is this for defense or the total 7,000 odd-crore order book? Second for Pinaka, if you could help us understand that while the execution is 8 years to 10 years, what kind of milestones or how will the ramp -up happen? And third, what will be the incremental investments that would be required for Pinaka that we may probably have to undertake? Thank you.

Manish Nuwal: So, the total order book from non -defense is around Rs. 2,151 crores . Those orders are for next two years. And as far as defense is concerned, the international orders are in a timeline of 3 to 4 years and once Pinaka comes in, the order will vary from 7 to 12 years ' time. So, once those comes in, we will share the details. And as far as investments on Pinaka thing is concerned, we give annual, we already shared that in this year, we're going to do a CAPEX of around Rs. 1200 crores for the group as a whole. So, that covers all those investments.

Alisha Mahawla: Sure. While I understand the execution timeline of 7 years to 12 years, will it be possible to maybe also shed a little bit color of how will the ramp up be happening?

Manish Nuwal: Color means what you want to understand ?

Alisha Mahawla: Will it be starting from 26 onwards and if there is any milestone or maybe is it going to be slightly back ended, it will ramp up and maybe only be meaningful for us from a revenue perspective, say 28 and beyond ?

Manish Nuwal: We will see that once we sign an order, within six months the deliveries will start and we are geared up for that. And there will be practical ly consistent deliveries of the products unless otherwise that if there is any some special situation emerges which require us to delay the supply or due to any kind of supply chain disruption. So, those are natural business scenarios but apart from that we should be able to deliver the product based on because there are two products in this order , so on e order will be for 7 years and one order will be for 12 years. So, ramp up will start from next financial year from Q3.

Alisha Mahawla: Understood, thank you and you and all the best.

Moderator: Thank you. Next question is a follow -up question. It's from the line of Dipen Vakil from PhillipCapital. Please go ahead.

Dipen Vakil: My question is on the line of our ammunition side of business. So, we are seeing some huge growth potential coming on the ammunition side of it. So, can you highlight what kind of orders are anticipated here or what kind of growth are we seeing in the ammunition side of it now and even going ahead?

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Manish Nuwal: Mr. Vakil, I have answered these questions repeatedly in this call . You can go through the transcript and you will get the answer please.

Dipen Vakil: Got it, sir. I'll look into the transcript then. Thank you.

Moderator: Thank you very much. The next question is from the line of Nishant Chowhan from Geojit. Please go ahead.

Nishant Chowhan : Sir, on the defense orders, we talked about our current order book of around Rs. 4,971 crores. So, just wanted to know, are these more export orders or they are for the domestic consumption?

Manish Nuwal: It includes domestic and international , both .

Nishant Chowhan : Okay, because I think last quarter we mentioned about two big orders which were for export orders itself. So, it would be largely export oriented or international?

Manish Nuwal: Yes, as of now, the orders are mainly for international.

Nishant Chowhan : Okay, thank you. And secondly, we have talked about entering Kazakhstan and Thailand as per our annual reports. Any update on that , sir?

Manish Nuwal: Yes, the unit at Thailand has already started. Kazakhstan we should start in next two months.

Nishant Chowhan : Okay, sir. Thank you for

your time.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Chirag for his closing comments.

Chirag Muchhala : Yes, thank you to all the participants for their presence and thank you to management for giving us the opportunity to host this call. Sir, would you like to make any closing remarks?

Aanchal Kewlani: Yes, Chirag. We appreciate your participation and interest in our Company 's performance and we will be very happy to see you again in the closing quarter of FY25. Thank you so much everyone.

Chirag Muchhala : Thank you all. This concludes this conference call.

Moderator: On behalf of Centrum Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: May 2025

May 24, 2025

To, To,
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra Kurla Complex Floor no. 25, PJ Towers
Bandra (E) Dalal Street
Mumbai - 400 051 Mumbai – 400 001
Trading Symbol: "SOLARINDS" Scrip Code: 532725
Through NEAPS Through BSE Listing Center

Subject: Transcription of Conference Call with reference to the Audited Financial Results for the quarter and year ended on March 31, 2025 with the Management of the Company.

Dear Sir/Madam,

Further to our letter dated May 13, 2025 we are forwarding herewith a copy of Transcription of Conference Call hosted by ICICI Securities Limited, on Wednesday, May 21, 2025 at 11.00 a.m. IST to discuss the Audited Financial Results of the Company for the quarter and year ended on March 31, 2025 with the Management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari
Company Secretary &
Compliance Officer

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"Solar Industries India Limited
Q4 FY '25 Earnings Conference Call"
May 21, 2025

MANAGEMENT : MR. MANISH NUWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SOLAR INDUSTRIES
INDIA LIMITED
M R. SURESH MENON – EXECUTIVE DIRECTOR –
SOLAR INDUSTRIES INDIA LIMITED
M R. MILIND DESHMUKH – EXECUTIVE DIRECTOR –
SOLAR INDUSTRIES INDIA LIMITED
M R. MONEESH AGRAWAL – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
M S. SHALINEE MANDHANA – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
M S. AANCHAL KEWLANI -- SENIOR FINANCE
MANAGER AND INVESTOR RELATION MANAGER –
SOLAR INDUSTRIES INDIA LIMITED

MODERATOR : MR. AMIT DIXIT -- ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Solar Industries' Q4 FY '25 Earnings Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the call over to Mr. Amit Dixit. Thank you, and over to you, sir.

Amit Dixit: Yes. Thank you, Aisha. Good morning, everyone. And on behalf of ICICI Securities, I welcome all the participants for Solar Industries' Q4 FY '25 Conference Call. At the outset, I would like to thank the management for giving us an opportunity to host this call. From the management today, we have Mr. Manish Nuwal, MD and CEO; Mr. Suresh Menon, ED; Mr. Milind Deshmukh, ED; Mr. Moneesh Agrawal, Joint CFO; Ms. Shalinee Mandhana, Joint CFO; and Ms. Aanchal Kewlani, SFM and IRM. So without much ado, I will pass it on to Aanchal to take it up. Over to you, ma'am.

Aanchal Kewlani: Thank you so much, Amit. A very good morning to our dear stakeholders and well-wishers. My name is Aanchal, and I would like to welcome you all to the concluding conference call of FY '25. To begin with, I would like to remind you that during this call, we might make projections or other forward-looking statements regarding future events and about the future financial performance of the company. Please remember that such statements are only predictions. Actual events or results may differ materially. And our website will be updated with all relevant information timely.

Now I would request Solar's MD and CEO, Mr. Manishji Nuwal, for his opening remarks. Over to you, sir.

Manish Nuwal: Thank you, Aanchal. Dear esteemed investors, a very good morning. I, Manish Nuwal, Managing Director and CEO, welcomes you all to Solar Industries' earnings call for the fourth quarter and financial year ended 31st March 2025. FY '25 has been a pivotal year for Solar, a year where strategy, scale and execution aligned perfectly to deliver the highest ever revenue and profits. We are happy to report the highest ever sales for the quarter and year at INR2,167 crores and INR7,540 crores.

We have also achieved the highest ever quarterly EBITDA and PAT at INR546 crores and INR371 crores, registering a growth of 47% and 42% year-on-year and highest ever yearly EBITDA and PAT at INR2,031 crores and INR1,288 crores, registering a robust growth of 44% and 47% in the year FY '25. We have achieved around 27% EBITDA margin, which is more than our annual guidance.

Solar's international business is gaining good momentum and as a result, registered an 18% year-on-year growth. Solar's ability to expand its global footprint and forging strong relationship with its customers as a trusted partner underscores company's strength in identifying and capitalizing on global opportunities.

The defense sector revenue has increased from a small base of INR517 crores to INR1,355 crores, showing a growth of 162%, years of strategic efforts in building state-of-the-art facilities, Solar Industries India Limited

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developing wide range of products and qualifying products across the customers has positioned Solar as a strong player in defense in the global market. This is reflected in the substantial increase in our order book to over INR15,000 crores, including a landmark order of INR6,084 crores for Pinaka rockets and contracts of around INR8,500 crores from international markets. A historic milestone was the inauguration of our state-of-the-art loitering ammunition and testing range by Honorable Prime Minister, Shri Narendra Modi-ji, a testament to Solar's growing capabilities in defense and aeros

pace. Hosting Honorable Prime Minister of India was a moment of immense pride for our Solar team, which has boosted the morale of our team to do even better in the coming years.

We are propelling Solar to the next frontier. Further to our capex of around INR1,200 crores in this financial year, a massive plan to do a capex of INR2,500 crores in the coming year will unlock new opportunities, scaling existing capabilities, upgrading technologies and expanding the product portfolio, including advanced ammunitions and aerospace solutions.

Aligned with India's Atmanirbhar Bharat initiative, Solar has signed a INR12,700 crore MoU with Government of Maharashtra to invest in defense and aerospace over the next decade. Now Solar is entering in FY '26 on a strong footing, driven by growth of 15% to 20% from explosive sector and a robust target to surpass INR3,000 crores from defense. Supported by this momentum, we are targeting total revenues of INR10,000 crores in FY '26.

With this, defense contribution in total revenue will be crossing 30% from the current share of

18%. I'm sure these sets of number will satisfy our esteemed shareholders. Reflecting our financial strength and commitment to shareholders, the company has proposed a dividend of INR10 per share for FY '25, up from INR8.5 per share in FY '24.

Our vision is bold. Our fundamentals are strong, and our dedication to stakeholders' value creation is unwavering. I sincerely thank all our esteemed investors and analysts for joining us today. Thank you for your continued trust and partnership.

Over to Aanchal for presenting the financials in detail. Thank you.

Aanchal Kewlani: Thank you so much, sir. Before beginning, I would like to quote that this year, as mentioned by our MD, has been a very remarkable year in Solar's journey where we have achieved significant milestones. Needless to mention, keeping the aggressive foundation for continuous growth, we have given a strong return to our stakeholders by entering INR1 lakh crore market club cap. Now we have shared the investor presentation carrying all the necessary information for your perusal. Hence, we run through the same very quickly. Key highlights for the quarter and the year are as follows: sales, the consolidated revenue for the quarter is INR2,167 crores versus INR1,611 crores. For the year, it is INR7,540 crores versus INR6,070 crores.

The percentage of the sectors and the customer basket are as follows: CIL is at 13%, non-CIL and institutional is at 14%, H&I is at 16% in the basket, international business at 36%, defense is 20% in the basket from 12%. In the year, the domestic basket comprises of 44%, international business at 38% and defense business at 18%.

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Coming to the cost bifurcation. Raw material consumption for the quarter stands at INR1,165 crores against INR829 crores. For the year stands at INR3,907 crores versus INR3,196 crores. The employee cost for the quarter stands at INR174 crores versus INR119 crores and for the year, it stands at INR600 crores versus INR433 crores.

Coming to the other expenses for the quarter stands at INR288 crores versus INR309 crores and for the year stands at INR1,073 crores versus INR1,071 crores, which is almost similar despite the huge rise in the sales.

Coming to the EBITDA, we reported a quarter EBITDA at INR546 crores against INR371 crores. We reported yearly EBITDA at INR2,031 crores versus INR1,414 crores. Depreciation cost stands at INR50 crores against INR37 crores and yearly cost stands at INR182 crores versus INR143 crores. Interest and finance charges cost for the quarter is at INR29 crores versus INR32 crores. And for year, it stands at INR116 crores versus INR109 crores.

Coming to PBT, which stands at INR464 crores versus INR305 crores with a fantastic increase in PBT margins. And for the year, it stands at INR1,739 crores versus INR1,161 crore

s. Coming

to the PAT. It stands at INR346 crores versus INR243 crores. For the year, it stands at INR1,288 crores versus INR875 crores.

These are the updates for the quarter and year, which are explicitly given in the presentation shared with you. We are now open to the questions. Over to you.

Moderator: The first question is from the line of Mr. Ravi Naredi from Naredi Investment.

Ravi Naredi: Manishji, congratulations for best results so far in the history of company and inauguration of state-of-the-art loitering munition testing range by Narendra-ji Modi. We congratulate you and your team for fantastic result and everything. Sir, my question is INR2,500 crores capex you have planned for this current year. So how you arrange the funds either from internal accrual or as well as debt?

Manish Nuwal: Raviji, the capex program for this year is for INR2,500 crores, and this will be arranged through our internal accruals and a little bit of debt from the bankers.

Ravi Naredi: Okay, sir. And second, we are targeting handsome growth of INR10,000 crores top line this year. So what net profit expectation we are having this year? And can you bifurcate net profit margin between coal and defense separately?

Manish Nuwal: As far as margins are concerned, like we have -- last year, we have given a guidance of 23% plus EBITDA margin. But in fact, we have achieved around 27% in this financial year. So, if you look at the past history also in last 5 years, our revenue has increased by 3x plus and EBITDA has also increased by 4x and profit after tax also increased by 4.5x.

So looking at the margin side, we believe that our international business is doing better and defense is also gaining a good momentum. So we expect that we should be able to maintain or improve these levels of EBITDA margin and PAT margins. And as far as the margin

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differentiation is concerned, we treat business as one unit. So we give guidance based on the business as a whole.

Moderator: The next question is from the line of Ashish Kumar from Ampersand Capital Investment Advisors.

Ashish Kumar: My first question is on the margins again. We are expecting a good mix improvement in case of defense business. So like do we expect significant improvement in our margins from the current 27% levels? And second question is the breakup of capex that we have done INR2,500 crores, how much it is for defense and how much will be for explosives?

Manish Nuwal: Yes. As far as margins are concerned, like last -- I will repeat again. Last year, we have given a guidance of around 23% plus as far as EBITDA is concerned. So this year, we have already achieved around 27%. But as you know, the business dynamics keeps changing. But still, based on our defense and international business, we are confident that we should be able to deliver similar margins in the future also. And as far as the differentiation on defense capex or explosive capex, totally, we have allocated around INR2,500 crores to be made on different opportunities. So that's all.

Moderator: The next question is from the line of Umesh Raut from Nomura India.

Umesh Raut: Congratulations for the strong set of numbers. And also many thanks for the defense systems, which we have developed contributed significantly in recent adaptation. I have a strategic question. I think you are mentioning about closer to INR12,700 crores of investment in terms of MoU...

Manish Nuwal: Your voice is not clear.

Umesh Raut: Am I audible now?

Manish Nuwal: Yes. Now you are better.

Umesh Raut: So my first question is pertaining to your strategic investment of about INR12,700 crores in terms of MoU signing with the Maharashtra State. So could you please share some insight which all areas that you want to target apart from loitering ammunitions within defense space? And how are your addressable opportunities over there?

Manish Nuwal: Yes, as far

as our earlier shared information that we have signed an MoU and the total amount will be around INR12,700 crores could be invested over a period of 10 years. So these are the broader time lines and investment amount. But we are confident that looking at our current position in the ammunition market or so you can say defense market, we are pretty confident that these amounts will be invested much earlier.

And as far as products are concerned, you are aware that what kind of products we are manufacturing, like we have the energetic materials, we have rockets, we have missiles, mines. And as we are going forward, we are expanding the loitering ammunitions ranges for different Solar Industries India Limited

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applications. So this is what we all are doing. And from the current level of capacities, we are enhancing to a multiple level in the coming years.

Umesh Raut: Got it, sir. My second question is in terms of investment into research and development. So I understand that you have a significant capacity expansion plan. But at the same time, how are you looking at R&D in terms of percentage of sales going up from here on? And would you be dependent more or less on DRDO or you are also planning to kind of develop in-house R&D department in your company?

Manish Nuwal: So if you look at the history of Solar in last 10 years, we have always been working on developing the variety of products. And those developments were in association with DRDO. At the same time, we were developing many of the products on our own. So we will continue those efforts for our national security, and that is what will give a reflection of what Solar has been doing as far as research and development is concerned.

As far as a particular number or figure, which you may be expecting us to give, so we don't bifurcate the expenses into R&D or other things. So all the expenses are being part of our P&L, regular expenses.

Umesh Raut: Got it, sir. My last question is pertaining to recent news source where it was indicating that there could be fast tracking of ordering close to about INR24,000 crores, INR25,000 crores purely because of recent escalations. So are we expecting any fast tracking of major program for us in terms of Nagastra or possibly new orders for Bhargavastra as well?

Manish Nuwal: So if you look at the current geopolitical situation, these things are obviously bound to happen. And we always read all these articles from the media. So based on those information and the interactions we have, we feel that the defense program will be on a fast track now.

Moderator: The next question is from the line of Jyoti Gupta from Nirmal Bang.

Jyoti Gupta: Great set of numbers. Two questions. One, of course, the emergency procurement orders, which is going to a lot of defense companies. And you said that you're also aware and possibly -- I mean, and the defense devices, which have been used in India-Pak war, I believe, would you be getting repeat orders for that?

Other thing is please throw some light in terms of the time lines for the domestic procurement

plans orders and the international because as I understand, international orders would have possibly a delivery time lines of 2 to 4 years.

While if I look at the Pinaka ones, which is like 85% in 10 years and the rest in the next 15 years -- the remaining part of the year. If I had to just bifurcate the entire order between domestic and international, what kind of time line -- average time line do we see in domestic orders and international orders?

Manish Nuwal: Your question is quite long, but I will try to capture this. If you look at the current geopolitical situation in media articles, definitely, government is trying to buy many items on emergency procurement route. So we all are waiting for those items to be shared, and it depends at which

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produ

cts we can readily cater. And if we have the ready-made facility and the raw materials to cater them on really emergency route, we will attempt for them. So once it is there in our order book, we will definitely share.

As far as the orders of Pinaka is concerned, we have already shared that the Pinaka order is of around INR6,084 crores and which, by and large, to be delivered over next 10 years. So you can consider an annualized revenue of INR500 crores to INR600 crores based on the 2 Pinaka variants for which we have already received orders. There will be many more variants coming up in the future. So -- once those are converted, we will share. As far as energetic materials orders are concerned, those orders are for a period of 4 to 5 years. Hope I answered your question.

Jyoti Gupta: Yes, sir. And could you just throw some light on the -- as at date, what kind of order book we have? And what do you expect in FY '26?

Manish Nuwal: So as we receive orders, we will definitely share. But as of now, the total order book from defense is around INR15,000 crores and around INR2,000 crores from non-defense.

Jyoti Gupta: So INR17,000 crores [inaudible 0:22:14].

Manish Nuwal: INR2,000 crores from non-defense and INR15,000 crores from defense sector.

Jyoti Gupta: I missed out that, sir. Again, there was some crack in the voice. So INR15,000 crores from defense and INR2,000 crores from non-defense.

Manish Nuwal: Total order book is INR17,000 crores.

Jyoti Gupta: Okay, got it.

Manish Nuwal: INR15,000 crores is from defense.

Moderator: The next question is from the line of Dipen Vakil from PhillipCapital.

Dipen Vakil: Congratulations on a great set of numbers. Sir, my first question is, can you share us the split between our India revenue and out of India revenue, including defense and explosives both?

Manish Nuwal: We don't share those breakup. But like we have said that total orders are around INR18,000 crores from defense and INR15,000 crores -- out of INR18,000 crores -- out of INR17,000 crores, INR15,000 crores from defense and out of INR15,000 crores, INR8,000 crores is from India, rest all is from international.

Dipen Vakil: Okay. Sir, can you throw some light on the new product development in the defense side, namely in your Bhargavastra, Nagastra 2? And what kind of time lines are we expecting in terms of their preparedness and getting their approval? So can you throw some light on this front?

Manish Nuwal: Yes. Like we have already developed and supplied Nagastra 1, we are expecting repeat orders in coming period of the same product. And we have also developed Nagastra 2 and Nagastra 3.

So likely to received orders for those products in the coming year. And once we receive, we will

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share. As far as Bhargavastra is concerned, it is -- we have passed the 2 trials at different levels for different applications. So those trials were very successful. And as we move forward, we are expecting that this product should be ready in this calendar year.

Dipen Vakil: Got it, sir. Sir, just one last accounting question. Can you just give us your total employee count and that will be all from my side.

Manish Nuwal: We have shared the total employee cost in our financial numbers as...

Dipen Vakil: Count?

Manish Nuwal: That we will discuss later.

Moderator: The next question is from the line of Raj Rishi from Development Consultants Private Limited.

Raj Rishi: How much of a positive impact can this suppose it increase in defense spending by you? We are talking about taking the defense spending to something like from 2% to 5% of the GDP. How will it benefit Solar?

Manish Nuwal: Like we have already shared the total order book of our defense is around INR15,000 crores. And out of INR15,000 crores, the domestic orders are in the range of INR8,500 crores and

international is balance INR6,500 crores. So as we move forward, we are expectin

g that since

our products are well qualified in the international market, we are expecting more and more orders from the international markets.

So already out of INR15,000 crores, more than half is from international market and that gives a glimpse of our current stature in the global markets. And definitely, any kind of increase in the defense budget is giving us a big opportunity to expand ourselves not only in India but outside India also.

Raj Rishi: Okay. And sir, whatever your capex plans, do you have any equity raising plans?

Manish Nuwal: I think the current INR2,500 crores plan in this year can easily be met with our current cash position plus the internal accruals.

Raj Rishi: Okay. And sir, how entrenched are you with the BrahMos program?

Manish Nuwal: We are supplying some of the intermediate products to this product, and we are part of that program. So I can't share more.

Moderator: The next question is from the line of Het Choksey from Deven Choksey.

Het Choksey: First of all, congratulations on a stellar Q4 and FY '25 and just the phenomenal success of our products in Operation Sindoor is a testimony of the capabilities we have built over the last decade at economic explosives. So keep up the good work with Nagastra, successful testing of Bhargavastra and the continuous indigenization and the product profile, which you plan to develop in the coming years.

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And just the testimony for the fact that just from supplying core ammunition, you are integrating the entire supply system. So keep up the good work and best wishes. Nothing beyond that. Just one question on the BrahMos project. We have seen a lot of companies or a lot of countries showcasing interest in acquiring BrahMos from the Indian government. Do you -- what is your outlook on this? And how do you think the new ammunitions which you have developed can be of a significant contribution in this project?

Manish Nuwal: So I will -- thank you, Deven for your compliments for our achievements and what we have done as far as providing the best-of-class products for our country's border security. So definitely, it gives a big compliment to our team members, and it's a satisfying moment for our team members or company that our products were being used as a part of this operation.

So I would like to just share some basic glimpses that if you look at the last 10 years or 20 years of geopolitical situation, very few companies in this market has really spent on building capacities for defense products. And Solar is one exception, which has kept investing in developing the products, developing the facilities.

And in last 7 years, we were supplying to many of the international customers who qualified the products, a lot of technical challenges, a lot of improvements, a lot of developments were part of those qualifications. So after reaching to that stage, if we look at the opportunity size, so 3 years back, there was no discussion on the war side. Now Russia, Ukraine, Israel side and now India, Pakistan side.

So those are natural things to happen. If you look at last -- after World War II, there was no big event happened. So sometimes these things can convert and conflicts can convert into the bigger things or bigger wars. So nobody wants them. But to secure ourselves, we, as a country or all the nations would like to invest in this sector or keep the products ready for defense.

So we are one of the few companies which is part of the global supply chain, and we have developed a lot of products for our country as well. So if we -- as we move forward, we will have many opportunities where we can participate and becoming part of the security solutions.

Moderator: The next question is from the line of Amit Vijay Saoji from A1 Investments.

Amit Vijay Saoji: Congratulations for the numbers and a big thank you for the team for the role in Operation Sindoor. My que

stion on a lighter note is, if you can tell, is there any policy for bonus issue as Dil Maange More?

Manish Nuwal: Thanks for the compliment. So we are aware of our investors' expectation. They're expecting bonus from the company, but we will address this wish of shareholders at an appropriate time.

Thank you.

Moderator: The next question is from the line of Hardik Rawat from IIFL Capital.

Hardik Rawat: Manishji, I had a couple of questions with regards to our defense order book. Now that has scaled up beautifully to about INR15,000-odd crores. We are targeting roughly INR3,000-odd crores

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worth of revenue in FY '26. I wanted to know what is the possibility that in how many years do you think we can possibly execute this order book of INR15,000-odd crores?

Manish Nuwal: Which order book?

Hardik Rawat: So our current defense order book of INR15,000 crores.

Manish Nuwal: Yes. So like I said, this total order book is INR15,000 crores out of that international is around INR8,500 crores. So this international will be delivered in next 4, 5 years. And the domestic INR6,500 crores apart from Pinaka, the other items are very small. So Pinaka is a bigger program, which is around INR6,000 crores will be delivered by and large over a period of 10 years. And based on the current order book and the expected orders in this financial year, we expect that INR3,000 crores orders or revenue from defense should not be a big issue for us.

Hardik Rawat: Sir my next question was with regards to our NWC or net working capital intensity. While we had a substantial increase in the mix of defense in the current year, our NWC intensity has more or less remained the same, marginal increase, but nothing major. Just wanted to understand that as our mix shifts more towards defense, 30% in FY '26 and possibly higher in the years to come, how do you see the net working capital intensity for the company going forward?

Manish Nuwal: We are not very much concerned on that part because we have always been saying that once the defense product starts stabilizing, the working capital cycle start reducing. But if you look at the last year's working capital cycle, although defense sector has increased, the sale from defense has increased from 9% to 18%.

But despite of that, our working capital cycle is not going up, rather it has shown improvement.

So I believe we should be able to address these pointers. And we have a variety of products to be delivered to the Indian customers, defense PSUs and international market. So we are not very much concerned.

Hardik Rawat: The reason that -- yes, that point is well taken. The reason that I'm asking is because your peers in the defense space, unlike us, they are more focused towards the domestic defense, which I think is probably creating the difference. How would you comment on the kind of receivable cycles you see in the domestic defense contracts that you execute and the international domestic -- international defense orders that you execute?

Manish Nuwal: I think I have answered to your question. And frankly speaking, you have invested in Solar, not in -- you might have invested in other companies and Solar as well. So we are a different company than others. We don't want to compare ourselves with any other PSUs or other things. So we have a blend of products, a blend of customers across the global markets. So that gives a kind of reflection what we are operating at. If you look at my 20 years of performance also, how we are changing the landscape of customers' profile. So that gives a reflection.

Moderator: The next question is from the line of Chirag Muchhala from Centrum Broking.

Chirag Muchhala: Congratulations to the entire Solar team for a landmark year. Sir, firstly, I wanted to discuss on the explosive business. So for both domestic market and for overseas market, if you can provide Solar Industries Ind

ia Limited

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your outlook for FY '26? And for overseas market, sir, some of the key geographies, if you can speak about how is our progress?

Manish Nuwal: Yes. So like we have said in the last previous quarter's commentary that as far as domestic market is concerned, demand was quite subdued, which you are also aware of if you look at the other products like cement and steel. So we are also part of the similar value chain. So the market demand was not up to the expected level.

But if you look at the current volume with Q3, there is a significant improvement, and we have shown a growth of 14%. And I think as we are entering into the FY '26, the volume should be quite good. And similarly, in international market also last year on revenue terms, we increased our business by 18%. And combined together for FY '26, we expect that we should be doing around 15% to 20%.

Chirag Muchhala: Okay, sir. And specifically regarding some of our large international geographies, it is possible to comment regarding the profitability like Australia, Indonesia, South Africa, etcetera, and even the Problast acquisition that we had done, so how is that progressing?

Manish Nuwal: So we have multiple subsidiaries. We have a large presence in different countries. So in the last year or till last year or you can say from last 4, 5 years, we were trying to stabilize our operation gain a good momentum. So we were having certain subsidiaries where we were making certain losses also. But in this financial year, we have turned around all the subsidiaries, and we have profits in all the geographies. And based on the current momentum of the current platform, which we have built, we expect very good sets of numbers from international markets in the coming years.

Chirag Muchhala: Okay. That's heartening to hear, sir. And sir, last question is actually on initiating systems. So is it possible to give its revenue for Q4 or FY '25, whichever is possible?

Manish Nuwal: If you look at the total revenue from initiating system, it is less than 5% of the total revenue. It

doesn't make any sense for us to continue commenting on the initiating systems or the volume part. So let us stay with these numbers, and we have to work on these numbers and our future projections.

Moderator: The next question is from the line of Mohit from ICICI Securities.

Mohit: Congratulations for the great set of numbers. I just need a clarification. Does your guidance of INR30 billion of the defense revenue includes possible benefit of emergency procurement order or the emergency procurement order is over and above the stated guidance of INR30 billion?

Manish Nuwal: If you look at our company's style of working, we capture all such kind of developments into our planning and then factor all those things and then give a guidance. You can't expect a company like Solar to give a guidance then every couple of months, we keep on changing. So we know what the things on the ground and what we can expect.

So as a shareholder, we want to give a very prudent and very conservative or the realistic view on what we have seen on the ground and what you can expect from us. So we, as a company, Solar Industries India Limited

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believe that in this year, we should be able to cross INR3,000 crores revenues. So that is based on our international exports, domestic markets, Pinaka orders and some of the emergency procurement, which can be allotted to us, those can be converted in this financial year or may stage to the next financial year.

So all those combinations, we keep in our mind while making any kind of guidance. So for you, you can consider INR3,000 crores as a ballpark number for guidance from defense sector for FY '26.

Mohit: Yes, sure. And sir, the second question is, how is the business performance in Kazakhstan and Saudi? Also, are we planning to enter any new geographies in this financial year

?

Manish Nuwal: So we have not started Saudi. We are in the process to set up the facilities. So we are working on that front. As far as Kazakhstan is concerned, we have almost finished the plant. In next 3, 4 months' time, we should be able to start the operations. As far as other geographies like Thailand, we have already operationalized. Indonesia is operationalized. And Tanzania, we are doing more expansions. And Zimbabwe also plant is in commissioning stage. Ghana, we are expanding. Nigeria, we are expanding. That is what we are doing.

Moderator: The next question is from the line of Kunal Tokas from Fair Value Capital.

Kunal Tokas: Okay. Just one quick question, sir. What sort of exposure do we have to Turkey, either business done in Turkey or through Turkey? And what's your outlook on that?

Manish Nuwal: Yes. Out of our total revenue of INR7,500 crores approx, the total revenue from Turkey is less than 10% and profits are also 5%, 6% of the top line of the total profitability.

Moderator: The next question is from the line of Anirudh Singhi from Dalal & Broacha Portfolio Managers.

Anirudh Singhi: So I had a question on the capacities. What will be the utilization right now? And this new capex that we're doing of INR2,500 crores, when would that come into production? And what would be the asset turnover there?

Manish Nuwal: The capex program of INR2,500 crores is for various initiatives. And there are multiple things like buying the land, investing in new technologies, doing automations, developing new products. So it's a variety of initiatives. And every initiative will deliver the returns either in 1 year, 2 years, 3 years, 4 years or 5 years. So it is -- the business nature is like that.

As far as asset turnover ratio is concerned, in my industry, there is no point in discussing that because we have thousands of SKUs, every SKU is being measured in different terminology or different unit of measurement. It is very difficult to give any sense of capacity utilization number.

Anirudh Singhi: Okay. So just post the capex, what could be a peak revenue?

Manish Nuwal: Difficult to answer.

Moderator: The next question is from the line of Rakesh Roy from Boring AMC.

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Rakesh Roy: So this year for the defense business, we did very well. So FY '26, we are targeting INR3,000 crores. If you look for next 3 years, how much revenue you are targeting in next 3 years like example for FY '28 or '29 from defense business? My first question is this.

Manish Nuwal: Any other questions, please you can ask. I will answer them in once.

Rakesh Roy: Yes. Sir, my other question is, government is doing a lot of missile program. Apart from BrahMos or Pinaka or Akash, any other program you are targeting or you are expecting to get the same like BrahMos side?

Manish Nuwal: Any other question?

Rakesh Roy: No, sir.

Manish Nuwal: Right. We have a lot of facilities and a lot of programs on which we are working. And a few of

them are products like Pinaka, and we are also being part of these promos programs. And we will also would like to be part of various ATGMs and air defense missile systems. So as we move forward, once we received any big commercial orders, we will keep sharing.

Apart from this, because these products are quite sensitive in nature from geopolitical angle, we cannot answer one -- cannot give a specific input on each product separately. So that is what is. And as far as revenue from defense is concerned, we have given INR3,000 crores in this FY '26 and if you look at the past trajectory that we have increased our revenue from, say, 5% of total revenue in '21, we have increased it to, say, 18% in this year.

And next year, we are expecting 30% of the total revenue. And as far as revenue, straight away from defense is concerned, FY '26, INR3,000 crores, and we are aiming for, say, around INR8,000 crores in next 4, 5 years.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers Limited.

Bharat Shah: Hearty congratulations, Manish and the team Solar. While of course, this moment is a moment of great pride, but I'm witnessed to the strenuous hard work and efforts and reason display in building this business to where it is today. I remember the struggle days of building the defense activity. And now today, it is a stellar piece in what we are doing.

So hearty congratulations for that very visionary view of the opportunity and the picture and preparing organization for that delivery. Just one question, Manish. This INR10,000 crores turnover in the current year, would it be reasonable to assume that it will probably double in 3 years' time from now, so say, INR20,000 crores by about '29, given all the opportunity, given all the capacity raising and the capability preparation within the firm, will that target look reasonable in 3 years' time?

Manish Nuwal: Thank you, Bharat bhai, for being with us during this difficult times as an investor. And definitely, we all are proud of what we have done for our country. That is our duty actually. And -- but it is good that some of our products are being used by the Armed Forces for securing our Solar Industries India Limited

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borders. So we all are proud of that. Sir, this year, definitely, we are very confident that we should do INR10,000 crores plus as far as revenue is concerned.

And if you look at last couple of years of our trajectory or you can say, last 20 years since our listing, so our revenue has increased by 50x and EBITDA by around, say, 55x and profit after tax also around 58x. And in last 5 years also, our revenue has increased by 3x plus and PAT also by 4.5x.

So sir, I think if you take next 5 years from this year, at least we should say, 3 to 4 years, we should double the revenue from INR10,000 crores. I don't see that unless we do a blunder or if economy growth rate goes down drastically low or if something wrong happens to everyone, so then it's a different scenario. But by and large, from INR10,000 crores, making it to INR20,000 crores over a period of 4 years should not be a very impossible target for us. We are aiming for that only.

Bharat Shah: Fantastic, Manish. Once again, really a note of big thanks from the country and hearty congratulations for the resounding performance of the team Solar.

Manish Nuwal: Thank you, sir.

Moderator: The next question is from the line of Pratik Mukasdar, RNL Wealth Private Limited.

Pratik Mukasdar: Manishji, congratulations for a fantastic set of numbers. I have 2 quick points. Firstly, we had updated on the exchanges that we are considering some acquisition opportunity or something like that. Would you like to -- is there any progress on that, one? Secondly, in the last quarter, raw material prices of majority products has been very low. So do -- I'm sure you as a good management must be focusing on opportunities to stock up more? Or how do you look at that situation? These were my 2 questions.

Manish Nuwal: Can you repeat the second question again?

Pratik Mukasdar: Basically, all raw materials and commodity prices are low. So how do we, as a firm, try to capitalize that? And what is your view on that part of our business? Do you see raw material prices remaining stable? Or what is your view?

Manish Nuwal: Yes. So as far as acquisition is concerned, we always look at multiple options across the globe. And we have a team now to look forward on looking for the merger and amalgamation opportunities if it gives a fit for our business or which gives us a decent return on our capital employment. So that is a standard or this is what we are doing. So once anything happens, we will definitely share with our investors.

And as far as our raw material, the current trend, which you have mentioned that the current raw material prices are low, yes, I

agree that some of the raw material prices are on the lower side.

So -- but if you look at the business nature that -- whenever the prices goes down, we have to reduce the prices or whenever prices goes up, we have to increase the prices.

There can be a lag in both the trends. But if you look at last 20 years, which I was just explaining in this call, so in last 20 years, profit has increased by 58x similar to the revenue of 50x in 20 years. So EBITDA margins are always healthy. And we are doing this business from last 29 years. So we know what to do during the low tides or high tides.

Pratik Mukasdar: Great. So Manishji, thank you once again and congratulations. You and your team have delivered on both the agendas that is Atmanirbhar and Atma Raksha. So congratulations to you once again.

Manish Nuwal: Thank you very much.

Moderator: Thank you very much. Ladies and gentlemen, due to time constraint, this was the last question. I now hand the conference over to Mr. Amit Dixit for closing comments.

Amit Dixit: Yes. Thanks, everyone, for attending the call and a very fruitful discussion that we had with Manishji this morning. I would now like to turn the call over to Manishji for any closing remarks.

Over to you, sir.

Aanchal Kewlani: Thank you, Amit. We are very happy to host this call for Solar Industries and very, very proud of being part of Make in India, Atmanirbhar Bharat, Make for World. And we expect our well-wishers to keep supporting us, boosting our confidence just the way they've been doing since years. Thank you so much.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

August 11, 2025

To, To,
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra Kurla Complex Floor no. 25, PJ Towers
Bandra (E) Dalal Street
Mumbai - 400 051 Mumbai – 400 001
Trading Symbol: “SOLARINDS” Scrip Code: 532725
Through NEAPS Through BSE Listing Center

Subject: Transcription of Conference Call with reference to the Unaudited Financial Results for the quarter ended on June 30, 2025 with the Management of the Company.

Dear Sir/Madam,

Further to our letter dated August 2, 2025 we are forwarding herewith a copy of Transcription of Conference Call hosted by Philips Capital, on Friday, August 8, 2025 at 11.00 a.m. IST to discuss the Unaudited Financial Results of the Company for the quarter ended on June 30, 2025 with the Management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari
Company Secretary &
Compliance Officer

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“Solar Industries India Limited
Q1 FY '26 Earnings Conference Call ”
August 08, 2025

MANAGEMENT : MR. MANISH NUWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SOLAR INDUSTRIES
INDIA LIMITED
MR. MONEESH AGRAWAL – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
MS. SHALINEE MANDHANA – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
MS. AANCHAL KEWLANI – SENIOR FINANCE
MANAGER , INVESTOR RELATIONS MANAGER – SOLAR
INDUSTRIES INDIA LIMITED

MODERATOR : MR. DIPEN VAKIL – PHILLIP CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Solar Industries India Limited Q1 FY '26 Earnings Conference Call hosted by PhillipCapital. As a reminder all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask question after the presentation conclude. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dipen Vakil from PhillipCapital. Thank you, and over to you, sir.

Dipen Vakil: Thank you, Palak. Good morning, everyone. And on behalf of PhillipCapital, I welcome all the participants for Solar Industries Q1 FY '26 Conference Call. To begin with, first, I would like to thank the management for giving us the opportunity to host this call.

From the management today, we have Mr. Manish Nuwal, MD and CEO; Mr. Moneesh Agrawal, Joint CFO; Ms. Shalinee Mandhana, joint CFO; and Ms. Aanchal Kewlani, Senior FM and IR M.

So without much ado, I'll pass on to Aanchal to take it up. Over to you, ma'am.

Aanchal Kewlani: Good morning, and thank you for this. A very good morning, everyone, and welcome to the fiscal first quarter review conference call. My name is Aanchal, and I would like to welcome you all on behalf of Solar Industries India Limited.

At the onset, let me restate. In this call, we might make projections or other forward -looking statements regarding future events and about future financial statements and performance. Please remember that sub statements are only predictions. Actual events or results may differ materially. Our website will be updated with all the information from time to time.

Now I would request our MD and CEO, Mr. Manish Nuwal, for his opening remarks on the company's performance for this quarter. Over to you, sir.

Manish Nuwal: Thank you, Aanchal. A very good morning to all the esteemed investors. I'm Manish Nuwal, welcomes you all to the Solar Industries Earnings Call for the first quarter ended on 30th June 2025.

Solar Group reports resilient operational and financial results for Q1 '25 , '26. We are pleased to announce that we have achieved our highest ever quarterly EBITDA and PAT of INR564 crores and INR353 crores, respectively, in this first quarter.

The company's turnover stood at INR2,154 crores, registering a 28% increase over Q1 of the previous fiscal year Solar's sustained growth momentum on account of robust performance, particularly from international business and defense sector. This performance could have been even better had the early monsoon not affected the domestic explosive market.

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This quarter, our international business recorded a 43% year -on-year growth. And in terms of quarter number, it stands at INR826 crores, recording the highest quarterly sales. This performance was driven by strategic manufacturing facilities in 9 countries and our global distribution network across 90 countries.

I'm pleased to report that our defense revenue has also reached to INR418 crores in this quarter, reflecting a robust 115% year -on-year growth. With a strong defense order book of around INR15,000 crores and commercialization of Pinaka orders in this year, we anticipate that the defense domain will achieve its next level of growth, as per our guidance given earlier on the annual results.

Successful testing of Bhargavastra and Rudrastra in this quarter reaffirms the strength of R&D capabilities of our company. Repeat orders for UAVs and multi -mode hand grenade have reaffirmed the quality of our products bolstered users confidence and established us as a trusted partner in this Atmanirbhar Bharat initiative.

Mining industry had lower demand due

to milder heat waves, early monsoon and geopolitical development tested the industry's resilience. However, we remain optimistic about the growth in mining and housing and infrastructure sector in the upcoming quarters and the domestic cycle revised post monsoon.

With a proven global footprint and deep integration into commercial exposures Solar is now strategically positioning itself as a global supply chain partner in the defense sector, unlocking new opportunities and enhancing the long values for the stakeholders.

Back to back, the 30 years of expertise, we have built a robust portfolio of high -impact solutions

across mining, infrastructure, defense and space. Our journey has been one of the transformation rooted in innovation driven by purpose. As we continue to unlock new growth opportunities, our commitment to performance and stakeholders' value remains stronger than ever.

I sincerely thank all our esteemed investors and analysts for joining us today. Thank you very much. Over to Aanchal for presenting the financials in detail.

Aanchal Kewlani: Thank you so much, sir. It gives us immense satisfaction to present the result of our journey, reflecting the efforts put in as profit momentum wins. We are exceeding the previous quarter's profit consecutively in a row, which gives us immense satisfaction and happiness.

We achieved revenue of INR2.54 crores versus INR16.85 crores, increased by 28% year-on-year, highest quarterly EBITDA at INR564 crores versus INR474, increased by 19% year-on-year. PAT stands at INR353 crores versus INR301 crores, increased by 17% year-on-year.

Now let's quickly review the quarter numbers. Revenue from Coal India was INR238 crores versus INR246 crores in the previous quarter -- previous year. Revenue from non-CIL institutional were INR348 crores versus INR304 crores. Revenue from H&I, that's housing and infra, was INR312 crores versus INR253 crores.

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International revenue was INR826 crores versus INR579 crores, registering highest quarterly revenue with a growth of 43%. Defense revenue was INR418 crores versus INR194 crores in the same quarter previous year, registering growth of 115%.

Coming to the cost breakup, raw material consumption cost was 50.18% as a percentage of sales versus 51.65%. Employee costs was at 8.53% versus 7.78% as a percentage of sales. Other expense cost was approximately 15.85% versus 13.90% as a percentage of sales. Test cost was 1.27% versus 1.63%. And the depreciation cost was approximately 2.6% versus 2.37% as a percentage of sales. We reported PBT at INR481 crores versus INR408 crores. We already have a presentation updated on the website.

Now we would be happy to take any questions, comments or suggestions that you may have. Over to you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is on the line of Vikash Singh from ICICI Securities.

Vikash Singh: Sir, my first question is regarding our medium-term outlook of 200 billion revenues and 80 billion revenue, as we basically intrastate that beyond in Europe segment into that? And how big this opportunity could be us?

Manish Nuwal: Can you repeat your questions again because...

Vikash Singh: Am I audible properly?

Manish Nuwal: Yes, yes, you're audible.

Vikash Singh: Yes. So sir, regarding our medium-term 4 to 5 year outlook of 200 billion revenue and a different revenue of 80 billion, is this also includes the opportunities which we are having in the Europe regarding the EAM Europe by 2030? Have we have built anything on that account as well? And is that how much?

Manish Nuwal: So in the last annual results call, we have shared our plans at what we are going to achieve in this financial year. And we are -- what we are likely to achieve in the next 4 to 5 years. So we stand by that, and you can

refer to those numbers.

Vikash Singh: Sir, regarding the news regarding 2,000 crore s UAV mail drone orders, I just wanted to understand where are we placed in that segment now? Opportunity size for us could be?

Manish Nuwal: This can be a big opportunity for the defense market. And as far as this program is concerned, plenty of companies will be participating. And we are also one of those companies who are interested to participate in this program.

Vikash Singh: And sir, lastly, on 175 mm shell, if you could give us our standing on there and...

Manish Nuwal: So this is regarding, I think, 155 mm shell. So as far as this product is concerned, we have the facilities to make these products. We have already started working on that. And very soon, we will start the commercial production of this product.

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Vikash Singh: Sir, just a clarification on the defense-targeted revenue of 80 billion over the next 4 to 5 years, we have added this 155 mm shell in that segment, right?

Manish Nuwal: So what I said that next 4, 5 years numbers which you are trying to ask, you can refer to my last quarterly con call numbers, and that is good for the guidance as far as the long-term trajectory of our company is concerned.

Moderator: Next question is from the line of Amit Dixit from Goldman Sachs.

Amit Dixit: Yes. At the outset, congratulations for a good set of numbers, sir. A pretty good and solid start to the year. A couple of questions from my side. The first one is regarding Bhargavastra and Rudrastra, while you had mentioned in the prepared SLE that there have been tests over there. So just wanted to understand the commerciality part of it, when can we expect orders from these 2 platforms.

And the big part of the question is officially on the ammunition side that the export orders, we received quite a bit of export orders last year. So what kind of traction we are seeing in this market because this market is quite red hot at the moment?

Manish Nuwal: Yes. Like I said that we have done some successful trials of Bhargavastra and Nagastra, Nagastra and new series as well as Rudrastra. So as far as trials are concerned, we are going ahead on the qualification part quite well. It will take some more time, more time means in difference is a couple of quarters where we will reach to the final qualification.

And once we are through with that, we can expect the commercialization of these products. So as you are already aware that in defense market commercialization, after the qualification also takes some time. So we are quite optimistic that these products are very much in demand. And once these are tested and successful trials being completed, we expect commercialization to happen at a much faster pace.

As far as the order book from international markets are concerned, like we have already shared that we have a total order book of around INR15,000 crores. And after leaving the Pinaka portion, the order book from international is around INR8,000 crores. So we have received the orders and now commercialization has also started, but ramping up definitely takes a couple of more months.

And once it starts, it will reflect in the numbers. So we will see the improved numbers from defense market, which will be in line with our annual guidance quite soon, or you can see from quarter 2 or quarter 3.

Amit Dixit: Nice to know that. The second one is on the international business performance, which has been, by far, the best, if I look at past history. Is it possible for you to mention just qualitative details will do what -- which markets are doing well for you at the moment? How is Australia, Indonesia faring? And also, we had our plans to go in Saudi and Kazakhstan. So where we are on that because this segment appears to be very, very promising on non-defense side at least.

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Manish Nuwal: So as far as overseas markets are concerned, the industrial subsidiary-wise detail we normally share annual the annual report, so you can refer to that. But as far as the momentum, which is above the normal momentum in the numbers is mainly on account of a very good business from South Africa because all subsidiaries are doing quite well, but South Africa is doing much better now compared to the couple of years back.

And the performance is we were eagerly waiting for this kind of performance from last couple of years. We were trying a lot to improve those things. And finally, we can see these good sets of numbers from South Africa.

Moderator: Next question is from the line of Nitin Arora from Axis Mutual fund.

Nitin Arora: Just on the -- as exports continuously do good even in this quarter last year and you said pipeline looks pretty decent, so how are you thinking about the capex now? Because we also keep hearing and reading articles that government wants their own. Requirement is very high at this point in time. So how you're thinking about increasing capacity over the next 2, 3 years if demand is so strong? Just one comment on that?

Manish Nuwal: Like we are sharing on all our previous calls that solar is one of the most integrated ammunition player in the private market. And have established plenty of facilities materials, energetic materials, fuses, rockets integration, missile integration, drone facility.

We have done a lot on these parts, but -- and we have received INR1,000 crores orders. So as we have shared in our annual call that we are going to invest INR2,500 crores in this financial year. And in the coming years also, we have a strong strategic program to expand our facilities. So we are moving ahead on that part. And we will see that the capacities of solar as a company will be one of the best in its class and of a global scale.

Nitin Arora: I got your point, sir. I was just asking more from that because demand is so strong, both domestic and exports have been highlighting. Do you see a chance of upgrading your capex is that what the question was more about?

Manish Nuwal: So I think we have just finished the annual call. Just 1.5 months back. So in just 5 days, nothing changed in this part.

Moderator: The next question is from the line of Rahil Dasani from M APL.

Rahil Dasani: I just wanted to get a better idea on our drone segment. Previously, we were into the smaller

range and payload drone the Nagastra. And now we have tied up with NAL for a higher range and payload model. So first of all, why this change because we have been getting very decent orders in Nagastra.

Are we seeing a larger demand come in the 500 to 1,000 kilometer range drone? And if you can quantify how large a demand or opportunity are you seeing for this particular model?

Manish Nuwal: So I think we have shared a couple of times that the company is very well positioned in this market, especially on drone-based ammunition programs, which we say loitering ammunitions.

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So after a successful on the Nagastra 1, we have started making Nagastra 2 and Nagastra 3 also for some of the special applications.

And as we are moving forward, definitely, it's a natural growth for us or it will be a natural growth for us to expand in the higher category of growth. So looking at those kind of opportunities, we are entering into the higher altitude and longer endurance levels of drones category. So we will see how we will establish our products for those applications. So we will come to know in the next couple of years.

Rahil Dasani: Okay. And being in service with our Maharashtra 1 since so long and since we have been in close connect with the government for all our orders, what sort of visibility or opportunity are we seeing for this particular

one, if you can quantify that?

Manish Nuwal: It will be very difficult for us to quantify this opportunity. We have to wait for the real opportunity or the real potential of this segment to unlock.

Rahil Dasani: Okay. And sir, we have been seeing a lot of drone demand, especially post operations. There has been an emergency procurement ongoing. How worried should we be about this demand sustained? As we have seen in the past that during emergency procurement, lots of demand comes in the short term, but then the demand dies in the next 1 to 2 years?

Manish Nuwal: Difficult for me to comment on this question.

Rahil Dasani: Okay.

Moderator: The next question is from the line of Ankur from HDFC Life.

Ankur: First question was on the domestic explosives business. If you could just help us with the volumes for the current quarter, that is Q1. I'm sorry, I missed that. And also, how are you seeing volumes? What will be the volume growth for the full year, obviously, given the unseasonal rain and there's been some slowdown there on the mining side. So yes, just to start off, if you could help us there?

Shaline Mandhana: Thank you, Ankur, for the question. Since as a policy matter, we do not share the international market volume. So we have discontinued for the domestic market also because if you see on the number front, domestic market hardly contributes around 40% of our total revenue.

Ankur: Okay. So on the volume side overall, what kind of growth will you be looking at on the domestic explosive side? Any guidance there?

Manish Nuwal: So like we said that we are targeting around 15% volume growth in this year. But if you look at our clarification that because of early monsoon and lower-than-expected heatwave resulted into lower demand for the power. And as a result, it has impacted the coal mining as well. So if you leave this part aside, then definitely, there is no dearth of growth for us in this market.

So once this thing settles, which is a little abnormal to see that last year also there was an above-normal monsoon. And then in this summer, the heatwaves were lower than the normal ranges.

And then again, the early monsoon in this monsoon period.

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So that is impacting the demand. But otherwise, it is good for the long-term requirement angle because more availability of water will help to generate power uninterruptedly for -- especially for thermal power side. So we think that after the post monsoon, the demand should be very, very good.

We have also done a lot of capex program for the company we acquired a couple of years back, which is in Pakistan. And we also started our facility at July. So if you take these expansion into the consideration, the market penetration and the volume growth should start very soon.

Ankur: Okay. Fair. And just a second question. So then overall, for the full year, I know since you're not giving a volume guidance anymore, any revenue guidance for the full year? I think the number was close to INR10,000 crores for FY '26. And within that, I think defense was around INR3,000 crores.

So if you just want to talk about how do you see the full year FY '26 top line within that

difference? And also, in defense, which would be the products which would drive that growth for you this year? Some color there ? Yes.

Manish Nuwal: Yes, I can show some colors on this aspect. If you look at our annual guidance of INR10,000 crores, so we are still believing that we will definitely cross INR10,000 crores in this financial year. And out of that, INR3,000 crore s should be some defense and nondefense should add to around INR7,000 crores. And as far as the products, which will give the momentum will be one of the key products is Pinaka series of rockets, should start from end of Q2 or start of the Q3.

Moderator: Next question is from the line of Yogansh Jeswani f

rom Mittal Analytics Private Limited.

Yogansh Jeswani: Sir, just a couple of questions on your drone. So like you were telling about the initial provision that you'll be doing in Nagastra 2 and 3 and rightfully so. So -- but sir, we are also seeing a couple of bigger players coming in this market like new space is there anise Tata also, though some of them are facing challenges in terms of their technical viability and all, but still there is a lot of serious competition coming in.

So one, how are we thinking about this? And secondly, sir, we did some work, and we realize that you have got good score in terms of your technical capabilities in this. So if you could just help us understand how much is this value versus the commercial? And how will the pricing part work for these longer -range drones?

Manish Nuwal: So as far as the potential of these products are concerned, like I said, we are still in the development stage. We are looking at this higher category of rooms as a part of our strategy. So once our products are developed or qualified, definitely, we will see how to place our commercial part to take the orders of the total opportunity.

As far as other players' challenges are concerned, I cannot comment on that. So we have to wait for those -- the AON, which has been considered in the last week that the country wants so much of higher category of drones. So we will see how it unfolds. But our company is definitely trying to enter into this league of higher category of loans.

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And we are confident that we will -- definitely, we will have certain challenges to reach to that level. But as we have demonstrated in the past that, we are one of a company which definitely achieve what we try to promise. So we need to wait for a certain period to give more light on these programs.

Yogansh Jeswani: And sir, on the cost side, will we be relatively cheaper compared to the existing foreign drones, the [inaudible 0:28:30].

Manish Nuwal: So I think we have not still reached to that stage where I can comment on the commercial part. But like you have seen that in Nagastra also, there were a couple of people participated, but we will how products were qualified and from technical side. And then we were the lowest bidder as well. So I think we have a fairly strong chances to enter in this and take orders, but we need to wait.

Yogansh Jeswani: Got it, sir. And sir, one more question from my end. So if you could broadly help us understand what are your internal time lines in terms of the design and development of this entire project, and especially given the fact that compared to our peers, we are even trying to make the engine in-house. So what is the readiness of the team? At what stage are we in? How confident are we? If you could just broadly help us understand all of those aspects, it will be really helpful?

Manish Nuwal: That's a fair question, but we will share all the details at an appropriate time. So you need to wait for that.

Moderator: The next question is from the line of Abhishek Mehra from DAM Capital Advisors Limited.

Abhishek Mehra: So I had a question on the order book position. Like in terms of if I only see the historical quarterly defense order book position, it usually increases post Q1. So Q1 inflows historically remain lower. So is that reading correct?

Shalinee Mandhana: Can you repeat your question?

Manish Nuwal: I think this question is very irrelevant for us to answer because as and when we receive orders, we share it with all the investors. There's no trend of defense market in the history of share . If you take 2 years back, there were no orders, not much orders. In the last year, we have collected so many of orders. You could expect the particular trajectory of getting orders on every quarter basis.

Abhishek Mehra: Right. And sir, secondly, just wanted to

have an understanding of the different tendering part.

So are there any sharing of orders between L1 and the other bidders, let's say, L2 where they would be matching the price of L1 and the orders are getting shared there. Does that happen generally?

Manish Nuwal: I think every tender have its own terms based on the requirement of the end users. And normally,

it is sometimes it is 60 -40, sometimes it is 70 -30. Sometimes it is only one gets the whole order. So it varies from each tender to tender.

Moderator: Next question is from the line of Chirag from Centrum Broking.

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Chirag: Sir, question is on the overseas markets. So what kind of revenue outlook we have in overseas market since Q1 has seen a very strong scale up? And whether Kazakhstan and Saudi Arabia plants will start commercial production this year?

Manish Nuwal: Yes, we are trying to start our Kazakhstan plant in this financial year. Hopefully, by October, we should start the plant. And as far as revenue potential from this international business is concerned, we are doing at around 37%, 38% of our total revenue of the company. So in this year, if we have given a guidance of around INR10,000 crores, so we are expecting around INR4,000 crores from international market, INR3,500 crores to INR4,000 crores.

Moderator: Next question is from the line of Bharat Shah from ASK Investment Managers Limited.

Bharat Shah: Yes. Manish, yet again very creditable performance. Just one thing. I noticed on the new -- I mean, the application of hyperinflationary accounting standard, there is a loss recognized in the first quarter of INR17.5 crores, and there is an income recognized for the last year transferred to the reserve of INR9-odd crores. So either Shalinee or Aanchal, just wanted to understand, is this going to be a ticketing feature? Reported this will be stated in taken into account, isn't it?

Shalinee Mandhana: Yes, sir. Shalinee here. So we have hyperinflationary account in Turkey. So currently, the figures are around INR18 crores, which affected our P&L for this quarter, and INR9 crores in reserves.

So this is as per the accounting standard and noncash items, which will be accounted.

Bharat Shah: So if you can -- this will be done, right? Wherever it rate applies, whichever geography it applies?

Shalinee Mandhana: Yes, yes. And this quarter, you see we had -- due to the uncertain economic uncertainties across the globe, we -- the operating various currencies. So as a result, even currency forex fluctuations were also there in the books as a result, which affected the EBITDA margin to some extent. Around 1.5% was on that behalf.

Bharat Shah: On account of the currency fluctuation?

Shalinee Mandhana: Currency fluctuations and hyperinflation. As a result, other expenses went up.

Bharat Shah: So hyperinflation plus currency fluctuation together had an adverse 1.5% impact in the current quarter?

Shalinee Mandhana: Yes, sir.

Bharat Shah: Last year, I think it was a positive when it was taken to results?

Shalinee Mandhana: It was -- yes, last year, hardly around 0.35%.

Bharat Shah: Manish, given the fact that we'll be growing at a robust 25 -odd percent on revenue terms compared to last year and assuming no other elements like currency and other effect, would it be fair to assume, given also the fact that defense will become a larger percentage, international will become a larger percentage of the total turnover, both higher -margin activity. Overall, margins in the current year should be higher than last year. Is that a fair assumption?

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Manish Nuwal: Sir, like we have been saying that we normally expect or as a reason -- as a prudent practice, we feel that achieving around 27% is also a big achievement as far as the overall positioning is concerned.

So in this year, like you said -- or we have said in the last call also that we are targeting INR10,000 crore s in this financial year.

And out of that, INR3,000 crore s will be -- about INR3,000 will be from defense, which means that definitely, there is a big jump in the defense, which is a high value -added product. But at the same time, we should also understand that as we are entering into the more and more products, so definitely, we need to spend more on the staff cost side and we have to expand the capital base.

So during a certain period, you will see that staff cost has gone up, some other expenses has gone up, depreciation gone up. So these factors, if you take into the account the achieving margin of around 27% is a reasonable expectation from our side.

Bharat Shah: Got it. And one last question, Shalinee. What is the gross debt in net cash position is of the day?

Manish Nuwal: Before answering on that part, you have asked on the translation and Shalinee explained on the products loss also. So since we are operating in many countries and many currencies are there, so foreign exchange loss is now part of our business. But in this quarter, it was a little above that normal bandwidth .

So around 0.8% to 1% we lost additional loss because of that. And if you look at the staff cost also, there was increase of around 0.7% in the [inaudible 0:37:56] If you take both and add into the current EBITDA, so we are still at a higher trajectory of EBITDA margin side. And now she will explain on the debt part.

Bharat Shah: I did see that, and that's entirely correct. Manpower cost has gone up. Obviously, investment in asset sales resulted in depreciation going up. And these hyperinflation accounting impact also came in. forex impact, I didn't know. So that is an additional factor. So that's completely understood.

Shalinee Mandhana: Yes. Sir, the cash position. So as on 31st March 2025, we were INR100 crores plus net of cash position, and currently, we are at INR50 crores cash position positive.

Bharat Shah: Net cash position?

Shalinee Mandhana: Net cash position. Correct.

Moderator: Next question is from the line of Pratik Mukasdar from RNL Wealth.

Pratik Mukasdar: Congratulations on a solid set. My questions got answered in the previous questions.

Moderator: As there are no further questions from the participants, I now hand the conference over to management for closing comments.

Aanchal Kewlani: I extend heartfelt gratitude to all the participants for their time. Thank you so much.

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Moderator: Thank you, ma'am. On behalf of PhillipCapital, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines

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National Stock Exchange of India Limited BSE Limited

Exchange Plaza, Bandra Kurla Complex Floor no. 25 , PJ Towers

Bandra (E) Dalal Street

Mumbai - 400 051 Mumbai – 400 001

Trading Symbol: Trading Symbol: Trading Symbol: Trading Symbol: "SOLARINDS" "SOLARINDS" "SOLARINDS"

"SOLARINDS" Scrip Code: 532725 Scrip Code: 532725 Scrip Code: 532725 Scrip Code: 532725

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Dear Sir/Madam,

Please find enclosed herewith the revised transcript of Conference Call hosted by Philips CapitalPhilips CapitalPhilips CapitalPhilips Capital, , , , on

Friday, August 8 Friday, August 8 Friday, August 8 Friday, August 8, , , , 2025,2025,2025,2025, at at at at 11 11 11 11.00 .00 .00 .00 a.m a.m a.m a.m.... IST IST IST IST to discuss the Unaudited Financial Results of the Company for the quarter ended on June 30, 2025 with the Management of the Company. The revision has been made to correct typographical /Spelling errors in the version submitted earlier on August 11, 2025.

We confirm that there are no changes to the substance or content of the discussions.

We request you to kindly take the revised transcript on your records.

Thanking you

Yours truly,

For Solar Industries India Limited For Solar Industries India Limited For Solar Industries India Limited For Solar Industries India Limited

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Company Secretary & Company Secretary & Company Secretary & Company Secretary & Compliance Officer Compliance Officer Compliance Officer Compliance Officer

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"Solar Industries India Limited
Q1 FY '26 Earnings Conference Call "
August 08, 2025

MANAGEMENT : MR. MANISH NUWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SOLAR INDUSTRIES
INDIA LIMITED
MR. MONEESH AGRAWAL – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED

MS. SHALINEE MANDHANA – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
MS. AANCHAL KEWLANI – SENIOR FINANCE
MANAGER , INVESTOR RELATIONS MANAGER – SOLAR
INDUSTRIES INDIA LIMITED

MODERATOR : MR. DIPEN VAKIL – PHILLIP CAPITAL

Solar Industries India Limited
August 08, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Solar Industries India Limited Q1 FY '26 Earnings Conference Call hosted by PhillipCapital. As a reminder all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask question after the presentation conclude. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conferen ce over to Mr. Dipen Vakil from PhillipCapital. Thank you, and over to you, sir.

Dipen Vakil: Thank you, Palak. Good morning, everyone. And on behalf of PhillipCapital, I welcome all the participants for Solar Industries Q1 FY '26 Conference Call. To begin with, first, I would like to thank the management for giving us the opportunity to host this call.

From the management today, we have Mr. Manish Nuwal, MD and CEO; Mr. Moneesh Agrawal, Joint CFO; Ms. Shal inee Mandhana, joint CFO; and Ms . Aanchal Kewlani, Senior FM and IR M.

So without much ado, I'll pass on to Aanchal to take it up. Over to you, ma'am.

Aanchal Kewlani: Good morning, and thank you for this. A very good morning, everyone, and welcome to the fiscal first quarter review conference call. My na me is Aanchal, and I would like to welcome you all on behalf of Solar Industries India Limited.

At the onset, let me restate. In this call, we might make projections or other forward -looking statements regarding future events and about future financial st atements and performance. Please remember that sub statements are only predictions. Actual events or results may differ materially. Our website will be updated with all the information from time to time.

Now I would request our MD and CEO, Mr. Manish Nuwa l, for his opening remarks on the company's performance for this quarter. Over to you, sir.

Manish Nuwal: Thank you, Aanchal. A very good morning to all the esteemed investors. I'm Manish Nuwal, welcomes you all to the Solar Industries Earnings Call for the first quarter ended on 30th June 2025.

Solar Group reports resilient operational and financial results for Q1 '25 , '26. We are pleased to announce that we have achieved our highest ever quarterly EBITDA and PAT of INR564 crores and INR353 crores, resp ectively, in this first quarter.

The company's turnover stood at INR2,154 crores, registering a 28% increase over Q1 of the previous fiscal year Solar's sustained growth momentum on account of robust performance, particularly from international business a nd defense sector. This performance could have been even better had the early monsoon not affected the domestic explosive market.

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This quarter, our international business recorded a 43% year -on-year growth. And in terms of quarter number, it stands at INR826 crores, recording the highest quarterly sales. This performance was driven by strategic manufacturing facilities in 9 countries and our global distribution network across 90 countries.

I'm pleased to report that our defense revenue has also reached to INR418 crores in this quarter, reflecting a robust 115% year -on-year growth. With a strong defense order book of around INR15,000 crores and commercialization of Pinaka orders in this year, we anticipate that the defense domain will achieve its next level of growth, as per our guidance given earlier on the annual results.

Successful testing of Bhargavastra and Rudrastra in this quarter reaffirms the strength of R&D capabilities of our company. Repeat orders for UAVs and multi -mode hand grenade have reaffi rmed the quality of our products bolstered users confidence and established us as a trusted partner in this Atmanirbhar Bharat initiative.

Mining industry had lower d

emand due to milder heat waves, early monsoon and geopolitical development tested the industry's resilience. However, we remain optimistic about the growth in mining and housing and infrastructure sector in the upcoming quarters and the domestic cycle revised post monsoon.

With a proven global footprint and deep integration into commercial exposures Solar is now strategically positioning itself as a global supply chain partner in the defense sector, unlocking new opportunities and enhancing the long values for the stakeholders.

Back to back, the 30 years of expertise, we have built a robust portfolio of high -impact solutions across mining, infrastructure, defense and space. Our journey has been one of the transformation rooted in innovation driven by purpose. As we continue to unlock new growth opportunities, our commitment to performance and stakeholders' value remains stronger than ever.

I sincerely thank all our esteemed investors and analysts for joining us today. Thank you very much. Over to Aanchal for presenting the financials in detail.

Aanchal Kewlani: Thank you so much, sir. It gives us immense satisfaction to present the result of our journey, reflecting the efforts put in as profit momentum wins. We are exceeding the previous quarter's profit consecutively in a row, which gives us immense satisfaction and happiness.

We achieved revenue of INR2154 crores versus INR1685 crores, increased by 28% year -on-year, highest quarterly EBITDA at INR564 crores versus INR474, increased by 19% year -on-year. PAT stands at INR353 crores versus INR301 crores, increased by 17% year -on-year.

Now let's quickly review the quarter numbers. Revenue from Coal India was INR238 crores versus INR246 crores in the previous quarter -- previous year. Revenue from non -CIL institutional were INR348 crores versus INR304 crores. Revenue from H&I, that 's housing and infra, was INR312 crores versus INR353 crores.

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International revenue was INR826 crores versus INR579 crores, registering highest quarterly revenue with a growth of 43%. Defense revenue was INR418 crores versus INR194 crores in the same quarter previous year, registering growth of 115%.

Coming to the cost breakup, raw material consumption cost was 50 .8% as a percentage of sales versus 51.65%. Employee costs was at 8.53% versus 7.78% as a percentage of sales. Other expense cost was approximately 15.85% versus 13.90% as a percentage of sales. Test cost was 1.27% versus 1.63%. And the depreciation cost was approximately 2.6% versus 2.37% as a percentage of sales. We reported PBT at INR481 crores versus INR408 crores. We already have a presentation updated on the website.

Now we would be happy to take any questions, comments or suggestions that you may have.

Over to you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is on the line of Vikash Singh from ICICI Securities.

Vikash Singh: Sir, my first question is regarding our medium -term outlook of 200 billion revenues and 80 billion revenue, as we basically intrastate that beyond in Europe segment into that? And how big this opportunity could be us?

Manish Nuwal: Can you repeat your questions again because...

Vikash Singh: Am I audible properly?

Manish Nuwal: Yes, yes, you're audible.

Vikash Singh: Yes. So sir, regarding our medium -term 4 to 5 year outlook of 200 billion revenue and a different revenue of 80 billion, is this also includes the opportunities which we are having in the Europe regarding the EAM Europe by 2030? Have we have built anything on that account as well? And is that how much?

Manish Nuwal: So in the last annual results call, we have shared our plans at what we are going to achieve in this financial year. And we are -- what we are likely to achieve in the next 4 to 5 years. So we stand by t

hat, and you can refer to those numbers.

Vikash Singh: Sir, regarding the news regarding 200 crore s UAV mail drone orders, I just wanted to understand where are we placed in that segment now? Opportunity size for us could be?

Manish Nuwal: This can be a big opportunity for the defense market. And as far as this program is concerned, plenty of companies will be participating. And we are also one of those companies who are interested to participate in this program.

Vikash Singh: And sir, lastly, on 175 mm shell, if you could give us our standing on there and...

Manish Nuwal: So this is regarding, I think, 155 mm shell. So as far as this product is concerned, we have the facilities to make these products. We have already started working on that. And very soon, we will start the commercial production of this product.

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Vikash Singh: Sir, just a clarification on the defense -targeted revenue of 80 billion over the next 4 to 5 years, we have added this 155 mm shell in that segment, right?

Manish Nuwal: So what I said that next 4, 5 years numbers which you are trying to ask, you can refer to my last quarterly con call numbers, and that is good for the guidance as far as the long -term trajectory of our company is concerned.

Moderator: Next question is from the line of Amit Dixit from Goldman Sachs.

Amit Dixit: Yes. At the outset, congratulations for a good set of numbers, sir. A pretty good and solid start to the year. A couple of questions from my side. The first one is regarding Bhargavastra and Rudrastra , while you had mentioned in the prepared SLE that there have been tested over there. So just wanted to understand the commerciality part of it, when can we expect orders from these 2 platforms.

And the big part of the question is officially on the ammunition side that the export orders, we received quite a bit of export orders last year. So what kind of traction we are seeing in this market because this market is quite red hot at the moment?

Manish Nuwal: Yes. Like I said that we have did some successful trials of Bhargavastra and Nagastra, Nagastra and new series as well as Rudrastra . So as far as trials are concerned, we are going ahead on the qualification part quite well. It will take some more time, more time means in difference is a couple of quarters where we will reach to the final qualification.

And once we are through with that, we can expect the commercialization of these products. So as you are already aware that in defense market commercialization, after the qualification also takes some time. So we are quite optimistic that these products are very much in demand. And once these are tested and successful trials being completed, we expect commercialization to happen at a much faster pace.

As far as the order book from international markets are concerned, like we have already shared that we have a total order book of around INR15,000 crores. And after leaving the Pinaka portion, the order book from international is around INR8,000 crores. So we have received the orders and now commercialization has also started, but ramping up definitely takes a couple of more months.

And once it starts , it will reflect in the numbers. So we will see the improved numbers from defense market, which will be in line with our annual guidance quite soon, or you can see from quarter 2 or quarter 3.

Amit Dixit: Nice to know that. The second one is on the international business performance, which has been, by far, the best, if I look at past history. Is it possible for you to mention just qualitative details will do what -- which markets are doing well for you at the moment? How is Australia, Indonesia faring? And also, we had our plans to go in Saudi and Kazakhstan. So where we are on that because this segment appears to be very, very promising on non -defense side at least.

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Manish Nuwal: So as far as overseas markets are concerned, the industrial subsidiary -wise detail we normally share annual the annual report, so you can refer to that. But as far as the momentum, which is above the normal momentum in the numbers is mainly on account of a very good business from South Africa because all subsidiaries are doing quite well, but South Africa is doing much better now compared to the couple of years back.

And the performance is we were eagerly waiting for this kind of performance from last couple of years. We were trying a lot to improve those things. And finally, we can see these good sets of number from South Africa.

Moderator: Next question is from the line of Nitin Arora from Axis Mutual fund .

Nitin Arora: Just on the -- as exports continuously to do good even in this quarter last year and you said pipeline looks pretty decent, so how are you thinking about the capex now? Because we also keep hearing and reading articles that government wants their own. Requirement is very high at this point in time. So how you're thinking about increasing capacity over the next 2, 3 years if demand is so strong? Just one comment on that?

Manish Nuwal: Like we are sharing on all our previous calls that solar is one of the most integrated ammunition player in the private market. And have established plenty of facilities materials, energetic materials, fuses , rockets integration, missile integration, drone facility.

We have done a lot on these parts, but as and we have INR1 5,000 crores + orders in hand . So as we have shared in our annual call that we are going to invest INR2,500 crores in this financial year. And in the coming years also, we have a strong strategic program to expand our facilities. So we are moving ahead on that part. And we will see that the capacities of solar as a company will be one of the best in its class and of a global scale.

Nitin Arora: I got your point, sir. I was just asking more from that because demand is so strong, both domestic and exports have been highlighting. Do you see a chance of upgrading your capex is that what the question was more about?

Manish Nuwal: So I think we have just finished the annual call. Just 1.5 months back. So in just 5 days, nothing changed in this part.

Moderator: The next question is from the line of Rahil Dasani from M APL.

Rahil Dasani: I just wanted to get a better idea on our drone segment. Previously, we were into the smaller range and payload drone the Nagastra. And now we have tied up with ZAL for a higher range and payload model. So first of all, why this change because we have been getting very decent orders in Nagastra.

Are we seeing a larger demand come in the 500 to 1,000 kilometer range drone? And if you can quantify how large a demand or opportunity are you seeing for this particular model?

Manish Nuwal: So I think we have shared a couple of times that the company is very well positioned in this market, especially on drone-based ammunition programs, which we say loitering ammunitions.

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So after a successful on the Nagastra 1, we have started making Nagastra 2 and Nagastra 3 also for some of the special applications.

And as we are moving forward, definitely, it's a natural growth for us or it will be a natural growth for us to expand in the higher category of growth. So looking at those kind of opportunities, we are entering into the higher altitude and longer endurance levels of drones category. So we will see how we will establish our products for those applications. So we will come to know in the next couple of years.

Rahil Dasani: Okay. And being in service with our Maharashtra 1 since so long and since we have been in close connect with the government for all our orders, what sort of visibility or opportunity are

we seeing for this particular, if you can quantify that?

Manish Nuwal: It will be very difficult for us to quantify this opportunity. We have to wait for the real opportunity or the real potential of this segment to unlock.

Rahil Dasani: Okay. And sir, we have been seeing a lot of drone demand, especially post operations. There has been an emergency procurement ongoing. How worried should we be about this demand sustained? As we have seen in the past that during emergency procurement, lots of demand comes in the short term, but then the demand dies in the next 1 to 2 years?

Manish Nuwal: Difficult for me to comment on this question.

Rahil Dasani: Okay.

Moderator: The next question is from the line of Ankur from HDFC Life.

Ankur: First question was on the domestic explosives business. If you could just help us with the volumes for the current quarter, that is Q1. I'm sorry, I missed that. And also, how are you seeing volumes? What will be the volume growth for the full year, obviously, given the unseasonal rain and there's been some slowdown there on the mining side. So yes, just to start off, if you could help us there?

Shalinee Mandhana: Thank you, Ankur, for the question. Since as a policy matter, we do not share the international market volume. So we have discontinued for the domestic market also because if you see on the number front, domestic market hardly contributes around 40% of our total revenue.

Ankur: Okay. So on the volume side overall, what kind of growth will you be looking at on the domestic explosive side? Any guidance there?

Manish Nuwal: So like we said that we are targeting around 15% volume growth in this year. But if you look at our clarification that because of early monsoon and lower-than-expected heatwave resulted into lower demand for the power. And as a result, it has impacted the coal mining as well. So if you leave this part aside, then definitely, there is no dearth of growth for us in this market.

So once this thing settles, which is a little abnormal to see that last year also there was an above-normal monsoon. And then in this summer, the heatwaves were lower than the normal ranges.

And then again, the early monsoon in this monsoon period.

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So that is impacting the demand. But otherwise, it is good for the long-term requirement angle because more availability of water will help to generate power uninterruptedly for -- especially for thermal power side. So we think that after the post monsoon, the demand should be very, very good.

We have also done a lot of capex program for the company in the past couple of years. And also

acquired, Problast which is in South Africa, where we also started our facility at July last year . So if you take these expansion into the consideration, the market penetration and the volume growth should start very soon.

Ankur: Okay. Fair. And just a second question. So then overall, for the full year, I know since you're not giving a volume guidance anymore, any revenue guidance for the full year? I think the number was close to INR10,000 crores for FY '26. And within that, I think defense was around INR3,000 crores.

So if you just want to talk about how do you see the full year FY '26 top line within that difference? And also, in defense, which would be the products which would drive that growth for you this year? Some color there ? Yes.

Manish Nuwal: Yes, I can show some colors on this aspect. If you look at our annual guidance of INR10,000 crores, so we are still believing that we will definitely cross INR10,000 crores in this financial year. And out of that, INR3,000 crores should be some defense and nondefense should add to around INR7,000 crores. And as far as the products, which will give the momentum will be one of the key products is Pinaka series of rockets, should start from end of Q2 o

r start of the Q3.

Moderator: Next question is from the line of Yogansh Jeswani from Mittal Analytics Private Limited.

Yogansh Jeswani: Sir, just a couple of questions on your drone . So like you were telling about the initial provision that you'll be doing in Nagastra 2 and 3 and rightfully so. So -- but sir, we are also seeing a couple of bigger players coming in this market like new space is there anise Tata also, though some of them are facing challenges in terms of their technical viability and all, but still there is a lot of serious competition coming in.

So one, how are we thinking about this? And secondly, sir, we did some work, and we realize that you have got good score in terms of your technical capabilities in this. So if you could just help us understand how much is this value versus the commercial? And how will the pricing part work for these longer -range drones?

Manish Nuwal: So as far as the potential of these products are concerned, like I said, we are still in the development stage. We are looking at this higher category of rooms as a part of our strategy. So once our products are developed or qualified, definitely, we will see how to place our commercial part to take the orders of the total opportunity.

As far as other players' challenges are concerned, I cannot comment on that. So we have to wait for those -- the AON, which has been considered in the last week that the country wants so much of higher category of drones. So we will see how it unfolds. But our company is definitely trying to enter into this league of higher category of loans.

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And we are confident that we will -- definitely, we will have certain challenges to reach to that level. But as we have demonstrated in the past that, we are one of a company which definitely achieve what we try to promise. So we need to wait for a certain period to give more light on these programs.

Yogansh Jeswani: And sir, on the cost side, will we be relatively cheaper compared to the existing foreign drones, the [inaudible 0:28:30].

Manish Nuwal: So I think we have not still reached to that stage where I can comment on the commercial part. But like you have seen that in Nagastra also, there were a couple of people participated, but we will how products were qualified and from technical side. And then we were the lowest bidder as well. So I think we have a fairly strong chances to enter in this and take orders, but we need to wait.

Yogansh Jeswani: Got it, sir. And sir, one more question from my end. So if you could broadly help us understand what are your internal time lines in terms of the design and development of this entire project, and especially given the fact that compared to our peers, we are even trying to make the engine in-house. So what is the readiness of the team? At what stage are we in? How confident are we? If you could just broadly help us understand all of those aspects, it will be really helpful?

Manish Nuwal: That's a fair question, but we will share all the details at an appropriate time. So you need to wait for that.

Moderator: The next question is from the line of Abhishek Mehra from DAM Capital Advisors Limited.

Abhishek Mehra: So I had a question on the order book position. Like in terms of if I only see the historical quarterly defense order book position, it usually increases post Q1. So Q1 inflows historically remain lower. So is that reading correct?

Shalinee Mandhana: Can you repeat your question?

Manish Nuwal: I think this question is very irrelevant for us to answer because as and when we receive orders, we share it with all the investors. There's no trend of defense market in the history of share . If you take 2 years back, there were no orders, not much orders. In the last year, we have collected so many of orders. You could expect the particular trajectory of getting o

orders on every quarter basis.

Abhishek Mehra: Right. And sir, secondly, just wanted to have an understanding of the different tendering part. So are there any sharing of orders between L1 and the other bidders, let's say, L2 where they would be matching the price of L1 and the orders are getting shared there. Does that happen generally?

Manish Nuwal: I think every tender has its own terms based on the requirement of the end users. And normally, it is sometimes it is 60-40, sometimes it is 70-30. Sometimes it is only one gets the whole order. So it varies from each tender to tender.

Moderator: Next question is from the line of Chirag from Centrum Broking.

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Chirag: Sir, question is on the overseas markets. So what kind of revenue outlook we have in overseas market since Q1 has seen a very strong scale up? And whether Kazakhstan and Saudi Arabia plants will start commercial production this year?

Manish Nuwal: Yes, we are trying to start our Kazakhstan plant in this financial year. Hopefully, by October, we should start the plant. And as far as revenue potential from this international business is concerned, we are doing at around 37%, 38% of our total revenue of the company. So in this year, if we have given a guidance of around INR10,000 crores, so we are expecting around INR4,000 crores from international market, INR3,500 crores to INR4,000 crores.

Moderator: Next question is from the line of Bharat Shah from ASK Investment Managers Limited.

Bharat Shah: Yes. Manish, yet again very creditable performance. Just one thing. I noticed on the new -- I mean, the application of hyperinflationary accounting standard, there is a loss recognized in the first quarter of INR17.5 crores, and there is an income recognized for the last year transferred to the reserve of INR9-odd crores. So either Shalinee or Aanchal, just wanted to understand, is this going to be a ticketing feature? Reported this will be stated in taken into account, isn't it?

Shalinee Mandhana: Yes, sir. Shalinee here. So we have hyperinflationary account in Turkey. So currently, the figures are around INR18 crores, which affected our P&L for this quarter, and INR9 crores in reserves. So this is as per the accounting standard and noncash items, which will be accounted.

Bharat Shah: So if you can -- this will be done, right? Wherever it rate applies, whichever geography it applies?

Shalinee Mandhana: Yes, yes. And this quarter, you see we had -- due to the uncertain economic uncertainties across the globe, we -- the operating various currencies. So as a result, even currency forex fluctuations were also there in the books as a result, which affected the EBITDA margin to some extent. Around 1.5% was on that behalf.

Bharat Shah: On account of the currency fluctuation?

Shalinee Mandhana: Currency fluctuations and hyperinflation. As a result, other expenses went up.

Bharat Shah: So hyperinflation plus currency fluctuation together had an adverse 1.5% impact in the current quarter?

Shalinee Mandhana: Yes, sir.

Bharat Shah: Last year, I think it was a positive when it was taken to results?

Shalinee Mandhana: It was -- yes, last year, hardly around 0.35%.

Bharat Shah: Manish, given the fact that we'll be growing at a robust 25-odd percent on revenue terms compared to last year and assuming no other elements like currency and other effect, would it be fair to assume, given also the fact that defense will become a larger percentage, international will become a larger percentage of the total turnover, both higher-margin activity. Overall, margins in the current year should be higher than last year. Is that a fair assumption?

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Manish Nuwal: Sir, like we have been saying that we normally expect or as a reason -- as a prudent practice, we

feel that achieving around 27% is also a big achievement as far as the overall positioning is concerned. So in this year, like you said -- or we have said in the last call also that we are targeting INR10,000 crores in this financial year.

And out of that, INR3,000 crores will be -- about INR3,000 will be from defense, which means that definitely, there is a big jump in the defense, which is a high value-added product. But at the same time, we should also understand that as we are entering into the more and more products, so definitely, we need to spend more on the staff cost side and we have to expand the capital base.

So during a certain period, you will see that staff cost has gone up, some other expenses has gone up, depreciation gone up. So these factors, if you take into the account the achieving margin

of around 27% is a reasonable expectation from our side.

Bharat Shah: Got it. And one last question, Shalinee. What is the gross debt in net cash position as of the day?

Manish Nuwal: Before answering on that part, you have asked on the translation and Shalinee explained on the foreign loss also. So since we are operating in many countries and many currencies are there, so foreign exchange loss is now part of our business. But in this quarter, it was a little above that normal bandwidth.

So around 0.8% to 1% we lost additional loss because of that. And if you look at the staff cost also, there was increase of around 0.7% in the [inaudible 0:37:56] If you take both and add into the current EBITDA, so we are still at a higher trajectory of EBITDA margin side. And now she will explain on the debt part.

Bharat Shah: I did see that, and that's entirely correct. Manpower cost has gone up. Obviously, investment in asset sales resulted in depreciation going up. And these hyperinflation accounting impact also came in. forex impact, I didn't know. So that is an additional factor. So that's completely understood.

Shalinee Mandhana: Yes. Sir, the cash position. So as on 31st March 2025, we were INR100 crores plus net of cash position, and currently, we are at INR50 crores cash position positive.

Bharat Shah: Net cash position?

Shalinee Mandhana: Net cash position. Correct.

Moderator: Next question is from the line of Pratik Mukasdar from RNL Wealth.

Pratik Mukasdar: Congratulations on a solid set. My questions got answered in the previous questions.

Moderator: As there are no further questions from the participants, I now hand the conference over to management for closing comments.

Aanchal Kewlani: I extend heartfelt gratitude to all the participants for their time. Thank you so much.

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Moderator: Thank you, ma'am. On behalf of PhillipCapital, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines

Call: Nov 2025

November 14, 2025

To, To,
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra Kurla Complex Floor no. 25, PJ Towers
Bandra (E) Dalal Street
Mumbai - 400 051 Mumbai – 400 001
Trading Symbol: “SOLARINDS” Scrip Code: 532725
Through NEAPS Through BSE Listing Center

Subject: Transcription of Conference Call with reference to the Unaudited Financial Results for the quarter and half year ended on September 30, 2025 with the Management of the Company.

Dear Sir/Madam,

Further to our letter dated November 4, 2025 we are forwarding herewith a copy of Transcription of Conference Call hosted by Antique Stock Broking Limited on Tuesday, November 11, 2025 at 11.00 a.m. IST to discuss the Unaudited Financial Results of the Company for the quarter and half year ended on September 30, 2025 with the Management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited

Khushboo Pasari
Company Secretary &
Compliance Officer

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“Solar Industries India Limited
Q2 & H1 FY26 Post Results Conference Call”
November 11, 2025

MANAGEMENT : M R. MANISH NUWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SOLAR INDUSTRIES
INDIA LIMITED
M R. MONEESH AGRAWAL – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
M S. SHALINEE MANDHANA – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
M S. AANCHAL KEWLANI – SENIOR FINANCE
MANAGER AND INVESTOR RELATIONS – SOLAR
INDUSTRIES INDIA LIMITED

MODERATOR : M R. SANJEEV ZARBADE – ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Solar Industries India Limited Q2 and H1 FY26 Post Results Conference Call hosted by Anti que Stock Broking Limited . As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. S hould you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjeev Zarbade from Antique Stock Broking Limited.

Thank you, and over to you, sir.

Sanjeev Zarbade: Thank you, operator. On behalf of Antique St ock Broking, I would like to welcome all the participants in the Q2 FY26 and H1 FY26 Confer ence Call of Solar Industries Limited. Today, we have with us from the senior management of Solar Industries, Mr. Ma nish Nuwal, Managing Director and CEO; Mr. Moneesh Agrawal, Join t CFO; Ms. Shalinee Ma ndhana, Joint CFO; and Ms. Aanchal Kewlani, Senior Finance Manager and Invest or Relations. So without taking further time, I would like to hand over the call to Ms. Aanchal Kewlan i. Over to you, Ms. Aanchal.

Aanchal Kewlani: Thank you so much, Sanjeev. A very good morni ng to our dear stakeholders and well wishes.

My name is Aanchal, and I would like to welc ome you all to Solar Industries Second Quarter and Half Yearly Conference Call for FY '26. Th is call's recording, including the transcript, will be available on the site. The financial statements, quarterly fact sheets investor presentation and press release are also available on our website.

To begin with, I would like to remind you that during this call, we might make projections or other forward-looking statements regarding futu re events and about the future financial performance. Please remember that such statements are only predictions. Actual events and results may differ materially. And our website will be updated with all relevant information

timely. Now why would Solar's MD and CEO, Mr . Manish ji Nuwal for his opening remarks on the company's performance followed by question and answer session.

Manish Nuwal: Thank you, Aanchal. Dear esteemed investors, a very good morning. I, Manish Nuwal, welcome to you for this earnings call fo r second quarter ended 30th September 2025. The second quarter of this year once again brings us the privil ege of announcing record achievements across key metrics.

We are pleased to announce that we have achieved our highest ever quarterly EBITDA of INR582 crores and profit after tax of INR361 crores in quarter 2 and INR1,146 crores and INR714 crores in half year, respectively. The company's turnover stood at INR2,082 crores and INR4,237 crores, registering an increase of 21% and 25% in quarter 2 and half year of the previous fiscal year.

The results reflects our strong financial pe rformance and operational success despite of sluggishness in the domestic market due to prolonged monsoon activities and operational challenges. We are pleased to report that our de fense revenue crossed INR500 crores in this

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quarter and INR900 crores in the half year, reflecting a year-on-year growth of 57% and 79%, respectively.

Company's portfolio expansions and ability to deliver quality products has gained strong demand from India and international defense markets. So lar Group is strategically positioning itself as a global supply chain partner in the defense se ctor, a strong defense order book of around INR15,500 crores and the beginning of Pinaka ro cket commercial sales st arting in the third quarter provides us the confidence to achieve our annual targets.

Our international business continues to thrive with a strong growth momentum across key markets. This quart

er, our international busine ss has recorded a year-on-year growth of 21%.

And in terms of quarterly numbe rs, it stands at INR960 crores, recording the highest ever quarterly sales. It is achieved on the backdrop of our continuous efforts and focus on penetrating new markets globally.

By strategically diversifying our product offeri ngs and geographically de-risking our operations, we have built a robust and adaptable business model capable of navigating dynamic market conditions and external pressures effectively. We can see these efforts in our customer sales breakup.

Heavy and prolonged monsoons, which, in some case s, were the heaviest in last many years, led to a considerable drop in the coal mining activit y and has impacted the demand of explosives in this quarter. Amid a quarter characterized by macroeconomic volatility, geopolitical frictions, the persistent uncertainty of tariff

and record rains impacting mining and infra verticals.

We delivered good results with quarter 3 marking the beginning of our new growth phase in defense and the current -- and with the current order book, we are optimistic of reaching our FY '26 guidance. We remain committed to a high-performance culture, which helps the company to create value for our stakeholders. Thank you for your continued trust and partnership with us. Thank you. Over to Aanchal, for presenting the financials in detail.

Aanchal Kewlani: Thank you so much, sir. Coming to the quarter results, we have shared the investor presentation carrying all necessary information for your [inaudible 0:06:50]. Key highlights for the quarter and half year will be run simultaneously to save time. The consolidated revenue for the quarter is INR2,082 crores versus INR1,716 crores. And for the half year, it is INR4,237 crores versus INR3,401 crores.

The percentage of the sectors in the customer basket are as follows: CIL is down in the basket to 8% from 10%, non-CIL and institutional is at 13 %, which is intact. HNI is at 8% from 11% in the basket due to the reasons mentioned by our MD, sir. International business is almost similar in the basket at 46% from 47% and defense has massively increased to 24% from 19% in the basket.

In the half yearly basket, we see CIL is down in the basket to 9% from 12%, non-CIL institutional is intact at 15%. HNI is at 11% from 16% in the basket. International business is almost similar

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at 42% from 41% and defense, yet again gaining prominent position has increased to 22% from 15%.

Coming to the cost breakup. Raw material consumption for the quarter stands at INR988 crores versus INR843 crores and for half year, it stands at INR2,082 crores versus INR1,713 crores.

Employee cost for the quarter stands at INR195 crores versus INR145 crores. And for half year, it stands at INR378 crores versus INR276 crores.

Coming to the other expenses for the quarter, that stands at INR347 crores versus INR283 crores and for half year, it stands at INR688 crores versus INR518 crores. We reported EBITDA at INR582 crores versus INR475 crores in the same quarter previous year. We reported half yearly EBITDA at INR1,146 crores versus INR949 crores. Interest and finance cost is at the same level, stands at INR31 crores versus INR30 crores and for half year stands at INR58 crores versus INR57 crores.

Depreciation stands at INR61 crores versus INR44 crores due to increased capex. Half yearly cost stands at INR117 crores versus INR84 crores. PBT stands at INR490 crores versus INR407 crores. And for the half year, it stands at INR971 crores versus INR808 crores. We reported highest ever quarterly PAT, which stands at INR361 crores versus INR304 crores.

And for half year, it stands at INR714 crores against INR604 crores in the previous year. These were the number updates for the quarter and half year. This is all from our side now. We

would

be happy to take any questions, comments or suggestions that you may have. Over to you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Amit Dixit from Goldman Sachs.

Amit Dixit: Congratulations for a good set of numbers. A couple of questions from my side. The first one is essentially on defense, where you have mentioned in the prepared remarks that Q3 would actually herald the new growth phase. So just wanted to understand a bit more on this, what new developments can we expect going ahead? And of course, the state of ammunition, global ammunition industry as you see it. So that is my first question?

Manish Nuwal: You can continue and ask the second question and third question, so we will answer at one go.

Amit Dixit: Okay, sir. The second question is on the international business. Again, congratulations for a very strong set of numbers from this particular segment. Just wanted to understand again that what the new geographies that we think might be thinking of penetrating in next 6 to 9 months? And also whether there were some specific geographies where we saw improvement in performance that drove the stellar performance in this quarter? These are my two questions, sir?

Manish Nuwal: So if you talk on international markets, like we have been sharing over last couple of quarters or last 3 years that we are ramping up the facilities at the countries where we are present. as well as turning them around from losses to profits like South Africa. And in this quarter, we have

seen the results of those efforts, which we were putting in last many years. So if you see the

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performance-wise, the international business has grown a lot. And in this quarter, we have made a record sales.

So as such, if you talk about any specific country, then we will share the details on annualized

basis or at the time of annual results. But otherwise, the countries like South Africa, Turkey, Ghana, Nigeria, Tanzania, all are doing quite well. We are putting efforts to start our operations in Australia and Kazakhstan, and we are also trying to enter into Saudi Arabia. These are taking some time.

But in coming 6 to 12 months, we will see those countries to be operationalized. As far as defense market is concerned, in this quarter, we have already crossed INR500 crores, which was almost, say, annualized number a year before. And the point, which we mentioned that we will see from coming quarters or Q3, a new pace of growth in defense because if you look at the order book of around INR15,000 crores from defense and the ramping up of Pinaka, which has already started, initially, there are certain challenges in ramp-up because of complexity involved in defense products.

But since it is settling, and we believe that from Q3, commercial sales of Pinaka will start. At the same time, the orders which we have generated for other products will also start ramping up from Q3. That's why we mentioned from Q3, we will see a significant growth from defense. And we believe that we should be able to cross 4 -figure mark from defense section itself quite soon. Amit Dixit: Okay, sir. And just some comment on, sir, global ammunition market seems to be in quite a bit of shortage, and we have orders in hand of high energy materials. So just a little bit of flavor over there?

Manish Nuwal: Yes. So out of almost INR15,500 crores, almost INR8,000 crores is from international markets, and we are likely to receive more orders as we move ahead. So there is definitely a big shortages of these products in the global ammunition markets. And we have qualified many such products, which can be used as a raw material intermediate or finished products. So we believe that things are quite good for us to utilize our products or facilities for India as well as global markets.

Moderator: The next question is from the line of Vikash Singh from ICICI Securities.

Vikash Singh: Sir, just wanted to understand that what are the key upcoming projects where we are putting our focus on in India. And we have not heard any tie-ups with the global partners, which we are planning basically because some of these projects are technically pretty difficult thing. So if you could throw some light on those aspects, it would be really helpful?

Manish Nuwal: So if you look at last 10 to 12 years of journey of solar, there are very few tie-ups with international players. And despite of that fact, we are developing the products either on our own or in association with DRDO. So we are pretty comfortable in continuing that model but we are not shying away from having any kind of global tie-ups.

But as far as the products and the facilities, which we have created are state-of-the-art, and we are happy that we are already supplying many such products to global customers. So indirectly, Solar Industries India Limited
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we have global tie-ups and orders as well and commercialization has also started. But if you talk on the focus on particular defense products.

Then like Pinaka is one of the key focus products where we have already received orders and we have participated in the guided Pinaka rockets also, which we believe that in coming one or two quarters, we should get the commercial orders. So that will lift the revenue from Pinaka rockets as such.

Apart from this, the other focus area was energetic materials. So we have also started and we have received plenty of orders. Apart from these two, there are other products like medium caliber, which is 23, 30 and 40 mm. So we have participated in RFPs and we were waiting for the orders.

And there are a couple of other products like loitering munition, counter drone systems, and we are also participated in missile program, especially along -- especially in the programs like Kusha where we have received trial orders where we can participate with the DRDOs development program. So there are many such programs where we have participated, and we keep sharing as we have some material development on that front.

Vikash Singh: Noted, sir. Sir, my second question pertains to now for the year guidance of the defense revenue, the asking rate is almost double of what we have done in the first half. So Pinaka is one thing, which is would propel basically revenue. What else is basically there? And any update on the 155 mm shell project? Have we received all the approvals?

Manish Nuwal: Yes. So we have started the trial production of 155 mm shells, and we will start supplying those products for the technical qualification. And we believe that from Q4, the commercial production will also start for that product. Apart from that, the order book, which we already have of, say, around INR15,500 crores, even if you leave the INR6,000 crores from Pinaka, there is another INR8,000 crores, which we have to materialize in next 3 to 4 years.

So those things are shaping up quite well. And based on this, we have said that very soon, we should see INR1,000 crores mark crossing in next coming two quarters. And we should be able to reach around our annual guidance of INR3,000 crores from defense section.

Vikash Singh: Noted, sir. and shell projects, 150 mm shell projects, we completed and got the orders?

Manish Nuwal: Like I said that we have started the trial production, and we will start supplying for technical qualification. And once it is over, we will share the updates as time progresses.

Moderator: The next question is from the line of Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Sir, just one question on loitering munitions. So in a recent trial, we showcased our product and where one of the Hyderabad-based company also participated and demonstrated their capabilities. And

I think they won the trial as well. So can you spend a few minutes on like what is happening, particularly on the side of loitering munitions because I'm seeing a lot of new

players are entering into the space, demonstrating their capabilities and outperforming

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significantly. So how -- can you spend some time on explaining like what are the dynamics changing in this particular space? What kind of demand outlook are people seeing there?

Manish Nuwal: As far as loitering munitions are concerned, we have successfully supplied the products in last year, and those were used in recent conflicts also. And we are -- we have received the repeat order also. So apart from loitering ammunition on the counter drones, specifically like

Bhargavastra, we are developing this product and initial trials, whatever we have done as of now, we were quite successful.

More trials are likely to be done in next coming months, and we are expecting that by March

'26, we should finish the field trials. And we are quite confident that these products are game

changer for our country's border security. And we are confident that we will perform quite well.

As far as other companies are -- what they are doing, where they have reached, I cannot comment on that.

Garvit Goyal: And what kind of size of opportunity as a whole do you see, particularly from light munition side in the next, say, 2 to 3 years, sir?

Manish Nuwal: We are also expecting to understand the size of opportunity. And since these are defense products, a little sensitive from security perspective, so nobody shares what they are likely to

procure. And because of these facts, it is difficult for us also to give any firm number or

indicative number to give any target market for these things. So we have to wait for the developments to convert into the real

ity, and that is how defense works.

Garvit Goyal: Got it. And just last question. This year target is INR3,000 crores from defense, as you mentioned. What is the next year tentative number?

Manish Nuwal: You can refer to my annual quarterly call, and that will give you a guidance on that side.

Moderator: The next question is from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Sir, for space plan work, whether we hire right person for complete the project, yes, start the project. And second, INR12,700 crores with Maharashtra government, did we start anything capex in this matter?

Manish Nuwal: So as far as hiring of people are concerned, it is very difficult to say that whether we have hired right people or wrong people. We try to hire right people always. And on our last 27 years of

existence, we have delivered on performance side. So it's a combination that you always get

right people by and large. Sometimes you get wrong people, we have to take them away. As far

as like other question on your space, INR12,700 crores section MOU with the Maharashtra

government. So definitely, the capex, which we are doing for defense section is part of that.

Ravi Naredi: So in this 6 months, how much capex we did out of INR12,700?

Manish Nuwal: So Naredi ji, this is -- I cannot specifically answer because those INR12,700 crores is not for 1-year program. This is for 10-year program.

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Ravi Naredi: Definitely, it is not 1 year, sir.

Manish Nuwal: Just my last annual con call numbers, you will get our figures out.

Ravi Naredi: And this financial year '26, you are telling the INR3,000 crores top line from defense. So financial year '26 top line, we may cross INR10,000 crores?

Manish Nuwal: We still believe that we should reach to that number.

Moderator: The next question is from the line of Dipen Vakil from Phillip Capital.

Dipen Vakil: Congratulations on a good set of numbers. Sir, my first question is relating to -- I wanted to understand if the

re are any expected orders in near term and some status on the new product

development. You mentioned that Bhargavastra is there where field trials are expected to

complete in March '26 but any other new products, which are under development and expected orders in near term?

Manish Nuwal: Bhargavastra was already well captured in the media article. So we have specifically mentioned that by FY '26, we should be able to complete the trial program. And as far as other products like 155, we are likely to start commercial production in next 2 quarters after our technical qualification.

And there are many other programs in which we have participated. And as and when those convert into the orders, we will definitely share with you. And as far as fresh orders are concerned, definitely, we are expecting more orders for defense products in coming weeks or months, we should be able to get new orders.

Dipen Vakil: Sir, any quantum that you would like to provide as to what kind of opportunities that we are looking at?

Manish Nuwal: We cannot provide any specific quantum which we are looking for.

Dipen Vakil: Okay. Sir, and when I mentioned about the new product development, specifically, I was looking at an update on Rudrastra and also the male UAV program that was in news where Solar could be participating. So any updates like what kind of progress are we seeing in Rudrastra and Male UAV platform?

Manish Nuwal: So we will see the exact progress of such kind of strategic programs with MOD directly. We cannot share on these kind of platforms.

Moderator: The next question is from the line of Pratik from RNL Wealth Private Limited.

Pratik: Yes. Manish ji, congratulations for a solid set of numbers. I would just like to ask, as we know in our industry, the order flow is lumpy. But since now as per your PPT, we have a large share of revenue coming from international business. So how do you see the international business environment considering all our business verticals and this too much noise in the global context, Solar Industries India Limited

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which we are going through. So what is the real business environment? I would like your thoughts on that?

Manish Nuwal: Yes, you are very rightly observed that there are plenty of noise around the tariffs and impact in the international market. So we also face all such kind of challenges. But based on our couple of years' experience, so all countries are not getting impacted from such kind of things at one go.

So you always see impacts in one country at one quarter, another country at another quarter. So that's why we have diversified our product portfolios. We have diversified our customers. We have diversified ourselves in multiple countries. So that's why we can see that despite of all such challenges, where mining growth, especially in India was negative in this Q2.

At the same time, we have faced lots of currency availability in African markets. Despite of these stiff challenges and always there are lots of entry restrictions wherever we enter in the new market. So these are challenges. But despite of them, we have performed quite well. And like we always mentioned that we are aiming to grow around 15% on an annualized basis and that we still believe that it is doable as far as Solar is concerned.

Pratik: Okay. That is very nice. And sir, as we have seen, you have just highlighted that we will be meeting our guidance and from Q3 onwards, the acceleration in our defense vertical will start. It is very heartening to read that and listen from you. Also, just last point, how is the government stand regarding the defense expenditure. Has it changed? Has it become positive? Or have they stepped back due to any reason? I just want to get an idea of that.

Manish Nuwal: No, government is quite serious on border security-related issues and putting a lot of thrust to make our country Nirbhay and

there are plenty of policy support available for the defense players. And as a result, you can see that 3 years back, our annualized revenue was around INR250 crores. And now like Solar has reached to almost INR500 crores in quarter and we are expecting INR3,000 crores on an annualized basis.

So it is all because of government support. And we believe that this will be more on high priority initiatives or list of targets where we will get support from the government of India. And because of that support, we are able to penetrate the international market.

Moderator: The next question is from the line of Harshit Kapadia from Elara Capital.

Harshit Kapadia: Sir, congrats for a great set of numbers. A few questions from my side. Sir, first of all, looking at the anti-drone system that you have developed, is it a soft kill, hard kill which has been approved and which you have already seen the trials? Can I get some details on that?

Manish Nuwal: As of now, we are developing the hard kill solution. And very soon, we are developing a solution, which will be a mix of hard kill and soft kill as well.

Harshit Kapadia: Okay. And by timelines, anything that you can say, will it be FY '27?

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Manish Nuwal: So my dear friend, defense products timelines, it's definitely everybody expects it to happen like overnight or within a month or a couple of months but these product development takes its own time. So we need to be patient on that front.

Harshit Kapadia: Fair enough, sir. Fair enough. Secondly, sir, what has been the -- what has been the update on the emergency procurement, sir? Have we received all the orders or we are yet to receive some orders on the emergency...

Manish Nuwal: Whatever orders we are getting, we are sharing with our shareholders, and you can look into that. I cannot answer...

Harshit Kapadia: Any total quantum that you can suggest, sir, that this sort of pool is something which can come to you based on what product has been used?

Manish Nuwal: We cannot do that.

Harshit Kapadia: Okay. Fair enough, sir. No issues. And just wanted to check, sir, when you enter any country in terms of -- like you mentioned at the start of the call, you'll be entering a few more countries for your mining-related operations. How does the scale up happen? Can you help us understand the cycle for your business, sir?

Manish Nuwal: So as such, there is no firm timeline of scaling up because every market has different challenges and different dynamics. So it is difficult to give any firm timeline but normally it takes 3 to 4 years.

Harshit Kapadia: Okay. And would you be able to share what would be India's market share in the -- on the explosive side, sir?

Manish Nuwal: We don't have any specific number on this front.

Moderator: The next question is from the line of Chirag Muchhala from Central Broking.

Chirag Muchhala: Sir, two questions from my side. So first, on the domestic market, H1 FY '26 has been impacted by heavy rains. So do you -- considering the outlook for the second half, can we still expect a double-digit growth for industrial explosives in the domestic market? That is the first question.

And second question is, sir, in the first half, our operating cash flow is actually relatively on a lower side compared to the historical average that we are having. So we are at around INR95 crores compared to last year first half and we were at INR545 crores for the operating cash flow.

So sir, the key reasons for the same and its outlook going ahead?

Manish Nuwal: So if you look at the basic fact that in this quarter, Coal India's mining, coal mining and OB removal has impacted very heavily due to the monsoon. And that has impacted the demand for our explosives. At the same time, we have started ramping up the production of various products under different sectors.

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As a result, working capital got impacted. And as we move forward, it will fall in line of, say, around 90 days by March '26. So we don't see it as a much issue as of now. It's part of the business cycle where sometimes something gets struck and as a result, inventory pile up, collections are a little slower than we -- the timeline we expect.

But these things will improve from Q3 and Q4, we should be able to reach to the targeted levels of around 90 days of working capital. So we don't see much problem on that side. As far as demand from coal sector is concerned, Q1 and Q2 both were hit because of some various factors because in Q1, you have seen that the summer was not that harsh, which normally rains have started earlier in the month of -- or end of May or mid of May.

And in Q2, we have seen strong rains across the country. And as we move forward, we will see that more demand from power sector will be there. And at the same time, more mining will happen. So we don't see much issue and things should improve significantly from Q3 and Q4 of this financial year.

Chirag Muchhala: Okay. So sir, will it be fair to assume a double-digit growth for this year in the domestic market? And sir, yes, in case if it does not happen, then for our annual guidance, can we still get offset by rising sales in overseas markets?

Manish Nuwal: So like we always mentioned that explosive market in India and overseas should grow around 15%. So sometimes it happens that India market may grow at 10%, overseas may grow at 20%, sometimes overseas grow at 10% and domestic may grow at around 15%, 20%. So these small fluctuations keep happening.

And if you see that in this quarter also, the overall, the growth rate is around the same level, which we were targeting. But due to monsoon we impacted. But we see that India, we should grow on double-digit level quite comfortably based on second half of year's demand projections, and that should not be a problem to achieve the annual guidance.

Chirag Muchhala: Okay, sir. And sir, this net working capital of 90 days that we are sustaining. So even, let's say, a couple of years down the line when defense as the business scales up even further, even after that, this 90-day cycle is sustainable?

Manish Nuwal: When defense was on an annualized basis, INR2 50 crores, and now we will be touching around INR3,000 crores in this year. And despite of that, we are saying that we should be reached to 90 days. So we are confident that we should be able to maintain that kind of working capital cycle.

Moderator: The next question is from the line of Varun Jain from Dolat Capital.

Varun Jain: My first question was in H1, you have done a capital expenditure of INR 760 crores versus guided of INR2,500 crores for FY '26. So will you be doing INR2,500 crores in FY '26 and in H2? And where all will it go towards?

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Manish Nuwal: So we have faced a couple of challenges due to the heavy monsoon. Things are not happening at the pace, which we wanted. So as a result, we may see a little bit of deferment of capex what we have planned for this year.

Varun Jain: Okay. So then total FY '26 capex will be like INR2,000 crores, in that range?

Manish Nuwal: We will share the final capex number at the end of financial year.

Varun Jain: Okay, sir. And sir, you mentioned about this coal demand. So in H1, basically FY '26, housing and infra was hit more than Coal India Limited demand. So what is the indication there for H2?

Manish Nuwal: There was dullness, especially from housing and infrastructure market. But from Q3 and Q4, we will see a surge in demand, and we should do a good growth from that sector also.

Varun Jain: Okay. Any housing and infra specific guidance for FY '26, you would like to share?

Manish Nuwal: You would like to have guidance for each sector separately?

Varun Ja

in: No, no, housing and infra...

Manish Nuwal: But why you are so much interested in asking the growth guidance for each sector separately. There is no point in that.

Varun Jain: The next question is from the line of Vishal Biraia from Bandhan AMC.

Vishal Biraia: Congratulations on a good set of numbers.

Moderator: Sorry to interrupt, Vishal. Your voice is coming muffled.

Vishal Biraia: Is it better?

Moderator: Yes, loud and clear. Please go ahead.

Vishal Biraia: Sir, congratulations on a good set of numbers. If I look at the Bhargavastra...

Moderator: Sorry to interrupt again, it is not audible actually. Please can you speak a little louder?

Vishal Biraia: Okay. If I look at the three drones -- counter drone systems, the Bhargavastra, Nagastra and Rudrastra, could you give us the potential market size for each or on a combined basis? And do we have the approvals for these already?

Manish Nuwal: So Nagastra, we have developed the product. We received commercial order. We successfully supplied also. We have repeat orders also. Bhargavastra, it is in development phase like Rudrastra. As we complete the qualification and once we receive the commercial orders, we will share with our stakeholders.

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As far as the total potential of this market is concerned, it is yet to be confirmed by the end users that how much they will require finally. So all these things comes in public domain, and we have to look on those numbers only. We don't have any specific answer to your question at this stage.

Vishal Biraia: Okay. And how big would be the market in Australia that we could look to cater in a couple of years once we establish that?

Manish Nuwal: So we don't give the market potential or our guidance for each country -wide. What we have mentioned that from international market, we are expecting around 15% growth on an annualized basis, and that is how we run our business.

Moderator: Thank you. The next question is from the line of Siddharth Maymuri from Caprize.

Siddharth Maymuri: Apologies for joining a bit late. So I'm not sure if this has been discussed already. So my question is given the advancement in loitering munitions. So could you just share your perspective on the current market scenario, sir, for especially low-range LMs like Nagastra? And then also, could you throw some light on what the competitors domestically and how big you think the market would be in the near to medium term?

Manish Nuwal: Thank you for your question. Actually, the same question has already been asked by another participant. So once this call ends, you can refer to the conference call, which we have already answered to this question.

Moderator: The next question is from the line of Aditya Tambi from Habrok Capital.

Aditya Tambi: Just to understand this Australian competition, there's a player which is already operating there

internationally. So do we offer the same product to the customers or the product is different? I need to understand that is that company competition or we are some other products?

Manish Nuwal: It depends on the customer requirement. Many times, the customer has some specific requirement to suit their mining application. So we need to customize products based on user or some countries. And sometimes we offer generic product as well. So it's a combination of both.

Aditya Tambi: Okay. But competition...

Manish Nuwal: Competition, so whenever customer float any RFP, we also participate along with the other competitors and everybody has to offer their own product. And what is a normal process for any kind of procurement of such products.

Aditya Tambi: Okay. And so whenever we enter a new geography, a new country we try to enter. So what is our thought process? Like what is your thought process? Do we try to compete on price? Like you mentioned, we participate in the tenders or is there demand to be t

hat any new capacity or

any new players comes up is able to get orders?

Manish Nuwal: So it's quite usual that whenever customer float RFP, many of us like participate. And based on techno-commercial, the customer decides to whom they should give to what percentage. So the

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techno commercial study at the customer end covers all these points. So we have to participate and push on our technical strength and commercial offering.

It doesn't mean that the product price has to be looked at. Sometimes it is the overall value proposition, which customer looks at. So that is what is the reality. It's not only the price, which is being looked by the customer. But yes, some customers like Coal India and Singareni Collieries, they always work on L1 basis rather than on overall value proposition. So we have to position ourselves based on different market, different customers. That all.

Aditya Tambi: Got it, sir. And also, just your thought on this 15.5 mm shells, like we decided to do the shells ourselves, but we could have taken a different approach by just providing the energy material to the different players who are making these shells. So what was our purposes? Why did we decide that we should do it in-house?

Manish Nuwal: We cannot comment on this question. Thank you.

Moderator: The next question is from the line of Sanjaya Satapathy from Ampersand Capital.

Sanjaya Satapathy: Sir, can you just ask do you see upside to your margin from current level?

Moderator: Sorry to interrupt, Sanjaya. Your voice is breaking actually.

Sanjaya Satapathy: Yes, sir. Can you hear me now?

Moderator: Yes, it is loud and clear. Please go ahead.

Sanjaya Satapathy: Sir, just want to know that with the revenue mix shifting so much towards defense, is there upside possibility to the 27%, 28% kind of margin that you were seeing earlier?

SHALINEE: So the EBITDA margin for the quarter stands at around 28%. We are very happy to announce that we have performed as guided at the beginning of the year. As far as margins are concerned on a quarter-to-quarter basis, we operate in so many different sectors and geographical environments. So the average margin and the potential what we have covered for this year stands at around 27%...

Sanjaya Satapathy: And lastly, the 155 that analyst that we're talking about, will it be mostly the explosive side or you are looking to fully manufacture the whole thing complete value chain?

Manish Nuwal: So definitely, our intention is to make a complete round of 155, and we are moving towards that.

Sanjaya Satapathy: And that is something, which will be a strategy that will be followed for many of your other new products that you are getting into?

Manish Nuwal: I didn't understand.

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Sanjaya Satapathy: Trying to say that you are no longer just assembling those products or just on the explosive side, but you are getting more and more on the other mechanical and electronics side. I just wanted to confirm?

Manish Nuwal: I cannot answer it in this fashion. The purpose and the reason is that once you decide on any specific product strategically, so it's a combination. Sometimes we may do hardware, sometimes we may align with our critical stakeholders or supply chain partners. So it's a combination of that.

Sanjaya Satapathy: Thank you, sir.

Moderator: Due to time constraint, that was the last question for today's conference. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Aanchal Kewlani: Thank you so much, everyone, for being with us and supporting us. We'll see you in next quarter.

Thank you.

Moderator: On behalf of Antique Stockbroking Limited, th at concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

February 9, 2026

To, To,
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra Kurla Complex Floor no. 25, PJ Towers
Bandra (E) Dalal Street
Mumbai - 400 051 Mumbai – 400 001
Trading Symbol: “SOLARINDS” Scrip Code: 532725
Through NEAPS Through BSE Listing Center

Subject: Transcription of Conference Call with reference to the Unaudited Financial Results for the quarter and nine months ended on December 31, 2025, with the Management of the Company.

Dear Sir/Madam,

Further to our letter dated January 28, 2025, we are forwarding herewith a copy of Transcription of Conference Call hosted by Nirmal Bang Institutional Equities, on Wednesday, February 4, 2026, at 11.00 a.m. IST to discuss the Unaudited Financial Results of the Company for the quarter and nine months ended on December 31, 2025, with the Management of the Company.

Kindly take the same on record and acknowledge.

Thanking you,

Yours truly,

For Solar Industries India Limited

Khushboo Pasari
Company Secretary &
Compliance Officer

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“Solar Industries Limited Q3 FY26 Earnings
Conference Call”

February 04, 2026

MANAGEMENT : MR. MANISH NUWAL – MD AND CEO, SOLAR
INDUSTRIES LIMITED
MR. MONEESH AGRAWAL – JOINT CFO, SOLAR
INDUSTRIES LIMITED
MS. SHALINEE MANDHANA – JOINT CFO, SOLAR
INDUSTRIES LIMITED
MS. AANCHAL KEWLANI – SRM AND IRM, SOLAR
INDUSTRIES LIMITED
MODERATOR : MR. JYOTI GUPTA – NIRMAL BANG EQUITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Solar Industries Limited Q3 FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Jyoti Gupta from Nirmal Bang Equities. Thank you and over to you, ma'am.

Jyoti Gupta: Good morning everyone. On behalf of Nirmal Bang Equities, I welcome you all to the Quarter 3 FY26 Earnings Conference Call with the Management of Solar Industries Limited.

The Management is represented by Mr. Manish Nuwal – MD and CEO, Mr. Moneesh Agrawal – Joint CFO, Ms. Shalinee Mandhana – Joint CFO, Ms. Aanchal Kewlani – SRM and IRM.

Without further delay, I would now request Manish sir to start with his opening remarks after which we can open the floor for question and answers. Thank you and over to you, sir. Thank you, Jyoti.

Aanchal Kewlani: Thank you Jyoti. A very good morning to our dear stakeholders and well-wishers. My name is Aanchal and I would like to welcome you all to Solar Industries 3rd Quarter and 9-monthly conference call of FY26. This call's recording including the transcript will be available on the site. The financial statements, quarterly fact sheets, investor presentations, press release are also available on our website and exchange.

To begin with, I would like to remind you that during this call, we might make projections or other forward-looking statements regarding future events and about the future financial performance. Please remember that such statements are only predictions. Actual events or results may differ materially, and our website will be updated with all relevant information timely.

Now, I would request Solar's CEO and MD – Mr. Manish Nuwal for his opening remarks. Over to you, sir.

Manish Nuwal: Thank you, Aanchal. Good afternoon, ladies and gentlemen. It is a privilege to welcome you to our Q3 and 9-month Earning Call.

Before outlining the quarterly and 9-month Results, I would like to extend our heartfelt gratitude to all the stakeholders by sharing a milestone that brings great joy to our company, the conferment of the Padma Shri, one of India's highest civilian honours upon our respected Chairman, Shri Satyanarayan Nuwal. This award serves as a testament to his distinguished services and contribution to the nation and the defence industry. It is under his inspired leadership that we present a quarter defined by record-breaking milestones and relentless growth.

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Turning to our financial performances:

Q3 FY26 has been our strongest quarter to date. With rise in net revenue from Rs. 1973 crores to Rs. 2548 crores, which is year-on-year, we have registered our strongest quarter again with a growth in revenue by 29%. We achieved highest ever quarterly EBITDA and profit after tax at Rs. 733 crores and Rs. 467 crores, registering a growth of 37% and 38% year-on-year, respectively. And highest ever 9-monthly EBITDA and profit after tax at Rs. 1879 crores and Rs. 1181 crores, registering a growth of 27% and 25%, respectively. This strong momentum is driven by business initiatives in the explosives and defence sectors.

Our international business has crossed 1000 crore revenue in this quarter which is a significant increase of 35% year-on-year. The global economy is witnessing a steady rise in demand for key commodities and industrial metals. Our extensive and versatile product portfolio, supported by continued innovation in specialized explosives and technical services, firmly strengthens our competitive market position and helps in growing the

international business.

Solar's defence business showed a splendid growth of 72% by hitting a revenue of Rs. (+700) crore in this quarter, evidenced by a record-breaking defence order book of Rs. 18,000 crores which takes us to the highest ever total order book of Rs. 21,000 crores. This growth reflects our capabilities to convert aspirational goals into reality. We are now entering in a new era of growth by strengthening our global and local manufacturing footprints. Our new facility at Dhule, Maharashtra and Dholpur, Rajasthan optimizes and reinforces Solar's position as a dependable long-term partner to the mining and infrastructure sectors within the country. Our commitment to excellence is powered by continued research and development, investment in automation, modern manufacturing technologies, ensuring process consistency and safety at every level. Moving forward, our focus on innovation, operational discipline and sustainable growth continues to guide our strategy. With a strong foundation and a clear long-term vision, we are confident in our ability to deliver lasting value and drive a compelling future for the business.

Thank you for your continued trust and support.

Now, I request Aanchal to share the detailed financial numbers.

Aanchal Kewlani: Thank you, sir. The new year definitely has opened with noteworthy and exceptional milestones for our company.

Our beloved Chairman has been honoured with prestigious Padma Shri. The visit of Hon. Rajnath Singh Ji to our defence premises further helped us showcase our capabilities. Tapping it all, we achieved a record-breaking quarterly performance across revenue, EBITDA and PAT surpassing all our previous milestones.

We will begin with the quarterly financial update followed by 9-month update.

Highlights of the quarters are:

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We achieved highest-ever quarterly revenue at Rs. 2548 crores up by 29%, highest-ever quarterly EBITDA at Rs. 733 crores, up by 37%, PAT at Rs. 467 crores, up by 38%, highest-ever defence revenue crossing Rs. 700 crores, highest-ever consolidated order book at Rs. (+21,000) crores, including the defence order book of Rs. (+18,000) crores.

Now, the Quarter in detail:

The topline grew by 29%. The percent of raw material consumption has decreased from 53.5% to 48.71%. In absolute terms, the cost is around Rs. 1241 crores versus Rs. 1056 crores in the same quarter previous year. Employee cost is around Rs. 214 crores versus Rs. 151 crores. Other expenses is around Rs. 385 crores versus Rs. 240 crores. The interest cost is approximately same which is at Rs. 34 crores versus Rs. 31 crores. The depreciation cost is approximately Rs. 63 crores versus Rs. 47 crores.

Coming to our customers basket:

CIL in the basket stands at 10% compared to 13%. Revenue from non-CIL and institutional stands at 11% compared to 14%. Revenue from housing and infrastructure stands at 10% compared to 13%. International revenue stands at 40% compared to 38% up by 35% year-on-year. Defence revenue was quarterly highest till date at Rs. 702 crores versus Rs. 409 crores up by 72% showing a wonderful fix in the defence business.

Coming to the highlights for 9-month:

We registered revenue to the tune of Rs. 6785 crores versus Rs. 5374 crores which is up by 26%.

Highest 9-month EBITDA at Rs. 1879 crores versus Rs. 1485 crores which is up by 27%.

Highest 9-month PAT at Rs. 1181 crores versus Rs. 942 crores up by 25%.

Now, we would be happy to take any questions, comments or suggestions that you may have.

Over to you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: To articulate on your defence piece going forward, first, your take on your guidance because this quarter has been very strong. So, was Pinaka was a part of the execution and are we still confident

enough to achieve our guidance of Rs. 3000 crores? And just looking forward because defence proportion in order book is increasing very significantly, beyond expectations. Even if you can throw some light on articulation that how FY27 looks to you? That's my first question. Should I repeat my question?

Manish Nuwal: Yes, you can repeat again.

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Nitin Arora: The question was more from this quarter execution on defence has been very strong. Pinaka has started now moving and how do you think about your guidance of Rs. 3000 crores this year because Q4 is a very big number you have to achieve? And just going forward because every quarter you're increasing your defence order book; you're really exceeding the expectation for investors like us even. How do you think about FY27 growth on the defence side? Just that's my first question.

Manish Nuwal: If you look at our Q3 numbers in defence, (Inaudible) 11.37 and we were expecting that Pinaka should have been part of these Q3 numbers. But (Inaudible) 11.46 are pending before we start the dispatches of Pinaka in Q3. And we are pretty sure now that from Q4, Pinaka will be part of our top (Inaudible) 12.02 towards defence sector. So, once it starts, the number will be much, much better. We are expecting that from Q4, it will be quite (Inaudible) 12.15 moving towards our annual guidance number.

Nitin Arora: Sorry, sir. Your voice was breaking. So, you're saying guidance we are maintaining of Rs. 3000 crores. Sorry, your voice was breaking in between.

Manish Nuwal: Like I said that now Pinaka has started in Q4, the numbers from defence will be much, much better and we are moving towards our annual guidance.

Nitin Arora: Any colour you want to give on FY27 execution? How qualitatively you are looking the ramp

up on the strong order book?

Manish Nuwal: We have said in our previous call that the ramping up of defence takes little more time than the other sectors. We have been improving our defence revenue and as we move forward in next quarter or next year, we will see gradual improvements on every quarter basis. So, in FY27, we are likely to perform very good. And the total expectations, we will share at the start of the financial year 2027.

Nitin Arora: My second question is related to one article in India today where the article spoke about you putting up a facility in US regarding drones and the MALE part, as well as it talked about Solar Industries going into making humanoids involving a lot of scientists from Europe and all. Can you throw some aspect? I am just referring to an India Today article. Can you throw some aspect what are we doing here? What's the tab size? Because you spoke about this earlier about these MALE and everything, we want to do it. If you can throw some light on that?

Manish Nuwal: We have been sharing that we are working a lot on announcing our product especially loitering munitions and then we have started work on the MALE category of drones also and it is going to take some time before we really comment on the total targeted market and what we can get out of that. We need to wait for. As far as our futuristic programs on humanoid robots and all those are concerned, we are very much interested in taking those initiatives forward for our country's security programs. So, once these things fructify, we definitely can share more details on this.

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Moderator: The next question is from the line of Neej Mathukiya from Axia India Asset Management.

Neej Mathukiya: Two questions from my side. First is, as per some reports, EU have been in deep shortage of 155 mm shells. And I think in Q4, we are also starting commercial production of 155 mm. After this FTA, are we planning to cater such a demand or are we getting any inquiry from their side?

Manish Nuwal: Like I said in the previous quarterly call th

at we are planning to start manufacturing of 155 mm calibre ammunition. So, we're still working on that. And commercial production definitely should start in the Q4.

Neej Mathukiya: The second question is also on UAV. Currently, where do we stand when it comes to the progress of MALE and HALE UAV?

Manish Nuwal: We are working on these programs, and these programs take longer time to develop. So, we will wait for the final outcome. Let's assume that in a year's time, once anything concrete happens, we will definitely share with our stakeholders.

Moderator: The next question is from the line of Amit Dixit from Goldman Sachs.

Amit Dixit: Two questions from my side. The first one is just extrapolating a bit on the shell part. We were already supplying 30 mm shells to Indian Navy. And now Defence Minister has inaugurated the medium carbine shell factory. And you spoke about 155 mm. So, just from an industry perspective, how you are seeing the demand shaping up? We have been reading that there is a very firm demand for next 6-7 years based on replenishment. And Solar is nicely dovetailing itself to this demand. So, just wanted to get an industrial perspective from your side. How do you see this demand for exports as well as within the country?

Manish Nuwal: Definitely, it was a big achievement on the part of our company to develop these products like 23 mm, 30 mm, and for which the inauguration has been there in the last month. And the demand for this product is quite good. And we have participated in the long-term RFP from Indian Ministry of Defence, and we are expecting orders to come out because we are still participating in the final trials where they will do the technical analysis and once those rounds are over, then it will enter into the commercial stage. It is going to take some more time. But in this coming year, we should see the orders coming for 23 mm and 30 mm programs. So, definitely, that will help us to ramp up the production. At the moment, we are only manufacturing for naval requirement. And once the army requirement starts, this can become a good portion of our total defence order book or defence revenue.

Amit Dixit: Some colour on export market?

Manish Nuwal: It is difficult for me to give any colour on export market. But as and when we receive orders, we will definitely discuss because the international market is so huge that it is very difficult to digest the numbers. But like in every country, they have their own players. And if you think that we

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should be part of those programs, it takes a little more time. We are trying to enter into those markets. And once we start getting orders, we will share with all the people.

Amit Dixit: The second question is essentially on international non-defence business. We have seen revenue picking up sharply and for the first time, we have achieved Rs. (+1000) crores in revenue. I know

you give this number in your annual report every year on the subsidiaries performance, but just wanted to get a little bit of colour on which geographies actually contributed to this kind of growth and whether we have ramped up operations in some of the newly started subsidiaries or what kind of, you are seeing more exploration essentially in mining business, particularly because of the high base metal prices that we are seeing. So that is contributing to this growth. So just wanted to get a bit sense on the drivers for this international mining business because this has performed exceedingly well.

Manish Nuwal: You are very right on the observation that we are doing quite good in international business.

And like I have shared in my press note that across the world we have seen that there is a good demand, demand for commodities like gold, copper and related industrial metals. And those are helping us to increase our international business. In last 7 to 10 years, we were trying to set

up

the facilities across the world, and we have seen that business from international market is going up year-on-year. There were some turbulent years in between while we were setting up those things, but now things are shaping up quite well. And in this quarter, like I said, we have crossed 1000 crores which is a growth of almost 35%. And we believe that it is all because of our efforts in last so many years. Specifically on your question on which geography. So definitely demand in African market is quite good. We are getting good traction in some of the South East Asian market also. We are doing quite good in Turkey and nearby market also. So by and large, most of our geographies, wherever we are present is doing quite well and we expect the momentum to continue. But by and large, on annual basis or business as a whole, like we say that sometime India is very good, international is little low. Sometime international is quite good and India is low. So, it is a combination of various factors. So, business as a whole, we still believe that growing at 15% should not be a big problem for a company like Solar.

Moderator: The next question is from the line of Bhavin from SBI Mutual Funds.

Bhavin: The question is actually for me is to understand if I were to break the defence order book into the domestic and international, can you help us with more colour on the international piece of the defence order book? What it is currently? What's the kind of projects that are there in the defence order book on the international side? And what's the gestation of the execution for these projects?

Manish Nuwal: If you look at our total order book from defence, it's around 18,000 crores. And out of that, around Rs. 6,500 crores to Rs. 7,000 crores is from Indian market. And balance which is around, say, Rs. 11,000 crores is from the international market. As far as gestation time is concerned, we are continuously ramping up our facilities. Products are already well qualified. So, we don't see much challenge on converting these orders into the numbers. And you can see that from Q3, we have improved our defence business significantly, although Pinaka is not part of the Q3 numbers.

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And once Pinaka will also start in Q4, defence will grow up. And these international orders will also keep converting at a larger level. So, from Q4 onwards, I think you can see better numbers from India as well as overseas markets.

Bhavin: Just help me understand if my understanding is correct that the bulk of the international order book is on the HMX side of our business. And out here, the contractual delivery timelines would vary between 3 to 4 years. Is this understanding correct?

Manish Nuwal: You have asked two questions on the product specific for which our company policy is very clear and you are aware of that. As far as conversion of orders are concerned, like I said, whatever orders we have received against each order we have mentioned the timeline. And like I said that we are confident that we can convert these orders into the numbers because our products are well qualified and we have been successfully supplying these products. So, ramping up is not a problem.

Bhavin: The incremental margins that we have seen over the last couple of years, would you attribute to the change in the mix towards the defence where the underlying investments which was dragging down the margins is now actually bearing the fruit where the margins that we are seeing currently could be sustained over at least the next 3-4 year period?

Manish Nuwal: Two factors which were definitely impacting our EBITDA margin in say a couple of years back, one was international and second was defence. Since international has started performing quite well and we are expanding in more geographies and expanding the capacities in those markets, so definitely up and down will keep going. It is a pa

rt of business, but defence has been shaping

quite well because of all the geopolitical tensions and vacuum across the world for these products. So, we are confident that we should be able to maintain the EBITDA margins around 27%-28 % as we move forward also.

Moderator: The next question is from the line of Sanjeev from Antique Stock Broking.

Sanjeev Zarbade: My question was on the Pinaka rockets. Is there any seasonality associated with delivery of these rockets? Maybe in FY27 because FY26 was just a part here. In FY27 onwards?

Manish Nuwal: I think from Q4 we will start supplying Pinaka rockets and as we move forward things will be better and better. And the programs are of long 7 to 10 years. We will see that every year we will keep supplying the product consistently. And like you might have read that there will be new variants of Pinaka and once those will also become part of our overall basket of Pinaka series products, so, we will see more business from this product.

Sanjeev Zarbade: On the gross margin expansion we have seen in the standalone side, what could be the main drivers?

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Manish Nuwal: Main drivers are basically increasing defence business and increasing international business which is well supported by exporting out of the country. And there are various initiatives which we have taken to improve the efficiencies across the facilities that is helping us.

Sanjeev Zarbade: Lastly, the non-defence and export business has not contributed much in terms of growth in the first 9 months. What outlook do you have for the next 2 years? Do you expect a rebound in terms of growth for the other segments?

Manish Nuwal: If you look at India business definitely in the first 9 months, the demand was greatly impacted due to heavy monsoon and some slowdown in the economy. And we can correlate these sentiments with the fact that demand from coal and overburden which is mainly Coal India, Singareni Collieries and private coal mines, there has been practically no growth in this financial year. And if we look at the demand for electricity which is also quite flat. But these are the dull periods and in every economy we can see such kind of periods. But we are a firm believer that the demand for these things or the mining products and related products for generating electricity should keep growing at 6% to 7% on annualized basis. And we should grow at around 10% to 12% on volume terms and which will help us to grow our business even in India on 15% on annualized basis. There can be up and down on some quarter or a year but if you look at a long term trajectory, we are quite confident of growing the business around 15%.

Moderator: The next question is from the line of Alisha Mahawla from Trust Mutual Fund.

Alisha Mahawla: What is our defence pipeline looking like this year and next year specifically for the domestic market?

Manish Nuwal: Defence pipeline as of now is around Rs. 18,000 crores and we will be definitely doing lot of sales out of these orders, and we expect more orders to come in as we move forward because we are developing plenty of products for India and international markets. So, we expect a lot of orders to keep coming in our kitty. But as of now, it is very difficult to give a firm number on the product pipeline for the next year.

Alisha Mahawla: The Pinaka execution from Q4, so you said that it is delayed because some trials are pending. So, is that complete or there could be some further delays to the execution of Pinaka from Q4 to Q1?

Manish Nuwal: No, I do not see any more delay in this side.

Alisha Mahawla: Has the trial been complete?

Manish Nuwal: Like I said, you will see the numbers from Q4 for Pinaka rocket. So let us stick to that.

Alisha Mahawla: Last question is on 155 mm shells. If you could just re-highlight what is the capacity, when is it coming on stream and what is the kind of ramp-up

or contribution you are looking from that for
FY26 or 27?

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Manish Nuwal: We have started working on 155 mm shells in last year and we have started production as well. We are waiting for the final round of qualification. Once we finish with that, then we can share more details on this product. But as a policy, we do not share such kind of details on product-wise like you have asked for capacity for 155 mm and all that. But more or less, we believe that we should focus on the overall guidance for defence product as such and the results we are delivering.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Congratulations for Padma Shri Award to the Chairman. He was well recognized for his significant contributions, specifically in strengthening India indigenous defence manufacturing capabilities which including development of ammunition and rockets. My first question, I think earlier we have faced entry restrictions and currency availability issues, especially in African markets. And nearly around 40% of our sales is coming from international markets. Just want to understand how much our business is coming from African markets and how the situation currently is improving and how much is our FOREX exposure in those regions? This is my first

question.

Aanchal Kewlani: As far as the FOREX exposure is concerned, it is basically normal expense for our business, which is the routine expense which is incurred because we are operating in multiple currencies in multiple geographies. So, this is one which is a very normal cost of the business and approximately it is in the range which we expect. So, it's approximately around Rs. 20 crores odd which is very, very normal cost.

Balasubramanian: We have guided nearly Rs. 2,500 crore kind of CAPEX, as of 9 months, how much we have achieved and what percentage of allocation goes to defence capacity expansion versus international army business pipeline?

Manish Nuwal: We can share the total CAPEX update on the Q4 numbers, please.

Moderator: The next question is from the line of Bharat Shah from Shah Family Office.

Bharat C Shah: Hearty congratulations to you and the entire Solar team. Not only just having very healthy growth rates but improving the quality of the growth rate even more and more. That really deserves a huge amount of praise. I have two questions. Starting with the first one, on a long-term basis, say 3-5 years, clearly our defence as well as international business will continue to drive growth rate ahead of our domestic CIL or non-CIL or infra business, or at least that's what I assume. If that is the case, what kind of, I am aware that you mentioned during discussion just now, (+15%) growth rate. But I would assume that given the fact that domestic business, you just now mentioned about 18% growth rate, 11-12 volume and 18% value. And if defence and international business will continue to deliver given the healthy order book and opportunity at a much higher rate, would we say over the next 3 to 5 years, our earlier picture of (+20%) kind of a compounded growth over the 5-year period is a realistic assumption?

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Manish Nuwal: Basically, if you look at my update, I have said that on volume terms, we should grow at 10% to 12% per annum and that will help us to grow our business especially in mining side by around 15% per annum. We believe that this is very much possible to grow at around 15% on annualized basis. And if you look at the defence potential, like I have shared, that we are getting a lot of orders and we are participating in many of the long-term defence programs like MPATGM and Kusha program apart from the Pinaka series of products. Potential is quite good and we are getting a lot of orders as well. If you combine the mining and defence together,

definitely

growing at (+20%) is not at all difficult for solar at this stage for next 3-5 years down the line.

Bharat Shah: Presumably, given the fact that defence is a higher margin business, so is international in exports, our margins have a reason to be protected or improved over a period of time.

Manish Nuwal: Like we have demonstrated that since international business has not much baggage left over which will impact the margin improvements or sustaining the margin, as defence keeps growing, definitely margin should keep improving. But as a prudent practice or conservative policy of our company, we try to maintain at a subdued level. And based on those things, I expect that getting 27% on next 3-5 years should not be a big problem for us.

Bharat Shah: The second and last question, we have come a long way over the period of time that I have interacted with you and the firm. 5-6 years back, we had non-existent defence business, but we were building for it. We had very small but a difficult international business, like you just now described. A lot of baggage and challenges were constantly causing confusion over a period of time. But from there, these two businesses have now become 70% of our total turnover roughly and among the healthy growth bulwarks. We have developed a lot of products. We have earned respect of the products that we are supplying, getting into more complex programs, more geographies, more opportunities, better products and technology. So, keeping in mind all of these, when you view next five years, what are in your mind, key strategic challenges and key strategic priorities for you?

Manish Nuwal: For us, looking at these kinds of opportunities, our key priority is to focus on the new technologies which we should be able to adapt and keep on developing the products for our security solutions or providing security solutions not only for our country, but outside the country as well. As we are expanding in defence in various zones or areas, it will be a challenge for us to maintain the relationship and strong connect with all our stakeholders. So that is, I believe, is a key priority or challenge as well. And as far as the focus is concerned, like I said that adopting new technologies, developing new products is our focus.

Bharat Shah: Once again hearty congratulations, not just getting healthy growth rate, but very superior quality of the growth. Your numbers make it look as if it is very easy to get these kinds of results, but I am sure there is a remarkable work going on. So, congratulations to you and your team for this performance and for the future.

Manish Nuwal: Thank you very much, Bharat Bhai.

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Moderator: Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Ms. Jyoti Gupta for closing comments.

Jyoti Gupta: Heartiest congratulations, sir, on being honoured with the Padma Shri. This is well-deserved recognition truly reflects your visionary leadership, unwavering commitment and significant contribution to India's industrial progress. Wishing you continued success, good health, and many more milestones as you continue to inspire future generations and common people like us.

Thank you so much. On behalf of Nirmal Bang Institutional Equities, we would like to thank the management of Solar Industries Limited for the call and also many thanks to the participants for joining the call. Thank you very much sir. Thank you Aanchal. We may now conclude the call.

Moderator: Thank you. On behalf of Nirmal Bang Equities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

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National Stock Exchange of India Limited BSE Limited

Exchange Plaza, Bandra Kurla Complex Floor no. 25 , PJ Towers

Bandra (E) Dalal Street

Mumbai - 400 051 Mumbai – 400 001

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Dear Sir/Madam,

Further to our letter dated May 12, 2026 we are forwarding herewith a copy of Transcription of

Conference Call hosted by Motilal Oswal Financial Services Limited Motilal Oswal Financial Services Limited Motilal Oswal

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55 55....00 00 00 00 pp pp.m .m .m .m.... IST IST IST IST to discuss the Audited Financial Results of the Company for the
quarter and year ended

on March 31, 2026 with the Management of the Company.

Kindly take the same on record and acknowledge.

Thanking you

Yours truly,

For Solar Industries India Limited For Solar Industries India Limited For Solar Industries India Limited For Solar Industries
India Limited

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"Solar Industries India Limited

Q4 FY26 Earnings Conference Call"

May 15, 2026

MANAGEMENT : M R. MANISH NUWAL – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – SOLAR INDUSTRIES
INDIA LIMITED

M R. SURESH MENON – EXECUTIVE DIRECTOR –
SOLAR INDUSTRIES INDIA LIMITED

M R. MILIND DESHMUKH – EXECUTIVE DIRECTOR –
SOLAR INDUSTRIES INDIA LIMITED

M R. MONEESH AGRAWAL – JOINT CHIEF FINANCIAL
OFFICER – SOLAR INDUSTRIES INDIA LIMITED
M RS. SHALINEE MANDHANA – JOINT CHIEF
FINANCIAL OFFICER – SOLAR INDUSTRIES INDIA
LIMITED

MODERATOR : M S. TEENA VIRMANI – MOTILAL OSWAL FINANCIAL
SERVICES

Solar Industries India Limited
May 15, 2026

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Moderator: Ladies and gentlemen, good day and welcome to the Solar Industries Q4 FY26 Earnings Call, hosted by Motilal Oswal Financial Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Teena Virmani from Motilal Oswal Financial Services. Thank you, and over to you, ma'am.

Teena Virmani: Yes, thanks. Good evening, everyone. On behalf of Motilal Oswal Financial Services, we thank the management of Solar Industries to give us an opportunity to host the call. From the management team, we have Mr. Manish Nuwal, Managing Director and CEO; Mr. Suresh Menon, Executive Director; Mr. Milind Deshmukh, Executive Director; Mr. Moneesh Agrawal, Joint CFO and Mrs. Shalinee Mandhana, Joint CFO. Over to you, Mr. Manish for your opening remarks. And after that, we will open the floor for Q&A.

Shalinee Mandhana: Thank you, Teena. A very good evening to all our dear stakeholders and well-wishers. My name is Shalinee, and I would like to welcome you all to Solar Industries Fourth Quarter and Yearly Conference Call of FY '26. This call's recording, including the transcript, will be available on the site.

The financial statements, quarterly fact sheet, investor presentation and press releases are all available on the website. To begin with, I would like to remind you all that during this call, we might make projections or other forward-looking statements regarding future events and about the future financial performance.

Please remember that such statements are only predictions. Actual events or results may differ materially, and our website will be updated with all the relevant information from time to time.

Now I would request Solar's MD and CEO, Mr. Manish ji Nuwal for his opening remarks on the company's performance, followed by Q&A session. Over to you, sir.

Manish Nuwal: Dear esteemed investors, a very good evening. I'm Manish Nuwal, Managing Director and CEO, welcome you all to Solar Industries India Limited Earnings Call for the fourth quarter and financial year ended 31st March 2026. We are happy to report that our company has delivered landmark performance, clocking its highest-ever quarterly and annual sales of INR3,053 crores and INR9,838 crores, respectively.

Despite no growth in domestic mining markets. We have also achieved the highest-ever quarterly EBITDA and PAT at INR870 crores and INR556 crores, registering a growth of 59% and 61% year-on-year and highest-ever quarterly EBITDA and PAT at INR2,750 crores, and INR1,737 crores, registering a growth of 35% each in the year FY '26.

We achieved our EBITDA margins at around 28.5% for this quarter and 27.95% for the whole year. These numbers were propelled by strong sales from international and defense business, relentless focus on our high-value chain products and operational efficiencies. Dear investors, our defense business has nearly doubled.

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Delivering outstanding growth with revenue surging 134% in Q4 and 94% for the full year to reach a record high of INR1,008 crores and INR2,634 crores, respectively. The robust sales pipeline, coupled with strong execution capabilities position us well to sustain this momentum, and we should cross defense revenue of INR4,500 crores in FY '27.

Solar's international business has performed very well, and as a result, we registered a growth of 32% year-on-year. Solar's ability in establishing strong relationship with its customers as a trusted partner underscores company's strength in India.

tifying and capitalizing the global opportunities.

Our recent expansions into Northern and Western parts of India, paired with upcoming plants in the East and South India as well, will definitely help us to strengthen our domestic footprint.

This expected growth in domestic market is further complemented by our strong momentum in the international business.

Additionally, the defense vertical is steadily maturing into a powerful stand-alone platform, driving deep tech innovations, enabling significant future growth potential. In FY '26, we have delivered 30% revenue growth and surpassed our annual EBITDA guidance. This performance reinforces our confidence in the scalability of our business.

Backed up by a strong order book of INR21,300 crores and robust opportunities across all verticals, we are targeting to achieve a revenue of INR14,000 crores in FY '27, while maintaining current margins. To support these growth plans, the company has invested INR2,700 crores over the last 2 years, and entering into FY '27 with a planned annual capex of INR2,050 crores.

The company has proposed a dividend of INR11 per share for FY '26-'27, up from INR10 per share in the previous year, reflecting confidence in its financial health and commitment to the shareholders. I sincerely thank all our esteemed investors and analysts for joining us today.

Thank you for your continued trust and partnership.

Now I will hand over system to Shalinee Mandhana for presenting the financials in detail.

Shalinee Mandhana: Thank you, sir. Coming to the results. We have shared the investor presentation carrying all the necessary information for your perusal. Key highlights for quarter 4 and for year FY '26 are as seen. The consolidated revenue for the quarter is INR3,053 crores versus INR2,167 crores, and for the year, it is INR9,838 crores versus INR7,540 crores.

The percentages of the sector in the customer baskets are as follows: CIL is down in the basket to 9% from 13%. Non-CIL and institutional is at 10% from 14%. Housing and infra is at 15% from 16% in the basket. International business is at 33% from 36% and defense has massively increased to 33% from 20% and has crossed the 4-figure mark reaching INR1,008 crores during the quarter. And in terms of percentage, it is up 134% year-on-year basis.

In the year, the CIL in the basket is down to 9% from 13%. Non-CIL and institutional is at 12% from 15%, housing and infra is at 12% from 15% in the basket. International business is almost similar at 39% from 38% and defense increased magnificently to 27% from 18%. And in number terms, it has almost doubled to INR2,634 crores from INR1,355 crores and up by 94%.

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Raw materials. Raw material consumption for the quarter stands at INR1,522 crores versus INR1,178 crores. And at the year, it stands at INR4,894 crores versus INR3,979 crores. The employee cost for the quarter stands at INR253 crores versus INR174 crores. And for the year, it stands at INR845 crores versus INR600 crores.

The other expense for the quarter stands at INR453 crores versus INR275 crores and for the year stands at INR1,477 crores versus INR1,001 crores. EBITDA. We reported highest EBITDA numbers for the quarter at INR870 crores versus INR 546 crores. And for the year, the highest EBITDA stands at INR2,750 crores versus INR2,031 crores.

The interest and finance cost stands at INR41 crores versus INR29 crores. And for the year, it stands at INR134 crores versus INR117 crores. Depreciation cost stands at INR71 crores versus INR50 crores for the quarter. And for the year, it stands at INR251 crores versus INR182 crores. Profit before tax stands at INR759 crores versus INR464 crores.

And for the year, it is at INR2,365 crores versus INR1,739 crores. The highest-ever quarterly PAT stands at INR556 crores versus INR346 crores and for the year, it

stands at INR1,737 crores

versus INR1,288 crores. These were the updates for the quarter and the year. This is all from our side. And now we would be happy to take any questions, comments or suggestions that you may have. Over to you, Teena.

Teena Virmani: We can now open the floor for Q&A.

Moderator: Thank you. We will now begin the question and answer session. Our first question comes from the line of Amit Dixit with Goldman Sachs.

Amit Dixit: Congratulations for a very robust set of numbers and indeed a very strong guidance. I have a couple of questions. The first one is on international business. Now if you look at international business, the growth has been very good this year. Just wanted to get a sense on the new geographies like Zimbabwe that we entered this year and some of -- and what are the other key geographies we might be thinking? Also, what -- I mean what all geographies are we expecting more traction in this year, FY '27? That is my first question, sir?

Manish Nuwal: Thank you, Amit. You are very right that international business is doing quite good. And like I said, in this year, the international business has grown by 32%. And in the next year, which is FY '27, we are expecting apart from defense, domestic and international both should do very

good. So as far as new territories are concerned, mainly, we are focusing on African continent, and that's the market where we are expanding every year.

So like I have explained in my previous calls, we have created South Africa as one of the hub for our future expansions. And we are -- we have already set up the facilities apart from South Africa in Zambia, Tanzania, and we have also started Zimbabwe facility. And in the West Africa, we have Nigeria as a base.

And from there, we have started our operations in Ghana. And in this year, we are expecting to start operation in Sierra Leone. And in Turkey, we have a strong base, and we have started Kazakhstan plant. So similarly, we are trying to expand in all those markets, which helps us to Solar Industries India Limited

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utilize the facilities which we have set up in these major markets. And as far as Southeast Asia is concerned, we have a small facility at Thailand and Indonesia. Australia is also going to start very soon.

Amit Dixit: Great, sir. Very clear. The second question is essentially on defense. Now defense guidance has been -- I mean it is very, very robust after a very good quarter. Now a couple of clarifications or a little bit more color that I would request from you in this regard. Sir, one is about Bhargavastra. I mean the counter-drone systems have been in favor, I mean, for some time now. So just wanted to get an understanding where we are on that front, if any tests are pending and when can we expect the order? Similarly, the progress on 155 mm shells, where we are with respect to tests and other necessary certifications?

Manish Nuwal: So normally, we would like to avoid all such product-specific questions due to a variety of reasons. But Bhargavastra is a strategic item for us, and we are developing this product from last couple of years. And this product will be one of the very few companies in the world who will be developing such kind of system. So the product development is in the final stage. But still, such kind of product development takes longer time than what we expect. But definitely, we should be able to complete all the trials in this calendar year. So this is the status of Bhargavastra. And as far as 155 mm products are concerned, we have already started supplying all the raw material intermediates going into this product. Our coupling facility, which will help us to produce the complete 155 mm product, we should be able to finish in next couple of quarters. But definitely, it will take another 3 to 4 months' time, then we will start supplying the complete round of 155 mm

Moderator: The next question comes from the line of Umesh Raut with Nomura India.

Umesh Raut: Congratulations for a very good set of numbers. Sir, my first question is pertaining to our exports business. If I look at our historical trajectory, I think we have seen stronger growth in between FY '19 to '23, when our business actually grew by almost 3.5x in terms of top line. Then we had almost more of a flattish growth between '23 to '25?

And again, I think it looks like with 32% kind of a growth in '26, growth is looking very stronger on the export side. So I just want to understand how big this opportunity is probably 2, 3 years down the line. Again, can we expect closer to 2, 3x kind of jump in terms of top line for our export business? And to achieve these kind of growth opportunities, what kind of investment that we can expect from you in terms of medium term, both on capacity expansion as well as on client traction side?

Manish Nuwal: Yes. Thank you very much. Yes, you are right that if you look at 2015 number, the export and overseas was around INR400 crores, and that has reached to almost INR800 crores, and there, we have hovered around for almost 3 to 4 years, right from 2021 to almost -- 2018 till '21, we were in that range of INR800 crores.

And after that, it started picking up. So the point was that during that period, we were setting up the greenfield facilities, qualifying ourselves into the overall mining procurement system. So Solar Industries India Limited

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that was the key period. And after that, the sales from our exports and overseas has started picking up, especially from 2022. So that was the year when it has reached to INR1,400 crores. And now it has crossed almost INR3,800 crores.

And next year also, we are expecting a growth of a round 30%. So we believe that there are plenty of opportunities for us in the international market. But it will be very difficult for us to give any trajectory specifically in numbers of how much multiple we can grow, or how much times we can grow from this base.

But I feel that since international markets are growing at 2% to 3%, but we expect that volume

terms, we should be able to grow comfortably at around 10%. And in value terms, we should grow at around 15%. But this year, definitely, because of the rise in commodity prices will help us to have more top line. So that's why we are bullish and for the next year, we are expecting a growth of around 30%.

Umesh Raut: Got it, sir. Sir, just one clarification. If you can give us some understanding about market share that you have in key markets in export region?

Manish Nuwal: As of now, we don't have that kind of visibility.

Umesh Raut: Okay. Sir, my second question is, if I exclude your target growth on exports and defense side, domestic looks like is expected to see about 35% kind of growth for '27, which is more of an implied growth from your guidance. So is it on the account of purely low base where '26 was also impacted year from the monsoon? And apart from that, probably higher traction on infra and coal volume side that you are expecting in '27?

Manish Nuwal: Yes. So for the next year, like why we have mentioned that we are targeting INR14,000 crores revenue, and if you take the defense out of that total number, then it is around INR9,500 crores.

And like I said, the domestic and international combined together, we should be able to grow plus 30%. So out of this 30%, 32% or 33% growth, we expect that 10% to 15% should come from volume growth and around 20% -- 18% to 20% should come from the price rise.

So that is mainly because of the impact of the higher crude or gas prices on the down -- upstream products or downstream lines. As far as the demand, the domestic market is concerned, last year, it was a totally flat growth market or you can say the OB removal in Coal India, Singareni and private coal mines combined together was on a negative side.

But despite of that, we managed a decent growth of around 4% in value terms. And this year, we expect that because of the pressure in the market where people would like to shift from the diesel, petrol or generated products to the electricity-based products. So that will definitely help the growth in the coal mining sector. And since last year was the bottom-out kind of situation for OB removal section. So this year, we expect the demand should pick up.

Umesh Raut: Understood. Understood. Sir, my last question on the competition side. We are hearing about probable entry of Kalyani Group into explosive business. So any kind of thought process here? I mean, do you see incremental competition because of this? And especially, if you look at, I think, defense because they were already present in this business in form of guns and missiles, Solar Industries India Limited

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probably. Any kind of colour over here in terms of competitive intensity you are seeing increasing in the domestic market?

Manish Nuwal: So the first point is, definitely, I would not like to comment on the competition side or competitive, but it's a matter of fact that Solar has risen its base from 1996 where it was a small player in the whole explosive market. And we have competed with the world number 1, number 2 in the market and we have increased our presence.

So from competition side, we are not afraid from anyone. But market opportunities are immense, where everybody will have its own pie. We cannot say that we will have 100% market share, and that is not our target also. And the way we are expanding, it is not the only product which we are working into. We are not a hardware company also. We are developing energetic products. We are expanding our technology footprints and going to offer many advanced technology solutions for the border security.

Moderator: The next question comes from the line of Vikas Singh from ICICI Securities.

Vikas Singh: Congratulations on a very good set of numbers despite challenges. Sir, my first question pertains to since our defense mix is improving in the overall sales, while we are still getting the guidance -- margin guidance kind of an impact versus last year. So is it some of the items where the cost inflation pass on would be difficult and that's why overall margins has failed? Or are we traditionally doing a conservative estimate at this point of time?

Manish Nuwal: So as far as EBITDA margins are concerned, you are aware that prices of all the commodities has gone up and definitely passing on the same increase sometimes is difficult. But we have increased the prices, and there are rise and fall calculations already in place in our contracts. So that will take care of the actual price rise. But if you look into the overall EBITDA margin, definitely, there will be some, little bit impact. But since our defense is picking up, international is also doing very good. So we should be able to maintain the current EBITDA margins.

Vikas Singh: Noted sir. Sir, my second question pertains to the domestic explosive market. Obviously, we have added a lot of capacities and eyeing a market share gain. Is it basically through the new products because segments remain the same or the user industries are limited in a way, and none of them are growing at 10% or 12%. So just wanted to understand this market share gain strategy, how we are actually targeting that?

Manish Nuwal: So it is not a straight away market gaining strategy. Over the last, say, 10, 12 years, we were

expanding our facilities at our core plant, which is at Nagpur, which makes package explosives and initiating systems. But as we have become a global player, the capacity utilization level has gone up. At the same time, if you look into the logistics cost, which comes on the explosives, it is a wise step for us to expand outside

Nagpur. That's why we have acquired a company in Northern part of India.

At the same time, we have just almost finished the mega expansion in Western part of India. And similarly, we are going to expand our base in Orissa and Telangana markets, Andhra Pradesh. So this is a key reason. Second is, as you are near to the customer, definitely gaining Solar Industries India Limited
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or servicing the customer is always better. And that helps us to grow or grab the market growth in those markets. So that's the key point.

Vikas Singh: Noted sir. Sir, just one last question. In terms of this quarter, had we had any inventory gains in our overall numbers, sir, or if it's the natural kind of the margins which we were expecting?

Manish Nuwal: So definitely, whenever prices goes up, we have inventories like in this quarter, our inventory was more than what we normally carry due to a variety of reasons. And definitely, we will have inventory gain in the coming quarters. But at the same time, this is very normal for our kind of industry.

And since price goes up by, example, \$200, but you will get only on the price escalation based only for, say, 60% of the total increase. So that will take care of only the price increase. But there are certain contracts where we can pass on after a quarter. So those kind of situation, we can easily absorb with having such kind of inventory level. So definitely, we are in a very good position to absorb these kind of shocks.

Vikas Singh: Noted, sir. And sir, next year, capex, if we can split between defense versus nondefense explosives, that INR2,000 crores plus capex?

Manish Nuwal: Like we always say that for us, our business is one. And next year, we are going to invest around INR2,050 crores, and we always channelize the capex programs based on the priority and the market opportunity available to us.

Moderator: The next question comes from the line of Dipen Vakil with PhillipCapital.

Dipen Vakil: Congratulations on a great execution. Sir, my first question is, sir, can you help us with the order book breakup between defense and nondefense for the INR21,300 crores order book? And what are the major orders which we can expect in the near future? Any highlight on that?

Manish Nuwal: Yes. Out of the total INR21,000 crores of order book, defense is around INR18,000 crores, and nondefense is around INR3,000 crores. And out of that total defense INR18,000 crores order book and mainly the biggest order was from Pinaka and rest all are small, small, raw material intermediate goods for the Indian market.

And we have also received plenty of orders from the international markets and as far as new orders are coming, yes, we are in final stages of receiving orders for the similar products. And we are also expecting orders from Pinaka series of products that is in the discussion stage. We are in negotiation, but that takes time.

Dipen Vakil: Got it, sir. Sir, my second question is, I want to understand the new product and development, which are happening at Solar. So considering that a lot of -- so can you help us understand which are the new products which are on the advanced stages of finalization in terms of development and can come into your product portfolio soon and which are in the early stages?

Manish Nuwal: So like I said, it is not wise on our part to share the program-wise progress and status. But definitely, the products on which we are working very closely and which are in the final stages, Solar Industries India Limited
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is one of them is Bhargavastra, which is a counter-drone product. There are multiple options within the loitering ammunition. Those are also in the pipeline.

Apart from these two, like I said, 155 mm complete round of ammunition, that is also in the last stage of complete trials. So once we have finished, like I said, we have already started

making

the propellants for these products, which is large caliber ammunitions. Now we are going to make a complete round and supply for the qualification.

So these are the key products apart from many others, which are in the design and development part and that is not good on us to explain the exact status for each product. You can also see DRDO is developing many of the products, and we have also partnered with those programs.

But these program takes time. And we will definitely share the progress on key milestones.

Dipen Vakil: Got it, sir. Sir, last small follow-up. Sir, you had like medium caliber ammunition facility you had recently commissioned. So is it operational now or we are still awaiting some certification or something. So can you share an update on that?

Manish Nuwal: That is already commissioned, and we are starting supplying the products for qualification. And once we qualify, we will definitely receive orders for those products.

Moderator: The next question comes from the line of Bharat Shah with BCS Capital Ideas.

Bharat Shah: Hearty, hearty congratulations. Once again, really standard defining performance. Hearty congratulations to you and the team.

Manish Nuwal: Thank you very much, sir.

Bharat Shah: Over a dozen-odd years that I've known you in a very quiet and unassuming way from virtually a limited product in limited geographies, we have built a business, which is multi-sector, multi-geography, multi-products, and made it brick by brick a very resilient and strong business. So great credit to the way the business has been built over a period of time.

I remember 10 years back when defense business seeds were being laid and there was nothing on horizon and how painstakingly efforts have been put to build the business where it is today.

So clearly, kudos to you and the entire Solar team. Just one -- two questions.

Last year, if you see the financial year '25, '26, working capital is sucked away almost about INR1,600 crores. And in the year prior to that, working capital actually released about INR800 crores. So from the cash flow, operational cash flow, almost a swing of INR2,400 crores is being sucked away from the operational cash flow in the '25, '26. Any comments on that?

Manish Nuwal: First of all, thank you very much, Bharat bhai, for your kind appreciation. And definitely, in fact, it's a responsibility of every citizen and every company to work towards our national security and contribute for the country's prosperity and progress. So thank you very much, sir. And as far as your working capital question, Shalinee will respond to that. Just a minute, sir.

Shalinee Mandhana: Sir, the working capital days had been -- in this year, it had been hovering around 90 to 100 days till quarter 3. But in quarter 4, so the working capital days have been increased primarily due to Solar Industries India Limited

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higher inventory levels. They were mainly done to build them and mitigate the risk arising from geopolitical uncertainties.

And to address the uncertainties and maintain supply chain continuity have been critical. And as Manish ji had answered in the last call, so obviously, the inventory levels will help us going forward. So as to it won't disturb the revenues going ahead as well as the same will help in generating the margins. And as...

Bharat Shah: Yes. Sorry, please go ahead.

Shalinee Mandhana: Yes. As the geopolitical situation stabilizes, we anticipate normalization in the working capital limits over time, maybe in the next 2 quarters.

Bharat Shah: Sure. So this was a deliberate and strategic decision. It is not accidental.

Shalinee Mandhana: Yes, sir. Correct.

Bharat Shah: Right. And second, if I see contribution of subsidiaries to the earnings, consolidated bottom line. I'm a bit intrigued by that. If you see our consolidated earnings for last year, it has been about INR185 crore

compared to INR134 last year, year '25, of which subsidiaries have contributed INR50 in the current year compared to INR45 in the year preceding.

So subsidiaries barely added to the consolidated bottom line, which considering our export and international presence, I'm a bit surprised that how subsidiaries have made relatively more muted contribution. Of course, in the fourth quarter, it is dramatically improved where INR11 had come contribution of subsidiaries to the fourth quarter results last year, which has shot up to INR19 in the current year. But really in the entirety, INR45 earnings to INR50 earnings of the subsidiaries, I'm a bit surprised by that.

Manish Nuwal: So sir, in the first half of this year, since the defense business because defense -- our Solar Defense is a subsidiary of Solar Industries and our international business are also subsidiaries. So if you look at the total results, definitely in the first 6 months, the results from the defense section as well as the international as far as margins are concerned were subdued and it started improving from Q3.

And in Q4 those all started giving very good results. So that's the key factor. And now onwards, we believe that the subsidiary level, whether it is in India or overseas, all will start delivering very good performance. And that's why despite of a very high base of raw material prices, which we are expecting in the coming financial year, we are pretty confident that we should be able to achieve the current levels of EBITDA margins.

If you look at the 3, 4 years back period, when the raw material prices has increased by 50%, 60%, 70%, at those times, our EBITDA margins went down by around 2% to 3%. So this time,

we are confident that we should be able to manage this situation with the help of improved defense as well as international business.

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Bharat Shah: Sure. No, understood, which means basically volatile currencies and volatile geographies must have taken some part of the earnings, I suppose, in the last year and that you expect it to be reversed, right?

Manish Nuwal: Absolutely, sir. That is the situation in all these markets. Sometimes there is a lack of payment, sometimes we have to buy at a higher price. But frankly speaking, all such kind of uncertainties -- and if you handle it well, converts into an opportunity, and we like all these things. So in a nutshell, sir, overall as a business, if you are able to achieve around 27%, 28% of EBITDA margin, despite of all the current crisis, it is all because of the efforts which we have taken on all the fronts.

Bharat Shah: Absolutely. The record is there to show it fully what you are seeing. So remarkable, remarkable one. And once again, hearty congratulations.

Moderator: The next question comes from the line of Sanjeev Zarbade with Antique Stock Broking.

Sanjeev Zarbade Sir, our exports business has remained largely flatish on a sequential basis. So are you seeing any headwinds on account of the developments in the West Asia regarding freight and logistics?

And would it impact similar growth in Q1?

Manish Nuwal: In the Q4, the revenue from international is around INR1,000 crores, and last quarter also, it was in a similar range. So we expect improved performance even more than these levels in the coming quarters.

Sanjeev Zarbade And sir, my second question was regarding the impact of the commodity prices. And of course, we have taken some price increases. So -- and I think from our past interactions, I think the benefit of price increase comes with a lag. So is it possible that we might see some impact on margins in Q1? And then maybe in Q2, there could be some recoup of the margins?

Manish Nuwal: So we run business as a whole, and we don't wish on quarter-to-quarter basis. So what guidance we have given, we are pretty optimistic that we should be able to achieve that.

Sanjeev Zarbade And sir, thirdly, because of the increase in prices of ammonium nitrate, would there be any demand impact in the sense that buyers might wait for some time to prices to cool off and then start buying the high?

Manish Nuwal: It is too early to comment on this because the impact of very high prices of commodities killing the demand. We need to wait for some more time, get the clarity and the response of the people who are going to consume these products. But by and large, we are -- we do feel that there can be a demand contraction for some couple of months. But by and large, on an annual basis, I don't see that.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing remarks.

Shaline Mandhana: Hello. We thank Motilal and Chorus Call for the call and all the investors for taking the call. Thank you.

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Moderator: Thank you, ma'am. Ladies and gentlemen, on behalf of Motilal Oswal Financial Services Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.